2026 -- H 7127 SUBSTITUTE A AS AMENDED

========
LC004134/SUB A
========

STATE OF RHODE ISLAND

IN GENERAL ASSEMBLY

JANUARY SESSION, A.D. 2026

A N A C T

MAKING APPROPRIATIONS FOR THE SUPPORT OF THE STATE FOR THE FISCAL YEAR ENDING JUNE 30, 2027

Introduced By: Representative Marvin L. Abney

Date Introduced: January 15, 2026

Referred To: House Finance

(Governor)

It is enacted by the General Assembly as follows:

ARTICLE 1 AS AMENDED

RELATING TO MAKING APPROPRIATIONS IN SUPPORT OF FY 2027

SECTION 1. Subject to the conditions, limitations and restrictions hereinafter contained in this act, the following general revenue amounts are hereby appropriated out of any money in the treasury not otherwise appropriated to be expended during the fiscal year ending June 30, 2027. The amounts identified for federal funds and restricted receipts shall be made available pursuant to § 35-4-22 and chapter 41 of title 42. For the purposes and functions hereinafter mentioned, the state controller is hereby authorized and directed to draw the state controller's orders upon the general treasurer for the payment of such sums or such portions thereof as may be required from time to time upon receipt by the state controller of properly authenticated vouchers.

Administration	
Central Management	
General Revenues	4,006,929
Restricted Receipts	853,701
Total - Central Management	4,860,630
Legal Services	
General Revenues	2,998,750
Accounts and Control	
General Revenues	650,061
Restricted Receipts	
OPEB Board Administration	100,000
Grants Management Administration	1,726,550
Total - Accounts and Control	2,476,611
Office of Management and Budget	
General Revenues	11,156,879
Federal Funds	
Federal Funds	151,778
Federal Funds – Capital Projects Fund	
CPF Administration	669,389
Federal Funds – State Fiscal Recovery Fund	

Pandemic Recovery Office	682,668
Restricted Receipts	300,000
Other Funds	1,191,363
Total - Office of Management and Budget	14,152,077
Purchasing	
General Revenues	1,911,346
Restricted Receipts	3,680,152
Other Funds	670,572
Total - Purchasing	6,262,070
Human Resources	
General Revenues	701,698
Personnel Appeal Board	
General Revenues	152,228
Information Technology	
General Revenues	998,042
Restricted Receipts	1,124,485
Total - Information Technology	2,122,527
Library and Information Services	
General Revenues	2,214,102
Federal Funds	1,639,564
Restricted Receipts	6,990
Total - Library and Information Services	3,860,656
Planning	
General Revenues	1,126,048
Restricted Receipts	50,000
Other Funds	
Air Quality Modeling	24,000
Federal Highway - PL Systems Planning	3,851,173
State Transportation Planning Match	670,918
FTA - Metro Planning Grant	1,571,094
Total - Planning	7,293,233
General	
General Revenues	
Miscellaneous Grants/Payments	3,980,821

Torts Court Awards	1,850,000
Wrongful Conviction Awards	900,000
Resource Sharing and State Library Aid	12,545,904
Library Construction Aid	2,097,515
Restricted Receipts	700,000
Other Funds	
Rhode Island Capital Plan Funds	
Security Measures State Buildings	950,000
Cranston Street Armory	100,000
State House Renovations	17,379,000
Zambarano Buildings and Campus	2,300,000
Replacement of Fueling Tanks	620,000
Environmental Compliance	225,000
Big River Management Area - Watershed	153,000
Shepard Building Upgrades	3,920,000
RI Convention Center Authority	2,825,000
Pastore Center Power Plant	3,500,000
DoIT Enterprise Operations Center	6,700,000
Cannon Building	3,925,000
Old State House	600,000
State Office Building	975,000
State Office Reorganization & Relocation	250,000
William Powers Building	2,600,000
Pastore Center Non-Hospital Buildings Asset Protection	6,250,000
Washington County Government Center	200,000
Chapin Health Laboratory	300,000
560 Jefferson Blvd Asset Protection	50,000
Arrigan Center	100,000
Civic Center	1,250,000
Veterans Auditorium	275,000
Pastore Center Hospital Buildings Asset Protection	1,750,000
Pastore Campus Infrastructure	20,000,000
Community Facilities Asset Protection	2,025,043
Medical Examiners Office	1,050,000

Group Home Replacement & Rehabilitation	5,000,000
Zambarano LTAC Hospital	2,000,000
Total - General	109,346,283
Debt Service Payments	
General Revenues	174,878,354
Other Funds	
Transportation Debt Service	27,630,704
Investment Receipts - Bond Funds	100,000
Total - Debt Service Payments	202,609,058
Rhode Island Health Benefits Exchange	
General Revenues	
General Revenues	1,389,227
Individual Market Affordability	21,994,393
Federal Funds	12,244,211
Restricted Receipts	18,863,602
Total - Rhode Island Health Benefits Exchange	54,491,433
Division of Equity, Diversity & Inclusion	
General Revenues	2,198,317
Other Funds	116,324
Total - Division of Equity, Diversity & Inclusion	2,314,641
Capital Asset Management and Maintenance	
General Revenues	12,140,265
Statewide Personnel and Operations	
General Revenues	
General Officer Transition Costs	464,000
Grand Total - Administration	426,246,160
Office of Energy Resources	
Federal Funds	32,548,662
Restricted Receipts	38,536,799
Other Funds	
National Electric Vehicle Infrastructure Formula Program	14,570,364
Rhode Island Capital Plan Funds	
Energy Efficiency Improvements	1,000,000
Grand Total - Office of Energy Resources	86,655,825

Business Regulation

Central Management	
General Revenues	4,138,236
Restricted Receipts	39,014
Total - Central Management	4,177,250
Banking Regulation	
General Revenues	2,038,094
Restricted Receipts	100,000
Total - Banking Regulation	2,138,094
Securities Regulation	
General Revenues	1,031,168
Insurance Regulation	
General Revenues	5,406,581
Restricted Receipts	2,417,538
Total - Insurance Regulation	7,824,119
Office of the Health Insurance Commissioner	
General Revenues	3,629,163
Federal Funds	
Federal Funds	547,446
Rural Health Transformation Program	21,373,640
Restricted Receipts	612,142
Total - Office of the Health Insurance Commissioner	26,162,391
Board of Accountancy	
General Revenues	5,490
Commercial Licensing and Gaming and Athletics Licensing	
General Revenues	1,301,739
Restricted Receipts	1,277,843
Total - Commercial Licensing and Gaming and Athletics Licensing	2,579,582
Building, Design and Fire Professionals	
General Revenues	9,490,874
Federal Funds	344,288
Restricted Receipts	2,763,579
Other Funds	
Quonset Development Corporation	68,580

Rhode Island Capital Plan Funds	
Fire Academy Expansion	962,000
Total - Building, Design and Fire Professionals	13,629,321
Grand Total - Business Regulation	57,547,415
RI Cannabis Control Commission	
Restricted Receipts	7,619,341
Executive Office of Commerce	
Central Management	
General Revenues	1,917,540
Quasi-Public Appropriations	
General Revenues	
Rhode Island Commerce Corporation	8,506,041
Airport Impact Aid	1,010,036

Sixty percent (60%) of the first $1,000,000 appropriated for airport impact aid shall be distributed to each airport serving more than 1,000,000 passengers based upon its percentage of the total passengers served by all airports serving more than 1,000,000 passengers. Forty percent (40%) of the first $1,000,000 shall be distributed based on the share of landings during calendar year 2026 at North Central Airport, Newport-Middletown Airport, Block Island Airport, Quonset Airport, T.F. Green International Airport and Westerly Airport, respectively. The Rhode Island commerce corporation shall make an impact payment to the towns or cities in which the airport is located based on this calculation. Each community upon which any part of the above airports is located shall receive at least $25,000.

STAC Research Alliance	900,000
I-195 Redevelopment District Commission	1,245,050
Polaris Manufacturing Grant	500,000
East Providence Waterfront Commission	50,000
Urban Ventures	140,000
Chafee Center at Bryant	476,200
Blackstone Valley Visitor Center	75,000
Industrial Recreational Building Authority Obligations	105,094
Other Funds	
Rhode Island Capital Plan Funds	
I-195 Redevelopment District Commission	1,000,000
I-195 Park Improvements	500,000

Quonset Infrastructure	2,500,000
Total - Quasi-Public Appropriations	17,007,421
Economic Development Initiatives Fund	
General Revenues	
Rebuild RI Tax Credit Fund	6,100,000
Destination Marketing	1,500,000
Innovation Initiative	1,000,000
Federal Funds	21,292,601
Total - Economic Development Initiatives Fund	29,892,601
Commerce Programs	
General Revenues	
Wavemaker Fellowship	1,016,621
Air Service Development Fund	2,728,800
Main Street RI Streetscape Improvement Fund	1,000,000

Provided that $150,000 shall support the Main Street Rhode Island program.

Total - Commerce Programs	4,745,421
Grand Total - Executive Office of Commerce	53,562,983
Housing	
General Revenues	7,333,617

Provided that $200,000 shall support Sojourner House's supportive housing and rapid rehousing activities.

Federal Funds	19,300,731
Restricted Receipts	24,348,954
Other Funds	
Rhode Island Capital Plan Funds	
Housing Asset Protection	1,700,000
Grand Total - Housing	52,683,302
Labor and Training	
Central Management	
General Revenues	1,457,908
Restricted Receipts	423,851
Total - Central Management	1,881,759
Workforce Development Services	
General Revenues	884,194

Federal Funds 17,651,272

Total - Workforce Development Services 18,535,466

Workforce Regulation and Safety

General Revenues 5,558,728

Income Support

General Revenues 3,733,778

Federal Funds 24,274,004

Restricted Receipts 5,047,984

Other Funds

Temporary Disability Insurance Fund 299,751,826

Employment Security Fund 296,100,000

Total - Income Support 628,907,592

Injured Workers Services

Restricted Receipts 12,566,297

Labor Relations Board

General Revenues 647,572

Governor's Workforce Board

General Revenues 6,050,000

Provided that $600,000 of these funds shall be used for enhanced training for direct care and support services staff to improve resident quality of care and address the changing health care needs of nursing facility residents due to higher acuity and increased cognitive impairments pursuant to § 23-17.5-36.

Federal Funds

Rural Health Transformation Program 7,033,505

Restricted Receipts 18,984,326

Provided that at least $150,000 of these funds shall be used to provide hospitality industry workforce training grants including, but not limited to, certified food and alcohol safety training programs offered in multiple languages.

Total - Governor's Workforce Board 32,067,831

Grand Total - Labor and Training 700,165,245

Department of Revenue

Director of Revenue

General Revenues 2,929,554

Office of Revenue Analysis

General Revenues	1,203,684
Lottery Division	
Other Funds	433,759,131
Municipal Finance	
General Revenues	2,068,751
Taxation	
General Revenues	39,387,176
Restricted Receipts	3,293,102
Other Funds	
Motor Fuel Tax Evasion	175,000
Total - Taxation	42,855,278
Registry of Motor Vehicles	
General Revenues	36,068,291
Federal Funds	300,000
Restricted Receipts	5,629,330
Total - Registry of Motor Vehicles	41,997,621
State Aid	
General Revenues	
Distressed Communities Relief Fund	15,825,029
Payment in Lieu of Tax Exempt Properties	49,049,142
Motor Vehicle Excise Tax Payments	244,341,241
Property Revaluation Program	826,038
Tangible Tax Exemption Program	25,908,469
Restricted Receipts	1,125,000
Total - State Aid	337,074,919
Collections	
General Revenues	1,134,318
Grand Total - Revenue	863,023,256
Legislature	
General Revenues	59,980,709
Restricted Receipts	2,785,548
Grand Total - Legislature	62,766,257
Lieutenant Governor	
General Revenues	1,574,369

Secretary of State	
Administration	
General Revenues	6,097,668

Provided that $100,000 be allocated to support the Rhode Island Council for the Humanities for grant making to civic and cultural organizations, and $50,000 to support Rhode Island's participation in the We the People Civics Challenge.

Corporations	
General Revenues	2,794,958
State Archives	
General Revenues	475,184
Restricted Receipts	393,474
Total - State Archives	868,658
Elections and Civics	
General Revenues	3,238,148
Federal Funds	2,000,000
Total - Elections and Civics	5,238,148
State Library	
General Revenues	680,710

Provided that $125,000 be allocated to support the Rhode Island Historical Society and $18,000 be allocated to support the Newport Historical Society, pursuant to §§ 29-2-1 and 29-2-2, and $25,000 be allocated to support the Rhode Island Black Heritage Society.

Office of Public Information	
General Revenues	674,705
Receipted Receipts	25,000
Total - Office of Public Information	699,705
Grand Total - Secretary of State	16,379,847
General Treasurer	
Treasury	
General Revenues	3,465,294
Federal Funds	365,991
Other Funds	
Temporary Disability Insurance Fund	252,905
Tuition Savings Program - Administration	377,716
Total - Treasury	4,461,906

State Retirement System	
Restricted Receipts	
Admin Expenses - State Retirement System	13,397,239
Retirement - Treasury Investment Operations	3,108,665
Defined Contribution - Administration	263,124
Total - State Retirement System	16,769,028
Unclaimed Property	
Restricted Receipts	3,437,867
Crime Victim Compensation	
General Revenues	952,526
Federal Funds	467,993
Restricted Receipts	228,827
Total - Crime Victim Compensation	1,649,346
Grand Total - General Treasurer	26,318,147
Board of Elections	
General Revenues	9,147,157
Rhode Island Ethics Commission	
General Revenues	2,556,898
Office of Governor	
General Revenues	
General Revenues	9,480,312
Contingency Fund	150,000
Grand Total - Office of Governor	9,630,312
Commission for Human Rights	
General Revenues	2,358,433
Federal Funds	443,446
Grand Total - Commission for Human Rights	2,801,879
Public Utilities Commission	
Federal Funds	759,025
Restricted Receipts	15,258,327
Grand Total - Public Utilities Commission	16,017,352
Office of Inspector General	
General Revenues	1,300,000
Executive Office of Health and Human Services	

Central Management

General Revenues	
General Revenues	39,226,230

Provided that of this amount, $900,000 will be for mobile response and stabilization services for uninsured and underinsured child and youth and cover services and costs not otherwise reimbursed; and $1,600,000 is for the Newport Birthing Center.

All-Payer Claims Database	816,215
Health System Planning and Oversight	818,170
Medicaid Enterprise System	7,378,282
Medicaid Management Information System	7,815,983
Unified Health Infrastructure Project	38,651,742
Federal Funds	
Federal Funds	77,644,743
All-Payer Claims Database	7,799,870
Health System Planning and Oversight	900,000
Medicaid Enterprise System	66,404,541
Medicaid Management Information System	28,514,366
Rural Health Transformation Program	68,846,651
Unified Health Infrastructure Project	73,628,976
Restricted Receipts	
Restricted Receipts	7,173,162
Unified Health Infrastructure Project	150,000
Total - Central Management	425,768,931

Medical Assistance

General Revenues	
Managed Care	477,869,128
Hospitals	147,687,861
Nursing Facilities	204,470,267
Home and Community Based Services	144,331,557
Other Services	134,942,412
Pharmacy	96,744,239
Rhody Health	278,954,745
Federal Funds	
Managed Care	695,945,166

Hospitals	304,928,738
Nursing Facilities	279,255,418
Home and Community Based Services	195,784,539
Other Services	766,672,938
Pharmacy	355,761
Rhody Health	398,191,232
Other Programs	45,400,000
Restricted Receipts	10,939,274
Total - Medical Assistance	4,182,473,275
Grand Total – Executive Office of Health and Human Services	4,608,242,206

Children, Youth and Families

Central Management

General Revenues	22,380,243

Provided that $2.0 million of this amount shall be used solely for infrastructure and capacity building activities necessary to comply with Medicaid transformation requirements. The department shall establish a methodology to award funds based on demonstrated need and documented costs, and shall utilize federal match for these expenses to the greatest extent possible. Any unexpended or unencumbered balances as of June 30, 2027, are hereby reappropriated to the following fiscal year.

Federal Funds	12,182,602
Total - Central Management	34,562,845

Children's Behavioral Health Services

General Revenues	9,152,509
Federal Funds	8,693,793
Total - Children's Behavioral Health Services	17,846,302

Youth Development Services

General Revenues	27,165,270
Federal Funds	308,087
Other Funds	
Rhode Island Capital Plan Funds	
Training School Asset Protection	250,000
Psychiatric Residential Treatment Facility Modifications	21,725,187
Total - Youth Development Services	49,448,544

Child Welfare

General Revenues	217,664,953
Federal Funds	90,225,437
Restricted Receipts	61,261
Total - Child Welfare	307,951,651
Higher Education Incentive Grants	
General Revenues	200,000

Provided that these funds and any unexpended or unencumbered previous years' funding are to be used exclusively to fund awards to eligible youth.

Grand Total - Children, Youth and Families	410,009,342
Health	
Central Management	
General Revenues	
General Revenues	2,175,312

Of this amount, $50,000 is to support the Gloria Gemma Breast Cancer Resource Foundation and the organization's new survivorship and well-being center in Lincoln, RI.

Psychiatry Resource Network	1,200,278
Federal Funds	4,545,892
Restricted Receipts	21,700,832
Total - Central Management	29,622,314
Community Health and Equity	
General Revenues	2,452,952
Federal Funds	89,157,519
Restricted Receipts	63,187,377
Total - Community Health and Equity	154,797,848
Environmental Health	
General Revenues	7,058,661
Federal Funds	14,034,394
Restricted Receipts	1,011,757
Total - Environmental Health	22,104,812
Health Laboratories	
General Revenues	10,704,871
Federal Funds	2,627,831
Other Funds	
Rhode Island Capital Plan Funds	

Health Laboratories & Medical Examiner Equipment	400,000
Total - Health Laboratories	13,732,702
State Medical Examiners	
General Revenues	4,559,163
Federal Funds	67,325
Total - State Medical Examiners	4,626,488
Healthcare Quality and Safety	
General Revenues	10,298,205
Federal Funds	7,592,019
Restricted Receipts	1,160,202
Total - Healthcare Quality and Safety	19,050,426
Policy, Information and Communications	
General Revenues	3,019,000

Provided that $400,000 of this amount and its corresponding federal match is used for loan repayment assistance specifically for primary care physicians and pediatricians through the Health Professional Loan Repayment Program authorized by § 23-14.1.

Federal Funds	
Federal Funds	5,606,211
Rural Health Transformation Program	26,301,377
Restricted Receipts	839,044
Total - Policy, Information and Communications	35,765,632
Emergency Preparedness and Infectious Disease	
General Revenues	2,425,829
Federal Funds	17,782,327
Total - Emergency Preparedness and Infectious Disease	20,208,156
COVID-19	
Federal Funds	7,519,108
Grand Total - Health	307,427,486
Human Services	
Central Management	
General Revenues	9,084,531

Of this amount, $400,000 is to support the domestic violence prevention fund to provide direct services through the Coalition Against Domestic Violence, $25,000 is for the Center for Southeast Asians, $450,000 is to support Project Reach activities provided by the RI Alliance of

Boys and Girls Clubs, $300,000 is for outreach and supportive services through Day One, $2,950,000 is for food collection and distribution through the Rhode Island Community Food Bank of which $250,000 will be utilized to provide sub awards to other community food organizations, $500,000 is for services provided to the homeless at Crossroads Rhode Island, $600,000 is for the Community Action Fund, $250,000 is for the Institute for the Study and Practice of Nonviolence's Reduction Strategy, $300,000 is to provide operational support to the United Way's 211 system, $150,000 is to support services provided to the immigrant and refugee population through Higher Ground International, $50,000 is for services provided to refugees through the Refugee Dream Center, $150,000 is for the Substance Use and Mental Health Leadership Council of RI, $25,000 is for services provided by Oasis International, $25,000 is for services provided by New Bridges for Haitian Success and $200,000 is for Farm Fresh Rhode Island's Bonus Bucks program.

Federal Funds	8,020,512

Of this amount, $3.0 million is to sustain Early Head Start and Head Start programs.

Restricted Receipts	470,000
Total - Central Management	17,575,043
Child Support Enforcement	
General Revenues	4,616,756
Federal Funds	9,346,913
Restricted Receipts	4,107,870
Total - Child Support Enforcement	18,071,539
Individual and Family Support	
General Revenues	45,895,483
Federal Funds	118,750,234
Restricted Receipts	115,000
Other Funds	
Rhode Island Capital Plan Funds	
Blind Vending Facilities	165,000
Total - Individual and Family Support	164,925,717
Office of Veterans Services	
General Revenues	37,094,041

Of this amount, $200,000 is to provide support services through veterans' organizations, $50,000 is to support Operation Stand Down, and $100,000 is to support the Veterans Services Officers (VSO) program through the Veterans of Foreign Wars.

Federal Funds	15,980,199

Restricted Receipts	1,410,115
Other Funds	
Rhode Island Capital Plan Funds	
Veterans Home Asset Protection	977,240
Veterans Memorial Cemetery Asset Protection	260,000
Total - Office of Veterans Services	55,721,595
Health Care Eligibility	
General Revenues	12,476,503
Federal Funds	18,943,937
Total - Health Care Eligibility	31,420,440
Supplemental Security Income Program	
General Revenues	16,752,300
Rhode Island Works	
General Revenues	9,784,221
Federal Funds	89,509,493
Total - Rhode Island Works	99,293,714
Other Programs	
General Revenues	6,076,792

Provided that $4,056,000 is to extend the retail supplemental nutrition assistance program (SNAP) incentives pilot program pursuant to § 40-6-8.2.

Federal Funds	338,010,465
Restricted Receipts	8,000
Total - Other Programs	344,095,257
Office of Healthy Aging	
General Revenues	17,291,725

Of this amount, $325,000 is to provide elder services, including respite, through the Diocese of Providence; $100,000 is for ombudsman services provided by the Alliance for Long Term Care in accordance with chapter 66.7 of title 42; and $1,800,000 is for Senior Services Support and $730,000 is for elderly nutrition, of which $680,000 is for Meals on Wheels.

Federal Funds	19,861,555
Restricted Receipt	266,979
Other Funds	
Intermodal Surface Transportation Fund	4,651,722

The Office shall reimburse the Rhode Island public transit authority for the elderly/disabled transportation program expenses no later than fifteen (15) days of the authority's submission of a request for payment.

Total - Office of Healthy Aging	42,071,981
Grand Total - Human Services	789,927,586

Behavioral Healthcare, Developmental Disabilities and Hospitals

Central Management

General Revenues	10,757,305
Federal Funds	1,858,106
Restricted Receipts	1,836,349
Other Funds	
Rhode Island Capital Plan Funds	
Group Home Maintenance	5,000,000
Total - Central Management	19,451,760

Services for the Developmentally Disabled

General Revenues	241,044,033
Federal Funds	319,530,323
Restricted Receipts	1,300,866
Other Funds	
Rhode Island Capital Plan Funds	
DD Residential Support	100,000
Total - Services for the Developmentally Disabled	561,975,222

Behavioral Healthcare Services

General Revenues	6,415,175
Federal Funds	
Federal Funds	27,480,137

Provided that $250,000 from Social Services Block Grant funds is awarded to The Providence Center to coordinate with Oasis Wellness and Recovery Center for its support and services program offered to individuals with behavioral health issues.

Rural Health Transformation Program	4,052,934
Restricted Receipts	4,358,875

Provided that $500,000 from the opioid stewardship fund is distributed equally to the seven regional substance abuse prevention task forces to fund priorities determined by each task force.

Total - Behavioral Healthcare Services	42,307,121

Hospital and Community Rehabilitative Services

General Revenues	49,203,513

The department shall report monthly on the hospital census by campus and the number of patients. The report shall include the total number of patients with coverage through Medicaid, Medicare, commercial or private pay, with each group reported separately. The report shall also include total funding collected from each source, including Medicare, private pay, and/or other third-party sources.

Federal Funds	67,782,760
Restricted Receipts	4,817,874
Other Funds	
Rhode Island Capital Plan Funds	
Hospital Equipment	300,000
Total - Hospital and Community Rehabilitative Services	122,104,147
State of RI Psychiatric Hospital	
General Revenues	34,884,686
Restricted Receipts	144,000
Other Funds	
Rhode Island Capital Plan Funds	
RISPH Equipment	100,000
Total - State of RI Psychiatric Hospital	35,128,686
Grand Total - Behavioral Healthcare, Developmental Disabilities and Hospitals	780,966,936
Office of the Child Advocate	
General Revenues	2,405,487
Commission on the Deaf and Hard of Hearing	
General Revenues	835,904
Restricted Receipts	118,177
Grand Total - Comm. On Deaf and Hard-of-Hearing	954,081
Governor's Commission on Disabilities	
General Revenues	
General Revenues	908,716
Livable Home Modification Grant Program	515,278

Provided that this will be used for home modification and accessibility enhancements to construct, retrofit, and/or renovate residences to allow individuals to remain in community settings. This will be in consultation with the executive office of health and human services. All unexpended or unencumbered balances, at the end of the fiscal year, shall be reappropriated to the ensuing fiscal year, and made immediately available for the same purpose.

Federal Funds	340,092
Restricted Receipts	67,190
Grand Total - Governor's Commission on Disabilities	1,831,276

Office of the Mental Health Advocate

General Revenues	1,111,709

Elementary and Secondary Education

Administration of the Comprehensive Education Strategy

General Revenues	38,180,321

Provided that $90,000 be allocated to support the hospital school at Hasbro Children's Hospital pursuant to § 16-7-20; $395,000 be allocated to support child opportunity zones through agreements with the department of elementary and secondary education to strengthen education, health and social services for students and their families as a strategy to accelerate student achievement; $450,000 and 3.0 full-time equivalent positions be allocated to support a special education function to facilitate individualized education program (IEP) and 504 services; and further provided that $130,000 be allocated to City Year for the Whole School Whole Child Program, which provides individualized support to at-risk students.

Provided further that $2,000,000 shall be allocated for the Learn365RI program, of which $100,000 shall be allocated to the Rhode Island Afterschool Network; $100,000 shall be allocated to Teach for America Ignite; and $100,000 shall be allocated to Onward We Learn.

Provided further that $684,000 shall be allocated to the Paul V. Sherlock Center on Disabilities to support the Rhode Island Vision Education and Services Program.

Provided further that $750,000 shall be used for the Support and Access to Bilingual Education fund pursuant to § 16-54.1. Any unexpended balances as of June 30, 2027, are hereby reappropriated to the following fiscal year.

Federal Funds	
Federal Funds	258,048,406
Rural Health Transformation Program	4,838,988
Restricted Receipts	
Restricted Receipts	1,839,203
HRIC Adult Education Grants	3,500,000
Other Funds	
Rhode Island Capital Plan Funds	

Norwell Academy Facility Feasibility Study	150,000
Total - Admin. of the Comprehensive Ed. Strategy	306,556,918
Davies Career and Technical School	
General Revenues	21,093,905
Federal Funds	954,525
Restricted Receipts	4,932,231
Other Funds	
Rhode Island Capital Plan Funds	
Davies School HVAC	1,100,000
Davies School Asset Protection	750,000
Davies School Wing Renovation	23,500,000
Total - Davies Career and Technical School	52,330,661
RI School for the Deaf	
General Revenues	9,039,339
Federal Funds	225,365
Restricted Receipts	1,597,000
Other Funds	
Rhode Island Capital Plan Funds	
School for the Deaf Asset Protection	968,691
Total - RI School for the Deaf	11,830,395
Metropolitan Career and Technical School	
General Revenues	14,998,564
Other Funds	
Rhode Island Capital Plan Funds	
MET School Asset Protection	250,000
Total - Metropolitan Career and Technical School	15,248,564
Education Aid	
General Revenues	1,315,077,322

Provided that the criteria for the allocation of early childhood funds shall prioritize pre-kindergarten seats and classrooms for four-year-olds whose family income is at or below one hundred eighty-five percent (185%) of federal poverty guidelines and who reside in communities with higher concentrations of low performing schools.

Restricted Receipts	49,781,920
Total - Education Aid	1,364,859,242

Central Falls School District	
General Revenues	55,246,303
School Construction Aid	
General Revenues	122,128,556
Teachers' Retirement	
General Revenues	130,236,201
Grand Total - Elementary and Secondary Education	2,058,436,840

Public Higher Education

Office of Postsecondary Commissioner	
General Revenues	36,251,979

Provided that $455,000 shall be allocated to Onward We Learn pursuant to § 16-70-5, $75,000 shall be allocated to Best Buddies Rhode Island to support its programs for children with developmental and intellectual disabilities. It is also provided that $8,141,437 shall be allocated to the Rhode Island promise scholarship program, $151,410 shall be used to support Rhode Island’s membership in the New England Board of Higher Education, $7,062,826 shall be allocated to the Rhode Island hope scholarship program, and $100,000 shall be allocated to the Rhode Island School for Progressive Education to support access to higher education opportunities for teachers of color.

Federal Funds	6,877,602
Restricted Receipts	
Restricted Receipts	8,358,299
Tuition Savings Program - Scholarships and Grants	3,460,000
Other Funds	
Nursing Education Center - Operating	3,494,558
Rhode Island Capital Plan Funds	
WEC Expansion - Annex Site	160,000
Total - Office of Postsecondary Commissioner	58,602,438
University of Rhode Island	
General Revenues	
General Revenues	119,498,120

Provided that in order to leverage federal funding and support economic development, $700,000 shall be allocated to the small business development center, $150,000 shall be allocated to the Institute for Labor Studies & Research, and $50,000 shall be allocated to Special Olympics Rhode Island to support its mission of providing athletic opportunities for individuals with intellectual and developmental disabilities.

Debt Service	32,853,856
RI State Forensics Laboratory	2,436,958
URI Medical School Planning	5,000,000
Other Funds	
University and College Funds	860,035,628
Debt - Dining Services	744,557
Debt - Education and General	7,824,231
Debt - Health Services	6,148
Debt - Housing Loan Funds	14,186,125
Debt - Memorial Union	291,069
Debt - Ryan Center	2,363,789
Debt - Parking Authority	1,408,483
URI Restricted Debt Service - Energy Conservation	369,780
URI Debt Service - Energy Conservation	1,349,620
Rhode Island Capital Plan Funds	
Asset Protection	15,236,863
Mechanical, Electric, and Plumbing Improvements	6,217,170
Fire Protection Academic Buildings	1,323,475
Bay Campus	16,853,278
Athletics Complex	21,361,818

Provided that total Rhode Island capital plan funds provide no more than 80.0 percent of the total project.

Stormwater Management	1,437,519
PFAS Removal Water Treatment Plant	8,197,664
Campus Accessibility	1,700,000
Campus Access Control	1,575,000
Building Envelope Improvements	3,000,000
Total - University of Rhode Island	1,125,271,151

Notwithstanding the provisions of § 35-3-15, all unexpended or unencumbered balances as of June 30, 2027 relating to the university of Rhode Island are hereby reappropriated to fiscal year 2028.

Rhode Island College

General Revenues

General Revenues	72,723,265
Debt Service	9,159,563
Rhode Island Vision Education and Services Program	1,800,000
Other Funds	
University and College Funds	135,027,602
Debt - Education and General	715,825
Debt - Student Union	212,025
Debt - Energy Conservation	785,625
Rhode Island Capital Plan Funds	
Asset Protection	6,500,000
Infrastructure Modernization	5,675,000
Total - Rhode Island College	232,598,905

Notwithstanding the provisions of § 35-3-15, all unexpended or unencumbered balances as of June 30, 2027, relating to Rhode Island college are hereby reappropriated to fiscal year 2028.

Community College of Rhode Island

General Revenues	
General Revenues	65,696,149
Debt Service	934,564
Restricted Receipts	998,534
Other Funds	
University and College Funds	127,734,928
Rhode Island Capital Plan Funds	
Asset Protection	3,369,452
Data, Cabling, and Power Infrastructure	5,500,000
Flanagan Campus Renovations	300,000
CCRI Renovation and Modernization Phase I	12,500,000
CCRI Renovation and Modernization Phase II - IV	2,440,000
CCRI Accessibility Improvements	125,000
Total - Community College of RI	219,598,627

Notwithstanding the provisions of § 35-3-15, all unexpended or unencumbered balances as of June 30, 2027, relating to the community college of Rhode Island are hereby reappropriated to fiscal year 2028.

Grand Total - Public Higher Education	1,636,071,121

RI State Council on the Arts

General Revenues	
Operating Support	1,370,565
Grants	1,240,000

Provided that $400,000 be provided to support the operational costs of WaterFire Providence art installations.

Federal Funds	1,160,576
Other Funds	
Art for Public Facilities	742,000
Grand Total - RI State Council on the Arts	4,513,141
RI Atomic Energy Commission	
General Revenues	1,316,004
Restricted Receipts	25,036
Other Funds	
URI Sponsored Research	335,818
Rhode Island Capital Plan Funds	
Asset Protection	50,000
Grand Total - RI Atomic Energy Commission	1,726,858
RI Historical Preservation and Heritage Commission	
General Revenues	1,856,433

Provided that $30,000 support the operational costs of the Fort Adams Trust's restoration activities and that $25,000 shall be allocated to Rhode Island Slave History Medallions.

Federal Funds	893,987
Restricted Receipts	511,827
Other Funds	
RIDOT Project Review	148,449
Grand Total - RI Historical Preservation and Heritage Comm.	3,410,696
Attorney General	
Criminal	
General Revenues	24,153,594
Federal Funds	3,089,426
Restricted Receipts	1,821,874
Total - Criminal	29,064,894
Civil	
General Revenues	6,672,679

Federal Funds	132,429
Restricted Receipts	4,939,129
Total - Civil	11,744,237
Bureau of Criminal Identification	
General Revenues	2,563,440
Restricted Receipts	1,344,780
Total - Bureau of Criminal Identification	3,908,220
General	
General Revenues	5,979,584
Other Funds	
Rhode Island Capital Plan Funds	
Building Renovations and Repairs	2,675,000
Total - General	8,654,584
Grand Total - Attorney General	53,371,935
Corrections	
Central Management	
General Revenues	26,874,592
Parole Board	
General Revenues	1,668,186
Custody and Security	
General Revenues	187,294,597
Federal Funds	1,067,867
Other Funds	
Rhode Island Capital Plan Funds	
Intake Service Center HVAC	19,800,000
Total - Custody and Security	208,162,464
Institutional Support	
General Revenues	39,460,059
Other Funds	
Rhode Island Capital Plan Funds	
Asset Protection	6,200,000
Total - Institutional Support	45,660,059
Institutional Based Rehab/Population Management	
General Revenues	15,076,622

Provided that $1,050,000 be allocated to Crossroads Rhode Island for sex offender discharge planning.

The director of the department of corrections shall provide to the speaker of the house and president of the senate at least every ninety (90) days beginning September 1, 2022, a report on efforts to modernize the correctional industries program. The report shall, at minimum, provide data on the past ninety (90) days regarding program participation; changes made in programming to more closely align with industry needs; new or terminated partnerships with employers, nonprofits, and advocacy groups; current program expenses and revenues; and the employment status of all persons on the day of discharge from department care who participated in the correctional industries program.

Federal Funds	449,585
Restricted Receipts	1,250,000
Total - Institutional Based Rehab/Population Mgt.	16,776,207
Healthcare Services	
General Revenues	40,978,629
Community Corrections	
General Revenues	23,288,620
Restricted Receipts	3,091
Total - Community Corrections	23,291,711
Grand Total - Corrections	363,411,848

Judiciary

Supreme Court

General Revenues

General Revenues	40,098,334

Provided however, that no more than $1,393,545 in combined total shall be offset to the public defender’s office, the attorney general’s office, the department of corrections, the department of children, youth and families, and the department of public safety for square-footage occupancy costs in public courthouses and further provided that $500,000 be allocated to the Rhode Island Coalition Against Domestic Violence for the domestic abuse court advocacy project pursuant to § 12-29-7 and that $90,000 be allocated to Rhode Island Legal Services, Inc. to provide housing and eviction defense to indigent individuals.

Defense of Indigents	7,875,432
Federal Funds	133,368
Restricted Receipts	4,296,657

Other Funds	
Rhode Island Capital Plan Funds	
Judicial Complexes - HVAC	500,000
Judicial Complexes Asset Protection	1,500,000
Judicial Complexes Fan Coil Unit Replacements	750,000
Garrahy Courthouse Restoration	1,125,000
Total - Supreme Court	56,278,791
Judicial Tenure and Discipline	
General Revenues	190,901
Superior Court	
General Revenues	31,703,969
Restricted Receipts	325,000
Total - Superior Court	32,028,969
Family Court	
General Revenues	29,964,439
Federal Funds	5,061,224
Total - Family Court	35,025,663
District Court	
General Revenues	18,246,180
Federal Funds	223,404
Restricted Receipts	60,000
Total - District Court	18,529,584
Traffic Tribunal	
General Revenues	12,022,509
Workers' Compensation Court	
Restricted Receipts	12,073,439
Grand Total - Judiciary	166,149,856
Military Staff	
General Revenues	3,634,593
Federal Funds	48,998,537
Restricted Receipts	
RI Military Family Relief Fund	55,000
RING Counterdrug Program	11,000
Other Funds	

Rhode Island Capital Plan Funds	
Aviation Readiness Center	7,603,990
Asset Protection	3,492,912
Grand Total - Military Staff	63,796,032

Public Safety

Central Management

General Revenues	2,858,706

Provided that $760,000 shall be allocated to support the Family Service of Rhode Island's GO Team program of on-scene support to children who are victims of violence and other traumas.

Federal Funds	
Federal Funds	9,707,021
Federal Funds – State Fiscal Recovery Fund	
Support for Survivors of Domestic Violence	64,786
Restricted Receipts	849,625
Total - Central Management	13,480,138

E-911 Emergency Telephone System

Restricted Receipts	10,527,015

Security Services

General Revenues	33,957,887

Municipal Police Training Academy

General Revenues	418,234

Provided that of this amount $75,000 shall be for administrative, information technology, and operating expenses incurred by the Rhode Island Police Officers Commission on Standards and Training (POST).

Federal Funds	191,992
Total - Municipal Police Training Academy	610,226

State Police

General Revenues	101,293,356
Federal Funds	6,268,585
Restricted Receipts	3,336,961
Other Funds	
Airport Corporation Assistance	157,117
Road Construction Reimbursement	4,355,100
Weight and Measurement Reimbursement	655,646

Rhode Island Capital Plan Funds	
DPS Asset Protection	1,345,000
Training Academy Upgrades	670,000
Total - State Police	118,081,765
Grand Total - Public Safety	176,657,031

Office of Public Defender

General Revenues	18,839,259
Federal Funds	85,035
Grand Total - Office of Public Defender	18,924,294

Emergency Management Agency

General Revenues	8,375,436
Federal Funds	52,235,300
Restricted Receipts	417,066
Other Funds	
Rhode Island Capital Plan Funds	
RI Statewide Communications Infrastructure	330,000
Mobile Command Post	3,218,908
Grand Total - Emergency Management Agency	64,576,710

Environmental Management

Office of the Director

General Revenues 10,627,948

Of this general revenue amount, $180,000 is appropriated to the conservation districts and $100,000 is appropriated to the Wildlife Rehabilitators Association of Rhode Island for a veterinarian at the Wildlife Clinic of Rhode Island.

Federal Funds	376,495
Restricted Receipts	7,343,683
Total - Office of the Director	18,348,126

Natural Resources

General Revenues 32,864,994

Provided that of this general revenue amount, $150,000 is to be used for marine mammal response activities in conjunction with matching federal funds.

Federal Funds	37,410,677
Restricted Receipts	6,962,400
Other Funds	

DOT Recreational Projects	789,122
Blackstone Bike Path Design	1,000,000
Rhode Island Capital Plan Funds	
Dam Repair	5,593,450
Fort Adams Rehabilitation	500,000
Port of Galilee	10,693,637
Newport Pier Upgrades	500,000
Recreation Facilities Asset Protection	750,000
Big River Management Area	593,000
Recreational Facilities Improvements	4,586,260
Natural Resources Office and Visitor's Center	2,586,709
Fish & Wildlife Maintenance Facilities	200,000
Marine Infrastructure/Pier Development	500,000
Total - Natural Resources	105,530,249
Environmental Protection	
General Revenues	17,290,819
Federal Funds	13,416,965
Restricted Receipts	12,981,563
Other Funds	
Transportation MOU	61,877
Total - Environmental Protection	43,751,224
Grand Total - Environmental Management	167,629,599
Coastal Resources Management Council	
General Revenues	4,374,771
Federal Funds	3,151,314
Restricted Receipts	335,811
Other Funds	
Rhode Island Capital Plan Funds	
Confined Aquatic Dredged Material Disposal Cells	11,380,000
Grand Total - Coastal Resources Mgmt. Council	19,241,896
Transportation	
Central Management	
Federal Funds	13,891,263
Other Funds	

Gasoline Tax	8,591,864
Total - Central Management	22,483,127
Management and Budget	
Other Funds	
Gasoline Tax	5,768,852
Infrastructure Engineering	
Federal Funds	
Federal Funds	765,084,339
Federal Funds – State Fiscal Recovery Fund	
Washington Bridge Project	74,583
Restricted Receipts	4,459,559
Other Funds	
Gasoline Tax	79,261,623

Provided that of this amount, $10,000,000 is appropriated to the Municipal Roads Grant Program known as RhodeRestore to provide funding to municipalities for the construction and maintenance of roads, sidewalks, and bridges. Provided that twenty-five percent (25%) of the funds shall be distributed equally to each city and town, and seventy-five percent (75%) shall be allocated proportionally based on each municipality's share of municipally maintained road miles, as determined by the most recent data available from the Rhode Island department of transportation. Provided further that each municipality is required to provide a sixty-seven percent (67%) match. Provided further that, at the discretion of the department, a portion of these funds may be used for state sidewalk projects identified by the municipality and prioritized in collaboration with the department, subject to a matching requirement to be established by the department.

Provided further that of this amount, sufficient funds from the Rhode Island public transit authority's share of gasoline tax proceeds shall be allocated to the state paratransit program, including the expansion pilot program known as ride anywhere to ensure statewide paratransit services are maintained.

Land Sale Revenue	6,113,850
Tolling Revenue	20,000,000
Rhode Island Capital Plan Funds	
Highway Improvement Program	46,250,000
RIPTA - Kingston Station Mobility Hub	840,000
RIPTA - Pawtucket Bus Hub	63,428
RIPTA - Bus Shelter Renovation and Replacement	3,000,000

Bike Path Asset Protection	400,000
RIPTA - Land and Buildings	1,590,125
Total - Infrastructure Engineering	927,137,507

Infrastructure Maintenance

Other Funds

Gasoline Tax	54,501,743

The department of transportation will establish a municipal roadway database, which will include information concerning the name, condition, length, roadway infrastructure, and pedestrian features of each municipal roadway, updated annually by municipalities. The database will serve as a comprehensive and transparent list of municipal roadway conditions.

Rhode Island Highway Maintenance Account	129,125,003
Rhode Island Capital Plan Funds	
Maintenance Capital Equipment Replacement	1,800,000
Maintenance Facilities Improvements	500,000
Welcome Center	150,000
Salt Storage Facilities	1,150,000
Train Station Asset Protection	3,750,000
Total - Infrastructure Maintenance	190,976,746
Grand Total - Transportation	1,146,366,232

Statewide Totals

General Revenues	6,079,105,738
Federal Funds	5,734,588,379
Restricted Receipts	464,730,558
Other Funds	2,964,731,268
Statewide Grand Total	15,243,155,943

SECTION 2. Each line appearing in section 1 of this article shall constitute an appropriation.

SECTION 3. Upon the transfer of any function of a department or agency to another department or agency, the governor is hereby authorized by means of executive order to transfer or reallocate, in whole or in part, the appropriations and the full-time equivalent limits affected thereby; provided, however, in accordance with § 42-6-5, when the duties or administrative functions of government are designated by law to be performed within a particular department or agency, no transfer of duties or functions and no re-allocation, in whole or part, or appropriations and full-time equivalent positions to any other department or agency shall be authorized.

SECTION 4. From the appropriation for contingency shall be paid such sums as may be required at the discretion of the governor to fund expenditures for which appropriations may not exist. Such contingency funds may also be used for expenditures in the several departments and agencies where appropriations are insufficient, or where such requirements are due to unforeseen conditions or are non-recurring items of an unusual nature. Said appropriations may also be used for the payment of bills incurred due to emergencies or to any offense against public peace and property, in accordance with the provisions of titles 11 and 45, as amended. All expenditures and transfers from this account shall be approved by the governor.

SECTION 5. The general assembly authorizes the state controller to establish the internal service accounts shown below, and no other, to finance and account for the operations of state agencies that provide services to other agencies, institutions and other governmental units on a cost reimbursed basis. The purpose of these accounts is to ensure that certain activities are managed in a businesslike manner; promote efficient use of services by making agencies pay the full costs associated with providing the services; and allocate the costs of central administrative services across all fund types, so that federal and other non-general fund programs share in the costs of general government support. The controller is authorized to reimburse these accounts for the cost of work or services performed for any other department or agency subject to the following expenditure limitations:

Account	Expenditure Limit
Accounts and Control Internal Service Fund	17,696,064
State Assessed Fringe Benefit Internal Service Fund	37,347,585
Administration Central Utilities Internal Service Fund	30,366,642
State Central Mail Internal Service Fund	9,226,608
State Telecommunications Internal Service Fund	3,489,512
State Automotive Fleet Internal Service Fund	21,689,836
Surplus Property Internal Service Fund	44,789
Health Insurance Internal Service Fund	377,363,571
Other Post-Employment Benefits Fund	41,748,856
Capitol Police Internal Service Fund	1,894,861
Corrections Central Distribution Center Internal Service Fund	8,819,385
Correctional Industries Internal Service Fund	8,587,104
Secretary of State Record Center Internal Service Fund	1,167,703
Human Resources Internal Service Fund	14,804,445
DCAMM Facilities Internal Service Fund	41,508,177

Information Technology Internal Service Fund 64,137,258

SECTION 6. The director of the department of administration shall exercise his powers under chapter 11 of title 42 to centralize state fleet operations under the department as it relates to light and medium duty vehicle management, in accordance with best practices.

SECTION 7. Legislative Intent - The general assembly may provide a written "statement of legislative intent" signed by the chairperson of the house finance committee and by the chairperson of the senate finance committee to show the intended purpose of the appropriations contained in section 1 of this article. The statement of legislative intent shall be kept on file in the house finance committee and in the senate finance committee.

At least twenty (20) days prior to the issuance of a grant or the release of funds, which grant or funds are listed on the legislative letter of intent, all department, agency, and corporation directors shall notify in writing the chairperson of the house finance committee and the chairperson of the senate finance committee of the approximate date when the funds are to be released or granted.

SECTION 8. Appropriation of Temporary Disability Insurance Funds -- There is hereby appropriated pursuant to §§ 28-39-5 and 28-39-8 all funds required to be disbursed for the benefit payments from the temporary disability insurance fund and temporary disability insurance reserve fund for the fiscal year ending June 30, 2027.

SECTION 9. Appropriation of Employment Security Funds -- There is hereby appropriated pursuant to § 28-42-19 all funds required to be disbursed for benefit payments from the employment security fund for the fiscal year ending June 30, 2027.

SECTION 10. Appropriation of Lottery Division Funds -- There is hereby appropriated to the lottery division any funds required to be disbursed by the lottery division for the purposes of paying commissions or transfers to the prize fund for the fiscal year ending June 30, 2027.

SECTION 11. Appropriation of CollegeBoundSaver Funds - There is hereby appropriated to the office of the general treasurer designated funds received under the collegeboundsaver program for transfer to the division of higher education assistance within the office of the postsecondary commissioner to support student financial aid for the fiscal year ending June 30, 2027.

SECTION 12. Departments and agencies listed below may not exceed the number of full-time equivalent (FTE) positions shown below in any pay period. Full-time equivalent positions do not include limited period positions or, seasonal or intermittent positions whose scheduled period of employment does not exceed twenty-six consecutive weeks or whose scheduled hours do not exceed nine hundred and twenty-five (925) hours, excluding overtime, in a one-year period. Nor do they include individuals engaged in training, the completion of which is a prerequisite of employment. Provided, however, that the governor or designee, speaker of the house of representatives or designee, and the president of the senate or designee may authorize an adjustment to any limitation. Prior to the authorization, the state budget officer shall make a detailed written recommendation to the governor, the speaker of the house, and the president of the senate. A copy of the recommendation and authorization to adjust shall be transmitted to the chairman of the house finance committee, senate finance committee, the house fiscal advisor, and the senate fiscal advisor.

State employees whose funding is from non-state general revenue funds that are time limited shall receive limited term appointment with the term limited to the availability of non-state general revenue funding source.

FY 2027 FTE POSITION AUTHORIZATION

Departments and Agencies	**Full-Time Equivalent**
Administration	657.6

Provided that no more than 442.1 of the total authorization would be limited to positions that support internal service fund programs.

Office of Energy Resources	21.0
Business Regulation	161.0
Rhode Island Cannabis Control Commission	26.0
Executive Office of Commerce	5.0
Housing	31.0
Labor and Training	441.7
Revenue	605.5
Legislature	298.5
Office of the Lieutenant Governor	8.0
Office of the Secretary of State	63.0
Office of the General Treasurer	93.0
Board of Elections	13.0
Rhode Island Ethics Commission	12.0
Office of the Governor	45.0
Commission for Human Rights	15.0
Public Utilities Commission	57.0
Office of Inspector General	12.0
Executive Office of Health and Human Services	257.0
Children, Youth and Families	719.5

Health	572.6
Human Services	804.0
Office of Veterans Services	291.0
Office of Healthy Aging	33.0
Behavioral Healthcare, Developmental Disabilities and Hospitals	1,225.4

Provided that 18.0 of the total authorization would be limited to independent facilitator positions to comply with the Consent Decree Addendum.

Office of the Child Advocate	13.0
Commission on the Deaf and Hard of Hearing	4.0
Governor's Commission on Disabilities	5.0
Office of the Mental Health Advocate	6.0
Elementary and Secondary Education	156.1

Provided that 3.0 of the total authorization would be available only for positions that are supported by the healthy environments advance learning grant at the school building authority.

School for the Deaf	61.0
Davies Career and Technical School	125.0
Office of Postsecondary Commissioner	48.0

Provided that 1.0 of the total authorization would be available only for positions that are supported by third-party funds, 12.0 would be available only for positions at the state's higher education centers located in Woonsocket and Westerly, 10.0 would be available only for positions at the nursing education center, and 9.0 would be available for the longitudinal data systems program.

University of Rhode Island	2,871.0

Provided that 378.8 of the total authorization would be available only for positions that are supported by third-party funds, and 450.0 would be available only for positions that support auxiliary operations.

Rhode Island College	899.2

Provided that 76.0 of the total authorization would be available only for positions that are supported by third-party funds.

Community College of Rhode Island	809.1

Provided that 89.0 of the total authorization would be available only for positions that are supported by third-party funds.

Rhode Island State Council on the Arts	10.0
RI Atomic Energy Commission	8.6

Historical Preservation and Heritage Commission	14.0
Office of the Attorney General	268.1
Corrections	1,411.0
Judicial	752.3
Military Staff	93.0
Emergency Management Agency	38.0
Public Safety	638.0
Office of the Public Defender	105.0
Environmental Management	440.0
Coastal Resources Management Council	32.0
Transportation	722.0
Total	15,997.2

No agency or department may employ contracted employee services where contract employees would work under state employee supervisors without determination of need by the director of administration acting upon positive recommendations by the budget officer and the personnel administrator and fifteen (15) days after a public hearing.

Nor may any agency or department contract for services replacing work done by state employees at that time without determination of need by the director of administration acting upon the positive recommendations of the state budget officer and the personnel administrator and thirty (30) days after a public hearing.

SECTION 13. The amounts reflected in this article include the appropriation of Rhode Island capital plan funds for fiscal year 2027 and supersede appropriations provided for FY 2027 within Pub. L. 2025, ch. 278, art. 1, § 13.

The following amounts are hereby appropriated out of any money in the State’s Rhode Island capital plan fund not otherwise appropriated to be expended during the fiscal years ending June 30, 2028, June 30, 2029, June 30, 2030, and June 30, 2031. These amounts supersede appropriations provided within Pub. L. 2025, ch. 278, art. 1, § 13.

For the purposes and functions hereinafter mentioned, the state controller is hereby authorized and directed to draw the controller's orders upon the general treasurer for the payment of such sums and such portions thereof as may be required by the controller upon receipt of properly authenticated vouchers.

Project	FY Ending 06/30/2028	FY Ending 06/30/2029	FY Ending 06/30/2030	FY Ending 06/30/2031
DOA – Civic Center	1,075,000	1,500,000	1,475,000	1,500,000

DOA – DoIT Enterprise Operations Center	5,200,000	200,000	200,000	200,000
DOA – Pastore Campus Infrastructure	20,000,000	20,000,000	20,000,000	20,000,000
DOA – Pastore Hospital Buildings Asset Protection	8,250,000	500,000	500,000	500,000
DOA – Pastore Center Non-Hospital Buildings Asset Protection	5,250,000	5,250,000	5,250,000	8,950,000
DOA – RI Convention Center Authority	2,500,000	2,000,000	2,000,000	2,500,000
DOA – Shepard Building Upgrades	5,325,000	3,135,000	2,250,000	2,250,000
DOA – State House Renovations	36,159,000	35,029,000	8,309,000	4,309,000
DOA – William Powers Building	3,850,000	1,700,000	200,000	200,000
DOA – Zambarano LTAC Hospital	24,427,656	24,155,740	26,065,740	21,804,439
EOC – I-195 Redevelopment Commission	400,000	0	0	0
SOS – Rhode Island Archives and History Center	4,500,000	0	0	0
ELSEC – Davies School Wing Renovation	16,527,194	0	0	0
URI – Asset Protection	15,528,074	15,885,220	16,250,580	16,738,097
URI – Academic MEP Improvements	7,150,000	818,723	0	0
URI – Athletics Complex	982,053	0	0	0
URI – PFAS Removal Water Treatment Plant	8,000,000	0	0	0
URI – Building Envelope Improvements	3,000,000	3,000,000	3,000,000	3,000,000
URI – Campus Accessibility	1,000,000	1,000,000	1,000,000	1,000,000
RIC – Asset Protection	6,632,000	6,850,000	6,850,000	7,055,500
RIC – Infrastructure Modernization	5,925,000	5,925,000	6,061,275	6,243,113
CCRI – Asset Protection	2,780,000	2,870,000	2,936,010	3,024,090
CCRI – Accessibility Improvements	720,000	590,000	230,000	200,000
CCRI – Data, Cabling, and Power Infrastructure	4,500,000	3,700,000	3,365,980	0
CCRI – Flanagan Campus Renovations	5,250,000	2,683,954	300,505	0
CCRI – Renovation and Modernization Phase I	6,500,000	6,500,000	547,530	0
CCRI – Renovation and Modernization Phase II	4,090,000	2,670,000	3,200,000	750,000
DOC – Asset Protection	4,100,000	4,100,000	4,100,000	4,100,000
DOC – HVAC	5,900,000	0	0	0
Military Staff – Asset Protection	1,120,000	2,220,831	3,253,820	3,548,675
Military Staff – Aviation Readiness Center	7,000,000	0	0	0

DPS – Training Academy Upgrades	690,000	975,000	600,000	150,000
DEM – Dam Repair	7,456,500	5,619,739	1,826,341	1,015,000
DEM – Natural Resources Offices and Visitor's Center	1,300,000	100,000	100,000	100,000
DEM – Port of Galilee	5,375,000	6,600,000	8,800,000	5,146,499
DEM – Recreational Facilities Improvements	3,500,000	3,500,000	3,500,000	3,000,000
DOT – Highway Improvement Program	22,200,000	22,200,000	22,200,000	22,200,000
DOT – Bike Path Asset Protection	400,000	400,000	400,000	400,000
DOT – Maintenance Capital Equipment Replacement	1,800,000	1,800,000	1,800,000	1,800,000
DOT – Salt Storage Facilities	1,500,000	1,500,000	1,500,000	1,500,000
DOT – RIPTA - Bus Shelter Renovation and Replacement	3,000,000	3,000,000	3,000,000	3,000,000
DOT – RIPTA - Land and Buildings	1,310,125	560,000	500,000	500,000

SECTION 14. Reappropriation of Funding for Rhode Island capital plan fund projects. Any unexpended and unencumbered funds from Rhode Island capital plan fund project appropriations shall be reappropriated in the ensuing fiscal year and made available for the same purpose. However, any such reappropriations are subject to final approval by the general assembly as part of the supplemental appropriations act. Any unexpended funds of less than five hundred dollars ($500) shall be reappropriated at the discretion of the state budget officer.

SECTION 15. For the Fiscal Year ending June 30, 2027, the Rhode Island housing and mortgage finance corporation shall provide from its resources such sums as appropriate in support of the Neighborhood Opportunities Program. The corporation shall provide a report detailing the amount of funding provided to this program, as well as information on the number of units of housing provided as a result to the director of administration, the secretary of housing, the chair of the house finance committee, the chair of the senate finance committee, and the state budget officer.

SECTION 16. Appropriation of Economic Activity Taxes in accordance with the city of Pawtucket downtown redevelopment statute -- There is hereby appropriated for the fiscal year ending June 30, 2027, all state economic activity taxes to be collected pursuant to § 45-33.4-4, as amended (including, but not limited to, the amount of tax revenues certified by the commerce corporation in accordance with § 45-33.4-1(13)), for the purposes of paying debt service on bonds, funding debt service reserves; paying costs of infrastructure improvements in and around the ballpark district, arts district, and the growth center district; funding future debt service on bonds; and funding a redevelopment revolving fund established in accordance with § 45-33-1.

SECTION 17. The appropriations from federal funds contained in section 1 shall not be construed to mean any federal funds or assistance appropriated, authorized, allocated or apportioned to the State of Rhode Island from the state fiscal recovery fund and capital projects fund enacted pursuant to the American Rescue Plan Act of 2021, P.L. 117-2 for fiscal year 2027 except for those instances specifically designated.

The State fiscal recovery fund and capital projects fund appropriations herein shall be made in support of the following projects:

Federal Funds - State Fiscal Recovery Fund

Department of Administration (DOA)

DOA- Pandemic Recovery Office. These funds shall be allocated to finance the pandemic recovery office established within the department of administration.

Department of Public Safety (DPS)

DPS – Support for Survivors of Domestic Violence. These funds shall be allocated to invest in the nonprofit community to provide additional housing, clinical and mental health services to victims of domestic violence and sexual assault. This includes increased investments for therapy and counseling, housing assistance, job training, relocation aid and case management.

Department of Transportation (DOT)

DOT - Washington Bridge Project. These funds shall support the non-federal share or matching requirement on federal funds for priority transportation projects, including but not limited to the Washington Bridge project.

Federal Funds - Capital Projects Fund

Department of Administration (DOA)

DOA - CPF Administration. These funds shall be allocated to the department of administration to oversee the implementation of the capital projects fund award from the American Rescue Plan Act.

SECTION 18. Reappropriation of Funding for State Fiscal Recovery Fund and Capital Projects Fund. Notwithstanding any provision of general law, any unexpended and unencumbered federal funds from the state fiscal recovery fund and capital projects fund shall be reappropriated in the ensuing fiscal year and made available for the same purposes. However, any such reappropriations are subject to final approval by the general assembly as part of the supplemental appropriations act.

SECTION 19. The pandemic recovery office shall monitor the progress and performance of all programs financed by the state fiscal recovery fund and the capital projects fund. On or before October 31, 2023 through April 30, 2025, the office shall provide a report to the speaker of the house and senate president, with copies to the chairpersons of the house and senate finance committees, on a quarterly basis and biannually thereafter until and including October 31, 2026, identifying programs that are at risk of significant underspending or noncompliance with federal or state requirements. The report, at a minimum must include an assessment of how programs that are at risk can be remedied. In the event that any state fiscal recovery fund program underspends its appropriation or receives program income as defined by U.S. Treasury and would put the state at risk of forfeiture of federal funds, the governor may propose to reclassify unspent funds or program income from the at-risk program to other eligible uses as determined by U.S. Treasury. This proposal shall be referred to the general assembly. For a state fiscal recovery fund program, if the amount of the underspend or receipt of program income is less than or equal to one million dollars ($1,000,000) and less than or equal to twenty percent (20%) of its total appropriation, the governor’s proposed reclassification shall take effect immediately. For a state fiscal recovery fund program, if the amount of the underspend or receipt of program income is greater than one million dollars ($1,000,000) or greater than twenty percent (20%) of its total appropriation, the governor’s proposed reclassification shall go into effect thirty (30) days after its referral to the general assembly by the governor, unless rejected by formal action of the house and senate acting concurrently within that time.

SECTION 20. The executive office of health and human services shall report on programs supported by Rural Health Transformation program federal funds. Starting January 1, 2027, the executive office shall provide a report to the speaker of the house and the president of the senate, with copies to the chairpersons of the house and senate finance committees, on a quarterly basis identifying the separate programs, progress made towards reaching the program goals, and identifying any that are at risk of significant underspending or noncompliance with federal requirements.

SECTION 21. This article shall take effect as of July 1, 2026, except as otherwise provided herein.

ARTICLE 2

RELATING TO STATE FUNDS

SECTION 1. Section 23-82-6 of the General Laws in Chapter 23-82 entitled "Implementation of the Regional Greenhouse Gas Initiative Act" is hereby amended to read as follows:

23-82-6. Use of auction or sale proceeds.

(a) The proceeds from the auction or sale of the allowances shall be used for the benefit of energy consumers through investment in the most cost-effective available projects that can reduce long-term consumer energy demands and costs. Such proceeds may be used only for the following purposes, in a proportion to be determined annually by the office in consultation with the council and the board:

(1) Promotion of cost-effective energy efficiency and conservation in order to achieve the purposes of § 39-1-27.7;

(2) Promotion of cost-effective renewable non-carbon emitting energy technologies in Rhode Island as defined in § 39-26-5 and to achieve the purposes of chapter 26 of title 39 entitled “Renewable Energy Standard”;

(3) Cost-effective direct rate relief for consumers;

(4) Direct rate relief for low-income consumers;

(5) Reasonable compensation to an entity selected to administer the auction or sale;

(6) Reasonable costs of the department of environmental management and office of energy resources in administering this program, as well as other climate change, energy efficiency, and renewable program efforts of the department of environmental management and office of energy resources, which shall not in any year exceed three hundred thousand dollars ($300,000) or ten percent (10%) of the proceeds from sale or auction of the allowances, whichever is greater. Administrative funds not expended in any fiscal year shall remain in the administrative account to be used as needed in subsequent years. The office of energy resources shall have the ability to apply administrative funds not used in a fiscal year to achieve the purpose of this section. The funds deposited into the administrative funds account shall be exempt from the indirect cost recovery provisions of § 35-4-27;

(7) For fiscal year 2023 only, the office of energy resources shall transfer three million

dollars ($3,000,000) from unallocated auction proceeds to the executive climate change coordinating council restricted receipt account to maintain funding for the existing electric vehicle and electric bicycle incentive programs and to support other projects; and

(8) Provided however, effective for fiscal year 2024 and thereafter, sale of allowances yielding in excess of four million five hundred thousand dollars ($4,500,000) per auction shall be transferred to the Rhode Island office of energy resources, on behalf of the executive climate change coordinating council, for climate change related initiatives. The executive climate change coordinating council shall have exclusive authority to direct the use of these funds pursuant to § 42-6.2-3.1. The office of energy resources may act on behalf of the executive climate change coordinating council to disburse these funds. Provided further, that any transfer of allowances in a single fiscal year, pursuant to this section shall not exceed one million five hundred thousand dollars ($1,500,000).

(b) Any interest earned on the funds so generated must be credited to the fund. Funds not spent in any fiscal year shall remain in the fund to be used for future energy efficiency and carbon reduction programs.

(c) Annually, the office, in consultation with the council and board, shall prepare a draft proposal on how the proceeds from the allowances shall be allocated. The draft proposal shall be designed to augment and coordinate with existing energy efficiency and renewable energy programs, and shall not propose use of auction proceeds for projects already funded under other programs. The proposal for allocation of proceeds in subsections (a)(1), (2), and (3) shall be one that best achieves the purposes of the law, namely, lowering carbon emissions and minimizing costs to consumers over the long term. The office shall hold a public hearing and accept public comment on the draft proposal in accordance with chapter 35 of title 42 (the "Administrative Procedures Act"). Once the proposal is final, the office shall authorize the disbursement of funds in accordance with the final plan.

Effective for fiscal year 2027 and thereafter, as part of the allocation process, the office is hereby authorized and directed to consult annually and coordinate with the Rhode Island public transit authority in determining the total funding required to match federal funds to purchase zero-emission buses with zero tailpipe emissions. Of the agreed-upon amount, fifty percent (50%) shall be allocated from the auction proceeds, and the remaining fifty percent (50%) shall be from authority sources.

(d) The office shall prepare, in consultation with the council and board, a report by April 15 of each year describing the implementation and operation of RGGI, the revenues collected and the expenditures, including funds that were allocated to the energy efficiency and renewable energy programs, and the individuals, businesses, and vendors that received funding, made under this section, the statewide energy efficiency and carbon reduction programs, and any recommendations for changes to law relating to the state's energy conservation or carbon reduction efforts. The report shall be made public and be posted electronically on the website of the office of energy resources and shall also be submitted to the general assembly.

SECTION 2. Section 35-4-27 of the General Laws in Chapter 35-4 entitled "State Funds" is hereby amended to read as follows:

35-4-27. Indirect cost recoveries on restricted receipt accounts.

Indirect cost recoveries of fifteen percent (15%) of cash receipts shall be transferred from all restricted receipt accounts, to be recorded as general revenues in the general fund. However, there shall be no transfer from cash receipts with restrictions received exclusively: (1) From contributions from nonprofit charitable organizations; (2) From the assessment of indirect cost-recovery rates on federal grant funds; or (3) Through transfers from state agencies to the department of administration for the payment of debt service. These indirect cost recoveries shall be applied to all accounts, unless prohibited by federal law or regulation, court order, or court settlement. The following restricted receipt accounts shall not be subject to the provisions of this section:

Executive Office of Health and Human Services

HIV Care Grant Drug Rebates

Health System Transformation Project

Rhode Island Statewide Opioid Abatement Account

HCBS Support-ARPA

HCBS Admin Support-ARPA

Department of Human Services

Organ Transplant Fund

Veterans' home — Restricted account

Veterans' home — Resident benefits

Pharmaceutical Rebates Account

Demand Side Management Grants

Veteran's Cemetery Memorial Fund

Donations — New Veterans' Home Construction

Commodity Supplemental Food Program-Claims

Department of Health

Pandemic medications and equipment account

Miscellaneous Donations/Grants from Non-Profits

State Loan Repayment Match

Healthcare Information Technology

Department of Behavioral Healthcare, Developmental Disabilities and Hospitals

Eleanor Slater non-Medicaid third-party payor account

Hospital Medicare Part D Receipts

RICLAS Group Home Operations

Group Home Facility Improvement Fund

Commission on the Deaf and Hard of Hearing

Emergency and public communication access account

Department of Environmental Management

National heritage revolving fund

Environmental response fund II

Underground storage tanks registration fees

De Coppet Estate Fund

Rhode Island Historical Preservation and Heritage Commission

Historic preservation revolving loan fund

Historic Preservation loan fund — Interest revenue

Department of Public Safety

E-911 Uniform Emergency Telephone System

Forfeited property — Retained

Forfeitures — Federal

Forfeited property — Gambling

Donation — Polygraph and Law Enforcement Training

Rhode Island State Firefighter's League Training Account

Fire Academy Training Fees Account

Attorney General

Forfeiture of property

Federal forfeitures

Attorney General multi-state account

Forfeited property — Gambling

Department of Administration

Health Insurance Market Integrity Fund

RI Health Benefits Exchange

Information Technology restricted receipt account

Restore and replacement — Insurance coverage

Convention Center Authority rental payments

Investment Receipts — TANS

OPEB System Restricted Receipt Account

Grants Management Administration

Office of Energy Resources

OER Reconciliation Funding

RGGI Executive Climate Change Coordinating Council Projects

Electric Vehicle Charging Stations Operating and Maintenance Account

Clean Transportation Programs

Department of Housing

Housing Resources and Homelessness Restricted Receipt Account

Housing Production Fund

Low-Income Housing Tax Credit Fund

Department of Revenue

Car Rental Tax/Surcharge-Warwick Share

DMV Modernization Project

Jobs Tax Credit Redemption Fund

Legislature

Audit of federal assisted programs

Department of Children, Youth and Families

Children's Trust Accounts — SSI

Military Staff

RI Military Family Relief Fund

RI National Guard Counterdrug Program

Treasury

Admin. Expenses — State Retirement System

Retirement — Treasury Investment Options

Defined Contribution — Administration - RR

Violent Crimes Compensation — Refunds

Treasury Research Fellowship

Business Regulation

Banking Division Reimbursement Account

Office of the Health Insurance Commissioner Reimbursement Account

Securities Division Reimbursement Account

Commercial Licensing and Racing and Athletics Division Reimbursement Account

Insurance Division Reimbursement Account

Historic Preservation Tax Credit Account

Rhode Island Cannabis Control Commission

Marijuana Trust Fund

Social Equity Assistance Fund

Judiciary

Arbitration Fund Restricted Receipt Account

Third-Party Grants

RI Judiciary Technology Surcharge Account

Department of Elementary and Secondary Education

Statewide Student Transportation Services Account

School for the Deaf Fee-for-Service Account

School for the Deaf — School Breakfast and Lunch Program

Davies Career and Technical School Local Education Aid Account

Davies — National School Breakfast & Lunch Program

School Construction Services

Office of the Postsecondary Commissioner

Tuition Savings Program Fund

Higher Education and Industry Center

IGT STEM Scholarships

Department of Labor and Training

Job Development Fund

Contractor Training Restricted Receipt Account

Workers' Compensation Administrative Account

<u>Rhode Island Uninsured Protection Fund</u>

Rhode Island Council on the Arts

Governors' Portrait Donation Fund

Statewide records management system account

SECTION 3. Section 39-18.1-5 of the General Laws in Chapter 39-18.1 entitled "Transportation Investment and Debt Reduction Act of 2011" is hereby amended to read as follows:

39-18.1-5. Allocation of funds.

(a) The monies in the highway maintenance fund to be directed to the department of transportation pursuant to § 39-18.1-4(b)(1) — (b)(3) shall be allocated through the transportation improvement program process to provide the state match for federal transportation funds, in place of borrowing, as approved by the state planning council. The expenditure of moneys in the highway maintenance fund shall only be authorized for projects that appear in the state's transportation improvement program.

(b) Provided, however, that beginning with fiscal year 2015 and annually thereafter, the department of transportation will allocate necessary funding to programs that are designed to eliminate structural deficiencies of the state's bridge, road, and maintenance systems and infrastructure.

(c) Provided, that beginning July 1, 2015, through June 30, 2025, five percent (5%) of available proceeds in the Rhode Island highway maintenance account shall be allocated annually to the Rhode Island public transit authority for operating expenditures.

(d) Provided, that beginning July 1, 2025, through June 30, 2026, ten percent (10%) of available proceeds in the Rhode Island highway maintenance account shall be allocated annually to the Rhode Island public transit authority for operating expenditures.

(e) Provided, ~~further,~~ that from July 1, 2017, ~~and annually thereafter~~ through June 30, 2026, in addition to the amount above, the Rhode Island public transit authority shall receive an amount of not less than five million dollars ($5,000,000) each fiscal year, except for the period July 1, 2019, through June 30, 2022, during which such amount or a portion thereof may come from federal coronavirus relief funds.

(f) Provided, further that beginning July 1, 2026, and annually thereafter, twenty-five percent (25%) of available proceeds in the Rhode Island highway maintenance account shall be allocated annually to the Rhode Island public transit authority for operating expenditures.

SECTION 4. This article shall take effect upon passage, except Section 2 which shall take effect retroactively as of July 1, 2025.

ARTICLE 3 AS AMENDED

RELATING TO GOVERNMENT REFORM AND REORGANIZATION

SECTION 1. Title 42 of the General Laws entitled "STATE AFFAIRS AND GOVERNMENT" is hereby amended by adding thereto the following chapter:

CHAPTER 9.4

OFFICE OF INSPECTOR GENERAL

42-9.4-1. Purpose and establishment of office of the inspector general.

(a)(1) There is hereby established an office of the inspector general (the "office") that shall be an independent and nonpartisan administrative agency whose purpose shall be to investigate the management and operation of agencies as it relates to the prevention and detection of fraud, waste, abuse and mismanagement in the expenditure of public funds that harms the public interest.

(2) The jurisdiction, authorization, powers, and duties granted to the office pursuant to this chapter shall be in addition to, and not in contravention of, any and all jurisdiction, authorization, powers, and duties of the office of attorney general, any other state or local law enforcement agency, or the auditor general.

(3) The general assembly shall make adequate appropriations to the office of inspector general to enable effective operation and independence.

(b) The inspector general shall be appointed by the governor with the advice and consent of the senate in accordance with § 42-9.4-4 and shall direct and supervise the work of the office as follows:

(1) The inspector general shall establish the organizational structure appropriate to carry out the functions and duties of the office and shall have the power to employ, promote, and remove such deputies, assistants, employees, and personnel as deemed necessary for the efficient and effective administration of the office.

(2) The inspector general may hire the necessary support staff, and designate a deputy inspector general and other qualified staff with education or experience in relevant areas, such as investigations, evidence collection, audits, compliance with laws and other requirements, or other forms of oversight, enforcement, or government evaluation. Provided, further, the inspector general may contract for services of technical experts, including legal counsel.

(3) Within three (3) years after being hired, investigative staff employed by the office shall

become certified by the Association of Inspectors General in at least one of the following fields:

(i) Investigation;

(ii) Auditing; or

(iii) Evaluation.

(c) Nothing in this chapter shall diminish, supersede, limit, or interfere with the statutory responsibilities and authority of the auditor general as provided in § 22-13-4.

(d) The director of administration is hereby authorized and directed to provide suitable quarters for the office of inspector general.

42-9.4-2. Definitions.

As used in this chapter:

(1) "Agency" means a separate agency or unit of state government created or established by law and includes, but is not limited to, the following entities and officers of any authority, board, branch, bureau, commission, committee, council, department, division, institution, office, public corporation, or quasi-agency as the case may be.

Agency shall not mean and shall not include: (i) The legislative branch of state government and any agency, committee, commission, or unit therein or thereof; or (ii) The judicial branch of state government and any agency, committee, commission, or unit therein or thereof.

(2) "Contractor" means any person, corporation, partnership, business, committee, or other organization entity or group of individuals, performing any tasks or duties as defined under a written or oral contract with an agency.

(3) "Employee" means any person employed by an agency, including agency heads, directors and commissioners.

(4) "Officer" means any person appointed to any agency.

(5) "Official" means any person elected to office within the executive branch of government.

(6) "Public funds" means state, federal or local funds, either appropriated, non-appropriated or given under right of grant.

42-9.4-3. Qualifications.

To be eligible to be appointed as an inspector general, a candidate shall have, at a minimum, the following qualifications:

(1) Hold a bachelor's degree or higher in criminal justice, public administration, law enforcement, accounting, or a related area;

(2) Have at least ten (10) years of professional experience in auditing, investigations, law enforcement, accounting, or a related area;

(3) Hold a professional certificate from the Association of Inspectors General, including Certified Inspector General or Certified Inspector General Investigator; and

(4) Demonstrate a commitment to safeguarding the mission of public service. Candidates must provide prior professional opinions, positions, or actions that may influence the candidate's approach to the role, which will be subject to public disclosure to the extent permitted under law.

42-9.4-4. Inspector general -- Appointment -- Removal.

(a) There is hereby established a five (5) member independent advisory commission comprised of the following individuals:

(1) Attorney general;

(2) General treasurer;

(3) Secretary of state;

(4) Executive director of the ethics commission; and

(5) President of the Association of Inspectors General, or designee.

(b) The commission shall immediately be charged with creating a process for the application, interview and selection of suitable and qualified candidates as follows:

(1) The commission shall consider applicants for the position of inspector general, in accordance with this chapter and without regard to political affiliation, on the basis of integrity, capability for strong leadership and demonstrated ability in accounting, auditing, financial analysis, law, public administration, investigations, criminal justice administration, or closely related fields.

(2) Within ninety (90) days of the effective date of this chapter, the commission shall submit to the governor a list of three (3) qualified candidates for inspector general that the governor shall give due consideration in appointing one individual from the list. Within ninety (90) days of receiving the list, the governor shall submit to the senate for advice and consent one individual for appointment as inspector general.

(3) Once confirmed by the senate, the inspector general shall serve for a term of five (5) years and is eligible for reappointment for a second five (5) year term, in accordance with this section.

(c) No inspector general may serve longer than two (2) five (5) year terms.

(d) The inspector general and employees shall be subject to chapter 14 of title 36 ("code of ethics").

(e) Upon a mid-term vacancy of the inspector general, an interim inspector general shall be appointed in accordance with this section.

(f) No inspector general, officer, or employee of the office of inspector general shall hold or be a candidate for any other elective or appointed public office while serving as inspector general.

(g) No inspector general, officer, or employee of the office of inspector general shall hold a position in any political party, committee, or subcommittee, or participate in any political campaign of any candidate for public office while serving as inspector general.

(h) Eligibility restriction. The following individuals shall not be nominated for inspector general until one year after the last day of the individual's holding of any of the following disqualifying positions:

(1) A member of the general assembly;

(2) Any other public office holder; or

(3) A cabinet secretary, a department director in the executive branch, or an individual of equivalent standing within the executive branch.

(i) Removal. The person so appointed as inspector general may be removed from office for cause by the governor prior to the expiration of his or her term. Cause may include substantial neglect of duty, gross misconduct or conviction of a crime, whether or not it is related to official work duties.

42-9.4-5. Jurisdiction -- Powers and duties.

(a) The inspector general shall have jurisdiction over any official, officer, employee, or agency in the executive branch of state government.

(b) The inspector general shall have the following duties:

(1) Investigate the management and operation of agencies to determine if there has been evidence of fraud, waste, abuse, mismanagement, or any other abuse of governmental resources that harms the public interest, whether through acts or omissions;

(2) Investigate retaliation claims regarding whistleblowers;

(3) Report suspected acts of fraud, waste, abuse or mismanagement against or within an agency to the governor and, as appropriate to other state entities with jurisdiction over the matter;

(4) Conduct special investigations and management reviews of agencies at the request of the governor;

(5) Establish procedures to receive, investigate, and resolve complaints, including recommending whether disciplinary action or further investigation by appropriate local, state, or federal agencies is warranted and taking further action as appropriate;

(6) Instruct and educate agencies on the detection and prevention of fraud, waste, abuse, and mismanagement; conduct evaluations of relevant agency policies and procedures implicated by any investigation and create a remedial action plan to prevent recurrences of fraud, waste, abuse, or mismanagement that harm the public interest; and close an investigation when the inspector

general concludes there is insufficient evidence that a violation has occurred. Closure of any investigation by the inspector general shall not bar the reopening of the investigation should circumstances warrant;

(7) Act as a liaison to agencies to promote accountability, integrity, and efficiency in state government;

(8) Maintain a statewide-toll-free telephone number, website, email address, and physical mailing address for the receipt of complaints and inquiries;

(9) Work collaboratively, including through any memoranda of understanding, for the purposes of efficiency, coordination, and avoidance of duplicative work with the attorney general, local, state or federal law enforcement, the ethics commission, and the auditor general;

(10) Enter into contracts for audits or specialists needed to perform the duties outlined herein. Provided, further, the inspector general shall coordinate with the auditor general to ensure efficient utilization of available audit resources; and

(11) When formally requested by a municipal government through a city or town council resolution, the inspector general may accept a request from a municipality to investigate concerns regarding fraud, waste, abuse, or mismanagement of state or municipal government funds. All the powers, duties and procedures of the inspector general set forth in this chapter for investigation of agencies shall apply to any investigation related to a municipality.

42-9.4-6. Investigative procedures.

(a) The inspector general shall accept and may investigate complaints or information from any individual or entity concerning the possible existence of any activity constituting alleged fraud, waste, abuse, and mismanagement relating to any agency as defined herein.

(b) The inspector general shall not, after receipt of a complaint or information from an employee, contractor, or private citizen who requests confidentiality, disclose the identity of that individual, without the written consent of the individual, unless the inspector general determines such disclosure is necessary and unavoidable during the course of an investigation. In such event, the individual filing the complaint shall be notified immediately, if possible, of such disclosure which shall be in accordance with applicable law.

(c) The inspector general shall not investigate complaints from employees that relate to their employment relationship with the agency, unless the complaint is directly related to fraud, waste, abuse, or mismanagement or abuse of governmental resources that harms the public interest.

(d) The inspector general may decline to investigate a complaint as provided by the rules and regulations adopted pursuant to this chapter. If the inspector general declines to investigate a complaint, he or she shall notify the complainant of the decision not to investigate and the basis for that determination.

(e) The inspector general may refer a complaint under this chapter to the attorney general; local, state or federal law enforcement, the auditor general, or the ethics commission.

(f) The inspector general may not levy a fee for the submission or investigation of a complaint.

(g) The inspector general shall remain neutral and impartial and may not act as an advocate for the complainant or for the agency.

(h) The inspector general shall adhere to professional standards for initiating and conducting investigations, such as the Principles and Standards for Offices of Inspector General promulgated by the Association of Inspectors General. Additionally, the office of inspector general shall be a member of the Association of Inspectors General and participate in the peer review program of the association as part of the established quality control procedures adopted by the office.

42-9.4-7. Conclusion of investigation -- Report -- Decision.

(a) At the conclusion of the investigation of each complaint:

(1) Report. Upon the conclusion of an investigation that results in a finding of fraud, waste, abuse or mismanagement but prior to issuing a decision, the inspector general shall issue a report or letter to the agency subject to the investigation, the office of the governor, the attorney general, the speaker of the house of representatives, the president of the senate and shall release to the public any such report unless the public release of such report would compromise a pending criminal investigation noted in the report and known to the inspector general or otherwise be exempt from disclosure pursuant to chapter 2 of title 38 ("access to public records");

(i) The director of each agency may, within sixty (60) days of receipt of said report, comment upon any references to the agency contained within the report. The comment, if any, shall be forwarded to the governor, the attorney general, the speaker of the house of representatives, the president of the senate, and the office of inspector general.

(2) Decision. The inspector general shall issue a decision on the merits of the complaint, including his or her recommendations, and the decision shall be posted on the inspector general's website;

(i) Where the investigation finds that there has been or continues to be fraud, waste, abuse, mismanagement, or other abuse of governmental resources that harms the public interest or that there is evidence of a crime, the inspector general shall communicate its findings and decision to the attorney general, local, state or federal law enforcement, or the auditor general;

(ii) If the complaint is about an employee of an agency or a contractor and the investigation found no evidence of wrongdoing, the inspector general shall ensure that the public decision does not contain the name of the individual investigated without the written permission of that individual.

(b) Before announcing a decision, the inspector general shall do all of the following:

(1) Consult with the agency and as appropriate, the employee or contractor regarding the decision;

(2) Provide an opportunity for each person who is the subject of the decision to respond in writing to the decision within five (5) business days and any response shall be made available to the public when the decision is released. Provided, however, this does not allow an individual consulted by the inspector general before an announcement to hinder, prevent, or delay the inspector general's announcement of a decision.

(c) In the decision, the inspector general may recommend that the agency:

(1) Consider the matter further;

(2) Modify or cancel an action or practice;

(3) Alter a rule, practice, or decision;

(4) Explain in detail the administrative action in question; or

(5) Rectify an omission.

(6) The inspector general shall communicate his or her decision to the complainant, the agency investigated, and as appropriate, the employee investigated, and the decision shall be posted on the inspector general's website.

(d) Where the inspector general has discovered fraudulent acts and believes that civil recovery proceedings may be appropriate, the matter shall be referred to the attorney general.

(1) The attorney general may, upon such referral, institute whatever proceedings it deems appropriate, including referring the matter to another state or local agency, authorizing the initiation of appropriate civil proceedings by the inspector general, retaining the matter for further investigation, or remanding the matter back to the inspector general for further investigation.

(2) If the attorney general declines to take action pursuant to this section, the inspector general shall have the authority to institute a civil recovery action upon the authorization of the attorney general.

(e) The public release of the inspector general's decision shall not contain information that is found to be confidential and/or exempt from disclosure pursuant to this chapter or other applicable laws, including chapter 2 of title 38 ("access to public records").

(f) Investigator records, including, but not limited to, communications that include the investigative record may be deemed confidential and exempt from disclosure pursuant to chapter 2 of title 38 ("access to public records") or other applicable laws.

42-9.4-8. Access to agencies and records.

(a) Agencies shall cooperate with any investigation conducted pursuant to this chapter, and the inspector general shall have reasonable access to an agency's records as necessary to conduct a full investigation of a complaint including, but not limited to, the following:

(1) Access to records in the possession of a grantee or contractor;

(2) The opportunity to interview an employee or any other individual who may have knowledge relating to the complaint under investigation.

(b) The inspector general may inspect and copy all relevant information, records, or documents that the inspector general considers reasonably necessary in an investigation of a complaint under this chapter.

(c) The inspector general is authorized to interview any official, officer, or employee serving in the agency and may inspect and copy any book, record, paper, or electronic file in the possession of the agency, taking care to preserve the confidentiality of the information.

(d) Any knowing failure of any official, officer, or employee to comply with an investigation made pursuant to this chapter or the knowing provision of false information during an investigation or the destruction or attempted destruction of any relevant materials may be subject to criminal, civil, and/or administrative penalties.

42-9.4-9. Oaths -- Subpoenas.

(a) In performing an investigation authorized by this chapter, the inspector general shall have the authority to administer or take from any person an oath, examine witnesses under oath, and issue any subpoenas necessary to compel the attendance of witnesses and the production of all books, records, papers, electronic and tangible items that constitute or contain evidence which the inspector general finds reasonably relevant or material to the investigation, affirmation, or affidavit, whenever necessary to perform his or her duties.

(b) Service of any subpoena issued under this chapter shall be made by any designated person. Service upon a natural person may be made by personal delivery of the subpoena to that person. Subpoenas may also be served upon a natural person by registered or certified mail and the return receipt shall constitute prima facie proof of service. Service to a natural person may also be made by serving as the person's counsel of record. Service may be made upon a domestic or foreign corporation by delivering the subpoena to an officer, to a managing or general agent, or to any other agent authorized by appointment or by law to receive service of process. A subpoena requiring the attendance of a witness may be served at any place within the state and furthermore, process may be served at any place within the state.

(c) In the case of a refusal to obey any issued subpoena, the inspector general may request that the attorney general petition the superior court to compel compliance with the subpoena. The attorney general may petition the court upon such request by the inspector general.

(d) Upon filing of the petition, the court may enter an order directing the individual to appear before the court at a specified time and place and then and there show cause why they had not attended, answered questions under penalty of perjury, or produced the requested items as required by the subpoena. If it appears to the court that the subpoena was properly issued by the inspector general, the court may enter an order that the person named in the subpoena appear at the time and place fixed in the order and answer questions under penalty of perjury or produce the requested items as required. Upon failure to obey the court order, the person may be subject to contempt of court.

(e) Nothing in this section shall limit or alter a person's existing rights or protections under state or federal law.

42-9.4-10. Rules and regulations.

The office shall promulgate rules and regulations which shall govern its proceedings and operation pursuant to chapter 35 of title 42 ("administrative procedures").

42-9.4-11. Reporting requirements.

(a) The inspector general shall, no later than April 1 and every year thereafter, file a written report summarizing the activities of the office for the prior calendar year. The office may also prepare and file interim reports. These reports shall be forwarded to the governor, lieutenant governor, attorney general, secretary of state, general treasurer, the speaker of the house, the president of the senate and the auditor general, and shall be made available to the public.

(b) The report shall include, but not be limited to:

(1) A description of investigations undertaken related to fraud, waste, abuse, or mismanagement within agencies;

(2) A description of any recommendations for corrective action made by the office during the reporting period with respect to significant deficiencies in the areas of fraud, waste, abuse or mismanagement;

(3) The identification of each significant recommendation described in previous annual reports on which corrective action has not been completed;

(4) A summary of matters referred to prosecuting authorities and the status of said referrals;

(5) A summary of matters concerning recovery of monies as a result of civil action undertaken by the office or after a referral to the attorney general; and

(6) A list of all audit reports completed by the office during the reporting period.

(c) The report of the inspector general shall be made public on the day of the filing. Where no official disposition has been made by the office, the attorney general, or other law enforcement agencies, the report shall not list the names of individuals or corporations, nor describe them with sufficient particularity as to readily identify them to the general public.

42-9.4-12. Budget submission.

The inspector general shall comply with all budget submission requirements set forth in chapter 3 of title 35 ("state budget").

42-9.4-13. Retaliation -- Whistleblower protections.

(a) No agency, officer, or official shall take action against an official, officer, or employee for disclosing or threatening to disclose the existence of any activity constituting waste, fraud, abuse, or mismanagement to the inspector general, unless the disclosure or threatened disclosure was made with knowledge that the disclosure was false or was made with willful disregard for its truth or falsity.

(b) Any report disclosed by the office may differ from the complete written report in that the inspector general shall have the discretion to redact or otherwise protect the names of complainants and witnesses, or other information that, if not redacted, might compromise the identity of a complainant or witness.

(c) The provisions chapter 50 of title 28 ("the Rhode Island whistleblowers' protection act") shall be afforded to persons including, but not limited to, employees, reporting information under this chapter.

42-9.4-14. Severability.

If any provision of this chapter or the application thereof to any individual or circumstance is held invalid, such invalidity shall not affect the other provisions or applications of this chapter, which can be given effect without the invalid provision or application, and to this end the provisions of this chapter are declared to be severable.

SECTION 2. Section 39-18-2 of the General Laws in Chapter 39-18 entitled "Rhode Island Public Transit Authority" is hereby amended to read as follows:

39-18-2. Authority created — Composition — Terms — Oath — Officers — Quorum— Compensation — Conflicts of interest.

(a) There is hereby created a body corporate and politic to be known as the “Rhode Island public transit authority” (hereinafter “RIPTA”).

(b) The authority shall consist of nine (9) members, one of whom shall be the director of the department of transportation, or the director’s designee, who shall serve as an ex officio member, and eight (8) of whom shall be appointed by the governor with the advice and consent of the senate, with at least one of the eight (8) being a regular user of fixed-route RIPTA transportation and at least one of the eight (8) being a person with a disability. The governor shall achieve a diverse membership in the board and shall give due consideration to recommendations for nominations from the RIPTA Riders Alliance, the National Federation of the Blind of Rhode Island, the Gray Panthers of Rhode Island, the Sierra Club of Rhode Island, the Rhode Island AFL-CIO, the RIPTA Transportation Advisory Committee, the Rhode Island business community, the Amalgamated Transit Union, and the Rhode Island League of Cities and Towns. No one shall be eligible for appointment unless he or she is a resident of this state.

(c) Those members of the authority as of the effective date of this act [June 16, 2006] who were appointed to the authority by members of the board of the general assembly shall cease to be members of the authority on the effective date of this act [June 16, 2006], and the governor shall thereupon nominate two (2) members, each of whom shall serve the balance of the unexpired term of their predecessor. Those members of the authority as of the effective date of this act [June 16, 2006] who were appointed to the authority by the governor shall continue to serve the balance of their current terms. Thereafter, during the month of January in each year, the governor shall appoint members to succeed the departing members. The newly appointed members shall serve for a term of three (3) years, commencing on the day they are qualified. In the event of a vacancy occurring in the membership, the governor, with the advice and consent of the senate, shall appoint a member for the unexpired term. Any member of the authority shall be eligible for reappointment.

(d) Each member of the authority, before entering upon the member's duties, shall take an oath to administer the duties of the member's office faithfully and impartially, and the oath shall be filed in the office of the secretary of state.

(e) ~~The director of the department of transportation shall serve as chairperson.~~ The authority shall elect <u>one of its members to serve as chairperson, who shall not be the director of the department of transportation. The authority shall also elect</u> a secretary and such other officers as it deems necessary.

(f) Five (5) members of the authority shall constitute a quorum. The affirmative vote of a majority of the members present and voting shall be necessary for any action taken by the authority. No vacancy in the membership of the authority shall impair the right of a quorum to exercise all the rights and perform all the duties of the authority.

(g) The members of the authority shall receive no compensation, but shall be reimbursed for their actual expenses necessarily incurred in the performance of their duties.

(h) No member of the authority shall be in the employ of, or own any stock in, or be in any way directly or indirectly pecuniarily interested in any railroad corporation, bus, or street railway company; nor shall any member of the authority personally, or through a partner or agent, render any professional service or make or perform any business contract with or for any company; nor shall any member of the authority, directly or indirectly, receive a commission, bonus, discount, present, or reward from any company.

(i) Members of the authority shall be removable by the governor pursuant to the provisions of § 36-1-7 and for cause only, and removal solely for partisan or personal reasons unrelated to capacity or fitness for the office shall be unlawful.

(j) The authority shall conduct a training course for newly appointed and qualified members within six (6) months of their qualification or designation. The course shall be developed by the general manager of the authority, be approved by the authority, and be conducted by the general manager of the authority. The authority may approve the use of any authority and/or staff members and/or individuals to assist with training. The training course shall include instruction in the following areas: the provisions of chapter 46 of title 42, chapter 14 of title 36, and chapter 2 of title 38; and the authority's rules and regulations. The director of the department of administration shall be responsible for the enforcement of the provisions of this subsection.

SECTION 3. Title 42 of the General Laws entitled "STATE AFFAIRS AND GOVERNMENT" is hereby amended by adding thereto the following chapter:

CHAPTER 13.2

RHODE ISLAND DEPARTMENT OF TRANSPORTATION EFFICIENCY AND PERFORMANCE AUDIT ACT

42-13.2-1. Definitions.

As used in this chapter:

(1) "Department" means the Rhode Island department of transportation.

(2) "DOA" means the Rhode Island department of administration.

(3) "Audit" means an independent efficiency and performance audit conducted in accordance with this chapter.

(4) "Peer state" means a state transportation agency selected for benchmarking based on geography, climate, system size, and procurement framework.

42-13.2-2. Requirement to commission efficiency and performance audit.

(a) The Office of Internal Audit and Program Integrity within DOA shall commission an efficiency and performance audit of the department.

(b) The audit shall be completed on or before March 15, 2027.

42-13.2-3. Scope of audit.

(a) The audit shall include, but not be limited to, the following areas:

(1) Asset management, including pavement, bridges, culverts, intelligent transportation systems assets, backlog replacement needs, and lifecycle cost analysis; and

(2) Maintenance efficiency, including cost per lane-mile, snow and ice operations productivity, maintenance productivity, and equipment utilization;

(b) The audit pursuant to this section shall be separate and independent of any audit conducted by the auditor general pursuant to chapter 13 of title 22 ("auditor general").

42-13.2-4. Maintenance and operations efficiency.

The audit conducted pursuant to § 42-13.2-2 shall assess maintenance and operations efficiency, including:

(1) Cost per lane-mile by district;

(2) Salt and chemical usage normalized by lane-mile and weather severity;

(3) Vehicle and equipment availability and downtime;

(4) Maintenance backlog tracking; and

(5) Overtime utilization and patterns.

42-13.2-5. Reporting and public availability.

(a) Upon completion, the audit shall be submitted to:

(1) The governor;

(2) The president of the senate;

(3) The speaker of the house of representatives; and

(4) The chairs of the house and senate finance committees.

(b) The final audit report shall be made publicly available on the DOA's website.

42-13.2-6. Cooperation and access to records.

The department shall cooperate fully with the audit and provide access to all records, data, contracts, and personnel reasonably necessary to complete the audit.

SECTION 4. Chapter 42-14 of the General Laws entitled "Department of Business Regulation" is hereby amended by adding thereto the following section:

42-14-20. Electronic permitting report.

(a) The department shall include a report that reviews, analyzes, and assesses functions related to electronic permitting and the electronic permitting platform identified in § 23-27.3-108.2 with its annual budget submission to the office of management and budget for the fiscal year ending June 30, 2027. The report shall additionally contain suggested statutory revisions, including, but not limited, to clarifying permitting statutes, aligning fees with programmatic costs, and ensuring efficient administration.

SECTION 5. Section 42-17.1-2 of the General Laws in Chapter 42-17.1 entitled

"Department of Environmental Management" is hereby amended to read as follows:

42-17.1-2. Powers and duties.

The director of environmental management shall have the following powers and duties:

(1) To supervise and control the protection, development, planning, and utilization of the natural resources of the state, such resources, including, but not limited to: water, plants, trees, soil, clay, sand, gravel, rocks and other minerals, air, mammals, birds, reptiles, amphibians, fish, shellfish, and other forms of aquatic, insect, and animal life;

(2) To exercise all functions, powers, and duties heretofore vested in the department of agriculture and conservation, and in each of the divisions of the department, such as the promotion of agriculture and animal husbandry in their several branches, including the inspection and suppression of contagious diseases among animals; the regulation of the marketing of farm products; the inspection of orchards and nurseries; the protection of trees and shrubs from injurious insects and diseases; protection from forest fires; the inspection of apiaries and the suppression of contagious diseases among bees; the prevention of the sale of adulterated or misbranded agricultural seeds; promotion and encouragement of the work of farm bureaus, in cooperation with the University of Rhode Island, farmers' institutes, and the various organizations established for the purpose of developing an interest in agriculture; together with such other agencies and activities as the governor and the general assembly may, from time to time, place under the control of the department; and as heretofore vested by such of the following chapters and sections of the general laws as are presently applicable to the department of environmental management and that were previously applicable to the department of natural resources and the department of agriculture and conservation or to any of its divisions: chapters 1 through 22, inclusive, as amended, in title 2 entitled "Agriculture and Forestry"; chapters 1 through 17, inclusive, as amended, in title 4 entitled "Animals and Animal Husbandry"; chapters 1 through 19, inclusive, as amended, in title 20 entitled "Fish and Wildlife"; chapters 1 through 32, inclusive, as amended, in title 21 entitled "Food and Drugs"; chapter 7 of title 23, as amended, entitled "Mosquito Abatement"; and by any other general or public law relating to the department of agriculture and conservation or to any of its divisions or bureaus;

(3) To exercise all the functions, powers, and duties heretofore vested in the division of parks and recreation of the department of public works by chapters 1, 2, and 5 in title 32 entitled "Parks and Recreational Areas"; by chapter 22.5 of title 23, as amended, entitled "Drowning Prevention and Lifesaving"; and by any other general or public law relating to the division of parks and recreation;

(4) To exercise all the functions, powers, and duties heretofore vested in the division of

harbors and rivers of the department of public works, or in the department itself by such as were previously applicable to the division or the department, of chapters 1 through 22 and sections thereof, as amended, in title 46 entitled "Waters and Navigation"; and by any other general or public law relating to the division of harbors and rivers;

(5) To exercise all the functions, powers, and duties heretofore vested in the department of health by chapters 25, 18.9, and 19.5 of title 23, as amended, entitled "Health and Safety"; and by chapters 12 and 16 of title 46, as amended, entitled "Waters and Navigation"; by chapters 3, 4, 5, 6, 7, 9, 11, 13, 18, and 19 of title 4, as amended, entitled "Animals and Animal Husbandry"; and those functions, powers, and duties specifically vested in the director of environmental management by the provisions of § 21-2-22, as amended, entitled "Inspection of Animals and Milk"; together with other powers and duties of the director of the department of health as are incidental to, or necessary for, the performance of the functions transferred by this section;

(6) To cooperate with the Rhode Island commerce corporation in its planning and promotional functions, particularly in regard to those resources relating to agriculture, fisheries, and recreation;

(7) To cooperate with, advise, and guide conservation commissions of cities and towns created under chapter 35 of title 45 entitled "Conservation Commissions", as enacted by chapter 203 of the Public Laws, 1960;

(8) To assign or reassign, with the approval of the governor, any functions, duties, or powers established by this chapter to any agency within the department, except as hereinafter limited;

(9) To cooperate with the water resources board and to provide to the board facilities, administrative support, staff services, and other services as the board shall reasonably require for its operation and, in cooperation with the board and the statewide planning program, to formulate and maintain a long-range guide plan and implementing program for development of major water-sources transmission systems needed to furnish water to regional and local distribution systems;

(10) To cooperate with the solid waste management corporation and to provide to the corporation such facilities, administrative support, staff services, and other services within the department as the corporation shall reasonably require for its operation;

(11) To provide for the maintenance of waterways and boating facilities, consistent with chapter 6.1 of title 46, by: (i) Establishing minimum standards for upland beneficial use and disposal of dredged material; (ii) Promulgating and enforcing rules for water quality, groundwater protection, and fish and wildlife protection pursuant to § 42-17.1-24; (iii) Planning for the upland beneficial use and/or disposal of dredged material in areas not under the jurisdiction of the council

pursuant to § 46-23-6(2); (iv) Cooperating with the coastal resources management council in the development and implementation of comprehensive programs for dredging as provided for in §§ 46-23-6(1)(ii)(H) and 46-23-18.3; and (v) Monitoring dredge material management and disposal sites in accordance with the protocols established pursuant to § 46-6.1-5(a)(3) and the comprehensive program provided for in § 46-23-6(1)(ii)(H); no powers or duties granted herein shall be construed to abrogate the powers or duties granted to the coastal resources management council under chapter 23 of title 46, as amended;

(12) To establish minimum standards, subject to the approval of the environmental standards board, relating to the location, design, construction, and maintenance of all sewage disposal systems;

(13) To enforce, by such means as provided by law, the standards for the quality of air, and water, and the design, construction, and operation of all sewage disposal systems; any order or notice issued by the director relating to the location, design, construction, or maintenance of a sewage disposal system shall be eligible for recordation under chapter 13 of title 34. The director shall forward the order or notice to the city or town wherein the subject property is located and the order or notice shall be recorded in the general index by the appropriate municipal official in the land evidence records in the city or town wherein the subject property is located. Any subsequent transferee of that property shall be responsible for complying with the requirements of the order or notice. Upon satisfactory completion of the requirements of the order or notice, the director shall provide written notice of the same, which notice shall be similarly eligible for recordation. The original written notice shall be forwarded to the city or town wherein the subject property is located and the notice of satisfactory completion shall be recorded in the general index by the appropriate municipal official in the land evidence records in the city or town wherein the subject property is located. A copy of the written notice shall be forwarded to the owner of the subject property within five (5) days of a request for it, and, in any event, shall be forwarded to the owner of the subject property within thirty (30) days after correction;

(14) To establish minimum standards for the establishment and maintenance of salutary environmental conditions, including standards and methods for the assessment and the consideration of the cumulative effects on the environment of regulatory actions and decisions, which standards for consideration of cumulative effects shall provide for: (i) Evaluation of potential cumulative effects that could adversely affect public health and/or impair ecological functioning; (ii) Analysis of other matters relative to cumulative effects as the department may deem appropriate in fulfilling its duties, functions, and powers; which standards and methods shall only be applicable to ISDS systems in the town of Jamestown in areas that are dependent for water supply on private

and public wells, unless broader use is approved by the general assembly. The department shall report to the general assembly not later than March 15, 2008, with regard to the development and application of the standards and methods in Jamestown;

(15) To establish and enforce minimum standards for permissible types of septage, industrial-waste disposal sites, and waste-oil disposal sites;

(16) To establish minimum standards, subject to the approval of the environmental standards board, for permissible types of refuse disposal facilities; the design, construction, operation, and maintenance of disposal facilities; and the location of various types of facilities;

(17) To exercise all functions, powers, and duties necessary for the administration of chapter 19.1 of title 23 entitled "Rhode Island Hazardous Waste Management Act";

(18) To designate, in writing, any person in any department of the state government or any official of a district, county, city, town, or other governmental unit, with that official's consent, to enforce any rule, regulation, or order promulgated and adopted by the director under any provision of law; provided, however, that enforcement of powers of the coastal resources management council shall be assigned only to employees of the department of environmental management, except by mutual agreement or as otherwise provided in chapter 23 of title 46;

(19) To issue and enforce the rules, regulations, and orders as may be necessary to carry out the duties assigned to the director and the department by any provision of law; and to conduct investigations and hearings and to issue, suspend, and revoke licenses as may be necessary to enforce those rules, regulations, and orders. Any license suspended under the rules, regulations, and/or orders shall be terminated and revoked if the conditions that led to the suspension are not corrected to the satisfaction of the director within two (2) years; provided that written notice is given by certified mail, return receipt requested, no less than sixty (60) days prior to the date of termination.

Notwithstanding the provisions of § 42-35-9 to the contrary, no informal disposition of a contested licensing matter shall occur where resolution substantially deviates from the original application unless all interested parties shall be notified of the proposed resolution and provided with opportunity to comment upon the resolution pursuant to applicable law and any rules and regulations established by the director;

(20) To enter, examine, or survey, at any reasonable time, places as the director deems necessary to carry out the director's responsibilities under any provision of law subject to the following provisions:

(i) For criminal investigations, the director shall, pursuant to chapter 5 of title 12, seek a search warrant from an official of a court authorized to issue warrants, unless a search without a warrant is otherwise allowed or provided by law;

(ii)(A) All administrative inspections shall be conducted pursuant to administrative guidelines promulgated by the department in accordance with chapter 35 of this title;

(B) A warrant shall not be required for administrative inspections if conducted under the following circumstances, in accordance with the applicable constitutional standards:

(I) For closely regulated industries;

(II) In situations involving open fields or conditions that are in plain view;

(III) In emergency situations;

(IV) In situations presenting an imminent threat to the environment or public health, safety, or welfare;

(V) If the owner, operator, or agent in charge of the facility, property, site, or location consents; or

(VI) In other situations in which a warrant is not constitutionally required.

(C) Whenever it shall be constitutionally or otherwise required by law, or whenever the director in the director's discretion deems it advisable, an administrative search warrant, or its functional equivalent, may be obtained by the director from a neutral magistrate for the purpose of conducting an administrative inspection. The warrant shall be issued in accordance with the applicable constitutional standards for the issuance of administrative search warrants. The administrative standard of probable cause, not the criminal standard of probable cause, shall apply to applications for administrative search warrants;

(I) The need for, or reliance upon, an administrative warrant shall not be construed as requiring the department to forfeit the element of surprise in its inspection efforts;

(II) An administrative warrant issued pursuant to this subsection must be executed and returned within ten (10) days of its issuance date unless, upon a showing of need for additional time, the court orders otherwise;

(III) An administrative warrant may authorize the review and copying of documents that are relevant to the purpose of the inspection. If documents must be seized for the purpose of copying, and the warrant authorizes the seizure, the person executing the warrant shall prepare an inventory of the documents taken. The time, place, and manner regarding the making of the inventory shall be set forth in the terms of the warrant itself, as dictated by the court. A copy of the inventory shall be delivered to the person from whose possession or facility the documents were taken. The seized documents shall be copied as soon as feasible under circumstances preserving their authenticity, then returned to the person from whose possession or facility the documents were taken;

(IV) An administrative warrant may authorize the taking of samples of air, water, or soil or of materials generated, stored, or treated at the facility, property, site, or location. Upon request, the department shall make split samples available to the person whose facility, property, site, or location is being inspected;

(V) Service of an administrative warrant may be required only to the extent provided for in the terms of the warrant itself, by the issuing court.

(D) **Penalties.** Any willful and unjustified refusal of right of entry and inspection to department personnel pursuant to an administrative warrant shall constitute a contempt of court and shall subject the refusing party to sanctions, which in the court's discretion may result in up to six (6) months' imprisonment and/or a monetary fine of up to ten thousand dollars ($10,000) per refusal;

(21) To give notice of an alleged violation of law to the person responsible therefor whenever the director determines that there are reasonable grounds to believe that there is a violation of any provision of law within the director's jurisdiction or of any rule or regulation adopted pursuant to authority granted to the director. Nothing in this chapter shall limit the authority of the attorney general to prosecute offenders as required by law;

(i) The notice shall provide for a time within which the alleged violation shall be remedied, and shall inform the person to whom it is directed that a written request for a hearing on the alleged violation may be filed with the director within twenty (20) days after service of the notice. The notice will be deemed properly served upon a person if a copy thereof is served the person personally; or sent by registered or certified mail to the person's last known address; or if the person is served with notice by any other method of service now or hereafter authorized in a civil action under the laws of this state. If no written request for a hearing is made to the director within twenty (20) days of the service of notice, the notice shall automatically become a compliance order;

(ii)(A) Whenever the director determines that there exists a violation of any law, rule, or regulation within the director's jurisdiction that requires immediate action to protect the environment, the director may, without prior notice of violation or hearing, issue an immediate-compliance order stating the existence of the violation and the action the director deems necessary. The compliance order shall become effective immediately upon service or within such time as is specified by the director in such order. No request for a hearing on an immediate-compliance order may be made;

(B) Any immediate-compliance order issued under this section without notice and prior hearing shall be effective for no longer than forty-five (45) days; provided, however, that for good cause shown, the order may be extended one additional period not exceeding forty-five (45) days;

(iii) The director may, at the director's discretion and for the purposes of timely and effective resolution and return to compliance, cite a person for alleged noncompliance through the issuance of an expedited citation in accordance with § 42-17.6-3(c);

(iv) If a person upon whom a notice of violation has been served under the provisions of this section or if a person aggrieved by any such notice of violation requests a hearing before the director within twenty (20) days of the service of notice of violation, the director shall set a time and place for the hearing, and shall give the person requesting that hearing at least five (5) days' written notice thereof. After the hearing, the director may make findings of fact and shall sustain, modify, or withdraw the notice of violation. If the director sustains or modifies the notice, that decision shall be deemed a compliance order and shall be served upon the person responsible in any manner provided for the service of the notice in this section;

(v) The compliance order shall state a time within which the violation shall be remedied, and the original time specified in the notice of violation shall be extended to the time set in the order;

(vi) Whenever a compliance order has become effective, whether automatically where no hearing has been requested, where an immediate-compliance order has been issued, or upon decision following a hearing, the director may institute injunction proceedings in the superior court of the state for enforcement of the compliance order and for appropriate temporary relief, and in that proceeding, the correctness of a compliance order shall be presumed and the person attacking the order shall bear the burden of proving error in the compliance order, except that the director shall bear the burden of proving in the proceeding the correctness of an immediate-compliance order. The remedy provided for in this section shall be cumulative and not exclusive and shall be in addition to remedies relating to the removal or abatement of nuisances or any other remedies provided by law;

(vii) Any party aggrieved by a final judgment of the superior court may, within thirty (30) days from the date of entry of such judgment, petition the supreme court for a writ of certiorari to review any questions of law. The petition shall set forth the errors claimed. Upon the filing of the petition with the clerk of the supreme court, the supreme court may, if it sees fit, issue its writ of certiorari;

(22) To impose administrative penalties in accordance with the provisions of chapter 17.6 of this title and to direct that such penalties be paid into the account established by subsection (26);

(23) The following definitions shall apply in the interpretation of the provisions of this chapter:

(i) ***Director:*** The term "director" shall mean the director of environmental management of the state of Rhode Island or the director’s duly authorized agent;

(ii) ***Person:*** The term “person” shall include any individual, group of individuals, firm, corporation, association, partnership, or private or public entity, including a district, county, city, town, or other governmental unit or agent thereof, and in the case of a corporation, any individual having active and general supervision of the properties of the corporation;

(iii) ***Service:***

(A) Service upon a corporation under this section shall be deemed to include service upon both the corporation and upon the person having active and general supervision of the properties of the corporation;

(B) For purposes of calculating the time within which a claim for a hearing is made pursuant to subsection (21)(i), service shall be deemed to be the date of receipt of such notice or three (3) days from the date of mailing of the notice, whichever shall first occur;

(24)(i) To conduct surveys of the present private and public camping and other recreational areas available and to determine the need for and location of other camping and recreational areas as may be deemed necessary and in the public interest of the state of Rhode Island and to report back its findings on an annual basis to the general assembly on or before March 1 of every year;

(ii) Additionally, the director of the department of environmental management shall take additional steps, including, but not limited to, matters related to funding as may be necessary to establish such other additional recreational facilities and areas as are deemed to be in the public interest;

(25)(i) To apply for and accept grants and bequests of funds, with the approval of the director of administration, from other states, interstate agencies, and independent authorities, and private firms, individuals, and foundations, for the purpose of carrying out the director’s lawful responsibilities. The funds shall be deposited with the general treasurer in a restricted receipt account created in the natural resources program for funds made available for that program’s purposes or in a restricted receipt account created in the environmental protection program for funds made available for that program’s purposes. All expenditures from the accounts shall be subject to appropriation by the general assembly, and shall be expended in accordance with the provisions of the grant or bequest. In the event that a donation or bequest is unspecified, or in the event that the trust account balance shows a surplus after the project as provided for in the grant or bequest has been completed, the director may utilize the appropriated unspecified or appropriated surplus funds for enhanced management of the department’s forest and outdoor public recreation areas, or other projects or programs that promote the accessibility of recreational opportunities for Rhode Island residents and visitors;

(ii) The director shall submit to the house fiscal advisor and the senate fiscal advisor, by October 1 of each year, a detailed report on the amount of funds received and the uses made of such funds;

(26) To establish fee schedules by regulation, with the approval of the governor, for the processing of applications and the performing of related activities in connection with the department's responsibilities pursuant to subsection (12); chapter 19.1 of title 23, as it relates to inspections performed by the department to determine compliance with chapter 19.1 and rules and regulations promulgated in accordance therewith; chapter 18.9 of title 23, as it relates to inspections performed by the department to determine compliance with chapter 18.9 and the rules and regulations promulgated in accordance therewith; chapters 19.5 and 23 of title 23; chapter 12 of title 46, insofar as it relates to water-quality certifications and related reviews performed pursuant to provisions of the federal Clean Water Act, 33 U.S.C. § 1251 et seq.; the regulation and administration of underground storage tanks and all other programs administered under chapter 12 of title 46 and § 2-1-18 et seq., and chapter 13.1 of title 46 and chapter 13.2 of title 46, insofar as they relate to any reviews and related activities performed under the provisions of the Groundwater Protection Act; chapter 24.9 of title 23 as it relates to the regulation and administration of mercury-added products; and chapter 17.7 of this title, insofar as it relates to administrative appeals of all enforcement, permitting, and licensing matters to the administrative adjudication division for environmental matters. Two (2) fee ranges shall be required: for "Appeal of enforcement actions," a range of fifty dollars ($50) to one hundred dollars ($100), and for "Appeal of application decisions," a range of five hundred dollars ($500) to ten thousand dollars ($10,000). The monies from the administrative adjudication fees will be deposited as general revenues and the amounts appropriated shall be used for the costs associated with operating the administrative adjudication division.

There is hereby established an account within the general fund to be called the water and air protection program. The account shall consist of sums appropriated for water and air pollution control and waste-monitoring programs and the state controller is hereby authorized and directed to draw his or her orders upon the general treasurer for the payment of the sums, or portions thereof, as may be required, from time to time, upon receipt by him or her of properly authenticated vouchers. All amounts collected under the authority of this subsection (26) for the sewage-disposal-system program and freshwater wetlands program will be deposited as general revenues and the amounts appropriated shall be used for the purposes of administering and operating the programs. The director shall submit to the house fiscal advisor and the senate fiscal advisor by January 15 of each year a detailed report on the amount of funds obtained from fines and fees and the uses made of the funds;

(27) To establish and maintain a list or inventory of areas within the state worthy of special designation as “scenic” to include, but not be limited to, certain state roads or highways, scenic vistas, and scenic areas, and to make the list available to the public;

(28) To establish and maintain an inventory of all interests in land held by public and private land trust and to exercise all powers vested herein to ensure the preservation of all identified lands;

(i) The director may promulgate and enforce rules and regulations to provide for the orderly and consistent protection, management, continuity of ownership and purpose, and centralized records-keeping for lands, water, and open spaces owned in fee or controlled in full or in part through other interests, rights, or devices such as conservation easements or restrictions, by private and public land trusts in Rhode Island. The director may charge a reasonable fee for filing of each document submitted by a land trust;

(ii) The term “public land trust” means any public instrumentality created by a Rhode Island municipality for the purposes stated herein and financed by means of public funds collected and appropriated by the municipality. The term “private land trust” means any group of five (5) or more private citizens of Rhode Island who shall incorporate under the laws of Rhode Island as a nonbusiness corporation for the purposes stated herein, or a national organization such as the nature conservancy. The main purpose of either a public or a private land trust shall be the protection, acquisition, or control of land, water, wildlife, wildlife habitat, plants, and/or other natural features, areas, or open space for the purpose of managing or maintaining, or causing to be managed or maintained by others, the land, water, and other natural amenities in any undeveloped and relatively natural state in perpetuity. A private land trust must be granted exemption from federal income tax under Internal Revenue Code 501(c)(3) [26 U.S.C. § 501(c)(3)] within two (2) years of its incorporation in Rhode Island or it may not continue to function as a land trust in Rhode Island. A private land trust may not be incorporated for the exclusive purpose of acquiring or accepting property or rights in property from a single individual, family, corporation, business, partnership, or other entity. Membership in any private land trust must be open to any individual subscribing to the purposes of the land trust and agreeing to abide by its rules and regulations including payment of reasonable dues;

(iii)(A) Private land trusts will, in their articles of association or their bylaws, as appropriate, provide for the transfer to an organization, created for the same or similar purposes, of the assets, lands and land rights, and interests held by the land trust in the event of termination or dissolution of the land trust;

(B) All land trusts, public and private, will record in the public records, of the appropriate towns and cities in Rhode Island, all deeds, conservation easements, or restrictions or other interests and rights acquired in land and will also file copies of all such documents and current copies of their articles of association, their bylaws, and their annual reports with the secretary of state and with the director of the Rhode Island department of environmental management. The director is hereby directed to establish and maintain permanently a system for keeping records of all private and public land trust land holdings in Rhode Island;

(29) The director will contact in writing, not less often than once every two (2) years, each public or private land trust to ascertain: that all lands held by the land trust are recorded with the director; the current status and condition of each land holding; that any funds or other assets of the land trust held as endowment for specific lands have been properly audited at least once within the two-year (2) period; the name of the successor organization named in the public or private land trust's bylaws or articles of association; and any other information the director deems essential to the proper and continuous protection and management of land and interests or rights in land held by the land trust. In the event that the director determines that a public or private land trust holding land or interest in land appears to have become inactive, the director shall initiate proceedings to effect the termination of the land trust and the transfer of its lands, assets, land rights, and land interests to the successor organization named in the defaulting trust's bylaws or articles of association or to another organization created for the same or similar purposes. Should such a transfer not be possible, then the land trust, assets, and interest and rights in land will be held in trust by the state of Rhode Island and managed by the director for the purposes stated at the time of original acquisition by the trust. Any trust assets or interests other than land or rights in land accruing to the state under such circumstances will be held and managed as a separate fund for the benefit of the designated trust lands;

(30) Consistent with federal standards, issue and enforce such rules, regulations, and orders as may be necessary to establish requirements for maintaining evidence of financial responsibility for taking corrective action and compensating third parties for bodily injury and property damage caused by sudden and non-sudden accidental releases arising from operating underground storage tanks;

(31) To enforce, by such means as provided by law, the standards for the quality of air, and water, and the location, design, construction, and operation of all underground storage facilities used for storing petroleum products or hazardous materials; any order or notice issued by the director relating to the location, design, construction, operation, or maintenance of an underground storage facility used for storing petroleum products or hazardous materials shall be eligible for

recordation under chapter 13 of title 34. The director shall forward the order or notice to the city or town wherein the subject facility is located, and the order or notice shall be recorded in the general index by the appropriate municipal officer in the land evidence records in the city or town wherein the subject facility is located. Any subsequent transferee of that facility shall be responsible for complying with the requirements of the order or notice. Upon satisfactory completion of the requirements of the order or notice, the director shall provide written notice of the same, which notice shall be eligible for recordation. The original, written notice shall be forwarded to the city or town wherein the subject facility is located, and the notice of satisfactory completion shall be recorded in the general index by the appropriate municipal official in the land evidence records in the city or town wherein the subject facility is located. A copy of the written notice shall be forwarded to the owner of the subject facility within five (5) days of a request for it, and, in any event, shall be forwarded to the owner of the subject facility within thirty (30) days after correction;

(32) To manage and disburse any and all funds collected pursuant to § 46-12.9-4, in accordance with § 46-12.9-5, and other provisions of the Rhode Island Underground Storage Tank Financial Responsibility Act, as amended;

(33) To support, facilitate, and assist the Rhode Island Natural History Survey, as appropriate and/or as necessary, in order to accomplish the important public purposes of the survey in gathering and maintaining data on Rhode Island natural history; making public presentations and reports on natural history topics; ranking species and natural communities; monitoring rare species and communities; consulting on open-space acquisitions and management plans; reviewing proposed federal and state actions and regulations with regard to their potential impact on natural communities; and seeking outside funding for wildlife management, land management, and research;

(34) To promote the effective stewardship of lakes, ponds, rivers, and streams including, but not limited to, collaboration with watershed organizations and associations of lakefront property owners on planning and management actions that will prevent and mitigate water quality degradation, reduce the loss of native habitat due to infestation of non-native species, abate nuisance conditions that result from excessive growth of algal or non-native plant species as well as promote healthy freshwater riverine ecosystems;

(35) In implementing the programs established pursuant to this chapter, to identify critical areas for improving service to customers doing business with the department, and to develop and implement strategies to improve performance and effectiveness in those areas. Key aspects of a customer-service program shall include, but not necessarily be limited to, the following components:

(i) Maintenance of an organizational unit within the department with the express purpose of providing technical assistance to customers and helping customers comply with environmental regulations and requirements;

(ii) Maintenance of an employee training program to promote customer service across the department;

(iii) Implementation of a continuous business process evaluation and improvement effort, including process reviews to encourage development of quality proposals; ensure timely and predictable reviews; and result in effective decisions and consistent follow up and implementation throughout the department; and publish an annual report on such efforts;

(iv) Creation of a centralized location for the acceptance of permit applications and other submissions to the department;

(v) Maintenance of a process to promote, organize, and facilitate meetings prior to the submission of applications or other proposals in order to inform the applicant on options and opportunities to minimize environmental impact; improve the potential for sustainable environmental compliance; and support an effective and efficient review and decision-making process on permit applications related to the proposed project;

(vi) Development of single permits under multiple authorities otherwise provided in state law to support comprehensive and coordinated reviews of proposed projects. The director may address and resolve conflicting or redundant process requirements in order to achieve an effective and efficient review process that meets environmental objectives; and

(vii) Exploration of the use of performance-based regulations coupled with adequate inspection and oversight, as an alternative to requiring applications or submissions for approval prior to initiation of projects;

(36) To formulate and promulgate regulations requiring any dock or pier longer than twenty feet (20′) and located on a freshwater lake or pond to be equipped with reflective materials, on all sides facing the water, of an appropriate width and luminosity such that it can be seen by operators of watercraft;

(37) To temporarily waive any control or prohibition respecting the use of a fuel or fuel additive required or regulated by the department if the director finds that:

(i) Extreme or unusual fuel or fuel additive supply circumstances exist in the state or the New England region that prevent the distribution of an adequate supply of the fuel or fuel additive to consumers;

(ii) Extreme or unusual fuel or fuel additive supply circumstances are the result of a natural disaster, an act of God, a pipeline or refinery equipment failure, or another event that could not reasonably have been foreseen; and

(iii) It is in the public interest to grant the waiver.

Any temporary waiver shall be made in writing and shall be effective for twenty (20) calendar days; provided, that the director may renew the temporary waiver, in writing, if it is deemed necessary; and

(38)(i) To designate by rule certain waters of the state as shellfish or marine life project management areas for the purpose of enhancing the cultivation and growth of marine species, managing the harvest of marine species, facilitating the conduct by the department of experiments in planting, cultivating, propagating, managing, and developing any and all kinds of marine life, and any other related purpose.

(ii) Any such designation shall be by reference to fixed landmarks and include an explicit description of the area to be designated.

(iii) Once so designated, the director may adopt rules and regulations addressing restrictions on the quantities, types, or sizes of marine species that may be taken in any individual management area, the times during which marine species may be taken, the manner or manners in that marine species may be taken, the closure of such area to the taking of marine species, or any other specific restrictions as may be deemed necessary. Such rules shall be exempt from the requirements of §§ 42-35-2.7, 42-35-2.8, and 42-35-2.9.

(iv) The director, upon the designation of a management area, may place any stakes, bounds, buoys, or markers with the words “Rhode Island department of environmental management” plainly marked on them, as will approximate the management area. Failure to place or maintain the stakes, bounds, buoys, or markers shall not be admissible in any judicial or administrative proceeding.

(v) Nothing in this section shall prevent the director from implementing emergency rules pursuant to § 42-35-2.10.

(39) To enter into agreements with such departments, divisions, agencies, or boards of the state to regulate, manage, or perform related functions on any lands or waters acquired under the provisions of the Big River — Wood River Reservoir Site Acquisition Act (Pub. L. 1964, chapter 133).

SECTION 6. Chapter 42-17.1 of the General Laws entitled "Department of Environmental Management" is hereby amended by adding thereto the following section:

42-17.1-47. Big River Reservoir — Administration.

The Rhode Island department of environmental management, established pursuant to chapter 17.1 of this title, shall administer those lands acquired for the Big River Reservoir as established under section 23 of chapter 133 of the Pub. L. 1964. The director of the department of environmental management and the director's authorized agents, employees, and designees shall manage the land and natural resources of the Big River Reservoir. The lands of the Big River Reservoir are subject to enforcement authority of the department of environmental management, as provided for in chapter 17.1 of this title, and as provided for in title 20. Nothing contained herein shall be construed to affect any of the powers granted to the water resources board ("agency") with regard to freshwater resource management pursuant to chapters 15 and 15.1 of title 46.

Effective July 1, 2026, the department of environmental management will assume responsibility for all land use planning and for promulgating the rules and regulations regarding the administration of the Big River Reservoir consistent with the requirements of § 37-20-1. The rules and regulations promulgated under 490-RICR-00-00-5 of the Rhode Island code of regulations will remain in full force and effect until such a time as the rules and regulations are properly transferred to and promulgated by the department of environmental management's title within the Rhode Island code of regulations.

SECTION 7. Sections 42-28-5 and 42-28-22 of the General Laws in Chapter 42-28 entitled "State Police" are hereby amended to read as follows:

42-28-5. Superintendent — Appointment, tenure, duties, and retirement.

(a) The governor shall appoint the superintendent of state police, who shall serve at the pleasure of the governor and shall perform the duties prescribed by this chapter.

(b) Any superintendent who has served for at least ten (10) years and has reached the age of sixty (60) years, may resign the superintendent's office, and thereafter shall receive annually during his or her life a sum equal to fifty percent (50%) of the salary the superintendent was receiving at the time of the superintendent's resignation, or for any superintendent hired on or after July 1, 2012, a sum equal to fifty percent (50%) of the average compensation as defined in § 36-8-1(5)~~(a)~~ the superintendent was receiving at the time of the superintendent's resignation.

(c) In no event shall the retirement allowance granted to a superintendent in accordance with subsection (b) plus any other retirement allowance received by the superintendent from any state or municipal retirement system exceed seventy-five percent (75%) of the average compensation as defined in § 36-8-1(5)~~(a)~~ the superintendent was receiving at the time of the superintendent's resignation. This subsection (c) shall only apply to superintendents hired on or after July 1, 2012.

42-28-22. Retirement of members.

(a) Whenever any member of the state police hired prior to July 1, 2007, has served for twenty (20) years, the member may retire therefrom or they may be retired by the superintendent with the approval of the governor, and in either event a sum equal to one-half (½) of the whole salary for the position from which the member retired determined on the date the member receives their first retirement payment shall be paid the member during life.

(b) For purposes of this section, the term "whole salary" means:

(1) For each member who retired prior to July 1, 1966, "whole salary" means the base salary for the position from which the member retired as the base salary for that position was determined on July 31, 1972;

(2) For each member who retired between July 1, 1966, and June 30, 1973, "whole salary" means the base salary for the position from which the member retired as the base salary, implemented by the longevity increment, for that position was determined on July 31, 1972, or on the date of the member's retirement, whichever is greater;

(3) For each member who retired or who retires after July 1, 1973, "whole salary" means the base salary, implemented by the longevity increment, holiday pay, and clothing allowance, for the position from which the member retired or retires.

(c)(1) Any member who retired prior to July 1, 1977, shall receive a benefits payment adjustment equal to three percent (3%) of the member's original retirement, as determined in subsection (b) of this section, in addition to the member's original retirement allowance. In each succeeding year thereafter during the month of January, the retirement allowance shall be increased an additional three percent (3%) of the original retirement allowance, not compounded, to be continued until January 1, 1991. For the purposes of the computation, credit shall be given for a full calendar year regardless of the effective date of the service retirement allowance. For purposes of this subsection, the benefits payment adjustment shall be computed from January 1, 1971, or the date of retirement, whichever is later in time.

(2) Any member of the state police who retires pursuant to the provisions of this chapter on or after January 1, 1977, shall on the first day of January, next following the third anniversary date of the retirement receive a benefits payment adjustment, in addition to their retirement allowance, in an amount equal to three percent (3%) of the original retirement allowance. In each succeeding year thereafter during the month of January, the retirement allowance shall be increased an additional three percent (3%) of the original retirement allowance, not compounded, to be continued until January 1, 1991. For the purposes of the computation, credit shall be given for a full calendar year regardless of the effective date of the service retirement allowance.

(3) Any retired member of the state police who is receiving a benefit payment adjustment pursuant to subsections (c)(1) and (c)(2) of this section shall beginning January 1, 1991, and ending June 30, 2012, receive a benefits payment adjustment equal to fifteen hundred dollars ($1,500).

(d) The benefits payment adjustment as provided in this section shall apply to and be in addition to the retirement benefits under the provisions of § 42-28-5, and to the injury and death benefits under the provisions of § 42-28-21.

(e)(1) Any member who retires after July 1, 1972, and is eligible to retire prior to July 1, 2012, and who has served beyond twenty (20) years shall be allowed an additional amount equal to three percent (3%) for each completed year served after twenty (20) years, but in no event shall the original retirement allowance exceed sixty-five percent (65%) of the member's whole salary as defined in subsection (b) hereof or sixty-five percent (65%) of the member's salary as defined in subsection (b) hereof in the member's twenty-fifth (25th) year whichever is less.

(2) Each member who retired prior to July 1, 1975, shall be entitled to all retirement benefits as set forth above or shall be paid benefits as set forth in subsection (b)(1) with "whole salary" meaning the base salary for the position from which the member retired as the base salary for the position was determined on July 1, 1975, whichever is greater.

(f)(1) Any member who retires, has served as a member for twenty (20) years or more, and who served for a period of six (6) months or more of active duty in the armed service of the United States or in the merchant marine service of the United States as defined in § 2 of chapter 1721 of the Public Laws, 1946, may purchase credit for such service up to a maximum of two (2) years; provided that any member who has served at least six (6) months or more in any one year shall be allowed to purchase one year for such service and any member who has served a fraction of less than six (6) months in the member's total service shall be allowed to purchase six (6) months' credit for such service.

(2) The cost to purchase these credits shall be ten percent (10%) of the member's first year salary as a state policeman multiplied by the number of years and/or fraction thereof of such armed service up to a maximum of two (2) years. The purchase price shall be paid into the general fund. For members hired on or after July 1, 1989, the purchase price shall be paid into a restricted revenue account entitled "state police retirement benefits" and shall be held in trust.

(3) There will be no interest charge provided the member makes such purchase during their twentieth (20th) year or within five (5) years from May 18, 1981, whichever is later, but will be charged regular rate of interest as defined in § 36-8-1 as amended to date of purchase from the date of the member's twentieth (20th) year of state service or five (5) years from May 18, 1981, whichever is later.

(4) Any member who is granted a leave of absence without pay for illness, injury, or any other reason may receive credit therefor by making the full actuarial cost as defined in § 36-8-1(10); provided the employee returns to state service for at least one year upon completion of the

leave.

(5) In no event shall the original retirement allowance exceed sixty-five percent (65%) of the member's whole salary as defined in subsection (b) hereof or sixty-five percent (65%) of the member's salary as defined in subsection (b) hereof in the member's twenty-fifth (25th) year, whichever is less.

(6) Notwithstanding any other provision of law, no more than five (5) years of service credit may be purchased by a member of the system. The five-year (5) limit shall not apply to any purchases made prior to January 1, 1995. A member who has purchased more than five (5) years of service credits before January 1, 1995, shall be permitted to apply those purchases towards the member's service retirement. However, no further purchase will be permitted. Repayment in accordance with applicable law and regulation of any contribution previously withdrawn from the system shall not be deemed a purchase of service credit.

(g) The provisions of this section shall not apply to civilian employees in the Rhode Island state police; and, further, from and after April 28, 1937, chapters 8 — 10, inclusive, of title 36 shall not be construed to apply to the members of the Rhode Island state police, except as provided by §§ 36-8-3, 36-10-1.1, 42-28-22.1, and 42-28-22.2, and § 36-8-1(5) and (8)(a) effective July 1, 2012.

(h) Any member of the state police other than the superintendent of state police, who is hired prior to July 1, 2007, and retires prior to July 1, 2026, and who has served for twenty-five (25) years or who has attained the age of sixty-two (62) years, whichever shall first occur, shall retire therefrom.

(i)(1) Any member of the state police, other than the superintendent, who is hired on or after July 1, 2007, and retires prior to July 1, 2026, and who has served for twenty-five (25) years, may retire therefrom or the member may be retired by the superintendent with the approval of the governor, and shall be entitled to a retirement allowance of fifty percent (50%) of the member's "whole salary" as defined in subsection (b) hereof.

(2) Any member of the state police who is hired on or after July 1, 2007, and retires prior to July 1, 2026, may serve up to a maximum of thirty (30) years, and shall be allowed an additional amount equal to three percent (3.0%) for each completed year served after twenty-five (25) years, but in no event shall the original retirement allowance exceed sixty-five percent (65%) of his or her "whole salary" as defined in subsection (b) hereof.

(j) Effective July 1, 2012, any other provision of this section notwithstanding:

(1) Any member of the state police, other than the superintendent of state police, who is not eligible to retire on or prior to June 30, 2012, may retire at any time subsequent to the date the member's retirement allowance equals or exceeds fifty percent (50%) of average compensation as

defined in § 36-8-1(5)~~(a)~~, provided that a member shall retire upon the first to occur of:

(i) The date the member's retirement allowance equals sixty-five percent (65%); or

(ii) The later of the attainment of age sixty-two (62) or completion of five (5) years of service; provided however, any current member as of June 30, 2012, who has not accrued fifty percent (50%) upon attaining the age of sixty-two (62) shall retire upon accruing fifty percent (50%); and upon retirement a member shall receive a retirement allowance which shall equal:

(A) For members hired prior to July 1, 2007, the sum of (i), (ii), and (iii) where:

(i) is calculated as the member's years of total service before July 1, 2012, multiplied by two and one-half percent (2.5%) of average compensation for a member's first twenty (20) total years,

(ii) is calculated as the member's years of total service before July 1, 2012, in excess of twenty (20) years not to exceed twenty-five (25) years multiplied by three percent (3%) of average compensation, and

(iii) is the member's years of total service on or after July 1, 2012, multiplied by two percent (2%) of average compensation as defined in § 36-8-1(5)~~(b)~~.

(B) For members hired on or after July 1, 2007, the member's retirement allowance shall be calculated as the member's years of total contributory service multiplied by two percent (2%) of average compensation as defined in § 36-8-1(5).

(C) Any member of the state police who is eligible to retire on or prior to June 30, 2012, shall retire with a retirement allowance calculated in accordance with subsections (a) and (e) above except that whole salary shall be defined as final compensation where compensation for purposes of this section and § 42-28-22.1 includes base salary, longevity, and holiday pay.

(D) Notwithstanding the preceding provisions, in no event shall a member's final compensation be lower than their final compensation determined as of June 30, 2012.

(2) In no event shall a member's original retirement allowance under any provisions of this section exceed sixty-five percent (65%) of their average compensation.

(3) For each member who retires on or after July 1, 2012, except as provided in subsection (j)(1)(ii)(C) above, compensation and average compensation shall be defined in accordance with § 36-8-1(5)~~(a)~~ and (8), provided that for a member whose regular work period exceeds one hundred forty-seven (147) hours over a twenty-four-day (24) period at any time during the four-year (4) period immediately prior to the member's retirement, that member shall have up to four hundred (400) hours of their pay for regularly scheduled work earned during this period shall be included as "compensation" and/or "average compensation" for purposes of this section and § 42-28-22.1.

(4) This subsection (j)(4) shall be effective for the period July 1, 2012, through June 30,

2015.

(i) Notwithstanding the prior subsections of this section, and subject to subsection (j)(4)(ii) below, for all present and former members, active and retired members, and beneficiaries receiving any retirement, disability or death allowance or benefit of any kind, whether for or on behalf of a non-contributory member or contributory member, the annual benefit adjustment provided in any calendar year under this section shall be equal to (A) multiplied by (B) where (A) is equal to the percentage determined by subtracting five and one-half percent (5.5%) (the “subtrahend”) from the Five-Year Average Investment Return of the retirement system determined as of the last day of the plan year preceding the calendar year in which the adjustment is granted, said percentage not to exceed four percent (4%) and not to be less than zero percent (0%), and (B) is equal to the lesser of the member’s retirement allowance or the first twenty-five thousand dollars ($25,000) of retirement allowance, such twenty-five thousand dollars ($25,000) amount to be indexed annually in the same percentage as determined under (4)(i)(A) above. The “Five-Year Average Investment Return” shall mean the average of the investment returns for the most recent five (5) plan years as determined by the retirement board. Subject to subsection (j)(4)(ii) below, the benefit adjustment provided by this subsection (j)(4)(i) shall commence upon the third (3rd) anniversary of the date of retirement or the date on which the retiree reaches age fifty-five (55), whichever is later. In the event the retirement board adjusts the actuarially assumed rate of return for the system, either upward or downward, the subtrahend shall be adjusted either upward or downward in the same amount.

(ii) Except as provided in subsection (j)(4)(iii), the benefit adjustments under this section for any plan year shall be suspended in their entirety unless the funded ratio of the employees’ retirement system of Rhode Island, the judicial retirement benefits trust, and the state police retirement benefits trust, calculated by the system’s actuary on an aggregate basis, exceeds eighty percent (80%) in which event the benefit adjustment will be reinstated for all members for such plan year.

In determining whether a funding level under this subsection (j)(4)(ii) has been achieved, the actuary shall calculate the funding percentage after taking into account the reinstatement of any current or future benefit adjustment provided under this section.

(iii) Notwithstanding subsection (j)(4)(ii), in each fifth plan year commencing after June 30, 2012, commencing with the plan year ending June 30, 2017, and subsequently at intervals of five (5) plan years, a benefit adjustment shall be calculated and made in accordance with subsection (j)(4)(i) above until the funded ratio of the employees’ retirement system of Rhode Island, the judicial retirement benefits trust, and the state police retirement benefits trust, calculated by the system's actuary on an aggregate basis, exceeds eighty percent (80%).

(iv) The provisions of this subsection (j)(4) shall become effective July 1, 2012, and shall apply to any benefit adjustment not granted on or prior to June 30, 2012.

(v) The cost-of-living adjustment as provided in this subsection (j)(4) shall apply to and be in addition to the retirement benefits under the provisions of § 42-28-5 and to the injury and death benefits under the provisions of § 42-28-21.

(5) This subsection (j)(5) shall become effective July 1, 2015.

(i)(A) As soon as administratively reasonable following the enactment into law of this subsection (j)(5)(i)(A), a one-time benefit adjustment shall be provided to members and/or beneficiaries of members who retired on or before June 30, 2012, in the amount of two percent (2%) of the lesser of either the member's retirement allowance or the first twenty-five thousand dollars ($25,000) of the member's retirement allowance. This one-time benefit adjustment shall be provided without regard to the retiree's age or number of years since retirement.

(B) Notwithstanding the prior subsections of this section, for all present and former members, active and retired members, and beneficiaries receiving any retirement, disability or death allowance or benefit of any kind, the annual benefit adjustment provided in any calendar year under this section for adjustments on and after January 1, 2016, and subject to subsection (j)(5)(ii) below, shall be equal to (I) multiplied by (II):

(I) shall equal the sum of fifty percent (50%) of (1) plus fifty percent (50%) of (2) where:

(1) is equal to the percentage determined by subtracting five and one-half percent (5.5%) (the "subtrahend") from the five-year average investment return of the retirement system determined as of the last day of the plan year preceding the calendar year in which the adjustment is granted, said percentage not to exceed four percent (4%) and not to be less than zero percent (0%). The "five-year average investment return" shall mean the average of the investment returns of the most recent five (5) plan years as determined by the retirement board. In the event the retirement board adjusts the actuarially assumed rate of return for the system, either upward or downward, the subtrahend shall be adjusted either upward or downward in the same amount.

(2) is equal to the lesser of three percent (3%) or the percentage increase in the Consumer Price Index for All Urban Consumers (CPI-U) as published by the U.S. Department of Labor Statistics determined as of September 30 of the prior calendar year.

In no event shall the sum of (1) plus (2) exceed three and one-half percent (3.5%) or be less than zero percent (0%).

(II) is equal to the lesser of either the member's retirement allowance or the first twenty-five thousand eight hundred fifty-five dollars ($25,855) of retirement allowance, such amount to be indexed annually in the same percentage as determined under (j)(5)(i)(B)(I) above. The benefit adjustments provided by this subsection (j)(5)(i)(B) shall be provided to all retirees entitled to receive a benefit adjustment as of June 30, 2012, under the law then in effect, and for all other retirees the benefit adjustments shall commence upon the third anniversary of the date of retirement or the date on which the retiree reaches their Social Security retirement age, whichever is later.

(ii) Except as provided in subsection (j)(5)(iii), the benefit adjustments under subsection (j)(5)(i)(B) for any plan year shall be suspended in their entirety unless the funded ratio of the employees' retirement system of Rhode Island, the judicial retirement benefits trust, and the state police retirement benefits trust, calculated by the system's actuary on an aggregate basis, exceeds eighty percent (80%) in which event the benefit adjustment will be reinstated for all members for such plan year. Effective July 1, 2024, the funded ratio of the employees' retirement system of Rhode Island, the judicial retirement benefits trust, and the state police retirement benefits trust, calculated by the system's actuary on an aggregate basis, of exceeding eighty percent (80%) for the benefit adjustment to be reinstated for all members for such plan year shall be replaced with seventy-five percent (75%).

In determining whether a funding level under this subsection (j)(5)(ii) has been achieved, the actuary shall calculate the funding percentage after taking into account the reinstatement of any current or future benefit adjustment provided under this section.

(iii) Notwithstanding subsection (j)(5)(ii), in each fourth plan year commencing after June 30, 2012, commencing with the plan year ending June 30, 2016, and subsequently at intervals of four plan years: (A) A benefit adjustment shall be calculated and made in accordance with subsection (j)(5)(i)(B) above; and (B) Effective for members and/or beneficiaries of members who retired on or before June 30, 2015, the dollar amount in (j)(5)(i)(B)(II) of twenty-five thousand eight hundred fifty-five dollars ($25,855) shall be replaced with thirty-one thousand twenty-six dollars ($31,026) until the funded ratio of the employees' retirement system of Rhode Island, the judicial retirement benefits trust, and the state police retirement benefits trust, calculated by the system's actuary on an aggregate basis, exceeds eighty percent (80%). Effective July 1, 2024, the funded ratio of the employees' retirement system of Rhode Island, the judicial retirement benefits trust, and the state police retirement benefits trust, calculated by the system's actuary on an aggregate basis, of exceeding eighty percent (80%) shall be replaced with seventy-five percent (75%).

(iv) Effective for members and/or beneficiaries of members who have retired on or before July 1, 2015, a one-time stipend of five hundred dollars ($500) shall be payable within sixty (60) days following the enactment of the legislation implementing this provision, and a second one-time stipend of five hundred dollars ($500) in the same month of the following year. These stipends shall be payable to all retired members or beneficiaries receiving a benefit as of the applicable payment date and shall not be considered cost of living adjustments under the prior provisions of this section.

(6) Any member with contributory service on or after July 1, 2012, who has completed at least five (5) years of contributory service but who has not retired in accordance with subsection (j)(1) above, shall be eligible to retire upon the attainment of the member's Social Security retirement age as defined in § 36-8-1(20).

(7) In no event shall a member's retirement allowance be less than the member's retirement allowance calculated as of June 30, 2012, based on the member's years of total service and whole salary as of June 30, 2012.

(k) In calculating the retirement benefit for any member, the term base salary as used in subsection (b)(3) or average compensation as used in subsection (j) shall not be affected by a deferral of salary plan or a reduced salary plan implemented to avoid shutdowns or layoffs or to effect cost savings. Basic salary shall remain for retirement calculation that which it would have been but for the salary deferral or salary reduction due to a plan implemented to avoid shutdowns or layoffs or to effect cost savings.

(*l*) On and after July 1, 2026, notwithstanding any provision to the contrary:

(1) Any member of the state police who is hired prior to July 1, 2007, and who was not eligible to retire on or before June 30, 2012, who has served for twenty (20) years, may retire therefrom, or the member may be retired by the superintendent with the approval of the governor, and shall be entitled to a retirement allowance of fifty percent (50%) of whole salary as defined in subsection (b) of this section. Subject to the exceptions set forth in subsections (*l*)(1)(i), (*l*)(1)(ii) and (*l*)(1)(iii) of this section such members may serve up to a maximum of twenty-five (25) years, and shall be allowed an additional amount equal to three percent (3.0%) for each completed year served after twenty (20) years, but in no event shall the original retirement allowance exceed sixty-five percent (65%) of the member's "whole salary" as defined in subsection (b) of this section. "Whole salary" for purposes of the retirement allowance shall be calculated pursuant to subsection (b) of this section and be based on the average of the member's highest three (3) consecutive years of compensation.

(i) Notwithstanding any provision to the contrary, any member who was sworn into service with the Rhode Island state police during the year 1997, shall not be required to retire before September 1, 2026. Any member who has worked beyond their twenty-fifth (25th) year, pursuant to the provisions of this subsection and elects to work until September 1, 2026, shall accrue no additional service credit but shall continue to make retirement contributions in accordance with § 42-28-22.1, and the whole salary for purposes of the retirement allowance shall be calculated pursuant to subsection (b) of this section and be based on the average of the member's highest three (3) consecutive years of compensation.

(ii) Notwithstanding any provision to the contrary, any member who was sworn into service with the Rhode Island state police during the year 2000, shall not be required to retire before January 18, 2028. Any member who has worked beyond their twenty-fifth (25th) year, pursuant to the provisions of this subsection and elects to work until January 18, 2028, shall accrue no additional service credit but shall continue to make retirement contributions in accordance with § 42-28-22.1 and the whole salary for purposes of the retirement allowance shall be calculated pursuant to subsection (b) of this section and be based on the average of the member's highest three (3) consecutive years of compensation.

(iii) Notwithstanding any provision to the contrary, any member who was sworn into service with the Rhode Island state police during the year 2005, shall not be required to retire before January 21, 2031. Any member who has worked beyond their twenty-fifth (25th) year, pursuant to the provisions of this subsection and elects to work until January 21, 2031, shall accrue no additional service credit but shall continue to make retirement contributions in accordance with § 42-28-22.1 and the whole salary for purposes of the retirement allowance shall be calculate pursuant to subsection (b) of this section and be based on the average of the member's highest three (3) consecutive years of compensation.

(2) Any member of the state police hired on or after July 1, 2007, who has served for twenty-five (25) years, may retire therefrom, or the member may be retired by the superintendent with the approval of the governor, and shall be entitled to a retirement allowance of fifty percent (50%) of whole salary as defined in subsection (b) of this section. Such members may serve a maximum of thirty (30) years, and shall be allowed an additional amount equal to three percent (3.0%) for each completed year served after twenty-five (25) years, but in no event shall the original retirement allowance exceed sixty-five percent (65%) of the member's "whole salary" as defined in subsection (b) of this section. "Whole salary" for purposes of the retirement allowance shall be calculated pursuant to subsection (b) of this section and be based on the average of the member's highest three (3) consecutive years of compensation.

(m) Any member of the state police, or their beneficiary, who retired on or after July 1, 2024, and prior to July 1, 2026, shall have their retirement allowance recalculated, retroactive to their date of retirement, to reflect the benefit provided in subsections (b) and (*l*) of this section. This provision shall be implemented as soon as administratively feasible. In no event shall a member's retirement allowance under this provision be less than the member's retirement allowance calculated as of the date of their retirement.

SECTION 8. Sections 42-64.20-5 and 42-64.20-10 of the General Laws in Chapter 42-64.20 entitled "Rebuild Rhode Island Tax Credit" are hereby amended to read as follows:

42-64.20-5. Tax credits.

(a) An applicant meeting the requirements of this chapter may be allowed a credit as set forth hereinafter against taxes imposed upon such person under applicable provisions of title 44 of the general laws for a qualified development project.

(b) To be eligible as a qualified development project entitled to tax credits, an applicant’s chief executive officer or equivalent officer shall demonstrate to the commerce corporation, at the time of application, that:

(1) The applicant has committed a capital investment or owner equity of not less than twenty percent (20%) of the total project cost;

(2) There is a project financing gap in which after taking into account all available private and public funding sources, the project is not likely to be accomplished by private enterprise without the tax credits described in this chapter; and

(3) The project fulfills the state’s policy and planning objectives and priorities in that:

(i) The applicant will, at the discretion of the commerce corporation, obtain a tax stabilization agreement from the municipality in which the real estate project is located on such terms as the commerce corporation deems acceptable;

(ii) It (A) Is a commercial development consisting of at least 25,000 square feet occupied by at least one business employing at least 25 full-time employees after construction or such additional full-time employees as the commerce corporation may determine; (B) Is a multi-family residential development in a new, adaptive reuse, certified historic structure, or recognized historical structure consisting of at least 20,000 square feet and having at least 20 residential units in a hope community; or (C) Is a mixed-use development in a new, adaptive reuse, certified historic structure, or recognized historical structure consisting of at least 25,000 square feet occupied by at least one business, subject to further definition through rules and regulations promulgated by the commerce corporation; and

(iii) Involves a total project cost of not less than $5,000,000, except for a qualified development project located in a hope community or redevelopment area designated under § 45-32-4 in which event the commerce corporation shall have the discretion to modify the minimum project cost requirement.

(4) Until July 1, 2025, pursuant to P.L. 2022 ch. 271 and P.L. 2022 ch. 272, for construction

projects in excess of ten million dollars ($10,000,000), all construction workers shall be paid in accordance with the wages and benefits required pursuant to chapter 13 of title 37 with all contractors and subcontractors required to file certified payrolls on a monthly basis for all work completed in the preceding month on a uniform form prescribed by the director of labor and training. Failure to follow the requirements pursuant to chapter 13 of title 37 shall constitute a material violation and a material breach of the agreement with the state. The commerce corporation, in consultation with the director of labor and training and the tax administrator, shall promulgate such rules and regulations as are necessary to implement the enforcement of this subsection. The provisions of this subsection shall expire and sunset on July 1, 2025.

(5) Notwithstanding any general or special law or rule or regulation to the contrary, for construction projects that have executed a tax credit agreement on or after July 1, 2025, and involving a budget of direct hard construction costs (as defined in § 44-33.6-2) in excess of twenty-five million dollars ($25,000,000), all construction workers shall be paid in accordance with the wages and benefits required pursuant to chapter 13 of title 37 with all contractors and subcontractors required to file certified payrolls on a monthly basis for all work completed in the preceding month on a uniform form prescribed by the director of labor and training. Failure to follow the requirements pursuant to chapter 13 of title 37 shall constitute a material violation and a material breach of the agreement with the state. The commerce corporation, in consultation with the director of labor and training and the tax administrator, shall promulgate such rules and regulations as are necessary to implement the enforcement of this subsection.

(c) The commerce corporation shall develop separate, streamlined application processes for the issuance of rebuild RI tax credits for each of the following:

(1) Qualified development projects that involve certified historic structures;

(2) Qualified development projects that involve recognized historical structures;

(3) Qualified development projects that involve at least one manufacturer; and

(4) Qualified development projects that include affordable housing or workforce housing.

(d) Applications made for a historic structure or recognized historic structure tax credit under chapter 33.6 of title 44 shall be considered for tax credits under this chapter. The division of taxation, at the expense of the commerce corporation, shall provide communications from the commerce corporation to those who have applied for and are in the queue awaiting the offer of tax credits pursuant to chapter 33.6 of title 44 regarding their potential eligibility for the rebuild RI tax credit program.

(e) Applicants (1) Who have received the notice referenced in subsection (d) above and who may be eligible for a tax credit pursuant to chapter 33.6 of title 44; (2) Whose application involves a certified historic structure or recognized historical structure; or (3) Whose project is occupied by at least one manufacturer shall be exempt from the requirements of subsections (b)(3)(ii) and (b)(3)(iii). The following procedure shall apply to such applicants:

(i) The division of taxation shall remain responsible for determining the eligibility of an applicant for tax credits awarded under chapter 33.6 of title 44;

(ii) The commerce corporation shall retain sole authority for determining the eligibility of an applicant for tax credits awarded under this chapter;

(iii) The commerce corporation shall not award in excess of fifteen percent (15%) of the annual amount authorized in any fiscal year to applicants seeking tax credits pursuant to this subsection (e); and

(iv) No tax credits shall be awarded under this chapter unless the commerce corporation receives confirmation from the department of labor and training that there has been compliance with the prevailing wage requirements set forth in subsection (b) of this section.

(f) **Maximum project credit.**

(1) For qualified development projects, the maximum tax credit allowed under this chapter shall be the lesser of (i) Thirty percent (30%) of the total project cost; or (ii) The amount needed to close a project financing gap (after taking into account all other private and public funding sources available to the project), as determined by the commerce corporation.

(2) The credit allowed pursuant to this chapter, inclusive of any sales and use tax exemptions allowed pursuant to this chapter, shall not exceed fifteen million dollars ($15,000,000) for any qualified development project under this chapter; except as provided in subsection (f)(3) of this section; provided however, any qualified development project that exceeds the project cap upon passage of this act shall be deemed not to exceed the cap, shall not be reduced, nor shall it be further increased. No building or qualified development project to be completed in phases or in multiple projects shall exceed the maximum project credit of fifteen million dollars ($15,000,000) for all phases or projects involved in the rehabilitation of the building. Provided, however, that for purposes of this subsection and no more than once in a given fiscal year, the commerce corporation may consider the development of land and buildings by a developer on the "I-195 land" as defined in § 42-64.24-3(6) as a separate, qualified development project from a qualified development project by a tenant or owner of a commercial condominium or similar legal interest including leasehold improvement, fit out, and capital investment. Such qualified development project by a tenant or owner of a commercial condominium or similar legal interest on the I-195 land may be exempted from subsection (f)(1)(i) of this section.

(3) The credit allowed pursuant to this chapter, inclusive of any sales and use tax

exemptions allowed pursuant to this chapter, shall not exceed twenty-five million dollars ($25,000,000) for the project for which the I-195 redevelopment district was authorized to enter into a purchase and sale agreement for parcels 42 and P4 on December 19, 2018, provided that project is approved for credits pursuant to this chapter by the commerce corporation.

(4) For qualified development projects involving the development of housing and mixed use projects involving housing which are restricted to require at least twenty percent (20%) of the housing units being affordable housing or workforce housing development for residents making no more than between eighty percent (80%) and one hundred twenty percent (120%) of the area median income (AMI) shall be allowed sales and use tax exemptions of up to thirty percent (30%) of the maximum project credit in addition to the maximum project credit of fifteen million dollars ($15,000,000) pursuant to this chapter. Any sales and use tax exemptions allowed in addition to the maximum project credit shall be for purchases made by June 30, 2028.

(g) Credits available under this chapter shall not exceed twenty percent (20%) of the project cost, provided, however, that the applicant shall be eligible for additional tax credits of not more than ten percent (10%) of the project cost, if the qualified development project meets any of the following criteria or other additional criteria determined by the commerce corporation from time to time in response to evolving economic or market conditions:

(1) The project includes adaptive reuse or development of a recognized historical structure;

(2) The project is undertaken by or for a targeted industry;

(3) The project is located in a transit-oriented development area;

(4) The project includes residential development of which at least twenty percent (20%) of the residential units are designated as affordable housing or workforce housing;

(5) The project includes the adaptive reuse of property subject to the requirements of the industrial property remediation and reuse act, § 23-19.14-1 et seq.; or

(6) The project includes commercial facilities constructed in accordance with the minimum environmental and sustainability standards, as certified by the commerce corporation pursuant to Leadership in Energy and Environmental Design or other equivalent standards.

(h) **Maximum aggregate credits.** The aggregate sum authorized pursuant to this chapter, inclusive of any sales and use tax exemptions allowed pursuant to this chapter, shall not exceed ~~two hundred twenty-five million dollars ($225,000,000)~~ <u>two hundred fifty million dollars ($250,000,000)</u>, excluding any tax credits allowed pursuant to subsection (f)(3) of this section.

(i) Tax credits shall not be allowed under this chapter prior to the taxable year in which the project is placed in service.

(j) The amount of a tax credit allowed under this chapter shall be allowable to the taxpayer in up to five, annual increments; no more than thirty percent (30%) and no less than fifteen percent (15%) of the total credits allowed to a taxpayer under this chapter may be allowable for any taxable year.

(k) If the portion of the tax credit allowed under this chapter exceeds the taxpayer's total tax liability for the year in which the relevant portion of the credit is allowed, the amount that exceeds the taxpayer's tax liability may be carried forward for credit against the taxes imposed for the succeeding four (4) years, or until the full credit is used, whichever occurs first. Credits allowed to a partnership, a limited liability company taxed as a partnership, or multiple owners of property shall be passed through to the persons designated as partners, members, or owners respectively pro rata or pursuant to an executed agreement among persons designated as partners, members, or owners documenting an alternate distribution method without regard to their sharing of other tax or economic attributes of such entity.

(l) The commerce corporation, in consultation with the division of taxation, shall establish, by regulation, the process for the assignment, transfer, or conveyance of tax credits.

(m) For purposes of this chapter, any assignment or sales proceeds received by the taxpayer for its assignment or sale of the tax credits allowed pursuant to this section shall be exempt from taxation under title 44. If a tax credit is subsequently revoked or adjusted, the seller's tax calculation for the year of revocation or adjustment shall be increased by the total amount of the sales proceeds, without proration, as a modification under chapter 30 of title 44. In the event that the seller is not a natural person, the seller's tax calculation under chapter 11, 13, 14, or 17 of title 44, as applicable, for the year of revocation, or adjustment, shall be increased by including the total amount of the sales proceeds without proration.

(n) The tax credit allowed under this chapter may be used as a credit against corporate income taxes imposed under chapter 11, 13, 14, or 17 of title 44, or may be used as a credit against personal income taxes imposed under chapter 30 of title 44 for owners of pass-through entities such as a partnership, a limited liability company taxed as a partnership, or multiple owners of property.

(o) In the case of a corporation, this credit is only allowed against the tax of a corporation included in a consolidated return that qualifies for the credit and not against the tax of other corporations that may join in the filing of a consolidated tax return.

(p) Upon request of a taxpayer and subject to annual appropriation, the state shall redeem this credit, in whole or in part, for ninety percent (90%) of the value of the tax credit. The division of taxation, in consultation with the commerce corporation, shall establish by regulation a redemption process for tax credits.

(q) Projects eligible to receive a tax credit under this chapter may, at the discretion of the commerce corporation, be exempt from sales and use taxes imposed on the purchase of the following classes of personal property only to the extent utilized directly and exclusively in the project: (1) Furniture, fixtures, and equipment, except automobiles, trucks, or other motor vehicles; or (2) Other materials, including construction materials and supplies, that are depreciable and have a useful life of one year or more and are essential to the project.

(r) The commerce corporation shall promulgate rules and regulations for the administration and certification of additional tax credit under subsection (g), including criteria for the eligibility, evaluation, prioritization, and approval of projects that qualify for such additional tax credit.

(s) The commerce corporation shall not have any obligation to make any award or grant any benefits under this chapter.

42-64.20-10. Sunset.

No credits shall be authorized to be reserved pursuant to this chapter after ~~December 31, 2026~~ December 31, 2027.

SECTION 9. Section 42-64.21-9 of the General Laws in Chapter 42-64.21 entitled "Rhode Island Tax Increment Financing" is hereby amended to read as follows:

42-64.21-9. Sunset.

The commerce corporation shall enter into no agreement under this chapter after ~~December 31, 2026~~ December 31, 2027.

SECTION 10. Section 42-64.22-15 of the General Laws in Chapter 42-64.22 entitled "Tax Stabilization Incentive" is hereby amended to read as follows:

42-64.22-15. Sunset.

The commerce corporation shall enter into no agreement under this chapter after ~~December 31, 2026~~ December 31, 2027.

SECTION 11. Section 42-64.23-8 of the General Laws in Chapter 42-64.23 entitled "First Wave Closing Fund" is hereby amended to read as follows:

42-64.23-8. Sunset.

No financing shall be authorized to be reserved pursuant to this chapter after ~~December 31, 2026~~ December 31, 2027.

SECTION 12. Section 42-64.24-8 of the General Laws in Chapter 42-64.24 entitled "I-195 Redevelopment Project Fund" is hereby amended to read as follows:

42-64.24-8. Sunset.

No funding, credits, or incentives shall be authorized or authorized to be reserved pursuant to this chapter after ~~December 31, 2026~~ December 31, 2027.

SECTION 13. Section 42-64.26-12 of the General Laws in Chapter 42-64.26 entitled "Stay

Invested in RI Wavemaker Fellowships" is hereby amended to read as follows:

42-64.26-12. Sunset.

No incentives or credits shall be authorized pursuant to this chapter after ~~December 31, 2026~~ December 31, 2027.

SECTION 14. Section 42-64.27-6 of the General Laws in Chapter 42-64.27 entitled "Main Street Rhode Island Streetscape Improvement Fund" is hereby amended to read as follows:

42-64.27-6. Sunset.

No incentives shall be authorized pursuant to this chapter after ~~December 31, 2026~~ December 31, 2027.

SECTION 15. Section 42-64.28-10 of the General Laws in Chapter 42-64.28 entitled "Innovation Initiative" is hereby amended to read as follows:

42-64.28-10. Sunset.

No vouchers, grants, or incentives shall be authorized pursuant to this chapter after ~~December 31, 2026~~ December 31, 2027.

SECTION 16. Section 44-48.3-14 of the General Laws in Chapter 44-48.3 entitled "Rhode Island New Qualified Jobs Incentive Act 2015" is hereby amended to read as follows:

44-48.3-14. Sunset.

No credits shall be authorized to be reserved pursuant to this chapter after ~~December 31, 2026~~ December 31, 2027.

SECTION 17. Chapter 46-15.1 of the General Laws entitled "Water Supply Facilities" is hereby amended by adding thereto the following section:

46-15.1-23. Transfer of powers and functions from the water resources board for big river reservoir administration.

The administration of lands acquired for the Big River Reservoir, as established under section 23 of chapter 133 of the Pub. L. 1964, are hereby transferred to the department of environmental management. However, all other general authority granted to the water resource board in chapters 15 and 15.1 of title 46 is hereby retained by the water resource board.

SECTION 18. Section 46-15.1-5 of the General Laws in Chapter 46-15.1 entitled "Water Supply Facilities" is hereby amended to read as follows:

46-15.1-5. Powers.

(a) The board shall carry out its functions and shall have the following powers:

(1) To adopt a seal and to alter the seal from time to time;

(2) To sue and be sued;

(3) To purchase, hold, and dispose of real and personal property, or interests therein, and

to lease the property as lessee or lessor;

(4) To make or cause to be made such surveys and borings as it may deem necessary;

(5) To engage engineering, legal, accounting, and other professional services;

(6) To make contracts;

(7) To employ personnel and fix their rates of compensation;

(8) To borrow money and issue its bonds and notes as hereinafter provided;

(9) To apply and contract for and to expend assistance from the United States or other sources, whether in the form of a grant or loan or otherwise;

(10) To adopt and amend bylaws for the regulation of its affairs and the conduct of its business;

(11) To invest or deposit funds in demand deposits, savings deposits, and time deposits in any bank or trust company which is a member of the Federal Deposit Insurance Corporation or in any obligations issued or guaranteed by the United States or any agency or instrumentality thereof, or as provided in § 35-10-11;

(12) To establish, operate, and maintain or lease to others, or contract with others for the use of, such water supply facilities as may be reasonably required for the fulfillment of its purposes;

(13) To purchase and sell water;

(14) To exercise such other powers as may be necessary or incidental to the exercise of the foregoing powers or to the accomplishment of the purposes of the board;

(15) To acquire, within the limitation of funds therefor, the sites, appurtenant marginal lands, dams, waters, water rights, rights of way, easements, and other property in interests in property for reservoirs, groundwater wells, well sites, and for such pipe lines, aqueducts, pumping stations, filtration plants, and auxiliary structures as may be necessary or desirable for the treatment and distribution of water from those reservoirs, groundwater wells, and well sites. Lands acquired under the provisions of this section shall be acquired with the approval of the governor by purchase, gift, devise, or otherwise on such terms and conditions as the board shall determine, or by the exercise of eminent domain, in accordance with the provisions of chapter 6 of title 37, as amended, insofar as those provisions are consistent with the provisions hereof;

(16) To construct or purchase water reservoirs, wells and well sites, processing facilities, transmission or distribution systems, and other facilities, including existing facilities of municipal water agencies or departments, special water districts, or private water companies, necessary to accomplish the purposes of this chapter and to implement its plans and program;

(17) To acquire the assets, assume the liabilities, or to effect the merger into itself of any corporation or other organization, including public or private water supply systems incorporated or

organized under the laws of this state, which corporation or organization has as its principal business the establishment of water supply facilities or provision of related services, all upon such terms and for such consideration as the board shall deem to be appropriate;

(18) To lease, sell, or otherwise convey any reservoir sites or other water supply or distribution facilities acquired, constructed, or purchased by the board to any municipal water agency or department or special water district or private water company, upon such terms as the board shall deem appropriate;

(19) To provide for cooperative development, conservation, and use of water resources by the state, municipal agencies or departments, special water districts or privately owned water systems, the board may:

(i) Authorize publicly or privately owned water supply agencies to build structures or install equipment on land owned or leased by the board.

(ii) Enter into contracts with publicly or privately owned water supply agencies for operation of any facilities owned or leased by the board or operate any such facility by itself.

(20) To enter into contracts to supply raw or processed water to publicly or privately owned water supply agencies, which shall be approved as to substance by the director of administration and as to form by the attorney general;

(21) To review all plans and proposals for construction or installation of facilities for water supply in accordance with the applicable sections of chapter 15 of this title;

(22) To make loans to publicly owned water supply agencies for acquisition, construction, and renovation of water supply facilities from funds which may be appropriated for this purpose by the general assembly, from bonds issued for this purpose, or from other funds which may become available to the board for this purpose;

(23) To borrow money temporarily from the water development fund, for the purposes of this chapter, and to implement its plans and programs relating to reservoir development, exclusive of the acquisition of sites for the development of surface reservoirs, in anticipation of revenue or federal aid; and

(24) ~~To enter into contracts and/or agreements with such departments, divisions, agencies, or boards of the state as are directed by the governor to regulate, manage, or perform related functions on any lands or waters acquired under the provisions of the Big River — Wood River Reservoir Site Acquisition Act (P.L. of 1964, chapter 133); and~~

(25) To compensate the departments, divisions, agencies, or boards from the water development fund in an amount equal to the cost of providing the functions or services as are directed to be performed by the governor. The compensation shall be mandatory and shall be

provided according to procedures established by the department of administration.

(b) The board as a body politic and corporate and public instrumentality created pursuant to this chapter is subject to § 46-15.1-5(1) — (25). The board as the state agency pursuant to chapter 15 of this title is subject to § 46-15.1-5(15) — (25).

SECTION 19. Section 46-15.1-19.1 of the General Laws in Chapter 46-15.1 entitled "Water Supply Facilities" is hereby repealed.

~~**46-15.1-19.1. Big River Reservoir — Administration.**~~

~~The Rhode Island water resources board, established pursuant to this chapter and chapter 15 of this title, shall be the only designated agency which will administer those lands acquired for the Big River Reservoir as established under section 23 of chapter 133 of the Public Laws of 1964. The director of the department of environmental management and the director's authorized agents, employees, and designees shall, together with the water resources board in accordance with the Big River management area land use plan for the lands, protect the natural resources of the Big River Reservoir lands. The lands of the Big River Reservoir are subject to enforcement authority of the department of environmental management, as provided for in chapter 17.1 of title 42, and as provided for in title 20 of the General Laws.~~

SECTION 20. Sections 46-31.1-1, 46-31.1-2 and 46-31.1-3 of the General Laws in Chapter 46-31.1 entitled "The Rhode Island Bays, Rivers and Watersheds Fund" are hereby amended to read as follows:

46-31.1-1. Legislative findings.

The general assembly hereby finds and declares as follows:

(1) The bays, rivers, and associated watersheds of Rhode Island are unique and unparalleled natural resources that provide significant cultural, ecological, and economic benefit to the state.

(2) Pursuant to the provisions of R.I. Const., art. 1, § 17, it is the duty of the general assembly to provide for the conservation of the air, land, water, plant, animal, mineral, and other natural resources of the state; and to adopt all means necessary and proper by law to protect the natural environment of the people of the state by providing adequate resource planning for the control and regulation of the use of the natural resources of the state; and for the preservation, regeneration, and restoration of the natural environment of the state.

(3) It is in the best interest of the state and its citizens to preserve, protect, and restore our bays, rivers, lakes, and associated watersheds.

(4) Sixty percent (60%) of the watershed of Narragansett Bay is within Massachusetts, almost all of the watershed of Mount Hope Bay is within Massachusetts, and five percent (5%) of the watershed of Little Narragansett Bay is within Connecticut; further, a cluster of water-related

economic interests spans the three (3) states.

(5) There is a need to foster effective management, preservation, restoration, and monitoring of the bays, rivers, lakes, and watersheds; and the promotion of sustainable economic development of businesses that rely directly or indirectly on the bays, rivers, and watersheds.

46-31.1-2. Definitions.

As used in this chapter, unless the context clearly indicates otherwise:

(1) “Bays” means the estuaries including Narragansett Bay, Mount Hope Bay, Greenwich Bay, Little Narragansett Bay, the coastal ponds, the Sakonnet River, and Rhode Island territorial waters that extend seaward three geographical miles from the shoreline including the area around Block Island.

(2) “Coordination” means to harmonize in a common action or effort and/or to function in a complementary manner.

(3) “Lake” or “pond” means a place, natural or manmade, located wholly or partly within the State of Rhode Island, where open standing or slowly moving water is present for at least six (6) months of the year. For the purposes of this chapter, “lake” or “pond” shall exclude commercial or industrial waterbodies created for the purpose of providing cooling water, concrete or poly-lined waterbodies, and construction dewatering basins.

~~(3)~~(4) “River” means a flowing body of water or estuary or a section, portion, or tributary thereof, including, but not limited to, streams, creeks, brooks, ponds, and small lakes.

~~(4)~~(5) “Water cluster” means an economically interconnected grouping of businesses, institutions, and people relying directly or indirectly on the bays, rivers, and watersheds including, but not limited to, the following sectors:

(i) Recreation, tourism, and public events;

(ii) Fisheries and aquaculture;

(iii) Boat and ship building;

(iv) Boating-related businesses;

(v) Transportation;

(vi) Military;

(vii) Research; and

(viii) Technology development and education.

~~(5)~~(6) “Watershed” means a land area which because of its topography, soil type, and drainage patterns acts as a collector of raw waters which regorge or replenish rivers and existing or planned public water supplies.

46-31.1-3. Bays, Rivers and Watersheds Fund.

(a) There is hereby established a restricted receipt account within the Department of Environmental Management to be called the Bays, Rivers and Watersheds Fund;

(b) The fund shall consist of any funds which the state may from time to time appropriate, as well as money received as gifts, grants, bequests, donations or other funds from any public or private sources, as well as all fees collected pursuant to § 46-23-1(f)(2) for the leasing of submerged lands for transatlantic cables, and all fees collected pursuant to chapter 12.11 of this title for the disposal of septage;

(c) All funds, monies, and fees collected pursuant to this section shall be deposited in the Bays, Rivers and Watersheds Fund, and shall be utilized by the Department of Environmental Management consistent with the purposes of § 46-23.2-1 entitled, "The Comprehensive Watershed and Marine Monitoring Act of 2004," ~~§ 46-12~~ chapter 12 of title 46 entitled, "Water Pollution", chapter 33 of title 46 entitled, "Freshwater Lake Management Program," and chapter 6.2 of title ~~4~~ 42 entitled "~~Resilient Rhode Island Act of 2014-Climate Change Coordination Council~~ 2021 Act on Climate." All expenditures from the fund shall be subject to appropriation by the general assembly.

SECTION 21. Sections 46-33-1 and 46-33-2 of the General Laws in Chapter 46-33 entitled "Freshwater Lake Management Program" are hereby amended to read as follows:

46-33-1. Definitions.

As used in this chapter, unless the context indicates otherwise:

(1) "Aquatic invasive species" means those invasive or non-native species that inhabit water resources including lakes, ponds, rivers, and streams.

(2) "Coordination" means to harmonize in a common action or effort and/or to function in a complementary manner.

(3) "Department" means the Rhode Island department of environmental management.

(4) "Invasive species" means an alien species whose introduction does or is likely to cause economic or environmental harm, or harm to human health.

(5) "Lake" or "pond" means a place, natural or manmade, located wholly or partly within the state of Rhode Island, where open standing or slowly moving water shall be present for at least six (6) months of the year.

(6) "Lake association" means an association, club, or other organization, formed and registered in Rhode Island, that has responsibility for stewardship and management of a freshwater lake or pond.

(7) "Non-native species" means a species of plant, animal, or microbe that is:

(i) Introduced to a country or region where it is not native;

(ii) Is reproducing and spreading without human cultivation; and

(iii) Is causing harm to native species or the areas in which they live.

~~(8) "Rhode Island lake management fund" means the fund established by § 46-33-3.~~

46-33-2. Rhode Island lake management program — Established.

(a) The department shall develop and implement a lake management program. The program shall include the following elements:

(1) Field surveys and mapping to document the presence of aquatic invasive species in freshwaters;

(2) Development and provision of guidance and technical assistance to lake associations, watershed organizations, and municipalities interested in undertaking lake management actions;

(3) Coordination of the implementation of lake management actions, where appropriate;

(4) Oversight of lake management policy and program development;

(5) Distribution of financial assistance for lake management, including control of aquatic invasive plants, as resources allow, including such sums as appropriated by the general assembly from the Bays, Rivers and Watersheds Fund established by § 46-31.1-3; and

(6) Other activities consistent with the powers and duties assigned to the department in § 42-17.1-2(34).

(b) Upon receipt of funding, the department shall establish procedures and rules for the distribution of lake management grants consistent with the following provisions:

(1) Entities eligible to apply for assistance shall include lake associations, watershed associations, municipal governments, and other nonprofit, non-governmental environmental and conservation organizations.

(2) Projects involving lakes and ponds located wholly within a privately owned property and that lack public access to the waterbody are not eligible for assistance.

(3) Projects involving lakes and ponds that lack public access, excepting those excluded in subsection (b)(2) of this section, may be eligible to apply for financial assistance provided the department determines that active management is necessary to protect publicly accessible freshwater resources.

(4) Projects shall be solicited through a publicly advertised process.

(5) Projects shall require a matching contribution of funds.

(6) Eligible projects are determined by the department to be technically sound and appropriate control or to mitigate an existing aquatic invasive species management, water quality, or aquatic habitat concern.

(7) Funding is used to design and implement specific lake management actions.

SECTION 22. This article shall take effect upon passage, except for section 2 which shall take effect on July 1, 2026.

ARTICLE 4

RELATING TO DEBT MANAGEMENT ACT JOINT RESOLUTIONS

SECTION 1. This article shall serve as the joint resolutions of approval required pursuant to Rhode Island Law § 35-18-1, et seq. for the financing and/or the guarantee of the below described projects.

SECTION 2. *Rhode Island College – Residential Life Renovations – Auxiliary Enterprise*

WHEREAS, The Council on Postsecondary Education and Rhode Island College ("College") are proposing a project which involves the renovation of five (5) residence halls on the College campus; and

WHEREAS, The College is committed to providing adequate and suitable housing for its students that will attract undergraduate resident students to the College; and

WHEREAS, The renovations will address improvements to critical infrastructure for continued occupancy of the five (5) residency halls, and the aesthetic improvements to be made will enhance the on-campus experience for the resident students; and

WHEREAS, The College engaged a qualified architectural firm, which completed an analysis on the condition of these residence halls.

WHEREAS, The project consists of the renovation and replacement of building envelopes, elevators, mechanical systems, fire alarms, sprinklers, and other improvements needed to improve the residential sector of the campus, which project is included in the College Capital Improvement Plan; and

WHEREAS, The Rhode Island Public Corporation Debt Management Act requires the General Assembly to provide its consent to the issuance or incurring by the State of Rhode Island and other public agencies of certain obligations including financing guarantees or other agreements; and

WHEREAS, The costs associated with this auxiliary enterprise project will be financed through Rhode Island Health and Education Building Corporation (RIHEBC) revenue bonds, with an expected term of twenty (20) years; and

WHEREAS, The total project cost associated with the completion of this project and proposed financing method is twenty million six hundred thousand dollars ($20,600,000), including capitalized interest, if any, and associated costs of financing. Debt service payments would be supported by revenues derived from the College's Residential Life auxiliary student fees, and total debt service on the bonds is not expected to exceed one million eight hundred twenty-five thousand dollars ($1,825,000) annually and thirty-six million five hundred thousand dollars ($36,500,000) in the aggregate based on an average interest rate of six percent (6%) and a twenty (20) year term; now, therefore be it

RESOLVED, That this General Assembly hereby approves financing in an amount not to exceed totals debt service payments of thirty-six million five hundred thousand dollars ($36,500,000) for the residential life renovations project on the College campus; and be it further

RESOLVED, That this joint resolution shall take effect upon passage.

SECTION 3. *University of Rhode Island -- Repaving and Hardscape Improvements*

WHEREAS, The University of Rhode Island Board of Trustees and the University of Rhode Island ("University") are proposing a project which involves the re-pavement and reconstruction of major parking facilities, internal roadways and walkways, and associated infrastructure on the University's Kingston, Narragansett Bay, and W. Alton Jones campuses; and

WHEREAS, The project and its proposed funding have been duly reviewed and approved by the University of Rhode Island Board of Trustees as part of the FY 2027–2031 Capital Improvement Plan; and

WHEREAS, The University has made progress in the improvement of its extensive inventory of paved surfaces on its campuses, the scope of repaving and reconstruction of major parking facilities, internal roadways and walkways, and associated infrastructure is substantial and ongoing; and

WHEREAS, A recent comprehensive campus plan recommends the redevelopment of campus roadways, allowing safe travel for pedestrians, cyclists, vehicles, and other modes of travel; and

WHEREAS, The design and execution of this comprehensive plan will improve the campus's environmental impact; and

WHEREAS, These timely project commitments serve the objectives of both the University and the local community; and

WHEREAS, The Rhode Island Public Corporation Debt Management Act requires the General Assembly to provide its consent to the issuance or incurring by the State of Rhode Island and other public agencies of certain obligations, including financing guarantees or other agreements; and

WHEREAS, The design and paving work will be financed through Rhode Island Health and Education Building Corporation revenue bonds, with an expected term of twenty (20) years in the amount of twenty million dollars ($20,000,000); and

WHEREAS, The project cost associated with completion of the project and the proposed financing method is twenty million dollars ($20,000,000), including the cost of issuance. Debt service payments would be supported by both the University's unrestricted general revenues and enterprise funding from the University's parking services operation. Total debt service on the bonds is not expected to exceed one million seven hundred forty-three thousand seven hundred fifty dollars ($1,743,750) annually and thirty-four million eight hundred seventy-five thousand dollars ($34,875,000) in the aggregate based on an average interest rate of six percent (6%); now, therefore, be it

RESOLVED, That this General Assembly hereby approves financing in an amount not to exceed total debt service payments of thirty-four million eight hundred seventy-five thousand dollars ($34,875,000) for the repaving and hardscape improvements projects at the University of Rhode Island; and be it further

RESOLVED, That this Joint Resolution shall take effect upon passage.

SECTION 4. *University of Rhode Island – Automotive and Administrative Services*

WHEREAS, The University of Rhode Island Board of Trustees and the University of Rhode Island ("University") are proposing a project which provides proper working space for "Automotive and Administrative Mail and Printing Services" in the University's service sector; and

WHEREAS, The University has made progress in the improvement of its service center to align with the improvements made to the academic, research, and student life facilities; and

WHEREAS, The project and its proposed funding have been duly reviewed and approved by the University of Rhode Island Board of Trustees as part of the FY 2027–2031 Capital Improvement Plan; and

WHEREAS, The design and execution of this project will improve the delivery of the associated services to the campus; and

WHEREAS, The individual projects may be delivered in a phased approach; and

WHEREAS, These timely project commitments serve the objectives of the University; and

WHEREAS, The Rhode Island Public Corporation Debt Management Act requires the General Assembly to provide its consent to the issuance or incurring by the State of Rhode Island and other public agencies of certain obligations, including financing guarantees or other agreements; and

WHEREAS, The design and paving work will be financed through Rhode Island Health and Education Building Corporation revenue bonds, with an expected term of twenty (20) years in the amount of fourteen million four hundred thousand dollars ($14,400,000); and

WHEREAS, The project cost associated with completion of the project and the proposed financing method is fourteen million four hundred thousand dollars ($14,400,000), including the cost of issuance. Debt service payments would be supported by the University's unrestricted general revenues. Total debt service on the bonds is not expected to exceed one million two hundred fifty-seven thousand five hundred dollars ($1,257,500) annually and twenty-five million one hundred fifty thousand dollars ($25,150,000) in the aggregate based on an average interest rate of six percent (6%); now, therefore, be it

RESOLVED, That this General Assembly hereby approves financing in an amount not to exceed total debt service payments of twenty-five million one hundred fifty thousand dollars ($25,150,000) for the Automotive and Administrative Services project at the University; and be it further

RESOLVED, That this Joint Resolution shall take effect upon passage.

SECTION 5. This article shall take effect upon passage.

ARTICLE 5 AS AMENDED

RELATING TO CAPITAL DEVELOPMENT PROGRAM

SECTION 1. Proposition to be submitted to the people. -- At the general election to be held on the Tuesday next after the first Monday in November 2026, there shall be submitted to the people ("People") of the State of Rhode Island ("State"), for their approval or rejection, the following proposition:

"Shall the action of the general assembly, by an act passed at the January 2026 session, authorizing the issuance of bonds, refunding bonds, and temporary notes of the State of Rhode Island for the capital projects and in the amount with respect to each such project listed below be approved, and the issuance of bonds, refunding bonds, and/or temporary notes authorized in accordance with the provisions of said act?"

Project

(1) Higher Education Facilities $275,000,000

Approval of this question will allow the State to issue general obligation bonds, refunding bonds, and/or temporary notes in an amount not to exceed two hundred and seventy-five million dollars ($275,000,000) for capital improvements to higher education facilities, to be allocated as follows:

(a) University of Rhode Island Integrated Health Building $165,000,000

Provides one hundred and sixty-five million dollars ($165,000,000) for the construction of the new Integrated Health Building on the University of Rhode Island's Kingston campus to advance health education, clinical training, and workforce development.

(b) RIC Adams Library Renovations $50,000,000

Provides fifty million dollars ($50,000,000) to fund the construction of a student success and career readiness center and renovations located at the Adams Library on the Rhode Island College campus.

(c) CCRI Workforce Innovation Center $60,000,000

Provides sixty million dollars ($60,000,000) to fund the construction of a new workforce innovation center located on the Warwick campus of the Community College of Rhode Island. Funds will be used for the construction of a modern career and technical educational facility designed to support workforce readiness and address critical workforce shortages in the State.

(2) Housing and Homeownership $120,000,000

Approval of this question will allow the State to issue general obligation bonds, refunding bonds, and/or temporary notes in an amount not to exceed one hundred and twenty million dollars ($120,000,000) to increase and preserve the availability of affordable and accessible housing to meet the needs of all Rhode Islanders and support community revitalization through the redevelopment of existing structures, new construction, property acquisition, and infrastructure improvements. Of this amount, at least twenty-five million dollars ($25,000,000) shall be allocated towards increasing production of housing intended for homeownership and up to ten million dollars ($10,000,000) may be used to support a program for public housing development.

(3) Economic Development $100,000,000

Approval of this question will allow the State to issue general obligation bonds, refunding bonds, and/or temporary notes in an amount not to exceed one hundred million dollars ($100,000,000) ~~to fund industrial facilities infrastructure improvements~~ for economic development purposes to fund site development and growth industry infrastructure, to be allocated as follows:

(a) Site Development $55,000,000

Provides fifty-five million dollars ($55,000,000) for land acquisition or assembly, environmental remediation, infrastructure and utility installation, site preparation or development, and project investments. Eligible uses include, but are not limited to, large-scale industrial site development to create pad-ready locations and/or facilities, infrastructure improvements and investments within the Quonset Business Park, and land acquisition, preparation, and project investments within the I-195 District.

(b) Growth Industry Infrastructure $45,000,000

Provides forty-five million dollars ($45,000,000) for infrastructure, facilities, projects, and investments that support Rhode Island's ocean, defense, life sciences, data analytics and related industries. Eligible uses include, but are not limited to, water-based test ranges and onshore ocean or defense-related innovation/production facilities, as well as facilities, projects, and investments that advance businesses and job growth in the life sciences.

(4) Cultural Economy $50,000,000

Approval of this question will allow the State to issue general obligation bonds, refunding bonds, and/or temporary notes in an amount not to exceed fifty million dollars ($50,000,000) to provide funding for cultural economy efforts to be allocated as follows:

(a) State History Center $45,000,000

Provides forty-five million dollars ($45,000,000) for the construction of a new Rhode Island State History Center.

(b) State Preservation Grants Program $5,000,000

Provides five million dollars ($5,000,000) in matching grants administered by the Rhode Island Historical Preservation and Heritage Commission to cities, towns and nonprofit organizations for capital improvements to public historic sites, museums and cultural art centers located in historic structures, and heritage museums throughout the State.

(5) Green Economy Bonds $55,000,000

Approval of this question will allow the State to issue general obligation bonds, refunding bonds, and/or temporary notes in an amount not to exceed fifty-five million dollars ($55,000,000) for environmental and recreational purposes, to be allocated as follows:

(a) Brownfields Remediation and Economic Development $3,000,000

Provides three million dollars ($3,000,000) for up to eighty percent (80%) matching grants to public, private, and/or non-profit entities for brownfield remediation projects.

(b) Facility Improvements $12,000,000

Provides twelve million dollars ($12,000,000) for the renovation and repair of existing facilities and recreational venues as well as the development and construction of new facilities and parks.

(c) Local Recreation Projects $1,000,000

Provides one million dollars ($1,000,000) for up to eighty percent (80%) matching grants for municipalities to acquire, develop, or rehabilitate local recreational facilities to meet the growing needs for active outdoor recreational facilities.

(d) Marine Infrastructure Development $1,000,000

Provides one million dollars ($1,000,000) to provide asset protection and emergency repair needs for most facilities, including recreational facilities, marine infrastructure, and more.

(e) Resilient Rhody Infrastructure Fund $25,000,000

Provides twenty-five million dollars ($25,000,000) to provide financial assistance to local governmental units for restoring and/or improving resiliency of infrastructure, vulnerable coastal habitats, and restoring rivers and stream floodplains. These funds will be prioritized to leverage significant funds to support local programs to improve community resiliency, stormwater abatement and public safety in the face of increased flooding, major storm events, and environmental degradation.

(f) Narragansett Bay Watershed Restoration $7,000,000

Provides seven million dollars ($7,000,000) for activities to restore and protect the water quality and enhance the economic viability and environmental sustainability of Narragansett Bay and the State's watersheds. Eligible activities include nonpoint source pollution abatement, including stormwater management; nutrient loading abatement; commercial, industrial and agricultural pollution abatement; and riparian buffer and watershed ecosystem restoration.

(g) Agriculture Land Preservation Commission $3,000,000

Provides three million dollars ($3,000,000) to the agricultural land preservation commission for farmland protection.

(h) Open Space Program $3,000,000

Provides three million dollars ($3,000,000) for the State to acquire fee simple interest or conservation easements to open space, watershed, and recreational lands.

SECTION 2. Ballot labels and applicability of general election laws. -- The Secretary of State shall prepare and deliver to the State Board of Elections ballot labels for each of the projects provided for in Section 1 hereof with the designations "approve" or "reject" provided next to the description of each such project to enable voters to approve or reject each such proposition. The general election laws, so far as consistent herewith, shall apply to this proposition.

SECTION 3. Approval of projects by the people. -- If a majority of the People voting on the proposition in Section 1 hereof shall vote to approve any project stated therein, said project shall be deemed to be approved by the People. The authority to issue bonds, refunding bonds and/or temporary notes of the State shall be limited to the aggregate amount for all such projects as set forth in the proposition, which has been approved by the People.

SECTION 4. Bonds for the capital development program. -- The General Treasurer is hereby authorized and empowered, with the approval of the Governor, and in accordance with the provisions of this Act to issue capital development bonds in serial form, in the name of and on behalf of the State, in amounts as may be specified by the Governor in an aggregate principal amount not to exceed the total amount for all projects approved by the People and designated as "capital development loan of 2026 bonds." Provided, however, that the aggregate principal amount of such capital development bonds and of any temporary notes outstanding at any one time issued in anticipation thereof pursuant to Section 7 hereof shall not exceed the total amount for all such projects approved by the People. All provisions in this Act relating to "bonds" shall also be deemed to apply to "refunding bonds."

Capital development bonds issued under this Act shall be in denominations of one thousand dollars ($1,000) each, or multiples thereof, and shall be payable in any coin or currency of the United States which at the time of payment shall be legal tender for public and private debts. These capital development bonds shall bear such date or dates, mature at specified time or times, but not mature beyond the end of the twentieth (20th) State fiscal year following the fiscal year in which they are issued; bear interest payable semi-annually at a specified rate or different or varying rates:

be payable at designated time or times at specified place or places; be subject to express terms of redemption or recall, with or without premium; be in a form, with or without interest coupons attached; carry such registration, conversion, reconversion, transfer, debt retirement, acceleration and other provisions as may be fixed by the General Treasurer, with the approval by the Governor, upon each issue of such capital development bonds at the time of each issue. Whenever the Governor shall approve the issuance of such capital development bonds, the Governor's approval shall be certified to the Secretary of State; the bonds shall be signed by the General Treasurer and countersigned by Secretary of State and shall bear the seal of the State. The signature approval of the Governor shall be endorsed on each bond.

SECTION 5. Refunding bonds for the 2026 capital development program. -- The General Treasurer is hereby authorized and empowered, with the approval of the Governor, and in accordance with the provisions of this Act, to issue bonds to refund the 2026 capital development program bonds, in the name of and on behalf of the State, in amounts as may be specified by the Governor in an aggregate principal amount not to exceed the total amount approved by the People, to be designated as "capital development program loan of 2026 refunding bonds" (hereinafter "Refunding Bonds").

The General Treasurer with the approval of the Governor shall fix the terms and form of any Refunding Bonds issued under this Act in the same manner as the capital development bonds issued under this Act, except that the Refunding Bonds may not mature more than twenty (20) years from the date of original issue of the capital development bonds being refunded.

The proceeds of the Refunding Bonds, exclusive of any premium and accrual interest and net the underwriters' cost, and cost of bond issuance, shall, upon their receipt, be paid by the General Treasurer immediately to the paying agent for the capital development bonds which are to be called and prepaid. The paying agent shall hold the Refunding Bond proceeds in trust until they are applied to prepay the capital development bonds. While such proceeds are held in trust, the proceeds may be invested for the benefit of the State in obligations of the United States of America or the State.

If the General Treasurer shall deposit with the paying agent for the capital development bonds the proceeds of the Refunding Bonds, or proceeds from other sources, amounts that, when invested in obligations of the United States or the State, are sufficient to pay all principal, interest, and premium, if any, on the capital development bonds until these bonds are called for prepayment, then such capital development bonds shall not be considered debts of the State for any purpose starting from the date of deposit of such monies with the paying agent. The Refunding Bonds shall continue to be a debt of the State until paid.

The term "bond" shall include "note," and the term "refunding bonds" shall include "refunding notes" when used in this Act.

SECTION 6. Proceeds of the capital development program. -- The General Treasurer is directed to deposit the proceeds from the sale of capital development bonds issued under this Act, exclusive of premiums and accrued interest and net the underwriters' cost, and cost of bond issuance, in one or more of the depositories in which the funds of the State may be lawfully kept in special accounts (hereinafter cumulatively referred to as the "capital development bond fund") appropriately designated for each of the projects set forth in Section 1 hereof which shall have been approved by the People to be used for the purpose of paying the cost of all such projects so approved.

All monies in the capital development bond fund shall be expended for the purposes specified in the proposition provided for in Section 1 hereof under the direction and supervision of the Director of Administration (hereinafter referred to as "Director"). The Director or his or her designee shall be vested with all power and authority necessary or incidental to the purposes of this Act, including but not limited to, the following authority: (a) To acquire land or other real property or any interest, estate or right therein as may be necessary or advantageous to accomplish the purposes of this Act; (b) To direct payment for the preparation of any reports, plans and specifications, and relocation expenses and other costs such as for furnishings, equipment designing, inspecting and engineering, required in connection with the implementation of any projects set forth in Section 1 hereof; (c) To direct payment for the costs of construction, rehabilitation, enlargement, provision of service utilities, and razing of facilities, and other improvements to land in connection with the implementation of any projects set forth in Section 1 hereof; and (d) To direct payment for the cost of equipment, supplies, devices, materials and labor for repair, renovation or conversion of systems and structures as necessary for the 2026 capital development program bonds or notes hereunder from the proceeds thereof. No funds shall be expended in excess of the amount of the capital development bond fund designated for each project authorized in Section 1 hereof. With respect to the bonds and temporary notes described in Section 1, the proceeds shall be used for the following purposes:

Question 1, relating to bonds in the amount of two hundred and seventy-five million dollars ($275,000,000) to provide funding for higher education facilities to be allocated as follows:

(a) University of Rhode Island Integrated Health Building $165,000,000

Provides one hundred and sixty-five million dollars ($165,000,000) for the construction of the new Integrated Health Building on the University of Rhode Island's Kingston campus to advance health education, clinical training, and workforce development.

(b) RIC Adams Library Renovations $50,000,000

Provides fifty million dollars ($50,000,000) to fund the construction of a student success and career readiness center and renovations located at the Adams Library the Rhode Island College campus.

(c) CCRI Workforce Innovation Center $60,000,000

Provides sixty million dollars ($60,000,000) to fund the construction of a new workforce innovation center located on the Warwick campus of the Community College of Rhode Island. Funds will be used for the construction of a modern career and technical educational facility designed to support workforce readiness and address critical workforce shortages in the State.

Question 2, relating to bonds in the amount of one hundred and twenty million dollars ($120,000,000) to increase and preserve the availability of affordable and accessible housing to meet the needs of all Rhode Islanders and support community revitalization through the redevelopment of existing structures, new construction, property acquisition, and infrastructure improvements. Of this amount, at least twenty-five million dollars ($25,000,000), shall be allocated towards increasing production of housing intended for homeownership and up to ten million dollars ($10,000,000) may be used to support a program for public housing development.

Question 3, relating to bonds in the amount of one hundred million dollars ($100,000,000) ~~to fund industrial facilities infrastructure improvements~~ for economic development purposes to fund site development and growth industry infrastructure, to be allocated as follows:

(a) Site Development $55,000,000

Provides fifty-five million dollars ($55,000,000) for land acquisition or assembly, environmental remediation, infrastructure and utility installation, site preparation or development, and project investments. Eligible uses include, but are not limited to, large-scale industrial site development to create pad-ready locations and/or facilities, infrastructure improvements and investments within the Quonset Business Park, and land acquisition, preparation, and project investments within the I-195 District.

(b) Growth Industry Infrastructure $45,000,000

Provides forty-five million dollars ($45,000,000) for infrastructure, facilities, projects, and investments that support Rhode Island's ocean, defense, life sciences, data analytics and related industries. Eligible uses include, but are not limited to, water-based test ranges and onshore ocean or defense-related innovation/production facilities, as well as facilities, projects, and investments that advance businesses and job growth in the life sciences.

Question 4, relating to bonds in the amount of fifty million dollars ($50,000,000) to provide funding for cultural economy efforts to be allocated as follows:

(a) State History Center $45,000,000

Provides forty-five million dollars ($45,000,000) for the construction of a new Rhode Island State History Center.

(b) State Preservation Grants Program $5,000,000

Provides five million dollars ($5,000,000) in matching grants administered by the Rhode Island Historical Preservation and Heritage Commission to cities, towns and nonprofit organizations for capital improvements to public historic sites, museums and cultural art centers located in historic structures, and heritage museums throughout the State.

Question 5, relating to bonds in the amount of fifty-five million dollars ($55,000,000) for environmental and recreational purposes, to be allocated as follows:

(a) Brownfields Remediation and Economic Development $3,000,000

Provides three million dollars ($3,000,000) for up to eighty percent (80%) matching grants to public, private, and/or non-profit entities for brownfield remediation projects.

(b) Facility Improvements $12,000,000

Provides twelve million dollars ($12,000,000) for the renovation and repair of existing facilities and recreational venues as well as the development and construction of new facilities and parks.

(c) Local Recreation Projects $1,000,000

Provides one million dollars ($1,000,000) for up to eighty percent (80%) matching grants for municipalities to acquire, develop, or rehabilitate local recreational facilities to meet the growing needs for active outdoor recreational facilities.

(d) Marine Infrastructure Development $1,000,000

Provides one million dollars ($1,000,000) to provide asset protection and emergency repair needs for most facilities, including recreational facilities, marine infrastructure, and more.

(e) Resilient Rhody Infrastructure Fund $25,000,000

Provides twenty-five million dollars ($25,000,000) to provide financial assistance to local governmental units for restoring and/or improving resiliency of infrastructure, vulnerable coastal habitats, and restoring rivers and stream floodplains. These funds will be prioritized to leverage significant funds to support local programs to improve community resiliency, stormwater abatement and public safety in the face of increased flooding, major storm events, and environmental degradation.

(f) Narragansett Bay Watershed Restoration $7,000,000

Provides seven million dollars ($7,000,000) for activities to restore and protect the water quality and enhance the economic viability and environmental sustainability of Narragansett Bay and the State's watersheds. Eligible activities include nonpoint source pollution abatement, including stormwater management; nutrient loading abatement; commercial, industrial and agricultural pollution abatement; and riparian buffer and watershed ecosystem restoration.

(g) Agriculture Land Preservation Commission $3,000,000

Provides three million dollars ($3,000,000) to the agricultural land preservation commission for farmland protection.

(h) Open Space Program $3,000,000

Provides three million dollars ($3,000,000) for the State to acquire fee simple interest or conservation easements to open space, watershed, and recreational lands.

SECTION 7. Sale of bonds and notes. -- Any bonds or notes issued under the authority of this Act shall be sold at not less than the principal amount thereof, in such mode and on such terms and conditions as the General Treasurer, with the approval of the Governor, shall deem to be in the best interests of the State.

Any premiums and accrued interest, net of the cost of bond issuance and underwriter's discount, which may be received on the sale of the capital development bonds or notes shall become part of the Rhode Island Capital Plan Fund of the State, unless directed by federal law or regulation to be used for some other purpose.

In the event that the amount received from the sale of the capital development bonds or notes exceeds the amount necessary for the purposes stated in Section 6 hereof, the surplus may be used to the extent possible to retire the bonds as the same may become due, to redeem them in accordance with the terms thereof or otherwise to purchase them as the General Treasurer, with the approval of the Governor, shall deem to be in the best interests of the State.

Any bonds or notes issued under the provisions of this Act and coupons on any capital development bonds, if properly executed by the manual or electronic signatures of officers of the State in office on the date of execution, shall be valid and binding according to their tenor, notwithstanding that before the delivery thereof and payment therefor, any or all such officers shall for any reason have ceased to hold office.

SECTION 8. Bonds and notes to be tax exempt and general obligations of the State. -- All bonds and notes issued under the authority of this Act shall be exempt from taxation in the State and shall be general obligations of the State, and the full faith and credit of the State is hereby pledged for the due payment of the principal and interest on each of such bonds and notes as the same shall become due.

SECTION 9. Investment of monies in fund. -- All monies in the capital development fund not immediately required for payment pursuant to the provisions of this Act may be invested by the investment commission, as established by Chapter 10 of Title 35, entitled "State Investment

Commission," pursuant to the provisions of such chapter; provided, however, that the securities in which the capital development fund is invested shall remain a part of the capital development fund until exchanged for other securities; and provided further, that the income from investments of the capital development fund shall become a part of the general fund of the State and shall be applied to the payment of debt service charges of the State, unless directed by federal law or regulation to be used for some other purpose, or to the extent necessary, to rebate to the United States treasury any income from investments (including gains from the disposition of investments) of proceeds of bonds or notes to the extent deemed necessary to exempt (in whole or in part) the interest paid on such bonds or notes from federal income taxation.

SECTION 10. Appropriation. -- To the extent the debt service on these bonds is not otherwise provided, a sum sufficient to pay the interest and principal due each year on bonds and notes hereunder is hereby annually appropriated out of any money in the treasury not otherwise appropriated.

SECTION 11. Advances from general fund. -- The General Treasurer is authorized, with the approval of the Director and the Governor, in anticipation of the issue of notes or bonds under the authority of this Act, to advance to the capital development bond fund for the purposes specified in Section 6 hereof, any funds of the State not specifically held for any particular purpose; provided, however, that all advances made to the capital development bond fund shall be returned to the general fund from the capital development bond fund forthwith upon the receipt by the capital development fund of proceeds resulting from the issue of notes or bonds to the extent of such advances.

SECTION 12. Federal assistance and private funds. -- In carrying out this act, the Director, or his or her designee, is authorized on behalf of the State, with the approval of the Governor, to apply for and accept any federal assistance which may become available for the purpose of this Act, whether in the form of loan or grant or otherwise, to accept the provision of any federal legislation therefor, to enter into, act and carry out contracts in connection therewith, to act as agent for the federal government in connection therewith, or to designate a subordinate so to act. Where federal assistance is made available, the project shall be carried out in accordance with applicable federal law, the rules and regulations thereunder and the contract or contracts providing for federal assistance, notwithstanding any contrary provisions of State law. Subject to the foregoing, any federal funds received for the purposes of this Act shall be deposited in the capital development bond fund and expended as a part thereof. The Director or his or her designee may also utilize any private funds that may be made available for the purposes of this Act.

SECTION 13. Effective Date. -- Sections 1, 2, 3, 11, 12 and this Section 13 of this article shall take effect upon passage. The remaining sections of this article shall take effect when and if the State Board of Elections shall certify to the Secretary of State that a majority of the qualified electors voting on the proposition contained in Section 1 hereof have indicated their approval of all or any projects thereunder.

ARTICLE 6 AS AMENDED

RELATING TO TAXES AND FEES

SECTION 1. Title 44 of the General Laws entitled "TAXATION" is hereby amended by adding thereto the following chapter:

CHAPTER 6.6

RHODE ISLAND TAX AMNESTY ACT OF 2026

44-6.6-1. Short title.

This chapter shall be known and may be cited as the “Rhode Island Tax Amnesty Act of 2026.”

44-6.6-2. Definitions.

As used in this chapter, the following terms have the meaning ascribed to them in this section, except when the context clearly indicates a different meaning:

(1) "Taxable period" means any period for which a tax return is required by law to be filed with the tax administrator.

(2) "Taxpayer" means any person, corporation, or other entity subject to any tax imposed by any law of the State of Rhode Island and payable to the State of Rhode Island and collected by the tax administrator.

44-6.6-3. Establishment of tax amnesty.

(a) The tax administrator shall establish a tax amnesty program for all taxpayers owing any tax imposed by reason of or pursuant to authorization by any law of the State of Rhode Island and collected by the tax administrator. Amnesty tax return forms shall be developed by the tax administrator and shall provide that the taxpayer clearly specify the tax due and the taxable period for which amnesty is being sought by the taxpayer.

(b) The amnesty program shall be conducted for a seventy-five (75) day period ending on February 15, 2027. The amnesty program shall provide that, upon written application by a taxpayer and payment by the taxpayer of all taxes and interest due from the taxpayer to the State of Rhode Island for any taxable period ending on or before December 31, 2025, the tax administrator shall not seek to collect any penalties that may be applicable and shall not seek the civil or criminal prosecution of any taxpayer for the taxable period for which amnesty has been granted. Amnesty shall be granted only to those taxpayers applying for amnesty during the amnesty period who have paid the tax and interest due upon filing the amnesty tax return, or who have entered into an installment payment agreement for reasons of financial hardship and upon terms and conditions set by the tax administrator. In the case of the failure of a taxpayer to pay any installment due under the agreement, such an agreement shall cease to be effective and the balance of the amounts required to be paid thereunder shall be due immediately. Amnesty shall be granted for only the taxable period specified in the application and only if all amnesty conditions are satisfied by the taxpayer.

(c) The provisions of this section shall include a taxable period for which a bill or notice of deficiency determination has been sent to the taxpayer.

(d) Amnesty shall not be granted to taxpayers who are under any criminal investigation or are a party to any civil or criminal proceeding pending in any court for fraud in relation to any state tax imposed by the law of the state and collected by the tax administrator.

44-6.6-4. Interest under tax amnesty.

Notwithstanding any provision of law to the contrary, interest on any taxes paid for periods covered under the amnesty provisions of this chapter shall be computed at the rate imposed under § 44-1-7, reduced by twenty-five percent (25%).

44-6.6-5. Implementation.

Notwithstanding any provision of law to the contrary, the tax administrator may do all things necessary in order to provide for the timely implementation of this chapter including, but not limited to, procurement of printing and other services and expenditure of appropriated funds.

44-6.6-6. Disposition of monies.

All monies collected pursuant to any tax imposed by the State of Rhode Island under the provisions of this chapter shall be accounted for separately and paid into the general fund.

44-6.6-7. Analysis of amnesty program by tax administrator.

The tax administrator shall provide an analysis of the amnesty program to be posted on its website by April 30, 2027. The analysis shall include revenues received by tax source, distinguishing between the tax collected and interest collected for each source. In addition, the analysis shall further identify the amounts that are new revenues from those already included in the general revenue receivable taxes, defined under generally accepted accounting principles and the state's audited financial statements.

44-6.6-8. Rules and regulations.

The tax administrator may promulgate such rules and regulations as are necessary to implement the provisions of this chapter.

SECTION 2. Sections 44-11-2.2, 44-11-2.3 and 44-11-11 of the General Laws in Chapter

44-11 entitled "Business Corporation Tax" are hereby amended to read as follows:

44-11-2.2. Pass-through entities — Definitions — Withholding — Returns.

(a) Definitions.

(1) "Administrative adjustment request" means an administrative adjustment request filed by a partnership under IRC section 6227.

(2) "Audited partnership" means a partnership or an entity taxed as a partnership federally subject to a partnership level audit resulting in a federal adjustment.

(3) "Direct partner" means a partner that holds an interest directly in a partnership or pass-through entity.

(4) "Federal adjustment" means a change to an item or amount determined under the Internal Revenue Code (IRC) that is used by a taxpayer to compute Rhode Island tax owed whether that change results from action by the IRS, including a partnership level audit, or the filing of an amended federal return, federal refund claim, or an administrative adjustment request by the taxpayer. A federal adjustment is positive to the extent that it increases state taxable income as determined under Rhode Island state laws and is negative to the extent that it decreases state taxable income as determined under Rhode Island state laws.

(5) "Final determination date" means if the federal adjustment arises from an IRS audit or other action by the IRS, the final determination date is the first day on which no federal adjustments arising from that audit or other action remain to be finally determined, whether by IRS decision with respect to which all rights of appeal have been waived or exhausted, by agreement, or, if appealed or contested, by a final decision with respect to which all rights of appeal have been waived or exhausted. For agreements required to be signed by the IRS and the taxpayer, the final determination date is the date on which the last party signed the agreement.

(6) "Final federal adjustment" means a federal adjustment after the final determination date for that federal adjustment has passed.

(7) "Indirect partner" means a partner in a partnership or pass-through entity that itself holds an interest directly, or through another indirect partner, in a partnership or pass-through entity.

(8) "Member" means an individual who is a shareholder of an S corporation; a partner in a general partnership, a limited partnership, or a limited liability partnership; a member of a limited liability company; or a beneficiary of a trust;

(9) "Nonresident" means an individual who is not a resident of or domiciled in the state, a business entity that does not have its commercial domicile in the state, and a trust not organized in the state.

(10) “Partner” means a person that holds an interest directly or indirectly in a partnership or other pass-through entity.

(11) “Partnership” means an entity subject to taxation under Subchapter K of the IRC.

(12) “Partnership level audit” means an examination by the IRS at the partnership level pursuant to Subchapter C of Title 26, Subtitle F, Chapter 63 of the IRC, as enacted by the Bipartisan Budget Act of 2015, Public Law 114-74, which results in Federal Adjustments.

(13) “Pass-through entity” means a corporation that for the applicable tax year is treated as an S Corporation under IRC § 1362(a) [26 U.S.C. § 1362(a)], and a general partnership, limited partnership, limited liability partnership, trust, or limited liability company that for the applicable tax year is not taxed as a corporation for federal tax purposes under the state’s check-the-box regulation.

(14) “Tiered partner” means any partner that is a partnership or pass-through entity.

(b) Withholding.

(1) A pass-through entity shall withhold income tax at the highest Rhode Island withholding tax rate provided for individuals or seven percent (7%) for corporations on the member’s share of income of the entity that is derived from or attributable to sources within this state distributed to each nonresident member and pay the withheld amount in the manner prescribed by the tax administrator. The pass-through entity shall be liable for the payment of the tax required to be withheld under this section and shall not be liable to the member for the amount withheld and paid over in compliance with this section. A member of a pass-through entity that is itself a pass-through entity (a “lower-tier pass-through entity”) shall be subject to this same requirement to withhold and pay over income tax on the share of income distributed by the lower-tier pass-through entity to each of its nonresident members. The tax administrator shall apply tax withheld and paid over by a pass-through entity on distributions to a lower-tier pass-through entity to the withholding required of that lower-tier pass-through entity.

(2) A pass-through entity shall, at the time of payment made pursuant to this section, deliver to the tax administrator a return upon a form prescribed by the tax administrator showing the total amounts paid or credited to its nonresident members, the amount withheld in accordance with this section, and any other information the tax administrator may require. A pass-through entity shall furnish to its nonresident member annually, but not later than the fifteenth day of the third month after the end of its taxable year, a record of the amount of tax withheld on behalf of the member on a form prescribed by the tax administrator.

(c) Notwithstanding subsection (b), a pass-through entity is not required to withhold tax for a nonresident member if:

(1) The member has a pro rata or distributive share of income of the pass-through entity from doing business in, or deriving income from sources within, this state of less than $1,000 per annual accounting period;

(2) The tax administrator has determined by regulation, ruling, or instruction that the member's income is not subject to withholding;

(3) The member elects to have the tax due paid as part of a composite return filed by the pass-through entity under subsection (d); or

(4) The entity is a publicly traded partnership as defined by 26 U.S.C. § 7704(b) that is treated as a partnership for the purposes of the Internal Revenue Code and that has agreed to file an annual information return reporting the name, address, taxpayer identification number, and other information requested by the tax administrator of each unitholder with an income in the state in excess of $500.

(d) Composite return.

(1) A pass-through entity may file a composite income tax return on behalf of electing nonresident members reporting and paying income tax at the state's highest marginal rate on the members' pro rata or distributive shares of income of the pass-through entity from doing business in, or deriving income from sources within, this State. For the purposes of this chapter, for tax years beginning on or after January 1, 2027, any reference to the highest marginal rate shall be the sum of the highest marginal tax rate in § 44-30-2.6(c)(3)(A)(I)(1) and the high-income surtax in § 44-30-2.6(c)(3)(A)(I)(2).

(2) A nonresident member whose only source of income within a state is from one or more pass-through entities may elect to be included in a composite return filed pursuant to this section.

(3) A nonresident member that has been included in a composite return may file an individual income tax return and shall receive credit for tax paid on the member's behalf by the pass-through entity.

(e) Partnership level audit.

(1) A partnership shall report final federal adjustments pursuant to IRC section 6225(a)(2) arising from a partnership level audit or an administrative adjustment request and make payments by filing the applicable supplemental return as prescribed under § 44-11-2.2(e)(1)(ii), and as required under § 44-11-19(b), in lieu of taxes owed by its direct and indirect partners.

(i) Failure of the audited partnership or tiered partner to report final federal adjustments pursuant to IRC section 6225(a) and 6225(c) or pay does not prevent the tax administrator from assessing the audited partnership, direct partners, or indirect partners for taxes they owe, using the best information available, in the event that a partnership or tiered partner fails to timely make any report or payment required by § 44-11-19(b) for any reason.

(ii) The tax administrator may promulgate rules and regulations, not inconsistent with law, to carry into effect the provisions of this chapter.

44-11-2.3. Pass-through entities — Election to pay state income tax at the entity level.

(a) **Definitions.** As used in this section:

(1) "Election" means the annual election to be made by the pass-through entity by filing the prescribed tax form and remitting the appropriate tax.

(2) "Net income" means the net ordinary income, net rental real estate income, other net rental income, guaranteed payments, and other business income less specially allocated depreciation and deductions allowed pursuant to § 179 of the United States Revenue Code (26 U.S.C. § 179), all of which would be reported on federal tax form schedules C and E. Net income for purposes of this section does not include specially allocated investment income or any other types of deductions.

(3) "Owner" means an individual who is a shareholder of an S Corporation; a partner in a general partnership, a limited partnership, or a limited liability partnership; a member of a limited liability company, a beneficiary of a trust; or a sole proprietor.

(4) "Pass-through entity" means a corporation that for the applicable tax year is treated as an S Corporation under I.R.C. 1362(a) (26 U.S.C. § 1362(a)), or a general partnership, limited partnership, limited liability partnership, trust, limited liability company or unincorporated sole proprietorship that for the applicable tax year is not taxed as a corporation for federal tax purposes under the state's regulations.

(5) "State tax credit" means the amount of tax paid by the pass-through entity at the entity level that is passed through to an owner on a pro rata basis. For tax years beginning on or after January 1, 2025, "state tax credit" means ninety percent (90%) of the amount of tax paid by the pass-through entity at the entity level that is passed through to an owner on a pro rata basis.

(b) **Elections.**

(1) For tax years beginning on or after January 1, 2019, a pass-through entity may elect to pay the state tax at the entity level at the rate of five and ninety-nine hundredths percent (5.99%).

(2) For tax years beginning on or after January 1, 2027, a pass-through entity electing to pay the state tax in subsection (b)(1) of this section may also elect to pay the state tax at the entity level on income equal to or exceeding the amount in § 44-30-2.6(c)(3)(A)(I)(2) at the rate in § 44-30-2.6(c)(3)(A)(I)(2).

~~(2)~~(3) If a pass-through entity elects to pay an entity tax under this subsection, the entity shall not have to comply with the provisions of § 44-11-2.2 regarding withholding on non-resident owners. In that instance, the entity shall not have to comply with the provisions of § 44-11-2.2 regarding withholding on non-resident owners.

(c) **Reporting.**

(1) The pass-through entity shall report the pro rata share of the state income taxes paid by the entity which sums will be allowed as a state tax credit for an owner on his or her personal income tax return.

(2) The pass-through entity shall also report the pro rata share of the state income taxes paid by the entity as an income (addition) modification to be reported by an owner on his or her personal income tax returns

(d) State tax credit shall be the amount of tax paid by the pass-through entity, at the entity level, which is passed through to the owners, on a pro rata basis. For tax years beginning on or after January 1, 2025, the state tax credit shall be ninety percent (90%) of the amount of tax paid by the pass-through entity, at the entity level, which is passed through to the owners, on a pro rata basis.

(e) A similar type of tax imposed by another state on the owners' income paid at the state entity level shall be deemed to be allowed as a credit for taxes paid to another jurisdiction in accordance with the provisions of § 44-30-18.

(f) "Combined reporting" as set forth in § 44-11-4.1 shall not apply to reporting under this section.

44-11-11. "Net income" defined.

(a)~~(1)~~ "Net income" means, for any taxable year and for any corporate taxpayer, the taxable income of the taxpayer for that taxable year under the laws of the United States, ~~plus:~~ with the additions and deductions specified in this section.

(b) Additions increasing taxable income. There shall be added to taxable income:

~~(i)~~(1) Any interest not included in the taxable income;

~~(ii)~~(2) Any specific exemptions;

~~(iii)~~(3) The tax imposed by this chapter;

~~(iv)~~(4) For any taxable year beginning on or after January 1, 2020, the amount of any Paycheck Protection Program loan forgiven for federal income tax purposes as authorized by the Coronavirus Aid, Relief, and Economic Security Act and/or the Consolidated Appropriations Act, 2021 and/or any other subsequent federal stimulus relief packages enacted by law, to the extent that the amount of the loan forgiven exceeds $250,000; ~~and minus:~~

(5) For the taxable year beginning on or before January 1, 2025, the amount of any income, deduction, or allowance that would be subject to federal income tax but for the Congressional enactment of the One Big Beautiful Bill Act or any other similar Congressional enactment. The

enactment of the One Big Beautiful Bill Act or any other similar Congressional enactment and any Internal Revenue Service changes to forms, regulations, and/or processing which go into effect during the current tax year or within six (6) months of the beginning of the next tax year shall be deemed grounds for the promulgation of emergency rules and regulations under § 42-35-2.10 to effectuate the purpose of preserving the Rhode Island tax base under Rhode Island law with respect to the One Big Beautiful Bill Act or any other similar Congressional enactment;

(6) For any taxable year beginning on or after January 1, 2026, the amount of the deduction taken for domestic research and experimental expenditures under 26 U.S.C. § 174A less the amount of the deduction that would have been allowed as a deduction for domestic research and experimental expenditures under 26 U.S.C. § 174 immediately prior to the enactment of H.R.1 (Pub. L. 119-21);

(7) For any taxable year beginning on or after January 1, 2027, the amount of any deduction allowable for depreciation, amortization, or depletion pursuant to 26 U.S.C. § 163(j)(8)(A)(v); and

(8) For any taxable year beginning on or after January 1, 2027, the amount excluded from income pursuant to 26 U.S.C. § 1202.

(c) Deductions reducing taxable income. There shall be subtracted from taxable income:

~~(v)~~(1) Interest on obligations of the United States or its possessions, and other interest exempt from taxation by this state;

~~(vi)~~(2) The federal net operating loss deduction;

~~(vii)~~(3) For any taxable year beginning on or after January 1, 2025, in the case of a taxpayer that is licensed in accordance with chapters 28.6 and/or 28.11 of title 21, the amount equal to any expenditure that is eligible to be claimed as a federal income tax deduction but is disallowed under 26 U.S.C. § 280E; and

~~(viii) For the taxable year beginning on or before January 1, 2025, the amount of any income, deduction, or allowance that would be subject to federal income tax but for the Congressional enactment of the One Big Beautiful Bill Act or any other similar Congressional enactment. The enactment of the One Big Beautiful Bill Act or any other similar Congressional enactment and any Internal Revenue Service changes to forms, regulations, and/or processing which go into effect during the current tax year or within six (6) months of the beginning of the next tax year shall be deemed grounds for the promulgation of emergency rules and regulations under § 42-35-2.10 to effectuate the purpose of preserving the Rhode Island tax base under Rhode Island law with respect to the One Big Beautiful Bill Act or any other similar Congressional enactment.~~

(4) For any taxable year beginning on or after January 1, 2026, the amount as determined

by the tax administrator required to be added back in a prior year that would have been allowed under 26 U.S.C. § 174A as enacted in H.R.1 (Pub. L. 119-21) on July 4, 2025, but would not have been allowed as a deduction under 26 U.S.C. § 174 immediately prior to its enactment. At no time may the cumulative modification amount for each amortized expenditure exceed one hundred percent (100%) of said expenditure's expense amount.

~~(2)~~(d) All binding federal elections made by or on behalf of the taxpayer applicable either directly or indirectly to the determination of taxable income shall be binding on the taxpayer except where this chapter or its attendant regulations specifically modify or provide otherwise. Rhode Island taxable income shall not include the "gross-up of dividends" required by the federal Internal Revenue Code to be taken into taxable income in connection with the taxpayer's election of the foreign tax credit.

~~(b)~~(e) A net operating loss deduction shall be allowed, which shall be the same as the net operating loss deduction allowed under 26 U.S.C. § 172, except that:

(1) Any net operating loss included in determining the deduction shall be adjusted to reflect the inclusions and exclusions from entire net income required by subsection (a) of this section and § 44-11-11.1;

(2) The deduction shall not include any net operating loss sustained during any taxable year in which the taxpayer was not subject to the tax imposed by this chapter; and

(3) Limitation on 26 U.S.C. § 172 deduction.

(i) The deduction shall not exceed the deduction for the taxable year allowable under 26 U.S.C. § 172; provided, that the deduction for a taxable year may not be carried back to any other taxable year for Rhode Island purposes but shall only be allowable on a carry forward basis for the five (5) succeeding taxable years; and

(ii) For any taxable year beginning on or after January 1, 2025, the deduction shall not exceed the deduction for the taxable year allowable under 26 U.S.C. § 172; provided that, the deduction for a taxable year may not be carried back to any other taxable year for Rhode Island purposes, but shall only be allowable on a carry forward basis for the twenty (20) succeeding taxable years.

~~(c)~~(f) "Domestic international sales corporations" (referred to as DISCs), for the purposes of this chapter, will be treated as they are under federal income tax law and shall not pay the amount of the tax computed under § 44-11-2(a). Any income to shareholders of DISCs is to be treated in the same manner as it is treated under federal income tax law as it exists on December 31, 1984.

~~(d)~~(g) A corporation that qualifies as a "foreign sales corporation" (FSC) under the provisions of subchapter N, 26 U.S.C. § 861 et seq., and that has in effect for the entire taxable year a valid election under federal law to be treated as a FSC, shall not pay the amount of the tax computed under § 44-11-2(a). Any income to shareholders of FSCs is to be treated in the same manner as it is treated under federal income tax law as it exists on January 1, 1985.

~~(e)~~(h) For purposes of a corporation's state tax liability, any deduction to income allowable under 26 U.S.C. § 1400Z-2(c) may be claimed in the case of any investment held by the taxpayer for at least seven years. The division of taxation shall promulgate, in its discretion, rules and regulations relative to the accelerated application of deductions under 26 U.S.C. § 1400Z-2(c).

SECTION 3. Sections 44-20-1, 44-20-4.1 and 44-20-8.2 of the General Laws in Chapter 44-20 entitled "Cigarette, Other Tobacco Products, and Electronic Nicotine-Delivery System Products" are hereby amended to read as follows:

44-20-1. Definitions.

Whenever used in this chapter, unless the context requires otherwise:

(1) "Administrator" means the tax administrator.

(2) "Cigarettes" means and includes any cigarettes suitable for smoking in cigarette form, "heat not burn products," and each sheet of cigarette rolling paper, including but not limited to, paper made into a hollow cylinder or cone, made with paper or any other material, with or without a filter suitable for use in making cigarettes.

(3) "Dealer" means any person whether located within or outside of this state, who sells or distributes cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products to a consumer in this state.

(4) "Distributor" means any person:

(i) Whether located within or outside of this state, other than a dealer, who sells or distributes cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products within or into this state. Such term shall not include any cigarette or other tobacco product manufacturer, export warehouse proprietor, or importer with a valid permit under 26 U.S.C. § 5712, if such person sells or distributes cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products in this state only to licensed distributors, or to an export warehouse proprietor or another manufacturer with a valid permit under 26 U.S.C. § 5712;

(ii) Selling cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products directly to purchasers in this state by means of at least twenty-five (25) vending machines;

(iii) Engaged in this state in the business of manufacturing cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products or any person engaged in the business of selling cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products to dealers, or to other persons, for the purpose of resale only; provided, that seventy-five percent (75%) of all cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products sold by that person in this state are sold to dealers or other persons for resale and selling cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products directly to at least forty (40) dealers or other persons for resale; ~~or~~

(iv) Maintaining one or more regular places of business in this state for that purpose; provided, that seventy-five percent (75%) of the sold cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products are purchased directly from the manufacturer and selling cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products directly to at least forty (40) dealers or other persons for resale; or

(v) Engaged in this state as a dealer and whose annual business sales of cigars are greater than fifty percent (50%) of their sales.

(5) “Electronic nicotine-delivery system” means an electronic device that may be used to simulate smoking in the delivery of nicotine or other substance to a person inhaling from the device, and includes, but is not limited to, an electronic cigarette, electronic cigar, electronic cigarillo, electronic little cigars, electronic pipe, electronic hookah, e-liquids, e-liquid products, or any related device and any cartridge or other component of such device.

(6) “Electronic nicotine-delivery system products” means any combination of electronic nicotine-delivery system and/or e-liquid and/or any derivative thereof, and/or any e-liquid container. Electronic nicotine-delivery system products shall include hemp-derived consumable CBD products as defined in § 2-26-3.

(7) “E-liquid” and “e-liquid products” mean any liquid or substance placed in or sold for use in an electronic nicotine-delivery system that generally utilizes a heating element that aerosolizes, vaporizes, or combusts a liquid or other substance containing nicotine or nicotine derivative:

(i) Whether the liquid or substance contains nicotine or a nicotine derivative; or

(ii) Whether sold separately or sold in combination with a personal vaporizer, electronic nicotine-delivery system, or an electronic inhaler.

(8) “Importer” means any person who imports into the United States, either directly or indirectly, a finished cigarette or other tobacco product and/or electronic nicotine-delivery system product for sale or distribution.

(9) “Licensed,” when used with reference to a manufacturer, importer, distributor, or dealer, means only those persons who hold a valid and current license issued under § 44-20-2 for the type of business being engaged in. When the term “licensed” is used before a list of entities,

such as “licensed manufacturer, importer, wholesale dealer, or retailer dealer,” such term shall be deemed to apply to each entity in such list.

(10) “Manufacturer” means any person who manufactures, fabricates, assembles, processes, or labels a finished cigarette and/or other tobacco products and/or electronic nicotine-delivery system products.

(11) “Other tobacco products” (OTP) means any products that are made from or derived from tobacco or that contain nicotine, whether natural or artificial, including, but not limited to, cigars (excluding Little Cigars, as defined in § 44-20.2-1, which are subject to cigarette tax), cheroots, stogies, smoking tobacco (including granulated, plug cut, crimp cut, ready rubbed and any other kinds and forms of tobacco suitable for smoking in a pipe or otherwise), chewing tobacco (including Cavendish, twist, plug, scrap and any other kinds and forms of tobacco suitable for chewing), any and all forms of hookah, shisha and “mu’assel” tobacco, snuff, and shall include any other articles or products made of, derived from, or containing tobacco or nicotine, in whole or in part, or any tobacco or nicotine substitute, except cigarettes and electronic nicotine-delivery system products. Other tobacco products shall not mean any product that has been approved by the United States Food and Drug Administration for the sale of or use as a tobacco or nicotine cessation product or for other medical purposes and is marketed and sold or prescribed exclusively for that approved purpose.

(12) “Person” means any individual, including an employee or agent, firm, fiduciary, partnership, corporation, trust, or association, however formed.

(13) “Pipe” means an apparatus made of any material used to burn or vaporize products so that the smoke or vapors can be inhaled or ingested by the user.

(14) “Place of business” means any location where cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products are sold, stored, or kept, including, but not limited to; any storage room, attic, basement, garage or other facility immediately adjacent to the location. It also includes any receptacle, hide, vessel, vehicle, airplane, train, or vending machine.

(15) “Sale” or “sell” means gifts, exchanges, and barter of cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products. The act of holding, storing, or keeping cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products at a place of business for any purpose shall be presumed to be holding the cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products for sale. Furthermore, any sale of cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products by the servants, employees, or agents of the licensed dealer during business hours at the place of business shall be presumed to be a sale by the licensee.

(16) "Stamp" means the impression, device, stamp, label, or print manufactured, printed, or made as prescribed by the administrator to be affixed to packages of cigarettes, as evidence of the payment of the tax provided by this chapter or to indicate that the cigarettes are intended for a sale or distribution in this state that is exempt from state tax under the provisions of state law; and also includes impressions made by metering machines authorized to be used under the provisions of this chapter.

44-20-8.2. Transactions only with licensed manufacturers, importers, distributors, and dealers.

A manufacturer or importer may sell or distribute cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products to a person located or doing business within this state, only if such person is a licensed importer or distributor. An importer may obtain cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products only from a licensed manufacturer. A distributor may sell or distribute cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products to a person located or doing business within this state, only if such person is a licensed distributor or dealer. A distributor may obtain cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products only from a licensed manufacturer, importer, or distributor. A dealer may obtain cigarettes and/or other tobacco products and/or electronic nicotine-delivery system products only from a licensed distributor.

Provided, however, this section shall not apply to cigars. Provided, further, a distributor who qualifies for a license under § 44-20-1(4)(v) may also obtain pipe tobacco products from an unlicensed manufacturer, importer, or distributor.

44-20-4.1. License availability.

(a) No license under this chapter may be granted, maintained, or renewed if the applicant, or any combination of persons owning directly or indirectly any interests in the applicant:

(1) Owes five hundred dollars ($500) or more in delinquent taxes;

(2) Is delinquent in any tax filings for one month or more;

(3) Had a license under this chapter revoked by the administrator within the past two (2) years;

(4) Has been convicted of a crime relating to cigarettes and/or other tobacco products and/or any electronic nicotine-delivery system products;

(5) Is a cigarette manufacturer or importer that is neither: (i) A participating manufacturer as defined in subsection II (jj) of the "Master Settlement Agreement" as defined in § 23-71-2; nor (ii) In full compliance with chapter 20.2 of this title and § 23-71-3;

(6) Has imported, or caused to be imported, into the United States any cigarette and/or

other tobacco product and/or electronic nicotine-delivery system products in violation of 19 U.S.C. § 1681a or any other state or federal law; or

(7) Has imported, or caused to be imported into the United States, or manufactured for sale or distribution in the United States any cigarette that does not fully comply with the Federal Cigarette Labeling and Advertising Act (15 U.S.C. § 1331 et seq.).

(b)(1) No person shall apply for a new license or permit (as defined in § 44-19-1) or renewal of a license or permit, and no license or permit shall be issued or renewed for any applicant, or any combination of persons owning directly or indirectly any interests in the applicant, unless all outstanding fines, fees, or other charges relating to any license or permit held by the applicant, or any combination of persons owning directly or indirectly any interests in the applicant, as well as any other tax obligations of the applicant, or any combination of persons owning directly or indirectly any interests in the applicant have been paid.

(2) No license or permit shall be issued relating to a business until all prior licenses or permits relating to that business or to that location have been officially terminated and all fines, fees, or charges relating to the prior license or permit have been paid or otherwise resolved or the administrator has found that the person applying for the new license or permit is not acting as an agent for the prior licensee or permit holder who is subject to any such related fines, fees, or charges that are still due. Evidence of such agency status includes, but is not limited to, a direct familial relationship and/or an employment, contractual, or other formal financial or business relationship with the prior licensee or permit holder.

(3) No person shall apply for a new license or permit pertaining to a specific location in order to evade payment of any fines, fees, or other charges relating to a prior license or permit.

(4) No new license or permit shall be issued for a business at a specific location for which a license or permit already has been issued unless there is a bona fide, good-faith change in ownership of the business at that location. A distributor who qualifies for a license under § 44-20-1(4)(v) may hold said license at the same location as its dealer's license.

(5) No license or permit shall be issued, renewed, or maintained for any person, including the owners of the business being licensed or having applied and received a permit, that has been convicted of violating any criminal law relating to tobacco products, the payment of taxes, or fraud or has been ordered to pay civil fines of more than twenty-five thousand dollars ($25,000) for violations of any civil law relating to tobacco products, the payment of taxes, or fraud.

SECTION 4. Chapter 44-30 of the General Laws entitled "Personal Income Tax" is hereby amended by adding thereto the following section:

44-30-104. Child Tax Credit.

(a) Definitions. As used in this section:

(1) “Child” means an individual who is eighteen years of age or under as of December 31 of the tax year.

(2) “Eligible taxpayer” means any natural person or persons domiciled in this state who filed a Rhode Island state personal income tax return for the tax year.

(b) Child Tax Credit. For tax years beginning on or after January 1, 2027, a tax credit in the amount of three hundred thirty dollars ($330) shall be allowed for each claimed child on the resident tax return of the eligible taxpayer.

(c) Child Tax Credit Phase Out

(1) In the case of any eligible taxpayer filing a return as a single, married filing separately, head of household, or qualifying widow/widower taxpayer whose adjusted gross income, as modified pursuant to § 44-30-12, for the taxable year beginning on or after January 1, 2027, exceeds eighty-eight thousand five hundred dollars ($88,500), the credit amount shall be reduced by the applicable percentage. The term “applicable percentage” for purposes of this subsection means twenty (20) percentage points for each two thousand eight hundred seventy-five ($2,875) (or fraction thereof) by which the eligible taxpayer’s adjusted gross income for the taxable year exceeds eighty-eight thousand five hundred dollars ($88,500).

(2) In the case of any eligible taxpayer filing a return as married filing jointly taxpayer whose adjusted gross income, as modified pursuant to § 44-30-12, for the taxable year beginning on or after January 1, 2027, exceeds one hundred ten thousand six hundred forty dollars ($110,640), the credit amount shall be reduced by the applicable percentage. The term “applicable percentage” for purposes of this subsection means twenty (20) percentage points for each three thousand five hundred ninety dollars ($3,590) (or fraction thereof) by which the eligible taxpayer’s adjusted gross income for the taxable year exceeds one hundred ten thousand six hundred forty dollars ($110,640).

(d) Adjustment for inflation. The dollar amounts contained in subsections (b) and (c) of this section shall be increased annually by an amount equal to:

(I) Such dollar amounts contained in subsections (b) and (c) of this section adjusted for inflation using a base tax year of 2026, multiplied by;

(II) The cost-of-living adjustment with a base year of 2026.

(III) For the purposes of this section, the cost-of-living adjustment for any calendar year is the percentage (if any) by which the consumer price index for the preceding calendar year exceeds the consumer price index for the base year. The consumer price index for any calendar year is the average of the consumer price index as of the close of the twelve-month (12) period ending on August 31, of such calendar year.

(IV) For the purpose of this section the term “consumer price index” means the last consumer price index for all urban consumers published by the department of labor. For the purpose of this section the revision of the consumer price index that is most consistent with the consumer price index for calendar year 1986 shall be used.

(V) If any increase determined under this section is not a multiple of five dollars ($5.00), such increase shall be rounded to the next lower multiple of five dollars ($5.00).

SECTION 5. Sections 44-30-2.6 and 44-30-12 of the General Laws in Chapter 44-30 entitled "Personal Income Tax" are hereby amended to read as follows:

44-30-2.6. Rhode Island taxable income — Rate of tax.

(a) “Rhode Island taxable income” means federal taxable income as determined under the Internal Revenue Code, 26 U.S.C. § 1 et seq., not including the increase in the basic, standard-deduction amount for married couples filing joint returns as provided in the Jobs and Growth Tax Relief Reconciliation Act of 2003 and the Economic Growth and Tax Relief Reconciliation Act of 2001 (EGTRRA), and as modified by the modifications in § 44-30-12.

(b) Notwithstanding the provisions of §§ 44-30-1 and 44-30-2, for tax years beginning on or after January 1, 2001, a Rhode Island personal income tax is imposed upon the Rhode Island taxable income of residents and nonresidents, including estates and trusts, at the rate of twenty-five and one-half percent (25.5%) for tax year 2001, and twenty-five percent (25%) for tax year 2002 and thereafter of the federal income tax rates, including capital gains rates and any other special rates for other types of income, except as provided in § 44-30-2.7, which were in effect immediately prior to enactment of the Economic Growth and Tax Relief Reconciliation Act of 2001 (EGTRRA); provided, rate schedules shall be adjusted for inflation by the tax administrator beginning in taxable year 2002 and thereafter in the manner prescribed for adjustment by the commissioner of Internal Revenue in 26 U.S.C. § 1(f). However, for tax years beginning on or after January 1, 2006, a taxpayer may elect to use the alternative flat tax rate provided in § 44-30-2.10 to calculate his or her personal income tax liability.

(c) For tax years beginning on or after January 1, 2001, if a taxpayer has an alternative minimum tax for federal tax purposes, the taxpayer shall determine if he or she has a Rhode Island alternative minimum tax. The Rhode Island alternative minimum tax shall be computed by multiplying the federal tentative minimum tax without allowing for the increased exemptions under the Jobs and Growth Tax Relief Reconciliation Act of 2003 (as redetermined on federal form 6251 Alternative Minimum Tax-Individuals) by twenty-five and one-half percent (25.5%) for tax year 2001, and twenty-five percent (25%) for tax year 2002 and thereafter, and comparing the product to the Rhode Island tax as computed otherwise under this section. The excess shall be the taxpayer’s

Rhode Island alternative minimum tax.

(1) For tax years beginning on or after January 1, 2005, and thereafter, the exemption amount for alternative minimum tax, for Rhode Island purposes, shall be adjusted for inflation by the tax administrator in the manner prescribed for adjustment by the commissioner of Internal Revenue in 26 U.S.C. § 1(f).

(2) For the period January 1, 2007, through December 31, 2007, and thereafter, Rhode Island taxable income shall be determined by deducting from federal adjusted gross income as defined in 26 U.S.C. § 62 as modified by the modifications in § 44-30-12 the Rhode Island itemized-deduction amount and the Rhode Island exemption amount as determined in this section.

(A) **Tax imposed.**

(1) There is hereby imposed on the taxable income of married individuals filing joint returns and surviving spouses a tax determined in accordance with the following table:

If taxable income is:	The tax is:
Not over $53,150	3.75% of taxable income
Over $53,150 but not over $128,500	$1,993.13 plus 7.00% of the excess over $53,150
Over $128,500 but not over $195,850	$7,267.63 plus 7.75% of the excess over $128,500
Over $195,850 but not over $349,700	$12,487.25 plus 9.00% of the excess over $195,850
Over $349,700	$26,333.75 plus 9.90% of the excess over $349,700

(2) There is hereby imposed on the taxable income of every head of household a tax determined in accordance with the following table:

If taxable income is:	The tax is:
Not over $42,650	3.75% of taxable income
Over $42,650 but not over $110,100	$1,599.38 plus 7.00% of the excess over $42,650
Over $110,100 but not over $178,350	$6,320.88 plus 7.75% of the excess over $110,100
Over $178,350 but not over $349,700	$11,610.25 plus 9.00% of the excess over $178,350
Over $349,700	$27,031.75 plus 9.90% of the excess over $349,700

(3) There is hereby imposed on the taxable income of unmarried individuals (other than surviving spouses and heads of households) a tax determined in accordance with the following table:

If taxable income is:	The tax is:
Not over $31,850	3.75% of taxable income
Over $31,850 but not over $77,100	$1,194.38 plus 7.00% of the excess over $31,850
Over $77,100 but not over $160,850	$4,361.88 plus 7.75% of the excess over $77,100
Over $160,850 but not over $349,700	$10,852.50 plus 9.00% of the excess over $160,850

Over $349,700	$27,849.00 plus 9.90% of the excess over $349,700

(4) There is hereby imposed on the taxable income of married individuals filing separate returns and bankruptcy estates a tax determined in accordance with the following table:

If taxable income is:	The tax is:
Not over $26,575	3.75% of taxable income
Over $26,575 but not over $64,250	$996.56 plus 7.00% of the excess over $26,575
Over $64,250 but not over $97,925	$3,633.81 plus 7.75% of the excess over $64,250
Over $97,925 but not over $174,850	$6,243.63 plus 9.00% of the excess over $97,925
Over $174,850	$13,166.88 plus 9.90% of the excess over $174,850

(5) There is hereby imposed a taxable income of an estate or trust a tax determined in accordance with the following table:

If taxable income is:	The tax is:
Not over $2,150	3.75% of taxable income
Over $2,150 but not over $5,000	$80.63 plus 7.00% of the excess over $2,150
Over $5,000 but not over $7,650	$280.13 plus 7.75% of the excess over $5,000
Over $7,650 but not over $10,450	$485.50 plus 9.00% of the excess over $7,650
Over $10,450	$737.50 plus 9.90% of the excess over $10,450

(6) Adjustments for inflation.

The dollars amount contained in paragraph (A) shall be increased by an amount equal to:

(a) Such dollar amount contained in paragraph (A) in the year 1993, multiplied by;

(b) The cost-of-living adjustment determined under section (J) with a base year of 1993;

(c) The cost-of-living adjustment referred to in subparagraphs (a) and (b) used in making adjustments to the nine percent (9%) and nine and nine tenths percent (9.9%) dollar amounts shall be determined under section (J) by substituting “1994” for “1993.”

(B) **Maximum capital gains rates.**

(1) In general.

If a taxpayer has a net capital gain for tax years ending prior to January 1, 2010, the tax imposed by this section for such taxable year shall not exceed the sum of:

(a) 2.5% of the net capital gain as reported for federal income tax purposes under section 26 U.S.C. § 1(h)(1)(a) and 26 U.S.C. § 1(h)(1)(b).

(b) 5% of the net capital gain as reported for federal income tax purposes under 26 U.S.C. § 1(h)(1)(c).

(c) 6.25% of the net capital gain as reported for federal income tax purposes under 26 U.S.C. § 1(h)(1)(d).

(d) 7% of the net capital gain as reported for federal income tax purposes under 26 U.S.C. § 1(h)(1)(e).

(2) For tax years beginning on or after January 1, 2010, the tax imposed on net capital gain shall be determined under subdivision 44-30-2.6(c)(2)(A).

(C) **Itemized deductions.**

(1) In general.

For the purposes of section (2), "itemized deductions" means the amount of federal itemized deductions as modified by the modifications in § 44-30-12.

(2) Individuals who do not itemize their deductions.

In the case of an individual who does not elect to itemize his deductions for the taxable year, they may elect to take a standard deduction.

(3) Basic standard deduction.

The Rhode Island standard deduction shall be allowed in accordance with the following table:

Filing status	Amount
Single	$5,350
Married filing jointly or qualifying widow(er)	$8,900
Married filing separately	$4,450
Head of Household	$7,850

(4) Additional standard deduction for the aged and blind.

An additional standard deduction shall be allowed for individuals age sixty-five (65) or older or blind in the amount of $1,300 for individuals who are not married and $1,050 for individuals who are married.

(5) Limitation on basic standard deduction in the case of certain dependents.

In the case of an individual to whom a deduction under section (E) is allowable to another taxpayer, the basic standard deduction applicable to such individual shall not exceed the greater of:

(a) $850;

(b) The sum of $300 and such individual's earned income;

(6) Certain individuals not eligible for standard deduction.

In the case of:

(a) A married individual filing a separate return where either spouse itemizes deductions;

(b) Nonresident alien individual;

(c) An estate or trust;

The standard deduction shall be zero.

(7) Adjustments for inflation.

Each dollar amount contained in paragraphs (3), (4) and (5) shall be increased by an amount equal to:

(a) Such dollar amount contained in paragraphs (3), (4) and (5) in the year 1988, multiplied by

(b) The cost-of-living adjustment determined under section (J) with a base year of 1988.

(D) **Overall limitation on itemized deductions.**

(1) General rule.

In the case of an individual whose adjusted gross income as modified by § 44-30-12 exceeds the applicable amount, the amount of the itemized deductions otherwise allowable for the taxable year shall be reduced by the lesser of:

(a) Three percent (3%) of the excess of adjusted gross income as modified by § 44-30-12 over the applicable amount; or

(b) Eighty percent (80%) of the amount of the itemized deductions otherwise allowable for such taxable year.

(2) Applicable amount.

(a) In general.

For purposes of this section, the term "applicable amount" means $156,400 ($78,200 in the case of a separate return by a married individual)

(b) Adjustments for inflation.

Each dollar amount contained in paragraph (a) shall be increased by an amount equal to:

(i) Such dollar amount contained in paragraph (a) in the year 1991, multiplied by

(ii) The cost-of-living adjustment determined under section (J) with a base year of 1991.

(3) Phase-out of Limitation.

(a) In general.

In the case of taxable year beginning after December 31, 2005, and before January 1, 2010, the reduction under section (1) shall be equal to the applicable fraction of the amount which would be the amount of such reduction.

(b) Applicable fraction.

For purposes of paragraph (a), the applicable fraction shall be determined in accordance with the following table:

For taxable years beginning in calendar year	The applicable fraction is
2006 and 2007	⅔
2008 and 2009	⅓

(E) **Exemption amount.**

(1) In general.

Except as otherwise provided in this subsection, the term “exemption amount” means $3,400.

(2) Exemption amount disallowed in case of certain dependents.

In the case of an individual with respect to whom a deduction under this section is allowable to another taxpayer for the same taxable year, the exemption amount applicable to such individual for such individual's taxable year shall be zero.

(3) Adjustments for inflation.

The dollar amount contained in paragraph (1) shall be increased by an amount equal to:

(a) Such dollar amount contained in paragraph (1) in the year 1989, multiplied by

(b) The cost-of-living adjustment determined under section (J) with a base year of 1989.

(4) Limitation.

(a) In general.

In the case of any taxpayer whose adjusted gross income as modified for the taxable year exceeds the threshold amount shall be reduced by the applicable percentage.

(b) Applicable percentage.

In the case of any taxpayer whose adjusted gross income for the taxable year exceeds the threshold amount, the exemption amount shall be reduced by two (2) percentage points for each $2,500 (or fraction thereof) by which the taxpayer’s adjusted gross income for the taxable year exceeds the threshold amount. In the case of a married individual filing a separate return, the preceding sentence shall be applied by substituting “$1,250” for “$2,500.” In no event shall the applicable percentage exceed one hundred percent (100%).

(c) Threshold Amount.

For the purposes of this paragraph, the term ‘‘threshold amount’’ shall be determined with the following table:

Filing status	Amount
Single	$156,400
Married filing jointly of qualifying widow(er)	$234,600
Married filing separately	$117,300
Head of Household	$195,500

(d) Adjustments for inflation.

Each dollar amount contained in paragraph (b) shall be increased by an amount equal to:

(i) Such dollar amount contained in paragraph (b) in the year 1991, multiplied by

(ii) The cost-of-living adjustment determined under section (J) with a base year of 1991.

(5) Phase-out of limitation.

(a) In general.

In the case of taxable years beginning after December 31, 2005, and before January 1, 2010, the reduction under section 4 shall be equal to the applicable fraction of the amount which would be the amount of such reduction.

(b) Applicable fraction.

For the purposes of paragraph (a), the applicable fraction shall be determined in accordance with the following table:

For taxable years beginning in calendar year	The applicable fraction is
2006 and 2007	⅔
2008 and 2009	⅓

(F) **Alternative minimum tax.**

(1) General rule. There is hereby imposed (in addition to any other tax imposed by this subtitle) a tax equal to the excess (if any) of:

(a) The tentative minimum tax for the taxable year, over

(b) The regular tax for the taxable year.

(2) The tentative minimum tax for the taxable year is the sum of:

(a) 6.5 percent of so much of the taxable excess as does not exceed $175,000, plus

(b) 7.0 percent of so much of the taxable excess above $175,000.

(3) The amount determined under the preceding sentence shall be reduced by the alternative minimum tax foreign tax credit for the taxable year.

(4) Taxable excess. For the purposes of this subsection the term “taxable excess” means so much of the federal alternative minimum taxable income as modified by the modifications in § 44-30-12 as exceeds the exemption amount.

(5) In the case of a married individual filing a separate return, subparagraph (2) shall be applied by substituting “$87,500” for $175,000 each place it appears.

(6) Exemption amount.

For purposes of this section "exemption amount" means:

Filing status	Amount
Single	$39,150
Married filing jointly or qualifying widow(er)	$53,700
Married filing separately	$26,850
Head of Household	$39,150

Estate or trust	$24,650

(7) Treatment of unearned income of minor children

(a) In general.

In the case of a minor child, the exemption amount for purposes of section (6) shall not exceed the sum of:

(i) Such child's earned income, plus

(ii) $6,000.

(8) Adjustments for inflation.

The dollar amount contained in paragraphs (6) and (7) shall be increased by an amount equal to:

(a) Such dollar amount contained in paragraphs (6) and (7) in the year 2004, multiplied by

(b) The cost-of-living adjustment determined under section (J) with a base year of 2004.

(9) Phase-out.

(a) In general.

The exemption amount of any taxpayer shall be reduced (but not below zero) by an amount equal to twenty-five percent (25%) of the amount by which alternative minimum taxable income of the taxpayer exceeds the threshold amount.

(b) Threshold amount.

For purposes of this paragraph, the term "threshold amount" shall be determined with the following table:

Filing status	Amount
Single	$123,250
Married filing jointly or qualifying widow(er)	$164,350
Married filing separately	$82,175
Head of Household	$123,250
Estate or Trust	$82,150

(c) Adjustments for inflation

Each dollar amount contained in paragraph (9) shall be increased by an amount equal to:

(i) Such dollar amount contained in paragraph (9) in the year 2004, multiplied by

(ii) The cost-of-living adjustment determined under section (J) with a base year of 2004.

(G) **Other Rhode Island taxes.**

(1) General rule. There is hereby imposed (in addition to any other tax imposed by this subtitle) a tax equal to twenty-five percent (25%) of:

(a) The Federal income tax on lump-sum distributions.

(b) The Federal income tax on parents' election to report child's interest and dividends.

(c) The recapture of Federal tax credits that were previously claimed on Rhode Island return.

(H) **Tax for children under 18 with investment income.**

(1) General rule. There is hereby imposed a tax equal to twenty-five percent (25%) of:

(a) The Federal tax for children under the age of 18 with investment income.

(I) **Averaging of farm income.**

(1) General rule. At the election of an individual engaged in a farming business or fishing business, the tax imposed in section 2 shall be equal to twenty-five percent (25%) of:

(a) The Federal averaging of farm income as determined in IRC section 1301 [26 U.S.C. § 1301].

(J) **Cost-of-living adjustment.**

(1) In general.

The cost-of-living adjustment for any calendar year is the percentage (if any) by which:

(a) The CPI for the preceding calendar year exceeds

(b) The CPI for the base year.

(2) CPI for any calendar year.

For purposes of paragraph (1), the CPI for any calendar year is the average of the consumer price index as of the close of the twelve (12) month period ending on August 31 of such calendar year.

(3) Consumer price index.

For purposes of paragraph (2), the term “consumer price index” means the last consumer price index for all urban consumers published by the department of labor. For purposes of the preceding sentence, the revision of the consumer price index that is most consistent with the consumer price index for calendar year 1986 shall be used.

(4) Rounding.

(a) In general.

If any increase determined under paragraph (1) is not a multiple of $50, such increase shall be rounded to the next lowest multiple of $50.

(b) In the case of a married individual filing a separate return, subparagraph (a) shall be applied by substituting “$25” for $50 each place it appears.

(K) **Credits against tax.** For tax years beginning on or after January 1, 2001, a taxpayer entitled to any of the following federal credits enacted prior to January 1, 1996, shall be entitled to a credit against the Rhode Island tax imposed under this section:

(1) [Deleted by P.L. 2007, ch. 73, art. 7, § 5.]

(2) Child and dependent care credit;

(3) General business credits;

(4) Credit for elderly or the disabled;

(5) Credit for prior year minimum tax;

(6) Mortgage interest credit;

(7) Empowerment zone employment credit;

(8) Qualified electric vehicle credit.

(L) **Credit against tax for adoption.** For tax years beginning on or after January 1, 2006, a taxpayer entitled to the federal adoption credit shall be entitled to a credit against the Rhode Island tax imposed under this section if the adopted child was under the care, custody, or supervision of the Rhode Island department of children, youth and families prior to the adoption.

(M) The credit shall be twenty-five percent (25%) of the aforementioned federal credits provided there shall be no deduction based on any federal credits enacted after January 1, 1996, including the rate reduction credit provided by the federal Economic Growth and Tax Reconciliation Act of 2001 (EGTRRA). In no event shall the tax imposed under this section be reduced to less than zero. A taxpayer required to recapture any of the above credits for federal tax purposes shall determine the Rhode Island amount to be recaptured in the same manner as prescribed in this subsection.

(N) **Rhode Island earned-income credit.**

(1) In general.

For tax years beginning before January 1, 2015, a taxpayer entitled to a federal earned-income credit shall be allowed a Rhode Island earned-income credit equal to twenty-five percent (25%) of the federal earned-income credit. Such credit shall not exceed the amount of the Rhode Island income tax.

For tax years beginning on or after January 1, 2015, and before January 1, 2016, a taxpayer entitled to a federal earned-income credit shall be allowed a Rhode Island earned-income credit equal to ten percent (10%) of the federal earned-income credit. Such credit shall not exceed the amount of the Rhode Island income tax.

For tax years beginning on or after January 1, 2016, a taxpayer entitled to a federal earned-income credit shall be allowed a Rhode Island earned-income credit equal to twelve and one-half percent (12.5%) of the federal earned-income credit. Such credit shall not exceed the amount of the Rhode Island income tax.

For tax years beginning on or after January 1, 2017, a taxpayer entitled to a federal earned-income credit shall be allowed a Rhode Island earned-income credit equal to fifteen percent (15%) of the federal earned-income credit. Such credit shall not exceed the amount of the Rhode Island income tax.

For tax years beginning on or after January 1, 2024, a taxpayer entitled to a federal earned-income credit shall be allowed a Rhode Island earned-income credit equal to sixteen percent (16%) of the federal earned-income credit. Such credit shall not exceed the amount of the Rhode Island income tax.

(2) Refundable portion.

In the event the Rhode Island earned-income credit allowed under paragraph (N)(1) of this section exceeds the amount of Rhode Island income tax, a refundable earned-income credit shall be allowed as follows.

(i) For tax years beginning before January 1, 2015, for purposes of paragraph (2) refundable earned-income credit means fifteen percent (15%) of the amount by which the Rhode Island earned-income credit exceeds the Rhode Island income tax.

(ii) For tax years beginning on or after January 1, 2015, for purposes of paragraph (2) refundable earned-income credit means one hundred percent (100%) of the amount by which the Rhode Island earned-income credit exceeds the Rhode Island income tax.

(O) The tax administrator shall recalculate and submit necessary revisions to paragraphs (A) through (J) to the general assembly no later than February 1, 2010, and every three (3) years thereafter for inclusion in the statute.

(3) For the period January 1, 2011, through December 31, 2011, and thereafter, "Rhode Island taxable income" means federal adjusted gross income as determined under the Internal Revenue Code, 26 U.S.C. § 1 et seq., and as modified for Rhode Island purposes pursuant to § 44-30-12 less the amount of Rhode Island Basic Standard Deduction allowed pursuant to subparagraph 44-30-2.6(c)(3)(B), and less the amount of personal exemption allowed pursuant to subparagraph 44-30-2.6(c)(3)(C).

(A) **Tax imposed.**

(I) There is hereby imposed on the taxable income of married individuals filing joint returns, qualifying widow(er), every head of household, unmarried individuals, married individuals filing separate returns and bankruptcy estates, a tax determined in accordance with the following table:

(1)

RI Taxable Income		RI Income Tax	
Over	But not over	Pay + % on Excess	on the amount over

$ 0 -	$ 55,000	$ 0 + 3.75%	$ 0
55,000 -	125,000	2,063 + 4.75%	55,000
125,000 -		5,388 + 5.99%	125,000

(2) High-income surtax. (i) For tax years beginning on or after January 1, 2027, until the tax year beginning January 1, 2028, there is hereby imposed on the taxable income of married individuals filing joint returns, qualifying widow(er), every head of household, unmarried individuals, married individuals filing separate returns and bankruptcy estates, a tax at one percent (1%) of Rhode Island taxable income over one million dollars ($1,000,000).

(ii) For tax years beginning on or after January 1, 2028, until the tax year beginning January 1, 2029, there is hereby imposed on the taxable income of married individuals filing joint returns, qualifying widow(er), every head of household, unmarried individuals, married individuals filing separate returns and bankruptcy estates, a tax at two percent (2%) of Rhode Island taxable income over one million dollars ($1,000,000), as adjusted for inflation.

(iii) For tax years beginning on or after January 1, 2029, there is hereby imposed on the taxable income of married individuals filing joint returns, qualifying widow(er), every head of household, unmarried individuals, married individuals filing separate returns and bankruptcy estates, a tax at three percent (3%) of Rhode Island taxable income over one million dollars ($1,000,000), as adjusted for inflation.

(3) **Highest Rhode Island withholding tax rate provided for individuals.** For the purposes of this chapter, for tax years beginning on or after January 1, 2027, any reference to the highest Rhode Island withholding tax rate provided for individuals shall be the sum of the highest marginal tax rate in § 44-30-2.6(c)(3)(A)(I)(1) and the high-income surtax in § 44-30-2.6(c)(3)(A)(I)(2).

(4) **Personal income tax.** For the purposes of this title, any reference to personal income tax for individuals shall include the tax imposed in § 44-30-2.6(c)(3)(A)(I)(1) and the high-income surtax in § 44-30-2.6(c)(3)(A)(I)(2)

(II) There is hereby imposed on the taxable income of an estate or trust a tax determined in accordance with the following table:

(1)

RI Taxable Income		RI Income Tax	
Over	But not over	Pay + % on Excess	on the amount over
$ 0 -	$ 2,230	$ 0 + 3.75%	$ 0
2,230 -	7,022	84 + 4.75%	2,230
7,022 -		312 + 5.99%	7,022

(2) High-income surtax. (i) For tax years beginning on or after January 1, 2027, until the tax year beginning January 1, 2028, there is hereby imposed on the taxable income of an estate or trust, a tax at one percent (1%) of Rhode Island taxable income over thirty-six thousand four hundred twenty-seven dollars ($36,427).

(ii) For tax years beginning on or after January 1, 2028, until the tax year beginning January 1, 2029, there is hereby imposed on the taxable income of an estate or trust, a tax at two percent (2%) of Rhode Island taxable income over thirty-six thousand four hundred twenty-seven dollars ($36,427), as adjusted for inflation.

(iii) For tax years beginning on or after January 1, 2029, there is hereby imposed on the taxable income of an estate or trust, a tax at three percent (3%) of Rhode Island taxable income over thirty-six thousand four hundred twenty-seven dollars ($36,427), as adjusted for inflation.

(3) **Personal income tax.** For the purposes of this title, any reference to personal income tax for an estate or trust shall include the tax imposed in § 44-30-2.6(c)(3)(A)(II)(1) and the high-income surtax in § 44-30-2.6(c)(3)(A)(II)(2).

(B) **Deductions:**

(I) Rhode Island Basic Standard Deduction.

Only the Rhode Island standard deduction shall be allowed in accordance with the following table:

Filing status:	Amount
Single	$7,500
Married filing jointly or qualifying widow(er)	$15,000
Married filing separately	$7,500
Head of Household	$11,250

(II) Nonresident alien individuals, estates and trusts are not eligible for standard deductions.

(III) In the case of any taxpayer whose adjusted gross income, as modified for Rhode Island purposes pursuant to § 44-30-12, for the taxable year exceeds one hundred seventy-five thousand dollars ($175,000), the standard deduction amount shall be reduced by the applicable percentage. The term "applicable percentage" means twenty (20) percentage points for each five thousand dollars ($5,000) (or fraction thereof) by which the taxpayer's adjusted gross income for the taxable year exceeds one hundred seventy-five thousand dollars ($175,000).

(C) **Exemption Amount:**

(I) The term "exemption amount" means three thousand five hundred dollars ($3,500) multiplied by the number of exemptions allowed for the taxable year for federal income tax purposes. For tax years beginning on or after 2018, the term "exemption amount" means the same as it does in 26 U.S.C. § 151 and 26 U.S.C. § 152 just prior to the enactment of the Tax Cuts and Jobs Act (Pub. L. No. 115-97) on December 22, 2017.

(II) Exemption amount disallowed in case of certain dependents. In the case of an individual with respect to whom a deduction under this section is allowable to another taxpayer for the same taxable year, the exemption amount applicable to such individual for such individual's taxable year shall be zero.

(III) Identifying information required.

(1) Except as provided in § 44-30-2.6(c)(3)(C)(II) of this section, no exemption shall be allowed under this section with respect to any individual unless the Taxpayer Identification Number of such individual is included on the federal return claiming the exemption for the same tax filing period.

(2) Notwithstanding the provisions of § 44-30-2.6(c)(3)(C)(I) of this section, in the event that the Taxpayer Identification Number for each individual is not required to be included on the federal tax return for the purposes of claiming a personal exemption(s), then the Taxpayer Identification Number must be provided on the Rhode Island tax return for the purpose of claiming said exemption(s).

(D) In the case of any taxpayer whose adjusted gross income, as modified for Rhode Island purposes pursuant to § 44-30-12, for the taxable year exceeds one hundred seventy-five thousand dollars ($175,000), the exemption amount shall be reduced by the applicable percentage. The term "applicable percentage" means twenty (20) percentage points for each five thousand dollars ($5,000) (or fraction thereof) by which the taxpayer's adjusted gross income for the taxable year exceeds one hundred seventy-five thousand dollars ($175,000).

(E) **Adjustment for inflation.** The dollar amount contained in subparagraphs 44-30-2.6(c)(3)(A), 44-30-2.6(c)(3)(B) and 44-30-2.6(c)(3)(C) shall be increased annually by an amount equal to:

(I) Such dollar amount contained in subparagraphs 44-30-2.6(c)(3)(A), 44-30-2.6(c)(3)(B) and 44-30-2.6(c)(3)(C) adjusted for inflation using a base tax year of 2000, multiplied by;

(II) The cost-of-living adjustment with a base year of 2000.

(III) For tax years beginning on or after January 1, 2027, for §§ 44-30-2.6(c)(3)(A)(I)(2) and 44-30-2.6(c)(3)(A)(II)(2), the base tax year and the base year shall be 2026.

(IV) For the purposes of this section, the cost-of-living adjustment for any calendar year is the percentage (if any) by which the consumer price index for the preceding calendar year exceeds the consumer price index for the base year. The consumer price index for any calendar year is the average of the consumer price index as of the close of the twelve-month (12) period ending on August 31, of such calendar year.

~~(IV)~~(V) For the purpose of this section the term "consumer price index" means the last consumer price index for all urban consumers published by the department of labor. For the purpose of this section the revision of the consumer price index that is most consistent with the consumer price index for calendar year 1986 shall be used.

~~(V)~~(VI) If any increase determined under this section is not a multiple of fifty dollars ($50.00), such increase shall be rounded to the next lower multiple of fifty dollars ($50.00). In the case of a married individual filing separate return, if any increase determined under this section is not a multiple of twenty-five dollars ($25.00), such increase shall be rounded to the next lower multiple of twenty-five dollars ($25.00).

(F) **Credits against tax.**

(I) Notwithstanding any other provisions of Rhode Island Law, for tax years beginning on or after January 1, 2011, the only credits allowed against a tax imposed under this chapter shall be as follows:

(a) Rhode Island earned-income credit: Credit shall be allowed for earned-income credit pursuant to subparagraph 44-30-2.6(c)(2)(N).

(b) Property Tax Relief Credit: Credit shall be allowed for property tax relief as provided in § 44-33-1 et seq.

(c) Lead Paint Credit: Credit shall be allowed for residential lead abatement income tax credit as provided in § 44-30.3-1 et seq.

(d) Credit for income taxes of other states. Credit shall be allowed for income tax paid to other states pursuant to § 44-30-74.

(e) Historic Structures Tax Credit: Credit shall be allowed for historic structures tax credit as provided in § 44-33.2-1 et seq.

(f) Motion Picture Productions Tax Credit: Credit shall be allowed for motion picture production tax credit as provided in § 44-31.2-1 et seq.

(g) Child and Dependent Care: Credit shall be allowed for twenty-five percent (25%) of the federal child and dependent care credit allowable for the taxable year for federal purposes; provided, however, such credit shall not exceed the Rhode Island tax liability.

(h) Tax credits for contributions to Scholarship Organizations: Credit shall be allowed for contributions to scholarship organizations as provided in chapter 62 of title 44.

(i) Credit for tax withheld. Wages upon which tax is required to be withheld shall be taxable as if no withholding were required, but any amount of Rhode Island personal income tax actually deducted and withheld in any calendar year shall be deemed to have been paid to the tax administrator on behalf of the person from whom withheld, and the person shall be credited with having paid that amount of tax for the taxable year beginning in that calendar year. For a taxable year of less than twelve (12) months, the credit shall be made under regulations of the tax administrator.

(j) Stay Invested in RI Wavemaker Fellowship: Credit shall be allowed for stay invested in RI wavemaker fellowship program as provided in § 42-64.26-1 et seq.

(k) Rebuild Rhode Island: Credit shall be allowed for rebuild RI tax credit as provided in § 42-64.20-1 et seq.

(*l*) Rhode Island Qualified Jobs Incentive Program: Credit shall be allowed for Rhode Island new qualified jobs incentive program credit as provided in § 44-48.3-1 et seq.

(m) Historic homeownership assistance act: Effective for tax year 2017 and thereafter, unused carryforward for such credit previously issued shall be allowed for the historic homeownership assistance act as provided in § 44-33.1-4. This allowance is for credits already issued pursuant to § 44-33.1-4 and shall not be construed to authorize the issuance of new credits under the historic homeownership assistance act.

(n) Child tax credit: Effective for tax years beginning on or after January 1, 2027, credit shall be allowed for the child tax credit as provided in § 44-30-104.

(2) Except as provided in section 1 above, no other state and federal tax credit shall be available to the taxpayers in computing tax liability under this chapter.

44-30-12. Rhode Island income of a resident individual.

(a) **General.** The Rhode Island income of a resident individual means the individual's adjusted gross income for federal income tax purposes, with the modifications specified in this section.

(b) **Modifications increasing federal adjusted gross income.** There shall be added to federal adjusted gross income:

(1) Interest income on obligations of any state, or its political subdivisions, other than Rhode Island or its political subdivisions;

(2) Interest or dividend income on obligations or securities of any authority, commission, or instrumentality of the United States, but not of Rhode Island or its political subdivisions, to the extent exempted by the laws of the United States from federal income tax but not from state income taxes;

(3) The modification described in § 44-30-25(g);

(4)(i) The amount defined below of a nonqualified withdrawal made from an account in the tuition savings program pursuant to § 16-57-6.1. For purposes of this section, a nonqualified withdrawal is:

(A) A transfer or rollover to a qualified tuition program under Section 529 of the Internal Revenue Code, 26 U.S.C. § 529, other than to the tuition savings program referred to in § 16-57-6.1; and

(B) A withdrawal or distribution that is:

(I) Not applied on a timely basis to pay “qualified higher education expenses” as defined in § 16-57-3(12) of the beneficiary of the account from which the withdrawal is made;

(II) Not made for a reason referred to in § 16-57-6.1(e); or

(III) Not made in other circumstances for which an exclusion from tax made applicable by Section 529 of the Internal Revenue Code, 26 U.S.C. § 529, pertains if the transfer, rollover, withdrawal, or distribution is made within two (2) taxable years following the taxable year for which a contributions modification pursuant to subsection (c)(4) of this section is taken based on contributions to any tuition savings program account by the person who is the participant of the account at the time of the contribution, whether or not the person is the participant of the account at the time of the transfer, rollover, withdrawal, or distribution;

(ii) In the event of a nonqualified withdrawal under subsection (b)(4)(i)(A) or (b)(4)(i)(B) of this section, there shall be added to the federal adjusted gross income of that person for the taxable year of the withdrawal an amount equal to the lesser of:

(A) The amount equal to the nonqualified withdrawal reduced by the sum of any administrative fee or penalty imposed under the tuition savings program in connection with the nonqualified withdrawal plus the earnings portion thereof, if any, includible in computing the person’s federal adjusted gross income for the taxable year; and

(B) The amount of the person’s contribution modification pursuant to subsection (c)(4) of this section for the person’s taxable year of the withdrawal and the two (2) prior taxable years less the amount of any nonqualified withdrawal for the two (2) prior taxable years included in computing the person’s Rhode Island income by application of this subsection for those years. Any amount added to federal adjusted gross income pursuant to this subdivision shall constitute Rhode Island income for residents, nonresidents, and part-year residents;

(5) The modification described in § 44-30-25.1(d)(3)(i);

(6) The amount equal to any unemployment compensation received but not included in federal adjusted gross income;

(7) The amount equal to the deduction allowed for sales tax paid for a purchase of a qualified motor vehicle as defined by the Internal Revenue Code § 164(a)(6);

(8) For any taxable year beginning on or after January 1, 2020, the amount of any Paycheck Protection Program loan forgiven for federal income tax purposes as authorized by the Coronavirus Aid, Relief, and Economic Security Act and/or the Consolidated Appropriations Act, 2021 and/or any other subsequent federal stimulus relief packages enacted by law, to the extent that the amount of the loan forgiven exceeds $250,000, including an individual's distributive share of the amount of a pass-through entity's loan forgiveness in excess of $250,000; ~~and~~

(9) For the taxable year beginning on or before January 1, 2025, the amount of any income, deduction or allowance that would be subject to federal income tax but for the Congressional enactment of the One Big Beautiful Bill Act or any other similar Congressional enactment. The enactment of the One Big Beautiful Bill Act or any other similar Congressional enactment and any Internal Revenue Service changes to forms, regulations, and/or processing which go into effect during the current tax year or within six (6) months of the beginning of the next tax year shall be deemed grounds for the promulgation of emergency rules and regulations under § 42-35-2.10 to effectuate the purpose of preserving the Rhode Island tax base under Rhode Island law with respect to the One Big Beautiful Bill Act or any other similar Congressional enactment;

(10) For any taxable year beginning on or after January 1, 2026, the amount of the deduction taken for domestic research and experimental expenditures under 26 U.S.C. § 174A less the amount of the deduction that would have been allowed as a deduction for domestic research and experimental expenditures under 26 U.S.C. § 174 immediately prior to the enactment of H.R.1 (Pub. L. 119-21);

(11) For any taxable year beginning on or after January 1, 2027, the amount of any deduction allowable for depreciation, amortization, or depletion pursuant to 26 U.S.C. § 163(j)(8)(A)(v); and

(12) For any taxable year beginning on or after January 1, 2027, the amount excluded from income pursuant to 26 U.S.C. § 1202.

(c) **Modifications reducing federal adjusted gross income.** There shall be subtracted from federal adjusted gross income:

(1) Any interest income on obligations of the United States and its possessions to the extent includible in gross income for federal income tax purposes, and any interest or dividend income on obligations, or securities of any authority, commission, or instrumentality of the United States to the extent includible in gross income for federal income tax purposes but exempt from state income taxes under the laws of the United States; provided, that the amount to be subtracted shall in any case be reduced by any interest on indebtedness incurred or continued to purchase or carry obligations or securities the income of which is exempt from Rhode Island personal income tax, to

the extent the interest has been deducted in determining federal adjusted gross income or taxable income;

(2) A modification described in § 44-30-25(f) or § 44-30-1.1(c)(1);

(3) The amount of any withdrawal or distribution from the "tuition savings program" referred to in § 16-57-6.1 that is included in federal adjusted gross income, other than a withdrawal or distribution or portion of a withdrawal or distribution that is a nonqualified withdrawal;

(4) Contributions made to an account under the tuition savings program, including the "contributions carryover" pursuant to subsection (c)(4)(iv) of this section, if any, subject to the following limitations, restrictions, and qualifications:

(i) The aggregate subtraction pursuant to this subdivision for any taxable year of the taxpayer shall not exceed five hundred dollars ($500) or one thousand dollars ($1,000) if a joint return;

(ii) The following shall not be considered contributions:

(A) Contributions made by any person to an account who is not a participant of the account at the time the contribution is made;

(B) Transfers or rollovers to an account from any other tuition savings program account or from any other "qualified tuition program" under section 529 of the Internal Revenue Code, 26 U.S.C. § 529; or

(C) A change of the beneficiary of the account;

(iii) The subtraction pursuant to this subdivision shall not reduce the taxpayer's federal adjusted gross income to less than zero (0);

(iv) The contributions carryover to a taxable year for purpose of this subdivision is the excess, if any, of the total amount of contributions actually made by the taxpayer to the tuition savings program for all preceding taxable years for which this subsection is effective over the sum of:

(A) The total of the subtractions under this subdivision allowable to the taxpayer for all such preceding taxable years; and

(B) That part of any remaining contribution carryover at the end of the taxable year which exceeds the amount of any nonqualified withdrawals during the year and the prior two (2) taxable years not included in the addition provided for in this subdivision for those years. Any such part shall be disregarded in computing the contributions carryover for any subsequent taxable year;

(v) For any taxable year for which a contributions carryover is applicable, the taxpayer shall include a computation of the carryover with the taxpayer's Rhode Island personal income tax return for that year, and if for any taxable year on which the carryover is based the taxpayer filed a joint Rhode Island personal income tax return but filed a return on a basis other than jointly for a subsequent taxable year, the computation shall reflect how the carryover is being allocated between the prior joint filers;

(5) The modification described in § 44-30-25.1(d)(1);

(6) Amounts deemed taxable income to the taxpayer due to payment or provision of insurance benefits to a dependent, including a domestic partner pursuant to chapter 12 of title 36 or other coverage plan;

(7) **Modification for organ transplantation.**

(i) An individual may subtract up to ten thousand dollars ($10,000) from federal adjusted gross income if the individual, while living, donates one or more of their human organs to another human being for human organ transplantation, except that for purposes of this subsection, “human organ” means all or part of a liver, pancreas, kidney, intestine, lung, or bone marrow. A subtract modification that is claimed hereunder may be claimed in the taxable year in which the human organ transplantation occurs.

(ii) An individual may claim that subtract modification hereunder only once, and the subtract modification may be claimed for only the following unreimbursed expenses that are incurred by the claimant and related to the claimant’s organ donation:

(A) Travel expenses.

(B) Lodging expenses.

(C) Lost wages.

(iii) The subtract modification hereunder may not be claimed by a part-time resident or a nonresident of this state;

(8) **Modification for taxable Social Security income.**

(i) For tax years beginning on or after January 1, 2016, until the tax year beginning January 1, 2027:

(A) For a person who has attained the age used for calculating full or unreduced Social Security retirement benefits who files a return as an unmarried individual, head of household, or married filing separate whose federal adjusted gross income for the taxable year is less than eighty thousand dollars ($80,000); or

(B) A married individual filing jointly or individual filing qualifying widow(er) who has attained the age used for calculating full or unreduced Social Security retirement benefits whose joint federal adjusted gross income for the taxable year is less than one hundred thousand dollars ($100,000), an amount equal to the Social Security benefits includible in federal adjusted gross income.

(ii) For the tax years beginning on or after January 1, 2027:

(A) For a person who files a return as an unmarried individual, head of household, or married filing separate whose federal adjusted gross income for the taxable year is less than eighty thousand dollars ($80,000); or

(B) A married individual filing jointly or individual filing qualifying widow(er) whose joint federal adjusted gross income for the taxable year is less than one hundred thousand dollars ($100,000), an amount equal to the Social Security benefits includible in federal adjusted gross income.

~~(ii)~~(iii) Adjustment for inflation. The dollar amount contained in subsections (c)(8)(i)~~(A) and (c)(8)(i)(B)~~ and (c)(8)(ii) of this section shall be increased annually by an amount equal to:

(A) Such dollar amount contained in subsections (c)(8)(i)~~(A) and (c)(8)(i)(B)~~ and (c)(8)(ii) of this section adjusted for inflation using a base tax year of 2000, multiplied by;

(B) The cost-of-living adjustment with a base year of 2000.

~~(iii)~~(iv) For the purposes of this section the cost-of-living adjustment for any calendar year is the percentage (if any) by which the consumer price index for the preceding calendar year exceeds the consumer price index for the base year. The consumer price index for any calendar year is the average of the consumer price index as of the close of the twelve-month (12) period ending on August 31, of such calendar year.

~~(iv)~~(v) For the purpose of this section the term "consumer price index" means the last consumer price index for all urban consumers published by the department of labor. For the purpose of this section the revision of the consumer price index which is most consistent with the consumer price index for calendar year 1986 shall be used.

~~(v)~~(vi) If any increase determined under this section is not a multiple of fifty dollars ($50.00), such increase shall be rounded to the next lower multiple of fifty dollars ($50.00). In the case of a married individual filing separate return, if any increase determined under this section is not a multiple of twenty-five dollars ($25.00), such increase shall be rounded to the next lower multiple of twenty-five dollars ($25.00);

(9) **Modification of taxable retirement income from certain pension plans or annuities.**

(i) For tax years beginning on or after January 1, 2017, until the tax year beginning January 1, 2022, a modification shall be allowed for up to fifteen thousand dollars ($15,000), and for tax years beginning on or after January 1, 2023, until the tax year beginning January 1, 2024, a modification shall be allowed for up to twenty thousand dollars ($20,000), and for tax years beginning on or after January 1, 2025, a modification shall be allowed for up to fifty thousand dollars ($50,000), of taxable pension and/or annuity income that is included in federal adjusted gross income for the taxable year:

(A) For a person who has attained the age used for calculating full or unreduced Social Security retirement benefits who files a return as an unmarried individual, head of household, or married filing separate whose federal adjusted gross income for such taxable year is less than the amount used for the modification contained in subsection (c)(8)(i)(A) or subsection (c)(8)(ii)(A) of this section an amount not to exceed $15,000 for tax years beginning on or after January 1, 2017, until the tax year beginning January 1, 2022, and an amount not to exceed twenty thousand dollars ($20,000) for tax years beginning on or after January 1, 2023, until the tax year beginning January 1, 2024, and an amount not to exceed fifty thousand dollars ($50,000) for tax years beginning on or after January 1, 2025, of taxable pension and/or annuity income includible in federal adjusted gross income; or

(B) For a married individual filing jointly or individual filing qualifying widow(er) who has attained the age used for calculating full or unreduced Social Security retirement benefits whose joint federal adjusted gross income for such taxable year is less than the amount used for the modification contained in subsection (c)(8)(i)(B) or subsection (c)(8)(ii)(B) of this section an amount not to exceed $15,000 for tax years beginning on or after January 1, 2017, until the tax year beginning January 1, 2022, and an amount not to exceed twenty thousand dollars ($20,000) for tax years beginning on or after January 1, 2023, until the tax year beginning January 1, 2024, and an amount not to exceed fifty thousand dollars ($50,000) for tax years beginning on or after January 1, 2025, of taxable pension and/or annuity income includible in federal adjusted gross income.

(ii) Adjustment for inflation.

The dollar amount contained by reference in subsections (c)(9)(i)(A) and (c)(9)(i)(B) of this section shall be increased annually for tax years beginning on or after January 1, 2018, by an amount equal to:

(A) Such dollar amount contained by reference in subsections (c)(9)(i)(A) and (c)(9)(i)(B) of this section adjusted for inflation using a base tax year of 2000, multiplied by;

(B) The cost-of-living adjustment with a base year of 2000.

(iii) For the purposes of this section, the cost-of-living adjustment for any calendar year is the percentage (if any) by which the consumer price index for the preceding calendar year exceeds the consumer price index for the base year. The consumer price index for any calendar year is the average of the consumer price index as of the close of the twelve-month (12) period ending on August 31, of such calendar year.

(iv) For the purpose of this section, the term "consumer price index" means the last consumer price index for all urban consumers published by the department of labor. For the purpose of this section, the revision of the consumer price index which is most consistent with the consumer price index for calendar year 1986 shall be used.

(v) If any increase determined under this section is not a multiple of fifty dollars ($50.00), such increase shall be rounded to the next lower multiple of fifty dollars ($50.00). In the case of a married individual filing a separate return, if any increase determined under this section is not a multiple of twenty-five dollars ($25.00), such increase shall be rounded to the next lower multiple of twenty-five dollars ($25.00).

(vi) For tax years beginning on or after January 1, 2022, until the tax year beginning January 1, 2027, the dollar amount contained by reference in subsection (c)(9)(i)(A) shall be adjusted to equal the dollar amount contained in subsection (c)(8)(i)(A), as adjusted for inflation, and the dollar amount contained by reference in subsection(c)(9)(i)(B) shall be adjusted to equal the dollar amount contained in subsection (c)(8)(i)(B), as adjusted for inflation. For tax years beginning on or after January 1, 2027, the dollar amount contained by reference in subsection (c)(9)(i)(A) shall be adjusted to equal the dollar amount contained in subsection (c)(8)(ii)(A), as adjusted for inflation, and the dollar amount contained by reference in subsection (c)(9)(i)(B) shall be adjusted to equal the dollar amount contained in subsection (c)(8)(ii)(B), as adjusted for inflation;

(10) **Modification for Rhode Island investment in opportunity zones.** For purposes of a taxpayer's state tax liability, in the case of any investment in a Rhode Island opportunity zone by the taxpayer for at least seven (7) years, a modification to income shall be allowed for the incremental difference between the benefit allowed under 26 U.S.C. § 1400Z-2(b)(2)(B)(iv) and the federal benefit allowed under 26 U.S.C. § 1400Z-2(c);

(11) **Modification for military service pensions.**

(i) For purposes of a taxpayer's state tax liability, a modification to income shall be allowed as follows:

(A) For the tax years beginning on January 1, 2023, a taxpayer may subtract from federal adjusted gross income the taxpayer's military service pension benefits included in federal adjusted gross income;

(ii) As used in this subsection, the term "military service" shall have the same meaning as set forth in 20 C.F.R. § 212.2;

(iii) At no time shall the modification allowed under this subsection alone or in conjunction with subsection (c)(9) exceed the amount of the military service pension received in the tax year for which the modification is claimed;

(12) Any rebate issued to the taxpayer pursuant to § 44-30-103 to the extent included in gross income for federal tax purposes; ~~and~~

(13) For tax years beginning on or after January 1, 2025, in the case of a taxpayer that is licensed in accordance with chapters 28.6 and/or 28.11 of title 21, the amount equal to any expenditure that is eligible to be claimed as a federal income tax deduction but is disallowed under 26 U.S.C. § 280E; and

(14) For any taxable year beginning on or after January 1, 2026, the amount as determined by the tax administrator required to be added back in a prior year that would have been allowed under 26 U.S.C. § 174A as enacted in H.R.1 (Pub. L. 119-21) on July 4, 2025, but would not have been allowed as a deduction under 26 U.S.C. § 174 immediately prior to its enactment. At no time may the cumulative modification amount for each amortized expenditure exceed one hundred percent (100%) of said expenditure's expense amount.

(d) **Modification for Rhode Island fiduciary adjustment.** There shall be added to, or subtracted from, federal adjusted gross income (as the case may be) the taxpayer's share, as beneficiary of an estate or trust, of the Rhode Island fiduciary adjustment determined under § 44-30-17.

(e) **Partners.** The amounts of modifications required to be made under this section by a partner, which relate to items of income or deduction of a partnership, shall be determined under § 44-30-15.

SECTION 6. This article shall take effect upon passage.

ARTICLE 7 AS AMENDED

RELATING TO EDUCATION

SECTION 1. Section 16-2-34 of the General Laws in Chapter 16-2 entitled "School Committees and Superintendents [See Title 16 Chapter 97 — The Rhode Island Board of Education Act]" is hereby repealed.

~~**16-2-34. Central Falls School District board of trustees.**~~

~~(a) There is hereby established a seven (7) member board of trustees, which shall govern the Central Falls School District. With the exception of those powers and duties reserved by the commissioner of elementary and secondary education, and the board of regents for elementary and secondary education, the board of trustees shall have the powers and duties of school committees. Notwithstanding any provision of law to the contrary, the commissioner of elementary and secondary education, as the executive agent of the board of regents for elementary and secondary education, is authorized to exercise in whole or in part care, control, and management over the public schools of the Central Falls school district within the scope of authority of the board of trustees and board of regents, whenever the commissioner deems such intervention to be necessary and appropriate.~~

~~(b) The board of regents for elementary and secondary education shall appoint the members of the board of trustees from nominations made by the commissioner of elementary and secondary education. The chairperson shall also be selected in this manner. The board of regents shall determine the number, qualifications, and terms of office of members of the board of trustees, provided however, that at least four (4) of the members shall be residents of the city and parents of current or former Central Falls public school students. The remaining three (3) shall be appointed at large.~~

~~(c) The board of regents shall provide parameters for overall budget requests, approve the budget, and otherwise participate in budget development.~~

~~(d) The commissioner of elementary and secondary education shall recommend parameters for overall budget requests, recommend a budget, and otherwise participate in budget development.~~

~~(e) The commissioner shall approve the process for selection of the superintendent.~~

~~(f) The board of trustees shall meet monthly and serve without compensation. The board of trustees shall have broad policy making authority for the operation of the school, as well as the~~

~~following powers and duties:~~

~~(1) To identify the educational needs of the district;~~

~~(2) To develop educational policies to meet the needs of students in the school district;~~

~~(3) To appoint a superintendent to serve as its chief executive officer and to approve assistant and associate superintendents from nominations made by the superintendent;~~

~~(4) To provide policy guidance and otherwise participate in budget development; and~~

~~(5) To develop staffing policies which ensure that all students are taught by educators of the highest possible quality.~~

~~(g) The superintendent shall serve at the pleasure of the board of trustees with the initial appointment to be for a period of not more than three (3) years; provided, however, that the terms and conditions of employment are subject to the approval of the board of regents for elementary and secondary education.~~

~~(h) It shall be the responsibility of the superintendent to manage and operate the school on a day-to-day basis. The superintendent's duties shall include the following:~~

~~(1) To be responsible for the care, supervision, and management of the schools;~~

~~(2) To recommend to the board of trustees educational policies to meet the needs of the district, and to implement policies established by the board of trustees;~~

~~(3) To present nominations to the board of trustees for assistant and associate superintendents and to appoint all other school personnel;~~

~~(4) To provide for the evaluation of all school district personnel;~~

~~(5) To establish a school based management approach for decision making for the operation of the school;~~

~~(6) To prepare a budget and otherwise participate in budget development as required, and to authorize purchases consistent with the adopted school district budget;~~

~~(7) To report to the board of trustees, on a regular basis, the financial condition and operation of the schools, and to report annually on the educational progress of the schools;~~

~~(8) To establish appropriate advisory committees as needed to provide guidance on new directions and feedback on the operation of the schools;~~

~~(9) With policy guidance from the board of trustees and extensive involvement of the administrators and faculty in the school, to annually prepare a budget. The board of trustees shall approve the budget and transmit it to the commissioner. The board of regents for elementary and secondary education, upon recommendation of the commissioner of elementary and secondary education, shall provide parameters for the overall budget request. Based on review and recommendation by the commissioner, the board of regents shall approve the total budget and~~

~~incorporate it into its budget request to the governor and to the general assembly. Line item budgeting decisions shall be the responsibility of the superintendent; and~~

~~(10) To negotiate, along with the chairperson of the board of trustees and his or her appointed designee, all district employment contracts, which contracts shall be subject to the approval of the commissioner of elementary and secondary education with the concurrence of the board of regents.~~

~~(i) Nothing in this section shall be deemed to limit or otherwise interfere with the rights of teachers and other school employees to bargain collectively pursuant to chapters 9.3 and 9.4 of title 28, to exercise rights afforded under any statute including, but not limited to, Title 16, or to allow the commissioner, board of trustees or the superintendent to abrogate any agreement by collective bargaining.~~

~~(j) The appointment of the special state administrator for the Central Falls School District and the Central Falls School District Advisory Group, created by chapter 312 of the Rhode Island Public Laws of 1991, will no longer be in effect upon the selection and appointment of the board of trustees created in this section. All powers and duties of the special state administrator and the Central Falls School District Advisory Group are hereby transferred and assigned to the board of trustees created in this section, upon the selection and appointment of that board.~~

SECTION 2. Chapter 16-7 of the General Laws entitled "Foundation Level School Support [See Title 16 Chapter 97 — The Rhode Island Board of Education Act]" is hereby amended by adding thereto the following section:

16-7-23.3. Central Falls schools -- Return to local control -- Local appropriation.

(a) In fiscal years 2027 and thereafter, the city of Central Falls will contribute to the Central Falls School District an amount at least equal to the sum of:

(1) One percent (1%) of the city's prior year total tax levy;

(2) The city's prior year contribution; and

(3) A contribution from the Central Falls school district's fund balance beginning with $500,000 in fiscal year 2027, reduced by $50,000 annually in accordance with the final report of the Special Joint Legislative Commission to Study the Return of Central Falls Schools to Local Governance with a target end point that meets the Government Finance Officers Association’s standards and aligns with the department of elementary and secondary education’s fiscal accountability standards and annual reporting to ensure adequate funding of the foundation education aid for all Central Falls students.

(b) As authorized in § 44-5-2, the city of Central Falls may exceed the maximum levy to fulfill its obligation to contribute the amount required this section.

(c) No later than September 30, 2030, as preparation for the fiscal year 2032 budgeting process, the city of Central Falls (including the Central Falls school district), the division of municipal finance, and the department of elementary and secondary education shall conduct a review of the funding requirements set forth in this section and provide their recommendations for any modifications which should be made to the governor, speaker of the house, and president of the senate.

SECTION 3. Section 16-7-41.1 of the General Laws in Chapter 16-7 entitled "Foundation Level School Support [See Title 16 Chapter 97 — The Rhode Island Board of Education Act]" is hereby amended to read as follows:

16-7-41.1. Eligibility for reimbursement.

(a) School districts, not municipalities, may apply for and obtain approval for a project under the necessity of school construction process set forth in the regulations of the council on elementary and secondary education, provided, however, in the case of a municipality that issues bonds through the Rhode Island health and educational building corporation to finance or refinance school facilities for a school district that is not part of the municipality, the municipality may apply for and obtain approval for a project. Such approval will remain valid until June 30 of the third fiscal year following the fiscal year in which the council on elementary and secondary education's approval is granted. Only those projects undertaken at school facilities under the care and control of the school committee and located on school property may qualify for reimbursement under §§ 16-7-35 — 16-7-47. Facilities with combined school and municipal uses or facilities that are operated jointly with any other profit or nonprofit agency do not qualify for reimbursement under §§ 16-7-35 — 16-7-47. Projects completed by June 30 of a fiscal year are eligible for reimbursement in the following fiscal year. A project for new school housing or additional housing shall be deemed to be completed when the work has been officially accepted by the school committee or when the housing is occupied for its intended use by the school committee, whichever is earlier.

(b) Notwithstanding the provisions of this section, the board of regents shall not grant final approval for any project between June 30, 2011, and May 1, 2015, except for projects that are necessitated by immediate health and safety reasons. In the event that a project is requested during the moratorium because of immediate health and safety reasons, those proposals shall be reported to the chairs of the house and senate finance committees.

(c) Any project approval granted prior to the adoption of the school construction regulations in 2007, and which are currently inactive; and any project approval granted prior to the adoption of the school construction regulations in 2007 which did not receive voter approval or which has not been previously financed, are no longer eligible for reimbursement under this chapter. The department of elementary and secondary education shall develop recommendations for further cost containment strategies in the school housing aid program.

(d) Beginning July 1, 2015, the council on elementary and secondary education shall approve new necessity of school construction applications on an annual basis. The department of elementary and secondary education shall develop an annual application timeline for local education agencies seeking new necessity of school construction approvals.

(e) Beginning July 1, 2019, no state funding shall be provided for projects in excess of ten million dollars ($10,000,000) unless the prime contractor for the project has received prequalification from the school building authority. However, for projects commencing after July 1, 2026, and for subsequent fiscal years, no state funding shall be provided for projects in excess of ten million dollars ($10,000,000) unless the prime contractor for the project has received prequalification from the division of purchases.

(f) Beginning July 1, 2019, the necessity of school construction process set forth in the regulations of the council on elementary and secondary education shall include a single statewide process, developed with the consultation of the department of environmental management, that will ensure community involvement throughout the investigation and remediation of contaminated building sites for possible reuse as the location of a school. That process will fulfill all provisions of § 23-19.14-5 related to the investigation of reuse of such sites for schools.

(g) Beginning July 1, 2019, school housing projects exceeding one million five hundred thousand dollars ($1,500,000) subject to inflation shall include an owner's program manager and a commissioning agent. The cost of the program manager and commissioning agent shall be considered a project cost eligible for aid pursuant to §§ 16-7-41 and 16-105-5. However, for projects completing after July 1, 2026, and subsequent fiscal years, school housing projects exceeding ten million dollars ($10,000,000) subject to inflation shall include an owner's program manager and a commissioning agent. The cost of the program manager and commissioning agent shall not exceed three percent (3%) of total project costs and shall be considered a project cost eligible for aid pursuant to §§ 16-7-41 and 16-105-5.

(h) Temporary housing, or swing space, for students shall be a reimbursable expense so long as a district can demonstrate that no other viable option to temporarily house students exists and provided that use of the temporary space is time limited for a period not to exceed twenty-four (24) months and tied to a specific construction project.

(i) Environmental site remediation, as defined by the school building authority, shall be a reimbursable expense up to one million dollars ($1,000,000) per project.

(j) If, within thirty (30) years of construction, a newly constructed school is sold to a private entity, the state shall receive a portion of the sale proceeds equal to that project's housing aid reimbursement rate at the time of project completion.

(k) All projects must comply with § 37-13-6, ensuring that prevailing wage laws are being followed, and § 37-14.1-6, ensuring that minority business enterprises reach the required minimum participation.

SECTION 4. Sections 16-7.2-3, 16-7.2-5 and 16-7.2-9 of the General Laws in Chapter 16-7.2 entitled "The Education Equity and Property Tax Relief Act" are hereby amended to read as follows:

16-7.2-3. Permanent foundation education aid established.

(a) Beginning in the 2012 fiscal year, the following foundation education-aid formula shall take effect. The foundation education aid for each district shall be the sum of the core instruction amount in subsection (a)(1) of this section and the amount to support high-need students in subsection (a)(2) of this section, which shall be multiplied by the district state-share ratio calculated pursuant to § 16-7.2-4 to determine the foundation aid.

(1) The core instruction amount shall be an amount equal to a statewide, per-pupil core instruction amount as established by the department of elementary and secondary education, derived from the average of northeast regional expenditure data for the states of Rhode Island, Massachusetts, Connecticut, and New Hampshire from the National Center for Education Statistics (NCES) that will adequately fund the student instructional needs as described in the basic education program and multiplied by the district average daily membership as defined in § 16-7-22. Expenditure data in the following categories: instruction and support services for students, instruction, general administration, school administration, and other support services from the National Public Education Financial Survey, as published by NCES, and enrollment data from the Common Core of Data, also published by NCES, will be used when determining the core instruction amount. The core instruction amount will be updated annually. For the purpose of calculating this formula, school districts' resident average daily membership shall exclude charter school and state-operated school students.

(2) The amount to support high-need students beyond the core instruction amount shall be determined by:

(i) Multiplying a student success factor of forty percent (40%)<u>; provided further, for the fiscal year beginning July 1, 2026, and for subsequent fiscal years, the student success factor shall be forty-three percent (43%)</u> by the core instruction per-pupil amount described in subsection (a)(1) of this section and applying that amount for each resident child whose family income is at or below one hundred eighty-five percent (185%) of federal poverty guidelines, hereinafter referred to as "poverty status." By October 1, 2022, as part of its budget submission pursuant to § 35-3-4 relative to state fiscal year 2024 and thereafter, the department of elementary and secondary education shall develop and utilize a poverty measure that in the department's assessment most accurately serves as a proxy for the poverty status referenced in this subsection and does not rely on the administration of school nutrition programs. The department shall utilize this measure in calculations pursuant to this subsection related to the application of the student success factor, in calculations pursuant to § 16-7.2-4 related to the calculation of the state share ratio, and in the formulation of estimates pursuant to subsection (b) below. The department may also include any recommendations which seek to mitigate any disruptions associated with the implementation of this new poverty measure or improve the accuracy of its calculation. Beginning with the FY 2024 calculation, students whose family income is at or below one hundred eighty-five percent (185%) of federal poverty guidelines will be determined by participation in the supplemental nutrition assistance program (SNAP). The number of students directly certified through the department of human services shall be multiplied by a factor of 1.6; and

(ii) Multiplying a multilingual learner (MLL) factor of twenty percent (20%) by the core instruction per-pupil amount described in subsection (a)(1) of this section, applying that amount for each resident child identified in the three lowest proficiency categories using widely adopted, independent standards and assessments in accordance with subsection (f)(1) of this section and as identified by the commissioner and defined by regulations of the council on elementary and secondary education. Local education agencies shall report annually to the department of elementary and secondary education by September 1, outlining the planned and prior year use of all funding pursuant to this subsection to provide services to MLL students in accordance with requirements set forth by the commissioner of elementary and secondary education. The department shall review the use of funds to ensure consistency with established best practices.

(b) The department of elementary and secondary education shall provide an estimate of the foundation education aid cost as part of its budget submission pursuant to § 35-3-4. The estimate shall include the most recent data available as well as an adjustment for average daily membership growth or decline based on the prior year experience.

(c) In addition, the department shall report updated figures based on the average daily membership as of October 1 by December 1.

(d) Local education agencies may set aside a portion of funds received under subsection (a) to expand learning opportunities such as after school and summer programs, full-day kindergarten and/or multiple pathway programs, provided that the basic education program and all other approved programs required in law are funded.

(e) The department of elementary and secondary education shall promulgate such regulations as are necessary to implement fully the purposes of this chapter.

(f)(1) By October 1, 2023, as part of its budget submission pursuant to § 35-3-4 relative to state fiscal year 2025, the department of elementary and secondary education shall evaluate the number of students by district who qualify as multilingual learner (MLL) students and MLL students whose family income is at or below one hundred eighty-five percent (185%) of federal poverty guidelines. The submission shall also include segmentation of these populations by levels as dictated by the WIDA multilingual learner assessment tool used as an objective benchmark for English proficiency. The department shall also prepare and produce expense data sourced from the uniform chart of accounts to recommend funding levels required to support students at the various levels of proficiency as determined by the WIDA assessment tool. Utilizing this information, the department shall recommend a funding solution to meet the needs of multilingual learners; this may include but not be limited to inclusion of MLL needs within the core foundation formula amount through one or multiple weights to distinguish different students of need or through categorical means.

(2) By October 1, 2024, as part of its budget submission pursuant to § 35-3-4 relative to state fiscal year 2026, the department of elementary and secondary education shall develop alternatives to identify students whose family income is at or below one hundred eighty-five percent (185%) of federal poverty guidelines through participation in state-administered programs, including, but not limited to, the supplemental nutrition assistance program (SNAP), and RIteCare and other programs that include the collection of required supporting documentation. The department may also include any recommendations that seek to mitigate any disruptions associated with implementation of this new poverty measure or improve the accuracy of its calculation.

(3) The department shall also report with its annual budget request information regarding local contributions to education aid and compliance with §§ 16-7-23 and 16-7-24. The report shall also compare these local contributions to state foundation education aid by community. The department shall also report compliance to each city or town school committee and city or town council.

(4) By October 1, 2025, as part of its budget submission pursuant to § 35-3-4 relative to state fiscal year 2027, the department of elementary and secondary education shall submit a report developed in coordination with the department of administration and the Rhode Island longitudinal data system within the office of the postsecondary commissioner. The report shall provide an overview of the process for matching the department of human services program participation data

to the department of elementary and secondary education student enrollment records for use in the education funding formula and recommend methods to ensure consistency and accuracy in future matching processes.

(5) As part of its FY 2027 and FY 2028 budget ~~submission~~ submissions, the department shall also submit an estimate of foundation education aid that uses expanded direct certification with Medicaid matching in consultation with the Rhode Island longitudinal data system and the executive office of health and human services to identify students whose family income is at or below one hundred eighty-five percent (185%) of federal poverty guidelines, in addition to an estimate under the current law poverty determination.

(6) By December 31, 2025, the department of elementary and secondary education shall also develop and submit a report to the governor, speaker of the house, and senate president on current and recommended processes to ensure the consistency and validity of submitted high-cost special education data from local education agencies.

(7) By October 1, 2026, as part of its budget submission pursuant to § 35-3-4 relative to state fiscal year 2027, the department of elementary and secondary education shall, in collaboration with the office of management and budget and the division of municipal finance, submit a report comparing the funding system proposed in December 2025, by the Blue Ribbon Commission, convened by the Rhode Island Foundation, to the current system, using validated FY 2025 Uniform Chart of Accounts data. The report shall include, but not be limited to, a comparison of state and local contributions for traditional districts and charter schools using different state share percentages, recommendations for proposed weights for special education and career and technical education students, and an analysis of the statutory recommendations.

16-7.2-5. Charter public schools, the William M. Davies, Jr. Career and Technical High School, and the Metropolitan Regional Career and Technical Center.

(a) Charter public schools, as defined in chapter 77 of this title, the William M. Davies, Jr. Career and Technical High School (Davies), and the Metropolitan Regional Career and Technical Center (the Met Center) shall be funded pursuant to § 16-7.2-3. If the October 1 actual enrollment data for any charter public school shows a ten percent (10%) or greater change from the prior year enrollment that is used as the reference year average daily membership, the last six (6) monthly payments to the charter public school will be adjusted to reflect actual enrollment. The state share of the permanent foundation education aid shall be paid by the state directly to the charter public schools, Davies, and the Met Center pursuant to § 16-7.2-9 and shall be calculated using the state-share ratio of the district of residence of the student as set forth in § 16-7.2-4. The department of elementary and secondary education shall provide the general assembly with the calculation of the state share of permanent foundation education aid for charter public schools delineated by school district.

(b) The local share of education funding shall be paid to the charter public school, Davies, and the Met Center by the district of residence of the student and shall be the local, per-pupil cost calculated by dividing the local appropriation to education from property taxes, net of debt service, and capital projects, as defined in the uniform chart of accounts by the average daily membership for each city and town, pursuant to § 16-7-22, for the reference year.

(c) Beginning in FY 2017, there shall be a reduction to the local per-pupil funding paid by the district of residence to charter public schools, Davies, and the Met Center. This reduction shall be equal to the greater (i) Of seven percent (7%) of the local, per-pupil funding of the district of residence pursuant to subsection (b) or (ii) The per-pupil value of the district's costs for non-public textbooks, transportation for non-public students, retiree health benefits, out-of-district special-education tuition and transportation, services for students age eighteen (18) to twenty-one (21) years old, pre-school screening and intervention, and career and technical education, tuition and transportation costs, debt service and rental costs minus the average expenses incurred by charter schools for those same categories of expenses as reported in the uniform chart of accounts for the prior preceding fiscal year pursuant to § 16-7-16(11) and verified by the department of elementary and secondary education. In the case where audited financials result in a change in the calculation after the first tuition payment is made, the remaining payments shall be based on the most recent audited data. For those districts whose greater reduction occurs under the calculation of (ii), there shall be an additional reduction to payments to mayoral academies with teachers who do not participate in the state teacher's retirement system under chapter 8 of title 36 equal to the per-pupil value of teacher retirement costs attributable to unfunded liability as calculated by the state's actuary for the prior preceding fiscal year. Notwithstanding the foregoing, beginning with FY 2026, the reduction to the local per-pupil funding shall not exceed fourteen percent (14%). Notwithstanding the foregoing, for FY 2027, the reduction to the local per-pupil funding shall not exceed fourteen percent (14%), other than for mayoral academies serving students from less than four local school districts which have been approved as sending districts by the department of elementary and secondary education. Notwithstanding the foregoing, beginning with FY 2028, the reduction to the local per-pupil funding shall not exceed fourteen percent (14%).

(d) Local district payments to charter public schools, Davies, and the Met Center for each district's students enrolled in these schools shall be made on a quarterly basis in July, October, January, and April; however, the first local-district payment shall be made by August 15, instead of July. Failure of the community to make the local-district payment for its student(s) enrolled in a charter public school, Davies, and/or the Met Center may result in the withholding of state education aid pursuant to § 16-7-31.

(e) Beginning in FY 2017, school districts with charter public school, Davies, and the Met Center enrollment, that, combined, comprise five percent (5%) or more of the average daily membership as defined in § 16-7-22, shall receive additional aid for a period of three (3) years. Aid in FY 2017 shall be equal to the number of charter public school, open-enrollment schools, Davies, or the Met Center students as of the reference year as defined in § 16-7-16 times a per-pupil amount of one hundred seventy-five dollars ($175). Aid in FY 2018 shall be equal to the number of charter public school, open-enrollment schools, Davies, or the Met Center students as of the reference year as defined in § 16-7-16 times a per-pupil amount of one hundred dollars ($100). Aid in FY 2019 shall be equal to the number of charter public school, open-enrollment schools, Davies, or the Met Center students as of the reference year as defined in § 16-7-16 times a per-pupil amount of fifty dollars ($50.00). The additional aid shall be used to offset the adjusted fixed costs retained by the districts of residence.

(f) [Deleted by P.L. 2023, ch. 79, art. 8, § 2.]

16-7.2-9. Applicability.

This chapter applies to education aid for any city, town or regional school district including the Central Falls ~~state operated~~ school district, charter schools, the William M. Davies, Jr. Career and Technical High School, and the Metropolitan Regional Career and Technical Center. Calculation and distribution of aid under §§ 16-7-20.5, 16-7.1-6, 16-7.1-8, 16-7.1-9, 16-7.1-10, 16-7.1-11, 16-7.1-11.1, 16-7.1-12, 16-7.1-15, 16-7.1-16, 16-7.1-17, 16-7.1-18, 16-7.1-19, 16-67-4, and 16-77.1-2 is hereby suspended effective July 1, 2011, until further action by the general assembly. Aid under this chapter will be paid pursuant to § 16-7-17, except that aid to the Central Falls ~~state operated~~ school district and charter schools, Davies, and the Met Center pursuant to § 16-7.2-5 shall be paid in twelve (12) equal installments on the first of each month.

SECTION 5. Title 16 of the General Laws entitled "EDUCATION" is hereby amended by adding thereto the following chapter:

CHAPTER 54.1

THE SUPPORT AND ACCESS TO BILINGUAL EDUCATION ACT

16-54.1-1. Short title.

This chapter shall be known and may be cited as “The Support and Access to Bilingual Education Act.”

16-54.1-2. Definitions.

For the purposes of this chapter:

(1) “Bilingual dual language teacher”, or “BDL teacher,” means a teacher who provides integrated language and content instruction in a partner language only or in a partner language and in English, appropriate to the instructional program model they teach in, and holds the appropriate certification pursuant to regulation 200-RICR-20-20-1.

(2) “Bilingual language instruction program model” or "Bilingual education program model” is an approach that serves multilingual learners at all stages of English language development and who share a common home/native language. The goal of this approach is proficiency and literacy in English and a partner language, as well as content achievement in both English and a partner language. Instruction is provided in both English and home/native or partner language. The bilingual education approach consists of dedicated English language development and integrated language and content instruction components and can be structured in any of the instructional program models as defined by 200-RICR-20-30-3.

(3) "Department" means the department of elementary and secondary education.

(4) "Eligible teacher" means a full-time teacher certified to teach in a kindergarten through grade twelve (K-12) school by the department of elementary and secondary education and is actively teaching within a public school with a high-incidence of multilingual learners in accordance with regulation 200-RICR-20-30-3.

(5) "High incidence of multilingual learners" means a local educational agency with a multilingual learners student population that meets at least one of the following two (2) criteria: (i) Is greater than or equal to two hundred and fifty (250) total multilingual learners; or (ii) Is greater than or equal to twenty percent (20%) of the local educational agency's total student population pursuant to the Rhode Island regulations governing the education of multilingual learners (200-RICR-20-30-3).

(6) "Local education agency" or "LEA" shall have the same meaning as defined in § 16-92-3.

(7) "Multilingual individual" means an individual who has demonstrated advanced low or higher proficiency in the target language of certification in accordance with the American Council on the Teaching of Foreign Languages (ACTFL) proficiency scale through any of the approved seal of biliteracy language proficiency assessments including, but not limited to: ACT, SAT, advanced placement (English language and composition, English literature and composition, and world language), ACCESS, LAS Links (Form C/D), AAPPL, STAMP 4S, and ASLPI.

(8) "Qualifying languages" means the most common languages other than English spoken in the local education agency according to the U.S. Census Bureau and department data sources.

(9) "State" means the State of Rhode Island.

(10) "World language educator" means a person who is certified by the department of elementary and secondary education as an all grades world language teacher in accordance with regulation 200-RICR-20-20-1.

16-54.1-3. Support and access to bilingual education act fund authorized.

(a) The department shall establish and maintain a bilingual education support fund to provide grants to traditional public school districts that establish and expand bilingual language instruction program models; community-based organizations in collaboration with traditional public school districts that establish and expand bilingual language instruction program models; or institutions of higher education in partnership with traditional public school districts that establish and expand bilingual language instruction program models.

(b) The fund shall consist of:

(1) Appropriations made by the general assembly pursuant to this section;

(2) Charitable contributions to the fund; and

(3) Other sources deemed appropriate by the department.

16-54.1-4. Implementation of traditional public school district dual language programs.

(a) Eligibility for applicants shall be a minimum of one the following:

(1) A traditional public school district within the state;

(2) A community-based organization working in partnership with one or more traditional public school district(s) within the state; or

(3) An institution of higher education (IHE) working in partnership with one or more traditional public school district(s) within the state.

(b) An applicant may be eligible to receive a grant pursuant to the provisions of this chapter if:

(1) The traditional public school district uses or is planning to create a high-quality bilingual language instruction program model in accordance with chapter 54 of title 16 (“education of limited English proficient students”) and in accordance with regulations promulgated pursuant thereto.

(2) The LEA has a high incidence of multilingual learners as defined in 200-RICR-20-30-3. For purposes of this section, the qualifying language(s) of instruction, in addition to English, shall be determined based on the predominant home language(s) of the multilingual learner (MLL) student population.

(3) The LEA develops and commits to an immediate or gradual staffing plan to support the kindergarten through grade twelve (K-12) dual language program.

(c) Traditional public school districts are encouraged to leverage existing funds including the state share of the MLL funding formula distribution and federal funds.

(d) Traditional public school district, community-based organization, and institution of higher education recipients funded pursuant to § 16-54.1-3, shall utilize such monies for dual language program planning and implementation activities including, but not limited to:

(1) Partnering with education professionals and organizations to design programs;

(2) Developing and executing professional development for administrators and instructors; or

(3) Traditional public school districts self-evaluation program planning and implementation of staffing needs including, but not limited to:

(i) Providing financial support for bilingual dual language and world language teacher certification;

(ii) Providing in-service educator dual language professional development;

(iii) Procuring high-quality curricular materials to enhance dual language instruction; and

(iv) Other activities designed to facilitate or promote the LEA's existing or emerging dual language programs.

(e) Only programs that adhere to high quality dual language program standards shall be funded.

16-54.1-5. Strategy and support to expand teaching certifications for bilingual dual language and world language teachers.

(a) The department shall collaborate with the office of the postsecondary commissioner, and in consultation with any approved educator preparation program, to increase and streamline the issuance of world language and bilingual dual language certifications for purposes of increasing the number of bilingual dual language and world language teachers in LEAs with a high incidence of multilingual learners as defined in 200-RICR-20-30-3.

(b) Eligibility for applicants shall be at a minimum one of the following:

(1) A traditional public school district within the state;

(2) A community-based organization working in partnership with one or more traditional public school district(s) within the state; or

(3) An institution of higher education (IHE) working in partnership with one or more traditional public school district(s) within the state.

(c) An applicant may be eligible to receive a grant pursuant to the provisions of this chapter if:

(1) Support for teacher certification costs are granted to multilingual individuals who plan

to teach in a traditional public school district and use, or is planning to create, a high-quality bilingual language instruction program model in accordance with chapter 54 of title 16 ("education of limited English proficient students") and further in accordance with regulations promulgated pursuant thereto;

(2) The LEA has a high incidence of multilingual learners as defined in 200-RICR-20-30-3; or

(3) The qualifying language(s) of instruction, in addition to English, shall be determined based on the predominant home language(s) of the multilingual learner student population.

SECTION 6. Section 16-105-3 of the General Laws in Chapter 16-105 entitled "School Building Authority" is hereby amended to read as follows:

16-105-3. Roles and responsibilities.

The school building authority roles and responsibilities shall include:

(1) Management of a system with the goal of ensuring equitable and adequate school housing for all public school children in the state;

(2) Prevention of the cost of school housing from interfering with the effective operation of the schools;

(3) Management of school housing aid in accordance with statute;

(4) Reviewing and making recommendations to the council on elementary and secondary education on necessity of school construction applications for state school housing aid and the school building authority capital fund, based on the recommendations of the school building authority advisory board;

(5) Promulgating, managing, and maintaining school construction regulations, standards, and guidelines applicable to the school housing program, based on the recommendations of the school building authority advisory board, created in § 16-105-8. Said regulations shall require conformance with the minority business enterprise requirements set forth in § 37-14.1-6;

(6) ~~Developing a prequalification and review process for prime contractors, architects, and engineers seeking to bid on projects in excess of ten million dollars ($10,000,000) in total costs subject to inflation. Notwithstanding any general laws to the contrary, a prequalification shall be valid for a maximum of two (2) years from the date of issuance. Factors to be considered by the school building authority in granting a prequalification to prime contractors shall include, but not be limited to, the contractor's history of completing complex projects on time and on budget, track record of compliance with applicable environmental and safety regulations, evidence that completed prior projects prioritized the facility's future maintainability, and compliance with applicable requirements for the use of women and minority owned subcontractors;~~

~~(i) At least annually, a list of prequalified contractors, architects, and engineers shall be publicly posted with all other program information;~~

(7) Providing technical assistance and guidance to school districts on the necessity of school construction application process;

(8) Providing technical advice and assistance, training, and education to cities, towns, and/or local education agencies and to general contractors, subcontractors, construction or project managers, designers and others in planning, maintenance, and establishment of school facility space;

(9) Developing a project priority system, based on the recommendations of the school building authority advisory board, in accordance with school construction regulations for the school building authority capital fund, subject to review and, if necessary, to be revised on intervals not to exceed five (5) years. Project priorities shall include, but not be limited to, the following order of priorities:

(i) Projects to replace or renovate a building that is structurally unsound or otherwise in a condition seriously jeopardizing the health and safety of school children where no alternative exists;

(ii) Projects needed to prevent loss of accreditation;

(iii) Projects needed for the replacement, renovation, or modernization of the HVAC system in any schoolhouse to increase energy conservation and decrease energy-related costs in said schoolhouse;

(iv) Projects needed to replace or add to obsolete buildings in order to provide for a full range of programs consistent with state and approved local requirements; and

(v) Projects needed to comply with mandatory, instructional programs;

(10) Maintaining a current list of requested school projects and the priority given them;

(11) Collecting and maintaining readily available data on all the public school facilities in the state;

(12) Collecting, maintaining, and making publicly available quarterly progress reports of all ongoing school construction projects that shall include, at a minimum, the costs of the project and the time schedule of the project;

(13) Recommending policies and procedures designed to reduce borrowing for school construction programs at both state and local levels;

(14) At least every five (5) years, conducting a needs survey to ascertain the capital construction, reconstruction, maintenance, and other capital needs for schools in each district of the state, including public charter schools;

(15) Developing a formal enrollment projection model or using projection models already

available;

(16) Encouraging local education agencies to investigate opportunities for the maximum utilization of space in and around the district;

(17) Collecting and maintaining a clearinghouse of prototypical school plans that may be consulted by eligible applicants;

(18) Retaining the services of consultants, as necessary, to effectuate the roles and responsibilities listed within this section;

(19) No district shall receive a combined total of more than twenty (20) incentive percentage points for projects that commence construction by December 30, 2023, and five (5) incentive points for projects that commence construction thereafter; provided further, these caps shall be in addition to amounts received under §§ 16-7-40(a)(1) and 16-7-40(a)(2). Furthermore, a district's share shall not be decreased by more than half of its regular share irrespective of the number of incentive points received, nor shall a district's state share increase by more than half of its regular share, including amounts received under §§ 16-7-40(a)(1) and 16-7-40(a)(2), irrespective of the number of incentive points received. Notwithstanding any provision of the general laws to the contrary, the reimbursement or aid received under this chapter or chapter 38.2 of title 45 shall not exceed one hundred percent (100%) of the sum of the total project costs plus interest costs. If a two hundred and fifty million dollar ($250,000,000) general obligation bond is approved on the November 2018 ballot, projects approved between May 1, 2015, and January 1, 2018, are eligible to receive incentive points (above and beyond what the project was awarded at the time of approval) pursuant to § 16-7-39 and § 16-7-40. Provided, however, any project approved during this time period with a project cost in excess of one million five hundred thousand dollars ($1,500,000), which does not include an owner's program manager and a commissioning agent, shall only be eligible to receive five (5) incentive points. Incentive points awarded pursuant to the provisions of this subsection shall only be applied to reimbursements occurring on or after July 1, 2018. Any project approved between May 1, 2015, and January 1, 2018, that is withdrawn and/or resubmitted for approval shall not be eligible for any incentive points.

SECTION 7. Section 16-107-6 of the General Laws in Chapter 16-107 entitled "Rhode Island Promise Scholarship" is hereby amended to read as follows:

16-107-6. Eligibility for scholarship.

(a) Beginning with the students who enroll at the community college of Rhode Island in the fall of 2017, to be considered for the scholarship, a student:

(1) Must qualify for in-state tuition and fees pursuant to the residency policy adopted by the council on postsecondary education, as amended, supplemented, restated, or otherwise modified

from time to time ("residency policy"); provided, that, the student must have satisfied the high school graduation/equivalency diploma condition prior to reaching nineteen (19) years of age; provided, further, that in addition to the option of meeting the requirement by receiving a high school equivalency diploma as described in the residency policy, the student can satisfy the condition by receiving other certificates or documents of equivalent nature from the state or its municipalities as recognized by applicable regulations promulgated by the council on elementary and secondary education;

(2) Must be admitted to, and must enroll and attend the community college of Rhode Island on a full-time basis by the semester immediately following high school graduation or the semester immediately following receipt of a high school equivalency diploma;

(3) Must complete the FAFSA and any required FAFSA verification, or for persons who are legally unable to complete the FAFSA must complete a comparable form created by the community college of Rhode Island, by the deadline prescribed by the community college of Rhode Island for each year in which the student seeks to receive funding under the scholarship program;

(4) Must continue to be enrolled on a full-time basis;

(5) Must maintain an average annual cumulative grade point average (GPA) of 2.5 or greater, as determined by the community college of Rhode Island;

(6) Must remain on track to graduate on time as determined by the community college of Rhode Island;

(7) Must not have already received an award under this scholarship program; and

(8) Must commit to live, work, or continue their education in Rhode Island after graduation.

The community college of Rhode Island shall develop a policy that will secure this commitment from recipient students.

(b) Notwithstanding the eligibility requirements under subsection (a) of this section ("specified conditions"):

(1) In the case of a recipient student who has an approved medical or personal leave of absence or is unable to satisfy one or more specified conditions because of the student's medical or personal circumstances, the student may continue to receive an award under the scholarship program upon resuming the student's education so long as the student continues to meet all other applicable eligibility requirements;

(2) In the case of a recipient student who is a member of the national guard or a member of a reserve unit of a branch of the United States military and is unable to satisfy one or more specified conditions because the student is or will be in basic or special military training, or is or will be participating in a deployment of the student's guard or reserve unit, the student may continue

to receive an award under the scholarship program upon completion of the student's basic or special military training or deployment; ~~and~~

(3) Any student with a disability, otherwise eligible for a scholarship pursuant to the provisions of this section, as of May 15, 2021, shall be entitled to access this program and shall be afforded all reasonable accommodations, as required by the ADA and the Rehabilitation Act of 1973, including, but not limited to, enrolling on a part-time basis, attaining a high school diploma/GED by age twenty-one (21), and taking longer than two (2) years to graduate with an associate's degree;

(4) Any student who enrolled in a postsecondary institution by the semester immediately following high school graduation or the semester immediately following receipt of a high school equivalency diploma and remained in the institution for only up to one semester may enroll and attend the community college of Rhode Island in the semester immediately following and qualify for the scholarship pursuant to this section; and

(5) Any student may defer initial enrollment for one semester at the community college of Rhode Island for the semester immediately following high school graduation or the semester immediately following receipt of a high school equivalency diploma with an approved written request and reason and qualifies for the scholarship pursuant to this section.

SECTION 8. Sections 16-113-7 and 16-113-10 of the General Laws in Chapter 16-113 entitled "Rhode Island Hope Scholarship Pilot Program Act" are hereby amended to read as follows:

16-113-7. Reporting and disbursement.

(a) On or before November 10, 2023, and on or before November 10 and May 10 thereafter for every year through and including calendar year 2030, Rhode Island college shall submit a report to the director of the office of management and budget, the state budget officer, the house fiscal advisor, the senate fiscal advisor, the commissioner of postsecondary education, and the chair of the council on postsecondary education, detailing the following:

(1) The number of students eligible to participate in the scholarship program;

(2) The amount of federal and institutional financial aid anticipated to be received by recipient students;

(3) The aggregate tuition and mandatory fee costs attributable to recipient students;

(4) The resulting total cost of the scholarship program to the state; and

(5) The report shall contain such data for both the current fiscal year and the most up-to-date forecast for the following fiscal year. Data reported shall be subdivided by student-year cohort and shall be accompanied by a written explanation detailing the estimating methodology utilized

and any impact(s) the forecasted data may present to institutional capacity, operational costs, and the tuition/fee revenue base of the institution.

(b) On or before July 1, ~~2030~~ 2028, Rhode Island college and the commissioner of postsecondary education shall submit a report evaluating the program based on all cohorts to the governor, speaker of the house, and the president of the senate. This evaluation shall include the following:

(1) The number of students who started in each cohort;

(2) The number of students in each cohort who have attained a degree or certification in an on-time manner;

(3) The number of students in each cohort who have not attained a degree or certification in an on-time manner and an analysis of why that has happened;

(4) The number of students in each cohort who began the program but have been unable to continue or complete the program and an analysis of why that has happened;

(5) The costs of the program and the costs of continuing the program;

(6) Suggestions for ways to increase the success of the program;

(7) Recommendations as to modifying, continuing, expanding, curtailing, or discontinuing the program; and

(8) Any such other recommendations or information as Rhode Island college and the commissioner of postsecondary education deem appropriate to include in the evaluation.

(c) The office of management and budget, in consultation with the office of the postsecondary commissioner, shall oversee the apportionment and disbursement of all funds appropriated for the purpose of the scholarship program.

16-113-10. Funding of and sunset of pilot program.

The Rhode Island hope scholarship pilot program shall be funded from July 1, 2023, through and including June 30, ~~2030~~ 2033. There shall be no further funding of the pilot program without further action of the general assembly. Any final reports due pursuant to this chapter shall be filed pursuant to the dates set forth herein.

SECTION 9. Section 44-5-2 of the General Laws in Chapter 44-5 entitled "Levy and Assessment of Local Taxes" is hereby amended to read as follows:

44-5-2. Maximum levy.

(a) Through and including its fiscal year 2007, a city or town may levy a tax in an amount not more than five and one-half percent (5.5%) in excess of the amount levied and certified by that city or town for the prior year. Through and including its fiscal year 2007, but in no fiscal year thereafter, the amount levied by a city or town is deemed to be consistent with the five and one-half percent (5.5%) levy growth cap if the tax rate is not more than one hundred and five and one-half percent (105.5%) of the prior year's tax rate and the budget resolution or ordinance, as applicable, specifies that the tax rate is not increasing by more than five and one-half percent (5.5%) except as specified in subsection (c) of this section. In all years when a revaluation or update is not being implemented, a tax rate is deemed to be one hundred five and one-half percent (105.5%) or less of the prior year's tax rate if the tax on a parcel of real property, the value of which is unchanged for purpose of taxation, is no more than one hundred five and one-half percent (105.5%) of the prior year's tax on the same parcel of real property. In any year through and including fiscal year 2007 when a revaluation or update is being implemented, the tax rate is deemed to be one hundred five and one-half percent (105.5%) of the prior year's tax rate as certified by the division of property valuation and municipal finance in the department of revenue.

(b) In its fiscal year 2008, a city or town may levy a tax in an amount not more than five and one-quarter percent (5.25%) in excess of the total amount levied and certified by that city or town for its fiscal year 2007. In its fiscal year 2009, a city or town may levy a tax in an amount not more than five percent (5%) in excess of the total amount levied and certified by that city or town for its fiscal year 2008. In its fiscal year 2010, a city or town may levy a tax in an amount not more than four and three-quarters percent (4.75%) in excess of the total amount levied and certified by that city or town in its fiscal year 2009. In its fiscal year 2011, a city or town may levy a tax in an amount not more than four and one-half percent (4.5%) in excess of the total amount levied and certified by that city or town in its fiscal year 2010. In its fiscal year 2012, a city or town may levy a tax in an amount not more than four and one-quarter percent (4.25%) in excess of the total amount levied and certified by that city or town in its fiscal year 2011. In its fiscal year 2013 and in each fiscal year thereafter, a city or town may levy a tax in an amount not more than four percent (4%) in excess of the total amount levied and certified by that city or town for its previous fiscal year. For purposes of this levy calculation, taxes levied pursuant to chapters 34 and 34.1 of this title shall not be included. For FY 2018, in the event that a city or town, solely as a result of the exclusion of the motor vehicle tax in the new levy calculation, exceeds the property tax cap when compared to FY 2017 after taking into account that there was a motor vehicle tax in FY 2017, said city or town shall be permitted to exceed the property tax cap for the FY 2018 transition year, but in no event shall it exceed the four percent (4%) levy cap growth with the car tax portion included; provided, however, nothing herein shall prohibit a city or town from exceeding the property tax cap if otherwise permitted pursuant to subsection (d) of this section.

(c) The division of property valuation in the department of revenue shall monitor city and town compliance with this levy cap, issue periodic reports to the general assembly on compliance, and make recommendations on the continuation or modification of the levy cap on or before December 31, 1987, December 31, 1990, and December 31, every third year thereafter. The chief elected official in each city and town shall provide to the division of property and municipal finance within thirty (30) days of final action, in the form required, the adopted tax levy and rate and other pertinent information.

(d) The amount levied by a city or town may exceed the percentage increase as specified in subsection (a) or (b) of this section if the city or town qualifies under one or more of the following provisions:

(1) The city or town forecasts or experiences a loss in total non-property tax revenues and the loss is certified by the department of revenue.

(2) The city or town experiences or anticipates an emergency situation, which causes or will cause the levy to exceed the percentage increase as specified in subsection (a) or (b) of this section. In the event of an emergency or an anticipated emergency, the city or town shall notify the auditor general who shall certify the existence or anticipated existence of the emergency. Without limiting the generality of the foregoing, an emergency shall be deemed to exist when the city or town experiences or anticipates health insurance costs, retirement contributions, or utility expenditures that exceed the prior fiscal year's health insurance costs, retirement contributions, or utility expenditures by a percentage greater than three (3) times the percentage increase as specified in subsection (a) or (b) of this section.

(3) A city or town forecasts or experiences debt services expenditures that exceed the prior year's debt service expenditures by an amount greater than the percentage increase as specified in subsection (a) or (b) of this section and that are the result of bonded debt issued in a manner consistent with general law or a special act. In the event of the debt service increase, the city or town shall notify the department of revenue which shall certify the debt service increase above the percentage increase as specified in subsection (a) or (b) of this section the prior year's debt service. No action approving or disapproving exceeding a levy cap under the provisions of this section affects the requirement to pay obligations as described in subsection (d) of this section.

(4) The city or town experiences substantial growth in its tax base as the result of major new construction that necessitates either significant infrastructure or school housing expenditures by the city or town or a significant increase in the need for essential municipal services and such increase in expenditures or demand for services is certified by the department of revenue.

(5) In the city of Providence, for fiscal year 2026, any additional revenue generated from the Class 2B rate exceeding twenty-eight dollars and eighty cents ($28.80) per one thousand dollars ($1,000) may exceed the maximum levy. For the purposes of this subsection, "Class 2A" and "Class

2B" shall have the same meaning as in § 44-5-11.18(1)(ii).

(6) Effective for tax assessment dated on or after December 31, 2025, and subject to all requirements set forth in this section, the taxes levied on new housing units added to the municipal tax base during a fiscal year may exceed the maximum levy. For the purposes of this subsection, subject to the qualifying requirements below, new housing units shall include newly constructed residential properties, meaning single-family homes, two-family homes, single-family attached structures, multi-family dwellings, mixed-use developments where residential units constitute at least fifty percent (50%) of the building's total square footage as well as existing buildings converted into residential housing units qualifying under adaptive reuse in § 45-24-37; provided such conversions meet all applicable zoning and building code requirements and increase the municipality's total housing stock. New construction shall also include modular and manufactured homes. This provision shall apply provided that:

(i) A city or town has issued over ten (10) certificates of occupancy for new housing units during the fiscal year in which the exemption is sought; and

(ii) Such units are part of a development project that includes at least ten percent (10%) of the units designated as low- or moderate-income housing as defined in §§ 45-53-3 and 42-128-8.1; and

(iii) Such units are taxed utilizing the same valuation methods and rates as similar units in the respective city or town; and

(iv) The taxes levied on these qualifying new housing units may only exceed the maximum levy for the fiscal year in which the certificate of occupancy is issued and two (2) fiscal years thereafter in which the municipality shall phase in the full taxes for these units into the maximum levy by the fourth fiscal year following the issuance of a certificate of occupancy for the new housing unit(s).

(e) Any levy pursuant to subsection (d) of this section in excess of the percentage increase specified in subsection (a) or (b) of this section shall be approved by the affirmative vote of at least four-fifths (⅘) of the full membership of the governing body of the city or town, or in the case of a city or town having a financial town meeting, the majority of the electors present and voting at the town financial meeting shall also approve the excess levy.

(f) Nothing contained in this section constrains the payment of present or future obligations as prescribed by § 45-12-1, and all taxable property in each city or town is subject to taxation without limitation as to rate or amount to pay general obligation bonds or notes of the city or town except as otherwise specifically provided by law or charter.

(g) Notwithstanding anything to the contrary, the town of Little Compton is permitted a one-year levy cap exemption for fiscal year 2026 not to exceed twelve percent (12%), and subject to approval by the Little Compton Financial Town Meeting.

(h) Notwithstanding anything to the contrary, the City of Providence is permitted a one-year levy cap exemption for fiscal year 2026 not to exceed eight percent (8%).

(i) Notwithstanding anything to the contrary, the city of Central Falls, in fiscal years 2027 and thereafter, may levy an amount in excess of the percentage increase as specified in subsection (a) or (b) of this section if it requires additional revenue to fulfill its obligation to contribute the amount required by § 16-7-23.3 and such need is certified by the department of revenue.

SECTION 10. Section 45-38.2-2 of the General Laws in Chapter 45-38.2 entitled "School Building Authority Capital Fund" is hereby amended to read as follows:

45-38.2-2. School building authority capital fund.

(a) There is hereby established a school building authority capital fund. The corporation shall establish and set up on its books the fund, to be held in trust and to be administered by the corporation as provided in this chapter. This fund shall be in addition to the annual appropriation for committed expenses related to the repayment of housing aid commitments. The corporation shall deposit the following monies into the fund:

(1) ~~The difference between the annual housing aid appropriation and housing aid commitment amounts appropriated or designated to the corporation by the state for the purposes of the foundation program for school housing; provided that for FY 2019 and FY 2020 that amount shall be used for technical assistance to districts pursuant to § 16-105-3(7);~~

(2) Loan repayments, bond refinance interest savings, and other payments received by the corporation pursuant to loan or financing agreements with cities, towns, or local education agencies executed in accordance with this chapter;

(3) Investment earnings on amounts credited to the fund;

(4) Proceeds of bonds of the corporation issued in connection with this chapter to the extent required by any trust agreement for such bonds;

(5) Administrative fees levied by the corporation, with respect to financial assistance rendered under this chapter and specified in § 45-38.2-3(a)(4), less operating expenses;

(6) Other amounts required by provisions of this chapter or agreement, or any other law or any trust agreement pertaining to bonds to be credited to the fund; and

(7) Any other funds permitted by law which the corporation in its discretion shall determine to credit thereto.

(b) The corporation shall establish and maintain fiscal controls and accounting procedures conforming to generally accepted government accounting standards sufficient to ensure proper accounting for receipts in and disbursements from the school building authority capital fund.

(c) The school building authority shall establish and maintain internal controls to ensure that local education agencies are providing adequate asset protection plans, all local education agencies have equal access and opportunity to address facility improvements on a priority basis, and to ensure that funding from the school building authority capital fund has the greatest impact on facility gaps in state priority areas. The school building authority will also manage necessity of school construction approvals in accordance with the funding levels set forth by the general assembly.

SECTION 11. This article shall take effect upon passage, except sections 3, 4, 5, and 6 which shall be effective July 1, 2026 and except Section 10 which shall take effect retroactively as of July 1, 2025.

ARTICLE 8 AS AMENDED

RELATING TO MEDICAL ASSISTANCE

SECTION 1. Section 23-17-38.1 of the General Laws in Chapter 23-17 entitled "Licensing of Healthcare Facilities" is hereby amended to read as follows:

(a) There is imposed a hospital licensing fee described in subsections (c) through (f) for state fiscal years 2024 and 2025 against net patient-services revenue of every non-government owned hospital as defined herein for the hospital's first fiscal year ending on or after January 1, 2022. The hospital licensing fee shall have three (3) tiers with differing fees based on inpatient and outpatient net patient-services revenue. The executive office of health and human services, in consultation with the tax administrator, shall identify the hospitals in each tier, subject to the definitions in this section, by July 15, 2023, and shall notify each hospital of its tier by August 1, 2023.

(b) There is also imposed a hospital licensing fee described in subsections (c) through (f) for state fiscal ~~year~~ years 2026 and 2027 against net patient-services revenue of every non-government owned hospital as defined herein for the hospital's first fiscal year ending on or after January 1, 2023. The hospital licensing fee shall have three (3) tiers with differing fees based on inpatient and outpatient net patient-services revenue. The executive office of health and human services, in consultation with the tax administrator, shall identify the hospitals in each tier, subject to the definitions in this section, annually by July 15~~, 2025,~~ and shall notify each hospital of its assigned tier by August 1~~, 2025~~.

(c) Tier 1 is composed of hospitals that do not meet the description of either Tier 2 or Tier 3.

(1) The inpatient hospital licensing fee for Tier 1 is equal to thirteen and twelve hundredths percent (13.12%) of the inpatient net patient-services revenue derived from inpatient net patient-services revenue of every Tier 1 hospital.

(2) The outpatient hospital licensing fee for Tier 1 is equal to thirteen and thirty hundredths percent (13.30%) of the net patient-services revenue derived from outpatient net patient-services revenue of every Tier 1 hospital.

(d) Tier 2 is composed of high Medicaid/uninsured cost hospitals and independent hospitals.

(1) The inpatient hospital licensing fee for Tier 2 is equal to two and sixty-three hundredths percent (2.63%) of the inpatient net patient-services revenue derived from inpatient net patient-services revenue of every Tier 2 hospital.

(2) The outpatient hospital licensing fee for Tier 2 is equal to two and sixty-six hundredths percent (2.66%) of the outpatient net patient-services revenue derived from outpatient net patient-services revenue of every Tier 2 hospital.

(e) Tier 3 is composed of hospitals that are Medicare-designated low-volume hospitals and rehabilitative hospitals.

(1) The inpatient hospital licensing fee for Tier 3 is equal to one and thirty-one hundredths percent (1.31%) of the inpatient net patient-services revenue derived from inpatient net patient-services revenue of every Tier 3 hospital.

(2) The outpatient hospital licensing fee for Tier 3 is equal to one and thirty-three hundredths percent (1.33%) of the outpatient net patient-services revenue derived from outpatient net patient-services revenue of every Tier 3 hospital.

(f) There is also imposed a hospital licensing fee for state fiscal year 2024 against state-government owned and operated hospitals in the state as defined herein. The hospital licensing fee is equal to five and twenty-five hundredths percent (5.25%) of the net patient-services revenue of every hospital for the hospital's first fiscal year ending on or after January 1, 2022. There is also imposed a hospital licensing fee for state fiscal years 2025, ~~and~~ 2026, and 2027 against state-government owned and operated hospitals in the state as defined herein equal to five and twenty-five hundredths percent (5.25%) of the net patient-services revenue of every hospital for the hospital's first fiscal year ending on or after January 1, 2023.

(g) The hospital licensing fee described in subsections (b) through (f) is subject to U.S. Department of Health and Human Services approval of a request to waive the requirement that healthcare-related taxes be imposed uniformly as contained in 42 C.F.R. § 433.68(d).

(h) This hospital licensing fee shall be administered and collected by the tax administrator, division of taxation within the department of revenue, and all the administration, collection, and other provisions of chapter 51 of title 44 shall apply. Every hospital shall pay the licensing fee to the tax administrator before June 25 of each fiscal year, and payments shall be made by electronic transfer of monies to the tax administrator and deposited to the general fund. Every hospital shall, on or before August 1 of each fiscal year, make a return to the tax administrator containing the correct computation of inpatient and outpatient net patient-services revenue for the hospital data referenced in ~~subsection (a) and/or (b)~~ this section, and the licensing fee due upon that amount. All returns shall be signed by the hospital's authorized representative, subject to the pains and penalties of perjury.

(i) For purposes of this section the following words and phrases have the following meanings:

(1) "Gross patient-services revenue" means the gross revenue related to patient care services.

(2) "High Medicaid/uninsured cost hospital" means a hospital for which the hospital's total uncompensated care, as calculated pursuant to § 40-8.3-2(4), divided by the hospital's total net patient-services revenues, is equal to six percent (6.0%) or greater.

(3) "Hospital" means the actual facilities and buildings in existence in Rhode Island, licensed pursuant to § 23-17-1 et seq. on June 30, 2010, and thereafter any premises included on that license, regardless of changes in licensure status pursuant to chapter 17.14 of this title (hospital conversions) and § 23-17-6(b) (change in effective control), that provides short-term acute inpatient and/or outpatient care to persons who require definitive diagnosis and treatment for injury, illness, disabilities, or pregnancy. Notwithstanding the preceding language, the negotiated Medicaid managed care payment rates for a court-approved purchaser that acquires a hospital through receivership, special mastership, or other similar state insolvency proceedings (which court-approved purchaser is issued a hospital license after January 1, 2013) shall be based upon the newly negotiated rates between the court-approved purchaser and the health plan, and such rates shall be effective as of the date that the court-approved purchaser and the health plan execute the initial agreement containing the newly negotiated rate. The rate-setting methodology for inpatient hospital payments and outpatient hospital payments set forth in §§ 40-8-13.4(b) and 40-8-13.4(b)(2), respectively, shall thereafter apply to negotiated increases for each annual twelve-month (12) period as of July 1 following the completion of the first full year of the court-approved purchaser's initial Medicaid managed care contract.

(4) "Independent hospitals" means a hospital not part of a multi-hospital system.

(5) "Inpatient net patient-services revenue" means the charges related to inpatient care services less (i) Charges attributable to charity care; (ii) Bad debt expenses; and (iii) Contractual allowances.

(6) "Medicare-designated low-volume hospital" means a hospital that qualifies under 42 C.F.R. 412.101(b)(2) for additional Medicare payments to qualifying hospitals for the higher incremental costs associated with a low volume of discharges.

(7) "Net patient-services revenue" means the charges related to patient care services less (i) Charges attributable to charity care; (ii) Bad debt expenses; and (iii) Contractual allowances.

(8) "Non-government owned hospitals" means a hospital not owned and operated by the

state of Rhode Island.

(9) "Outpatient net patient-services revenue" means the charges related to outpatient care services less (i) Charges attributable to charity care; (ii) Bad debt expenses; and (iii) Contractual allowances.

(10) "Rehabilitative hospital" means Rehabilitation Hospital Center licensed by the Rhode Island department of health.

(11) "State-government owned and operated hospitals" means a hospital facility licensed by the Rhode Island department of health, owned and operated by the state of Rhode Island.

(j) The tax administrator in consultation with the executive office of health and human services shall make and promulgate any rules, regulations, and procedures not inconsistent with state law and fiscal procedures that he or she deems necessary for the proper administration of this section and to carry out the provisions, policy, and purposes of this section.

(k) The licensing fee imposed by subsections (a) through (f) shall apply to hospitals as defined herein that are duly licensed on July 1, 2024, and shall be in addition to the inspection fee imposed by § 23-17-38 and to any licensing fees previously imposed in accordance with this section.

SECTION 2. Section 40-8-3 of the General Laws in Chapter 40-8 entitled "Medical Assistance" is hereby amended to read as follows:

40-8-3. Eligibility requirements.

Medical care benefits shall be provided under this chapter to at least any person:

(1) Who has attained the age of sixty-five (65) years; or

(2) Who has no vision or whose vision is so defective as to prevent performance of ordinary activities for which eyesight is essential; or

(3) Who is at least eighteen (18) years of age and who is permanently and totally disabled; or

(4) Who is under the age of eighteen (18) years, and who has been deprived of parental support or care by reason of the death, continued absence from the home, unemployment, or physical or mental incapacity of a parent (called hereafter “dependent child”) and who is living with a relative in a place of residence maintained by one or more of these relatives as his or her or their own home, or is in foster boarding care; or

(5) The relative as defined in subsection (8) of § 40-8-2, with whom the dependent child is living; provided the person:

(i) Is a resident of this state; and

(ii) Is not receiving public assistance under the provisions of § 40-5.1-9(b) [repealed] or §

40-6-27; and

(iii) Is not an inmate of a public institution other than as a patient in a medical institution; and

(iv) Is not a patient in an institution for tuberculosis or mental disease, unless the person has attained the age of sixty-five (65) years; provided, however, that this clause shall become void and of no effect if and when legislation enacted by the Congress of the United States shall become effective providing for payments for medical care on behalf of persons who have not attained the age of sixty-five (65) years who are patients in an institution for tuberculosis or mental disease; and

(v) Has insufficient income and resources. The department shall establish income and resource rules, regulations, and limits in accordance with Title XIX of the federal Social Security Act, 42 U.S.C. § 1396 et seq., as applicable to the medically needy only applicants and recipients. The income limits established by the department must be more than the AFDC standard in effect on July 16, 1996, under the Rhode Island state plan approved under part A of Title IV of the federal Social Security Act, 42 U.S.C. § 601 et seq., but shall not be more than one hundred thirty-three and one-third percent (133⅓%) of the AFDC standard in effect on July 16, 1996, under the Rhode Island state plan approved under part A of Title IV of the federal Social Security Act; provided, however, that subject to the maximum percentage increase allowable under § 1931(b)(2)(B), the department shall increase the income limits on July 1, 1999, by six and six-tenths percent (6.6%), and on January 1, of each year commencing in the year 2000 by a percentage equal to the annual federal adjustment percentage as determined under the provisions of Title XVI of the federal Social Security Act, 42 U.S.C. § 1381 et seq. The department shall establish resource limits equal to ~~two thousand dollars ($2,000)~~ eight thousand dollars ($8,000) for an individual and ~~three thousand dollars ($3,000)~~ twelve thousand dollars ($12,000) for a family. Provided, however, the department shall apply to the United States Department of Health and Human Services for a waiver relating to application of the reduced resource limit, and subject to the granting of the waiver by the Secretary of the United States Department of Health and Human Services, the resource limit shall be applied to all applicants who: (A) Become eligible for benefits under this chapter on or after the effective date of this amendment and (B) Who were not receiving benefits under this chapter prior to July 1, 1993. In the event the secretary does not approve the waiver request, the current department regulations relating to resource limits shall remain in effect for all eligible beneficiaries.

For the purposes of this subsection, a vehicle necessary to transport a family member with a disability, where the vehicle is specially equipped to meet the specific needs of the person with a disability or if the vehicle is a special type of vehicle that makes it possible to transport the person with the disability, shall not be counted as resources of the applicants and recipients.

SECTION 3. Sections 40-8.3-2 and 40-8.3-3 of the General Laws in Chapter 40-8.3 entitled "Uncompensated Care" are hereby amended to read as follows:

40-8.3-2. Definitions.

As used in this chapter:

(1) "Base year" means, for the purpose of calculating a disproportionate share payment for any fiscal year ending after September 30, ~~2024~~2025, the period from October 1, ~~2022~~2023, through September 30, ~~2023~~2024, and for any fiscal year ending after September 30, ~~2025~~2026, the period from October 1, ~~2023~~2024, through September 30, ~~2024~~2025.

(2) "Medicaid inpatient utilization rate for a hospital" means a fraction (expressed as a percentage), the numerator of which is the hospital's number of inpatient days during the base year attributable to patients who were eligible for medical assistance during the base year and the denominator of which is the total number of the hospital's inpatient days in the base year.

(3) "Participating hospital" means any nonpsychiatric hospital that:

(i) Was licensed as a hospital in accordance with chapter 17 of title 23 during the base year and shall mean the actual facilities and buildings in existence in Rhode Island, licensed pursuant to § 23-17-1 et seq. on June 30, 2010, and thereafter any premises included on that license, regardless of changes in licensure status pursuant to chapter 17.14 of title 23 (hospital conversions) and § 23-17-6(b) (change in effective control), that provides acute inpatient and/or outpatient care to persons who require definitive diagnosis and treatment for injury, illness, disabilities, or pregnancy. Notwithstanding the preceding language, the negotiated Medicaid managed care payment rates for a court-approved purchaser that acquires a hospital through receivership, special mastership, or other similar state insolvency proceedings (which court-approved purchaser is issued a hospital license after January 1, 2013), shall be based upon the newly negotiated rates between the court-approved purchaser and the health plan, and the rates shall be effective as of the date that the court-approved purchaser and the health plan execute the initial agreement containing the newly negotiated rate. The rate-setting methodology for inpatient hospital payments and outpatient hospital payments set forth in §§ 40-8-13.4(b)(1)(ii)(C) and 40-8-13.4(b)(2), respectively, shall thereafter apply to negotiated increases for each annual twelve-month (12) period as of July 1 following the completion of the first full year of the court-approved purchaser's initial Medicaid managed care contract;

(ii) Achieved a medical assistance inpatient utilization rate of at least one percent (1%) during the base year; and

(iii) Continues to be licensed as a hospital in accordance with chapter 17 of title 23 during the payment year.

(4) "Uncompensated-care costs" means, as to any hospital, the sum of: (i) The cost incurred by the hospital during the base year for inpatient or outpatient services attributable to charity care (free care and bad debts) for which the patient has no health insurance or other third-party coverage less payments, if any, received directly from such patients; (ii) The cost incurred by the hospital during the base year for inpatient or outpatient services attributable to Medicaid beneficiaries less any Medicaid reimbursement received therefor; and (iii) the sum of subsections (4)(i) and (4)(ii) of this section shall be offset by the estimated hospital's commercial equivalent rates state directed payment for the current SFY in which the disproportionate share hospital (DSH) payment is made. The sum of subsections (4)(i), (4)(ii), and (4)(iii) of this section shall be multiplied by the uncompensated care index.

(5) "Uncompensated-care index" means the annual percentage increase for hospitals established pursuant to § 27-19-14 [repealed] for each year after the base year, up to and including the payment year; provided, however, that the uncompensated-care index for the payment year ending September 30, 2007, shall be deemed to be five and thirty-eight hundredths percent (5.38%), and that the uncompensated-care index for the payment year ending September 30, 2008, shall be deemed to be five and forty-seven hundredths percent (5.47%), and that the uncompensated-care index for the payment year ending September 30, 2009, shall be deemed to be five and thirty-eight hundredths percent (5.38%), and that the uncompensated-care index for the payment years ending September 30, 2010, September 30, 2011, September 30, 2012, September 30, 2013, September 30, 2014, September 30, 2015, September 30, 2016, September 30, 2017, September 30, 2018, September 30, 2019, September 30, 2020, September 30, 2021, September 30, 2022, September 30, 2023, September 30, 2024, September 30, 2025, ~~and~~ September 30, 2026, <u>and September 30, 2027</u> shall be deemed to be five and thirty hundredths percent (5.30%).

<u>40-8.3-3. Implementation.</u>

~~(a) For federal fiscal year 2024, commencing on October 1, 2023, and ending September 30, 2024, the executive office of health and human services shall submit to the Secretary of the United States Department of Health and Human Services a state plan amendment to the Rhode Island Medicaid DSH Plan to provide:~~

~~(1) That the DSH Plan to all participating hospitals, not to exceed an aggregate limit of $14.8 million, shall be allocated by the executive office of health and human services to the Pool D component of the DSH Plan; and~~

~~(2) That the Pool D allotment shall be distributed among the participating hospitals in direct proportion to the individual participating hospital's uncompensated-care costs for the base year, inflated by the uncompensated-care index to the total uncompensated-care costs for the base year~~

~~inflated by the uncompensated-care index for all participating hospitals. The disproportionate share payments shall be made on or before June 30, 2024, and are expressly conditioned upon approval on or before June 23, 2024, by the Secretary of the United States Department of Health and Human Services, or their authorized representative, of all Medicaid state plan amendments necessary to secure for the state the benefit of federal financial participation in federal fiscal year 2024 for the disproportionate share payments.~~

~~(b)~~(a) For federal fiscal year 2025, commencing on October 1, 2024, and ending on September 30, 2025, the executive office of health and human services shall submit to the Secretary of the United States Department of Health and Human Services a state plan amendment to the Rhode Island Medicaid DSH plan to provide:

(1) The creation of Pool C which allots no more than twelve million nine hundred thousand dollars ($12,900,000) to Medicaid eligible government-owned hospitals;

(2) That the DSH plan to all participating hospitals, not to exceed an aggregate limit of $27.7 million, shall be allocated by the executive office of health and human services to the Pool C and D components of the DSH plan;

(3) That the Pool D allotment shall be distributed among the participating hospitals in direct proportion to the individual participating hospital's uncompensated-care costs for the base year, inflated by the uncompensated-care index to the total uncompensated-care costs for the base year inflated by the uncompensated-care index of all participating hospitals. The disproportionate share payments shall be made on or before June 30, 2025, and are expressly conditioned upon approval on or before June 23, 2025, by the Secretary of the United States Department of Health and Human Services, or their authorized representative, of all Medicaid state plan amendments necessary to secure for the state the benefit of federal financial participation in federal fiscal year 2025 for the disproportionate share payments; and

(4) That the Pool C allotment shall be distributed among the participating hospitals in direct proportion to the individual participating hospital's uncompensated-care costs for the base year, inflated by the uncompensated-care index to the total uncompensated-care cost for the base year inflated by the uncompensated-care index of all participating hospitals. The disproportionate share payments shall be made on or before June 30, 2025, and are expressly conditioned upon approval on or before June 23, 2025, by the Secretary of the United States Department of Health and Human Services, or their authorized representative, of all Medicaid state plan amendments necessary to secure for the state the benefit of federal financial participation in federal fiscal year 2025 for the disproportionate share payments.

~~(c)~~(b) For federal fiscal year 2026, commencing on October 1, 2025, and ending on

September 30, 2026, the executive office of health and human services shall submit to the Secretary of the United States Department of Health and Human Services a state plan amendment to the Rhode Island Medicaid DSH plan to provide:

(1) That the DSH plan to all participating hospitals, not to exceed an aggregate limit of $13.9 million, shall be allocated by the executive office of health and human services to the Pool C and D components of the DSH plan. Pool C shall not exceed an aggregate limit of $12.9 million. Pool D shall not exceed an aggregate limit of $1.0 million;

(2) That the Pool C allotment shall be distributed among the participating hospitals in direct proportion to the individual participating hospital's uncompensated-care costs for the base year, inflated by the uncompensated-care index to the total uncompensated-care cost for the base year inflated by the uncompensated-care index of all participating hospitals. The disproportionate share payments shall be made on or before June 30, 2026, and are expressly conditioned upon approval on or before June 23, 2026, by the Secretary of the United States Department of Health and Human Services, or their authorized representative, of all Medicaid state plan amendments necessary to secure for the state the benefit of federal financial participation in federal fiscal year 2026 for the disproportionate share payments; and

(3) That the Pool D allotment shall be distributed among the participating hospitals in direct proportion to the individual participating hospital's uncompensated-care costs for the base year, inflated by the uncompensated-care index to the total uncompensated-care costs for the base year inflated by the uncompensated-care index of all participating hospitals. The disproportionate share payments shall be made on or before June 30, 2026, and are expressly conditioned upon approval on or before June 23, 2026, by the Secretary of the United States Department of Health and Human Services, or their authorized representative, of all Medicaid state plan amendments necessary to secure for the state the benefit of federal financial participation in federal fiscal year 2026 for the disproportionate share payments.

(c) For federal fiscal year 2027, commencing on October 1, 2026, and ending on September 30, 2027, the DSH plan for all participating hospitals shall not exceed an aggregate limit of thirty-eight million nine hundred thousand dollars ($38,900,000) and shall be allocated by the executive office of health and human services to the Pool C and D components of the DSH plan. The Pool C component of the DSH plan shall not exceed an aggregate limit of twelve million nine hundred thousand dollars ($12,900,000). The Pool D component of the DSH plan shall not exceed an aggregate limit of twenty-six million dollars ($26,000,000).

(1) The Pool C allotment shall be distributed among the participating hospitals in direct proportion to each individual participating hospital's uncompensated-care costs for the base year,

inflated by the uncompensated-care index as described in § 40-8.3-2(5). The DSH payments shall be made on or before June 30, 2027; and,

(2) The Pool D allotment shall be distributed among the participating hospitals in direct proportion to the individual participating hospital's uncompensated-care costs for the base year, inflated by the uncompensated-care index as described in § 40-8.3-2(5). The disproportionate share payments shall be made on or before June 30, 2027.

(d) No provision is made pursuant to this chapter for disproportionate-share hospital payments to participating hospitals for uncompensated-care costs related to graduate medical education programs.

(e) The executive office of health and human services is directed, on at least a monthly basis, to collect patient-level uninsured information, including, but not limited to, demographics, services rendered, and reason for uninsured status from all hospitals licensed in Rhode Island.

(f) [Deleted by P.L. 2019, ch. 88, art. 13, § 6.]

SECTION 4. Section 40-8.5-1 of the General Laws in Chapter 40-8.5 entitled "Health Care for Elderly and Disabled Residents Act" is hereby amended to read as follows:

40-8.5-1. Categorically needy medical assistance coverage.

The department of human services is hereby authorized and directed to amend its Title XIX state plan to provide for categorically needy medical assistance coverage as permitted pursuant to Title XIX of the Social Security Act, 42 U.S.C. § 1396 et seq., as amended, to individuals who are sixty-five (65) years or older or are disabled, as determined under § 1614(a)(3) of the Social Security Act, 42 U.S.C. § 1382c(a)(3), as amended, whose income does not exceed one hundred percent (100%) of the federal poverty level (as revised annually) applicable to the individual's family size, and whose resources do not exceed ~~four thousand dollars ($4,000)~~ eight thousand dollars ($8,000) per individual, or ~~six thousand dollars ($6,000)~~ twelve thousand dollars ($12,000) per couple. The department shall provide medical assistance coverage to such elderly or disabled persons in the same amount, duration, and scope as provided to other categorically needy persons under the state's Title XIX state plan.

SECTION 5. Section 40-8.9-9 of the General Laws in Chapter 40-8.9 entitled "Medical Assistance — Long-Term Care Service and Finance Reform" is hereby amended to read as follows:

40-8.9-9. Long-term-care rebalancing system reform goal.

(a) Notwithstanding any other provision of state law, the executive office of health and human services is authorized and directed to apply for, and obtain, any necessary waiver(s), waiver amendment(s), and/or state-plan amendments from the Secretary of the United States Department of Health and Human Services, and to promulgate rules necessary to adopt an affirmative plan of program design and implementation that addresses the goal of allocating a minimum of fifty percent (50%) of Medicaid long-term-care funding for persons aged sixty-five (65) and over and adults with disabilities, in addition to services for persons with developmental disabilities, to home- and community-based care; provided, further, the executive office shall report annually as part of its budget submission, the percentage distribution between institutional care and home- and community-based care by population and shall report current and projected waiting lists for long-term-care and home- and community-based care services. The executive office is further authorized and directed to prioritize investments in home- and community-based care and to maintain the integrity and financial viability of all current long-term-care services while pursuing this goal.

(b) The reformed long-term-care system rebalancing goal is person-centered and encourages individual self-determination, family involvement, interagency collaboration, and individual choice through the provision of highly specialized and individually tailored home-based services. Additionally, individuals with severe behavioral, physical, or developmental disabilities must have the opportunity to live safe and healthful lives through access to a wide range of supportive services in an array of community-based settings, regardless of the complexity of their medical condition, the severity of their disability, or the challenges of their behavior. Delivery of services and supports in less-costly and less-restrictive community settings will enable children, adolescents, and adults to be able to curtail, delay, or avoid lengthy stays in long-term-care institutions, such as behavioral health residential-treatment facilities, long-term-care hospitals, intermediate-care facilities, and/or skilled nursing facilities.

(c) Pursuant to federal authority procured under § 42-7.2-16, the executive office of health and human services is directed and authorized to adopt a tiered set of criteria to be used to determine eligibility for services. The criteria shall be developed in collaboration with the state's health and human services departments and, to the extent feasible, any consumer group, advisory board, or other entity designated for these purposes, and shall encompass eligibility determinations for long-term-care services in nursing facilities, hospitals, and intermediate-care facilities for persons with intellectual disabilities, as well as home- and community-based alternatives, and shall provide a common standard of income eligibility for both institutional and home- and community-based care. The executive office is authorized to adopt clinical and/or functional criteria for admission to a nursing facility, hospital, or intermediate-care facility for persons with intellectual disabilities that are more stringent than those employed for access to home- and community-based services. The executive office is also authorized to promulgate rules that define the frequency of re-assessments for services provided for under this section. Levels of care may be applied in accordance with the following:

(1) The executive office shall continue to apply the level-of-care criteria in effect on April 1, 2021, for any recipient determined eligible for and receiving Medicaid-funded long-term services and supports in a nursing facility, hospital, or intermediate-care facility for persons with intellectual disabilities on or before that date, unless:

(i) The recipient transitions to home- and community-based services because he or she would no longer meet the level-of-care criteria in effect on April 1, 2021; or

(ii) The recipient chooses home- and community-based services over the nursing facility, hospital, or intermediate-care facility for persons with intellectual disabilities. For the purposes of this section, a failed community placement, as defined in regulations promulgated by the executive office, shall be considered a condition of clinical eligibility for the highest level of care. The executive office shall confer with the long-term-care ombudsperson with respect to the determination of a failed placement under the ombudsperson's jurisdiction. Should any Medicaid recipient eligible for a nursing facility, hospital, or intermediate-care facility for persons with intellectual disabilities as of April 1, 2021, receive a determination of a failed community placement, the recipient shall have access to the highest level of care; furthermore, a recipient who has experienced a failed community placement shall be transitioned back into their former nursing home, hospital, or intermediate-care facility for persons with intellectual disabilities whenever possible. Additionally, residents shall only be moved from a nursing home, hospital, or intermediate-care facility for persons with intellectual disabilities in a manner consistent with applicable state and federal laws.

(2) Any Medicaid recipient eligible for the highest level of care who voluntarily leaves a nursing home, hospital, or intermediate-care facility for persons with intellectual disabilities shall not be subject to any wait list for home- and community-based services.

(3) No nursing home, hospital, or intermediate-care facility for persons with intellectual disabilities shall be denied payment for services rendered to a Medicaid recipient on the grounds that the recipient does not meet level-of-care criteria unless and until the executive office has:

(i) Performed an individual assessment of the recipient at issue and provided written notice to the nursing home, hospital, or intermediate-care facility for persons with intellectual disabilities that the recipient does not meet level-of-care criteria; and

(ii) The recipient has either appealed that level-of-care determination and been unsuccessful, or any appeal period available to the recipient regarding that level-of-care determination has expired.

(d) The executive office is further authorized to consolidate all home- and community-based services currently provided pursuant to 42 U.S.C. § 1396n into a single system of home- and community-based services that include options for consumer direction and shared living. The resulting single home- and community-based services system shall replace and supersede all 42 U.S.C. § 1396n programs when fully implemented. Notwithstanding the foregoing, the resulting single program home- and community-based services system shall include the continued funding of assisted-living services at any assisted-living facility financed by the Rhode Island housing and mortgage finance corporation prior to January 1, 2006, and shall be in accordance with chapter 66.8 of title 42 as long as assisted-living services are a covered Medicaid benefit.

(e) The executive office is authorized to promulgate rules that permit certain optional services including, but not limited to, homemaker services, home modifications, respite, and physical therapy evaluations to be offered to persons at risk for Medicaid-funded long-term care subject to availability of state-appropriated funding for these purposes.

(f) To promote the expansion of home- and community-based service capacity, the executive office is authorized to pursue payment methodology reforms that increase access to homemaker, personal care (home health aide), assisted living, adult supportive-care homes, and adult day services, as follows:

(1) Development of revised or new Medicaid certification standards that increase access to service specialization and scheduling accommodations by using payment strategies designed to achieve specific quality and health outcomes.

(2) Development of Medicaid certification standards for state-authorized providers of adult day services, excluding providers of services authorized under § 40.1-24-1(3), assisted living, and adult supportive care (as defined under chapter 17.24 of title 23) that establish for each, an acuity-based, tiered service and payment methodology tied to: licensure authority; level of beneficiary needs; the scope of services and supports provided; and specific quality and outcome measures.

The standards for adult day services for persons eligible for Medicaid-funded long-term services may differ from those who do not meet the clinical/functional criteria set forth in § 40-8.10-3.

(3) As the state's Medicaid program seeks to assist more beneficiaries requiring long-term services and supports in home- and community-based settings, the demand for home-care workers has increased, and wages for these workers has not kept pace with neighboring states, leading to high turnover and vacancy rates in the state's home-care industry, the executive office shall institute a one-time increase in the base-payment rates for FY 2019, as described below, for home-care service providers to promote increased access to and an adequate supply of highly trained home-healthcare professionals, in amount to be determined by the appropriations process, for the purpose of raising wages for personal care attendants and home health aides to be implemented by such

providers.

(i) A prospective base adjustment, effective not later than July 1, 2018, of ten percent (10%) of the current base rate for home-care providers, home nursing care providers, and hospice providers contracted with the executive office of health and human services and its subordinate agencies to deliver Medicaid fee-for-service personal care attendant services.

(ii) A prospective base adjustment, effective not later than July 1, 2018, of twenty percent (20%) of the current base rate for home-care providers, home nursing care providers, and hospice providers contracted with the executive office of health and human services and its subordinate agencies to deliver Medicaid fee-for-service skilled nursing and therapeutic services and hospice care.

(iii) Effective upon passage of this section, hospice provider reimbursement, exclusively for room and board expenses for individuals residing in a skilled nursing facility, shall revert to the rate methodology in effect on June 30, 2018, and these room and board expenses shall be exempted from any and all annual rate increases to hospice providers as provided for in this section.

(iv) On the first of July in each year, beginning on July 1, 2019, the executive office of health and human services will initiate an annual inflation increase to the base rate for home-care providers, home nursing care providers, and hospice providers contracted with the executive office and its subordinate agencies to deliver Medicaid fee-for-service personal care attendant services, skilled nursing and therapeutic services and hospice care. The base rate increase shall be a percentage amount equal to the New England Consumer Price Index card as determined by the United States Department of Labor for medical care and for compliance with all federal and state laws, regulations, and rules, and all national accreditation program requirements, except as of July 1, 2025, and thereafter, when no annual inflation increase shall occur for these rates.

(g) As the state's Medicaid program seeks to assist more beneficiaries requiring long-term services and supports in home- and community-based settings, the demand for home-care workers has increased, and wages for these workers has not kept pace with neighboring states, leading to high turnover and vacancy rates in the state's home-care industry. To promote increased access to and an adequate supply of direct-care workers, the executive office shall institute a payment methodology change, in Medicaid fee-for-service and managed care, for FY 2022, that shall be passed through directly to the direct-care workers' wages who are employed by home nursing care and home-care providers licensed by the Rhode Island department of health, as described below:

(1) Effective July 1, 2021, increase the existing shift differential modifier by $0.19 per fifteen (15) minutes for personal care and combined personal care/homemaker.

(i) Employers must pass on one hundred percent (100%) of the shift differential modifier increase per fifteen-minute (15) unit of service to the CNAs who rendered such services. This compensation shall be provided in addition to the rate of compensation that the employee was receiving as of June 30, 2021. For an employee hired after June 30, 2021, the agency shall use not less than the lowest compensation paid to an employee of similar functions and duties as of June 30, 2021, as the base compensation to which the increase is applied.

(ii) Employers must provide to EOHHS an annual compliance statement showing wages as of June 30, 2021, amounts received from the increases outlined herein, and compliance with this section by July 1, 2022. EOHHS may adopt any additional necessary regulations and processes to oversee this subsection.

(2) Effective January 1, 2022, establish a new behavioral healthcare enhancement of $0.39 per fifteen (15) minutes for personal care, combined personal care/homemaker, and homemaker only for providers who have at least thirty percent (30%) of their direct-care workers (which includes certified nursing assistants (CNA) and homemakers) certified in behavioral healthcare training.

(i) Employers must pass on one hundred percent (100%) of the behavioral healthcare enhancement per fifteen (15) minute unit of service rendered by only those CNAs and homemakers who have completed the thirty (30) hour behavioral health certificate training program offered by Rhode Island College, or a training program that is prospectively determined to be compliant per EOHHS, to those CNAs and homemakers. This compensation shall be provided in addition to the rate of compensation that the employee was receiving as of December 31, 2021. For an employee hired after December 31, 2021, the agency shall use not less than the lowest compensation paid to an employee of similar functions and duties as of December 31, 2021, as the base compensation to which the increase is applied.

(ii) By January 1, 2023, employers must provide to EOHHS an annual compliance statement showing wages as of December 31, 2021, amounts received from the increases outlined herein, and compliance with this section, including which behavioral healthcare training programs were utilized. EOHHS may adopt any additional necessary regulations and processes to oversee this subsection.

(h) The executive office shall implement a long-term-care-options counseling program to provide individuals, or their representatives, or both, with long-term-care consultations that shall include, at a minimum, information about: long-term-care options, sources, and methods of both public and private payment for long-term-care services and an assessment of an individual's functional capabilities and opportunities for maximizing independence. Each individual admitted to, or seeking admission to, a long-term-care facility, regardless of the payment source, shall be informed by the facility of the availability of the long-term-care-options counseling program and shall be provided with long-term-care-options consultation if they so request. Each individual who applies for Medicaid long-term-care services shall be provided with a long-term-care consultation.

(i) The executive office shall implement, no later than January 1, 2024, a statewide network and rate methodology for conflict-free case management for individuals receiving Medicaid-funded home and community-based services. The executive office shall coordinate implementation with the state's health and human services departments and divisions authorized to deliver Medicaid-funded home and community-based service programs, including the department of behavioral healthcare, developmental disabilities and hospitals; the department of human services; and the office of healthy aging. It is in the best interest of the Rhode Islanders eligible to receive Medicaid home and community-based services under this chapter, title 40.1, title 42, or any other general laws to provide equitable access to conflict-free case management that shall include person-centered planning, service arranging, and quality monitoring in the amount, duration, and scope required by federal law and regulations. It is necessary to ensure that there is a robust network of qualified conflict-free case management entities with the capacity to serve all participants on a statewide basis and in a manner that promotes choice, self-reliance, and community integration. The executive office, as the designated single state Medicaid authority and agency responsible for coordinating policy and planning for health and human services under § 42-7.2-1 et seq., is directed to establish a statewide conflict-free case management network under the management of the executive office and to seek any Medicaid waivers, state plan amendments, and changes in rules, regulations, and procedures that may be necessary to ensure that recipients of Medicaid home and community-based services have access to conflict-free case management in a timely manner and in accordance with the federal requirements that must be met to preserve financial participation.

(j) The executive office is also authorized, subject to availability of appropriation of funding, and federal, Medicaid-matching funds, to pay for certain services and supports necessary to transition or divert beneficiaries from institutional or restrictive settings and optimize their health and safety when receiving care in a home or the community. The secretary is authorized to obtain any state plan or waiver authorities required to maximize the federal funds available to support expanded access to home- and community-transition and stabilization services; provided, however, payments shall not exceed an annual or per-person amount.

(k) To ensure persons with long-term-care needs who remain living at home have adequate resources to deal with housing maintenance and unanticipated housing-related costs, the secretary is authorized to ~~develop higher~~ implement resource eligibility limits of eight thousand dollars ($8,000) for single persons ~~or~~ and twelve thousand dollars ($12,000) for couples and obtain any state plan or waiver authorities necessary to change the financial eligibility criteria for long-term services and supports to enable beneficiaries receiving home and community waiver services to have the resources to continue living in their own homes or rental units or other home-based settings.

(*l*) The executive office shall implement, no later than January 1, 2016, the following home- and community-based service and payment reforms:

(1) [Deleted by P.L. 2021, ch. 162, art. 12, § 6.]

(2) Adult day services level of need criteria and acuity-based, tiered-payment methodology; and

(3) Payment reforms that encourage home- and community-based providers to provide the specialized services and accommodations beneficiaries need to avoid or delay institutional care.

(m) The secretary is authorized to seek any Medicaid section 1115 waiver or state-plan amendments and take any administrative actions necessary to ensure timely adoption of any new or amended rules, regulations, policies, or procedures and any system enhancements or changes, for which appropriations have been authorized, that are necessary to facilitate implementation of the requirements of this section by the dates established. The secretary shall reserve the discretion to exercise the authority established under §§ 42-7.2-5(6)(v) and 42-7.2-6.1, in consultation with the governor, to meet the legislative directives established herein.

SECTION 6. Section 42-7.2-5 of the General Laws in Chapter 42-7.2 entitled "Office of Health and Human Services" is hereby amended to read as follows:

42-7.2-5. Duties of the secretary.

The secretary shall be subject to the direction and supervision of the governor for the oversight, coordination, and cohesive direction of state-administered health and human services and in ensuring the laws are faithfully executed, notwithstanding any law to the contrary. In this capacity, the secretary of the executive office of health and human services (EOHHS) shall be authorized to:

(1) Coordinate the administration and financing of healthcare benefits, human services, and programs including those authorized by the state's Medicaid section 1115 demonstration waiver and, as applicable, the Medicaid state plan under Title XIX of the U.S. Social Security Act. However, nothing in this section shall be construed as transferring to the secretary the powers, duties, or functions conferred upon the departments by Rhode Island public and general laws for the administration of federal/state programs financed in whole or in part with Medicaid funds or the administrative responsibility for the preparation and submission of any state plans, state plan amendments, or authorized federal waiver applications, once approved by the secretary.

(2) Serve as the governor's chief advisor and liaison to federal policymakers on Medicaid reform issues as well as the principal point of contact in the state on any such related matters.

(3)(i) Review and ensure the coordination of the state's Medicaid section 1115 demonstration waiver requests and renewals as well as any initiatives and proposals requiring amendments to the Medicaid state plan or formal amendment changes, as described in the special terms and conditions of the state's Medicaid section 1115 demonstration waiver with the potential to affect the scope, amount, or duration of publicly funded healthcare services, provider payments or reimbursements, or access to or the availability of benefits and services as provided by Rhode Island general and public laws. The secretary shall consider whether any such changes are legally and fiscally sound and consistent with the state's policy and budget priorities. The secretary shall also assess whether a proposed change is capable of obtaining the necessary approvals from federal officials and achieving the expected positive consumer outcomes. Department directors shall, within the timelines specified, provide any information and resources the secretary deems necessary in order to perform the reviews authorized in this section.

(ii) Direct the development and implementation of any Medicaid policies, procedures, or systems that may be required to assure successful operation of the state's health and human services integrated eligibility system and coordination with HealthSource RI, the state's health insurance marketplace.

(iii) Beginning in 2015, conduct on a biennial basis a comprehensive review of the Medicaid eligibility criteria for one or more of the populations covered under the state plan or a waiver to ensure consistency with federal and state laws and policies, coordinate and align systems, and identify areas for improving quality assurance, fair and equitable access to services, and opportunities for additional financial participation.

(iv) Implement service organization and delivery reforms that facilitate service integration, increase value, and improve quality and health outcomes.

(4) Beginning in 2020, prepare and submit to the governor, the chairpersons of the house and senate finance committees, the caseload estimating conference, and to the joint legislative committee for health-care oversight, by no later than September 15 of each year, a comprehensive overview of all Medicaid expenditures outcomes, administrative costs, and utilization rates. The overview shall include, but not be limited to, the following information:

(i) Expenditures under Titles XIX and XXI of the Social Security Act, as amended;

(ii) Expenditures, outcomes, and utilization rates by population and sub-population served (e.g., families with children, persons with disabilities, children in foster care, children receiving adoption assistance, adults ages nineteen (19) to sixty-four (64), and elders);

(iii) Expenditures, outcomes, and utilization rates by each state department or other municipal or public entity receiving federal reimbursement under Titles XIX and XXI of the Social Security Act, as amended;

(iv) Expenditures, outcomes, and utilization rates by type of service and/or service provider;

(v) Expenditures by mandatory population receiving mandatory services and, reported separately, optional services, as well as optional populations receiving mandatory services and, reported separately, optional services for each state agency receiving Title XIX and XXI funds; and

(vi) Information submitted to the Centers for Medicare & Medicaid Services for the mandatory annual state reporting of the Core Set of Children's Health Care Quality Measures for Medicaid and Children's Health Insurance Program, behavioral health measures on the Core Set of Adult Health Care Quality Measures for Medicaid and the Core Sets of Health Home Quality Measures for Medicaid to ensure compliance with the Bipartisan Budget Act of 2018, Pub. L. No. 115-123.

The directors of the departments, as well as local governments and school departments, shall assist and cooperate with the secretary in fulfilling this responsibility by providing whatever resources, information, and support shall be necessary.

(5) Resolve administrative, jurisdictional, operational, program, or policy conflicts among departments and their executive staffs and make necessary recommendations to the governor.

(6) Ensure continued progress toward improving the quality, the economy, the accountability, and the efficiency of state-administered health and human services. In this capacity, the secretary shall:

(i) Direct implementation of reforms in the human resources practices of the executive office and the departments that streamline and upgrade services, achieve greater economies of scale and establish the coordinated system of the staff education, cross-training, and career development services necessary to recruit and retain a highly-skilled, responsive, and engaged health and human services workforce;

(ii) Encourage EOHHS-wide consumer-centered approaches to service design and delivery that expand their capacity to respond efficiently and responsibly to the diverse and changing needs of the people and communities they serve;

(iii) Develop all opportunities to maximize resources by leveraging the state's purchasing power, centralizing fiscal service functions related to budget, finance, and procurement, centralizing communication, policy analysis and planning, and information systems and data management, pursuing alternative funding sources through grants, awards, and partnerships and securing all available federal financial participation for programs and services provided EOHHS-wide;

(iv) Improve the coordination and efficiency of health and human services legal functions by centralizing adjudicative and legal services and overseeing their timely and judicious administration;

(v) Facilitate the rebalancing of the long-term system by creating an assessment and coordination organization or unit for the expressed purpose of developing and implementing procedures EOHHS-wide that ensure that the appropriate publicly funded health services are provided at the right time and in the most appropriate and least restrictive setting;

(vi) Strengthen health and human services program integrity, quality control and collections, and recovery activities by consolidating functions within the office in a single unit that ensures all affected parties pay their fair share of the cost of services and are aware of alternative financing;

(vii) Assure protective services are available to vulnerable elders and adults with developmental and other disabilities by reorganizing existing services, establishing new services where gaps exist, and centralizing administrative responsibility for oversight of all related initiatives and programs.

(7) Prepare and integrate comprehensive budgets for the health and human services departments and any other functions and duties assigned to the office. The budgets shall be submitted to the state budget office by the secretary, for consideration by the governor, on behalf of the state's health and human services agencies in accordance with the provisions set forth in § 35-3-4.

(8) Utilize objective data to evaluate health and human services policy goals, resource use and outcome evaluation and to perform short and long-term policy planning and development.

(9) Establish an integrated approach to interdepartmental information and data management that complements and furthers the goals of the unified health infrastructure project initiative and that will facilitate the transition to a consumer-centered integrated system of state-administered health and human services.

(10) At the direction of the governor or the general assembly, conduct independent reviews of state-administered health and human services programs, policies, and related agency actions and activities and assist the department directors in identifying strategies to address any issues or areas of concern that may emerge thereof. The department directors shall provide any information and assistance deemed necessary by the secretary when undertaking such independent reviews.

(11) Provide regular and timely reports to the governor and make recommendations with

respect to the state's health and human services agenda.

(12) Employ such personnel and contract for such consulting services as may be required to perform the powers and duties lawfully conferred upon the secretary.

(13) Assume responsibility for complying with the provisions of any general or public law or regulation related to the disclosure, confidentiality, and privacy of any information or records, in the possession or under the control of the executive office or the departments assigned to the executive office, that may be developed or acquired or transferred at the direction of the governor or the secretary for purposes directly connected with the secretary's duties set forth herein.

(14) Hold the director of each health and human services department accountable for their administrative, fiscal, and program actions in the conduct of the respective powers and duties of their agencies.

(15) Identify opportunities for inclusion with the EOHHS' October 1, 2023, budget submission, to remove fixed eligibility thresholds for programs under its purview by establishing sliding scale decreases in benefits commensurate with income increases up to four hundred fifty percent (450%) of the federal poverty level. These shall include but not be limited to, medical assistance, childcare assistance, and food assistance.

(16) Ensure that insurers minimize administrative burdens on providers that may delay medically necessary care, including requiring that insurers do not impose a prior authorization requirement for any admission, item, service, treatment, or procedure ordered by an in-network primary care provider. Provided, the prohibition shall not be construed to prohibit prior authorization requirements for prescription drugs. Provided further, that as used in this subsection (16) of this section, the terms "insurer," "primary care provider," and "prior authorization" means the same as those terms are defined in § 27-18.9-2.

(17) The secretary shall convene, in consultation with the governor, an advisory working group to assist in the review and analysis of potential impacts of any adopted federal actions related to Medicaid programs. The working group shall develop options for administrative action or general assembly consideration that may be needed to address any federal funding changes that impact Rhode Island's Medicaid programs.

(i) The advisory working group may include, but not be limited to, the secretary of health and human services, director of management and budget, and designees from the following: state agencies, businesses, healthcare, public sector unions, and advocates.

(ii) As soon as practicable after the enactment federal budget for fiscal year 2026, but no later than October 31, 2025, the advisory working group shall forward a report to the governor, speaker of the house, and president of the senate containing the findings, recommendations and options for consideration to become compliant with federal changes prior to the governor's budget submission pursuant to § 35-3-7.

(18) The secretary shall implement, in coordination with the health insurance commissioner, the Achieving Healthcare Efficiency through Accountable Design (AHEAD) Model Grant Program and produce a report to the governor and the general assembly outlining the program's activities. The report, due no later than October 31, 2026, and annually thereafter by October 31 for the duration of the state's participation in the grant, should address, at minimum:

(i) A description of activities and funding uses during the grant year;

(ii) The legislative authority, including budgetary authority, required to implement changes to the Rhode Island Medical Assistance program;

(ii) Stakeholder interest and participation in the model; and

(iv) Overall long-term value of implementing the alternative payment models required by the AHEAD model.

SECTION 7. Chapter 42-72 of the General Laws entitled "Department of Children, Youth and Families" is hereby amended by adding thereto the following section:

42-72-37. Family care community partnerships.

(a) As used in this section, "family care community partnership" (FCCP) means a specific, community-based child abuse and neglect prevention service that an agency or entity provides to children and families through a Medicaid certification, department license, or contract with the department.

(b) There are hereby established five (5) FCCP catchment regions to serve residents of a specific area within the state, as follows:

(1) West Urban Core: The cities of Providence and Cranston;

(2) East Urban Core: The cities of East Providence, Central Falls, and Pawtucket;

(3) East Bay: The towns of Barrington, Bristol, Jamestown, Little Compton, Middletown, Portsmouth, Tiverton, and Warren, and the city of Newport;

(4) Washington and Kent Counties: The towns of Charlestown, Coventry, East Greenwich, Exeter, Hopkinton, Narragansett, New Shoreham, North Kingstown, Richmond, South Kingstown, West Greenwich, West Warwick, and Westerly, and the city of Warwick; and

(5) Northern Rhode Island: The towns of Burrillville, Cumberland, Foster, Glocester, Johnston, Lincoln, North Providence, North Smithfield, Scituate, Smithfield, and the city of Woonsocket.

(c) Exactly one FCCP Lead Agency shall be permitted to operate in each region set forth in subsection (b) of this section.

SECTION 8. Rhode Island Medicaid Reform Act of 2008 Resolution.

WHEREAS, The General Assembly enacted Chapter 12.4 of Title 42 entitled "The Rhode Island Medicaid Reform Act of 2008"; and

WHEREAS, A legislative enactment is required pursuant to Rhode Island general laws § 42-12.4-1, et seq.; and

WHEREAS, Rhode Island general laws § 42-7.2-5(3)(i) provides that the secretary of the executive office of health and human services is responsible for the review and coordination of any Medicaid section 1115 demonstration waiver requests and renewals as well as any initiatives and proposals requiring amendments to the Medicaid state plan or category II or III changes as described in the demonstration, "with potential to affect the scope, amount, or duration of publicly-funded health care services, provider payments or reimbursements, or access to or the availability of benefits and services provided by Rhode Island general and public laws"; and

WHEREAS, In pursuit of a more cost-effective consumer choice system of care that is fiscally sound and sustainable, the secretary requests legislative approval of the following proposals to amend the demonstration; and

WHEREAS, Implementation of adjustments may require amendments to the Rhode Island's Medicaid state plan and/or section 1115 waiver under the terms and conditions of the demonstration. Further, adoption of new or amended rules, regulations and procedures may also be required:

(a) Substance Abuse Residential Services Rates. The secretary of the executive office of health and human services will pursue and implement any state plan amendments needed to eliminate annual rate increases for substance abuse residential services.

(b) Assisted Living Tier C Rates. The secretary of the executive office of health and human services is authorized to pursue and implement any waiver amendments, state plan amendments, and/or changes to the applicable department's rules, regulations, and procedures required to increase Tier C Assisted Living reimbursement rates by 13 percent starting January 1, 2027

(c) Children's Services Rate Setting. The secretary of the executive office of health and human services is authorized to pursue and implement any waiver amendments, state plan amendments, and/or changes to the applicable department's rules, regulations, and procedures required to implement reimbursement rates resulting from the Children's Services Rate Setting project.

(d) Provider Reimbursement Rates. The secretary of the executive office of health and human services is authorized to pursue and implement any waiver amendments, state plan amendments, and/or changes to the applicable department's rules, regulations, and procedures required to implement updates to Medicaid provider reimbursement rates consisting of rate increases limited to the lower amount of the increases recommended or one hundred percent (100%) of the Medicare rates identified in the Social and Human Service Programs Review Final Report produced by the office of the health insurance commissioner pursuant to Rhode Island general laws § 42-14.5-3(t)(2)(x), effective October 1, 2026.

(e) Change to Rates for Nursing Facility Services. The secretary of the executive office of health and human services is authorized to pursue and implement any waiver amendments, state plan amendments, and/or changes to the applicable department's rules, regulations, and procedures required to update the behavioral health per-diem add-on program for particularly complex patients starting April 1, 2027, to include, but not limited to, those who:

(1) Require nursing home level of care and have complex needs that are barriers to placement in a traditional nursing home, and have a history of persistent, disruptive behaviors requiring moderate-to-frequent intervention;

(2) Admission to a specialized nursing home is consistent with the least restrictive setting requirement enunciated in the landmark U.S. Supreme Court case, Olmstead v. L.C (1999); and

(3) The individual must meet nursing facility level of care criteria and has been approved by BHDDH for specialized services through the BHDDH Level II PASRR determination process prior to admission to a specialized nursing home.

(f) Glucagon-like Peptide-1 (GLP-1) Coverage. The secretary of the executive office of health and human services is authorized to pursue and implement any waiver amendments, state plan amendments, and/or changes to the applicable department's rules, regulations, and procedures required to remove coverage for GLP-1 medications, except if prescribed to treat type 2 diabetes.

(g) Targeted Case Management. The secretary of the executive office of health and human services is authorized to pursue and implement any waiver amendments, state plan amendments, and/or changes to the applicable department's rules, regulations, and procedures required to implement updates to Medicaid's authority to reimburse for the governmental provision of targeted case management to Medicaid enrolled children and youth (up to 21 years old) by qualified staff at the Department of Children, Youth and Families.

(h) Graduate Medical Education for Federally Qualified Health Centers. The executive office of health and human services shall review and assess any Medicaid waiver or state plan opportunities that support Rhode Island Federally Qualified Health Centers that operate, or participate in the operation of, accredited primary care-focused physician residency programs. The Secretary shall provide a report with options, recommendations, and estimated fiscal impact to the General Assembly and Governor by November 1, 2026, for consideration in the FY 2028 enacted budget.

(i) The secretary of the executive office of health and human services is authorized to pursue and implement any waiver amendments, state plan amendments, and/or changes to the applicable department's rules, regulations, and procedures required to increase resource limits effective January 1, 2027, for Community Medicaid, long-term services and supports, and medically needy beneficiaries to eight thousand dollars ($8,000) for an individual and twelve thousand dollars ($12,000) for a couple.

~~(i)~~(j) Federal Financing Opportunities. The executive office of health and human services proposes that it shall review Medicaid requirements and opportunities under the U.S. Patient Protection and Affordable Care Act of 2010 (PPACA) and various other recently enacted federal laws and pursue any changes in the Rhode Island Medicaid program that promote, increase and enhance service quality, access and cost-effectiveness that may require a Medicaid state plan amendment or amendment under the terms and conditions of Rhode Island's section 1115 waiver, its successor, or any extension thereof. Any such actions by the executive office of health and human services shall not have an adverse impact on beneficiaries or cause there to be an increase in expenditures beyond the amount appropriated for state fiscal year 2027; now, therefore be it

RESOLVED, That the General Assembly hereby approves the above-referenced proposals; and be it further

RESOLVED, That the secretary of the executive office of health and human services is authorized to pursue and implement any waiver amendments, state plan amendments, and/or changes to the applicable department's rules, regulations and procedures approved herein and as authorized by chapter 12.4 of title 42; and be it further

SECTION 9. Joint Resolution. AUTHORIZING THE SECRETARY OF THE EXECUTIVE OFFICE OF HEALTH AND HUMAN SERVICES TO CONTINUE AND EXPAND AN ACUTE HOSPITAL CARE AT HOME PROGRAM

WHEREAS, The State of Rhode Island has received a multi-hundred-million-dollar, multiyear award from the Centers for Medicare and Medicaid Services called The Rural Health Transformation Program (RHTP); and

WHEREAS, RHTP strongly favors and funds states that have hospitals that participate in the Centers for Medicare and Medicaid Services Acute Hospital Care at Home initiative, the services of which are often called hospital at home programs; and

WHEREAS, Hospital at home models have shown over decades that advanced care at home can be a safe, effective way to provide care to patients that is associated with lower costs and better patient outcomes and satisfaction compared with inpatient hospitalization; and

WHEREAS, The hospital at home model is an important component of the shift away from institutionalized care and has been successful in allowing patients with particular conditions to remain in their homes and avoid risks associated with inpatient admission and care; and

WHEREAS, The Centers for Medicare and Medicaid Services has extended the Acute Hospital Care at Home initiative through September 30, 2030, via the Consolidated Appropriations Act; and

WHEREAS, The Acute Hospital Care at Home initiative applies to Medicare beneficiaries, but can be extended to Medicaid beneficiaries if states choose to cover such services; and

WHEREAS, The State of Rhode Island wishes to extend the Acute Hospital Care at Home initiative benefits to both traditional and managed Medicaid enrollees;

NOW, THEREFORE BE IT RESOLVED,

(1) Notwithstanding any provision of law to the contrary, the Executive Office of Health and Human Services shall establish and maintain a program to cover hospital at home services for all eligible medical assistance enrollees and managed Medicaid enrollees. The program shall be established and maintained in a manner that is consistent with the provisions of the Acute Hospital Care at Home initiative, as authorized by the federal Centers for Medicare and Medicaid Services.

(2) Any Rhode Island licensed hospital in receipt of a waiver to operate, or otherwise approved to participate in the Centers for Medicare and Medicaid Services Acute Hospital Care at Home initiative, shall be permitted to operate or to continue to operate its program in the manner permitted under federal law.

(3) For as long the Acute Hospital Care at Home initiative, or a successor, remains in effect, the Rhode Island Medical Assistance program, including managed Medicaid plans, shall provide coverage and payment for acute hospital care services delivered to a covered person through the program established pursuant to this resolution, on the same basis as when services are delivered within the facilities of a hospital. Reimbursement payments under this section shall be provided to the hospital, facility, or organization providing the services or the individual practitioner who delivered the reimbursable services, or to the agency, facility, or organization that employs or contracts with the individual practitioner who delivered the reimbursable services, as appropriate, at a rate no higher than the payer's then applicable reimbursement rates for the same service in the same hospital.

(4) The program shall not utilize more stringent utilization management criteria than apply when those services are provided within the facilities of a hospital.

(5) The Secretary of the Executive Office of Health and Human Services shall apply for any State plan amendments or waivers as may be necessary to implement the provisions of this

resolution and to secure federal financial participation for State Medicaid expenditures under the federal Medicaid program.

(6) The Secretary of the Executive Office of Health and Human Services shall adopt rules and regulations, in accordance with the Administrative Procedure Act, if necessary, to effectuate the provisions of this resolution; and be it further

RESOLVED, The Secretary of the Executive Office of Health and Human Services shall provide a report to the Governor and the General Assembly regarding the cost of the program.

SECTION 10. Sections 8 and 9 of this article shall take effect on July 1, 2026. Sections 2, 4 and 5 shall take effect on January 1, 2027. The remainder of the article shall take effect upon passage

ARTICLE 9

RELATING TO LEASES

SECTION 1. This article consists of a Joint Resolution that is submitted pursuant to Rhode Island General Laws § 37-6-2, authorizing various lease agreements for office space and operating space.

SECTION 2. *Rhode Island Department of State (148 West River Street, Providence).*

WHEREAS, The Rhode Island Department of State currently occupies approximately 12,152 square feet at 148 West River Street in the City of Providence; and

WHEREAS, The Rhode Island Department of State currently holds a lease agreement, in full force and effect, with EGMP 146-148 West River LLC for approximately 12,152 square feet of office and customer service space located at 148 West River Street, in the City of Providence; and

WHEREAS, The existing lease expires on July 31, 2026, and the Rhode Island Department of State wishes to enter into a new lease agreement for a period of ten (10) years; and

WHEREAS, The State of Rhode Island, acting by and through the Department of State attests to the fact that there are no clauses in the lease agreement with EGMP 146-148 West River LLC that would interfere with the Department of State's lease agreement or use of the facility; and

WHEREAS, The leased premises provide a critical location for the offices of the Department of State from which the agency can fulfill its mission; and

WHEREAS, The annual fixed rent in the agreement in the current fiscal year, ending June 30, 2026 is $256,589.52; and

WHEREAS, The annual base rent of the agreement in year one is not to exceed $261,268.00 which will be followed by annual increases of 2.5% in years two (2) through ten (10), with year ten (10) not to exceed $326,287.93; and

WHEREAS, The payment of the annual base rent will be made from funds available to the Department of State for the payments of rental and lease costs based on annual appropriations made by the General Assembly; and

WHEREAS, The State Properties Committee now respectfully requests the approval of the Rhode Island House of Representatives and the Rhode Island Senate for the lease agreement between the Department of State and EGMP 146-148 West River LLC for leased space located at

148 West River Street, Providence; now therefore be it

RESOLVED, That this General Assembly of the State of Rhode Island hereby approves the lease agreement, for a term not to exceed ten (10) years and an aggregate base rent not to exceed $2,927,085.15; and it be further

RESOLVED, That this Joint Resolution shall take effect upon passage by the General Assembly; and it be further

RESOLVED, That the Secretary of State is hereby authorized and directed to transmit duly certified copies of this resolution to the Governor, the Department of State, the Director of Administration, the State Budget Officer, and the Chair of the State Properties Committee.

SECTION 3. *Rhode Island Department of Environmental Management, (235 Promenade Street, Providence).*

WHEREAS, The Rhode Island Department of Environmental Management currently occupies 126,184 square feet at 235 Promenade Street in the City of Providence; and

WHEREAS, The Rhode Island Department of Environmental Management currently holds a lease agreement in full force and effect, with Foundry Parcel Fifteen Associates, LLC for 126,184 square feet of office and customer service space located at 235 Promenade Street, in the City of Providence; and

WHEREAS, The existing lease expires on July 7, 2026, and the Rhode Island Department of Environmental Management wishes to enter into a new lease agreement for a period of ten (10) years; and

WHEREAS, The Department of Administration and Rhode Island Department of Environmental Management received and reviewed proposals for office space that would meet the Department of Environmental Management's needs; and

WHEREAS, Upon completing an evaluation of the submitted lease proposals, the Rhode Island Department of Environmental Management wishes to enter into a ten-year lease agreement with Foundry Parcel Fifteen Associates, LLC for approximately 115,733 square feet of office space located at 235 Promenade Street in the city of Providence; and

WHEREAS, The State of Rhode Island, acting by and through the Rhode Island Department of Environmental Management attests to the fact that there are no clauses in the lease agreement with Foundry Parcel Fifteen Associates, LLC that would interfere with the Rhode Island Department of Environmental Management's lease agreement or use of the facility; and

WHEREAS, The leased premises provide a critical location for the offices of the Rhode Island Department of Environmental Management from which the agency can fulfill its mission; and

WHEREAS, The annual fixed rent in the agreement in the current fiscal year, ending June 30, 2026 is $2,586,772; and

WHEREAS, The annual fixed rent of the agreement in each of the first five (5) years of the renewal term will not exceed $2,761,716 and shall not exceed $2,952,675 in each of the remaining years of the renewal term (or in each of years six (6) through ten (10) of the renewal term); and

WHEREAS, The payment of the annual fixed rent will be made from funds available to the Rhode Island Department of Environmental Management for the payments of rental and lease costs based on annual appropriations made by the General Assembly; and

WHEREAS, The State Properties Committee now respectfully requests the approval of the Rhode Island House of Representatives and the Rhode Island Senate for the lease agreement between the Rhode Island Department of Environmental Management and Foundry Parcel Fifteen Associates, LLC for lease space located at 235 Promenade Street, Providence; now therefore be it

RESOLVED, That this General Assembly of the State of Rhode Island hereby approves the lease agreement, for a term not to exceed ten (10) years and an aggregate fixed rent not to exceed $28,571,955; and it be further

RESOLVED, That this Joint Resolution shall take effect upon passage by the General Assembly; and it be further

RESOLVED, That the Secretary of State is hereby authorized and directed to transmit duly certified copies of this resolution to the Governor, the Director of the Rhode Island Department of Environmental Management, the Director of Administration, the State Budget Officer, and the Chair of the State Properties Committee.

SECTION 4. *State of Rhode Island Office of the Public Defender (160 Pine Street, Providence).*

WHEREAS, The Office of the Public Defender currently occupies approximately 19,777 square feet at 160 Pine Street in the City of Providence; and

WHEREAS, The Office of the Public Defender currently holds a lease agreement, in full force and effect, with PK Lamb Properties, Inc. for approximately 19,777 square feet of office space located at 160 Pine Street, in the City of Providence; and

WHEREAS, The existing lease expires on July 31, 2026, and the Office of the Public Defender wishes to renew this lease for an additional five-year term; and

WHEREAS, The State of Rhode Island, acting by and through the Office of the Public Defender attests to the fact that there are no clauses in the lease agreement with PK Lamb Properties, Inc. that would interfere with the Office of the Public Defender's lease agreement or use of the facility; and

WHEREAS, The leased premises provide a critical location for the Office of the Public Defender from which the agency can fulfill its mission; and

WHEREAS, The annual fixed rent in the agreement in the current fiscal year, ending June 30, 2026 is $393,166.76; and

WHEREAS, The annual fixed rent of the agreement in the five (5) years of the renewal term will not exceed $483,619; and

WHEREAS, The payment of the annual fixed rent will be made from funds available to the Office of the Public Defender for the payments of rental and lease costs based on annual appropriations made by the General Assembly; and

WHEREAS, The State Properties Committee now respectfully requests the approval of the Rhode Island House of Representatives and the Rhode Island Senate for the lease agreement between the Office of the Public Defender and PK Lamb Properties, Inc. for leased space located at 160 Pine Street, Providence; now therefore be it

RESOLVED, That this General Assembly of the State of Rhode Island hereby approves the lease agreement, for a term not to exceed five (5) years and an aggregate fixed rent not to exceed $2,418,095; and it be further

RESOLVED, That this Joint Resolution shall take effect upon passage by the General Assembly; and it be further

RESOLVED, That the Secretary of State is hereby authorized and directed to transmit duly certified copies of this resolution to the Governor, the Public Defender, the Director of Administration, the State Budget Officer, and the Chair of the State Properties Committee.

SECTION 5. *Rhode Island Department of Human Services (77 Dorrance Street, Providence).*

WHEREAS, The Rhode Island Department of Human Services currently occupies 25,812 square feet at 77 Dorrance Street in the City of Providence; and

WHEREAS, The Rhode Island Department of Human Services currently holds a lease agreement in full force and effect, with 77 Dorrance, LLC for 25,812 square feet of office and customer service space located at 77 Dorrance Street, in the City of Providence; and

WHEREAS, The existing lease expires on August 31, 2026, and the Rhode Island Department of Human Services wishes to enter into a new lease agreement for a period of five years (5) years; and

WHEREAS, The State of Rhode Island, acting by and through the Department of Human Services attests to the fact that there are no clauses in the lease agreement with 77 Dorrance, LLC that would interfere with the Department of Human Service's lease agreement or use of the facility; and

WHEREAS, The leased premises provide a critical location for the offices of the Department of Human Services from which the agency can fulfill its mission; and

WHEREAS, The annual fixed rent in the agreement in the current fiscal year, ending June 30, 2026 is $412,992; and

WHEREAS, The annual fixed rent of the agreement in the five (5) years of the renewal term will not exceed $500,753; and

WHEREAS, The payment of the annual fixed rent will be made from funds available to the Department of Human Services for the payments of rental and lease costs based on annual appropriations made by the General Assembly; and

WHEREAS, The State Properties Committee now respectfully requests the approval of the Rhode Island House of Representatives and the Rhode Island Senate for the lease agreement between the Department of Human Services and 77 Dorrance, LLC for lease space located at 77 Dorrance Street, Providence; now therefore be it

RESOLVED, That this General Assembly of the State of Rhode Island hereby approves the lease agreement, for a term not to exceed five (5) years and an aggregate fixed rent not to exceed $2,503,765; and it be further

RESOLVED, That this Joint Resolution shall take effect upon passage by the General Assembly; and it be further

RESOLVED, That the Secretary of State is hereby authorized and directed to transmit duly certified copies of this resolution to the Governor, the Director of the Department of Human Services, the Director of Administration, the State Budget Officer, and the Chair of the State Properties Committee.

SECTION 6. *Office of the Postsecondary Commissioner (83 Tower Street, Westerly).*

WHEREAS, The Office of the Postsecondary Commissioner, by and through its governing council, the Rhode Island Council on Postsecondary Education, desires to lease approximately 2,385 rentable square feet of space at the building located at 83 Tower Street, Westerly, Rhode Island, owned by Tower Street Center, Inc.; and

WHEREAS, To meet the continued demand from employers for a highly trained and skilled workforce that requires an education credential beyond a high school diploma, the Office of the Postsecondary Commissioner requires additional educational space. Currently, the Westerly Education Center is at capacity, offering nine trades to support employees for Electric Boat, programming from higher education institutions, and space for industry partners to provide incumbent worker training programs; and

WHEREAS, The proposed lease is for additional educational space, and there is no existing lease for the specific premises located at 83 Tower Street, Westerly, Rhode Island; and

WHEREAS, Tower Street Center, Inc. entered into a Ground Lease Agreement with the Town of Westerly, Rhode Island on January 1, 2024, to develop a community center, authorizing the Landlord to sublease all or any portion of the improvements on the Property, develop the terms of such permitted sublease(s), and enforce the terms of such permitted sublease(s), according to the terms set forth in the Ground Lease Agreement; and

WHEREAS, The vision for the Tower Street Community Center is to create a transformative community hub that breaks down barriers to essential services, fosters meaningful connections, and empowers individuals to thrive. The Tower Street Community Center is envisioned as a place where health, education, and recreation intersect to build a stronger, more resilient community; and

WHEREAS, The leased premises provide a critical location for the Office of the Postsecondary Commissioner to expand its operations from which the agency can fulfill its mission; and

WHEREAS, The initial lease term in the lease agreement is for a period of ten (10) years, and the lease agreement includes three (3) optional extensions of ten (10) years each; and

WHEREAS, The Office of the Postsecondary Commissioner received $1,500,000 in federal grant funding through the Consolidated Appropriations Act, 2023 (Public Law 117-328), under the Economic Development Initiative Community Project Funding/Congressionally Directed Spending program, administered by the United States Department of Housing and Urban Development, for prepaid rent toward securing a lease agreement for the Education Center Expansion project at the Tower Street Community Center; and

WHEREAS, The base rent of the lease agreement will consist of a lump-sum prepayment of $1,500,000 and additional annual base rent not to exceed $50,000 per year in each of years one (1) through ten (10), for aggregate base rent not to exceed $2,000,000 during the initial ten-year term. The base rent reflects a percentage of the reasonably anticipated cost of construction for this phase of the project, secures the long-term lease and extension options, and provides the option to expand the leased premises into a subsequent phase of the project at no additional base rent during the initial term or any exercised extension term, as applicable, if the Landlord develops subsequent phases of the project; and

WHEREAS, The payment of additional annual base rent will be made from funds available to the Office of the Postsecondary Commissioner for the payment of rental and lease costs based on annual appropriations made by the General Assembly of the State of Rhode Island from the higher education and industry centers restricted receipt account pursuant to 16-59-9.; and

WHEREAS, The lease agreement is subject to approval by the Rhode Island Council on Postsecondary Education and the State Properties Committee, and approval of the Rhode Island House of Representatives and the Rhode Island Senate is requested for the lease agreement between the Office of the Postsecondary Commissioner, by and through its governing council, the Rhode Island Council on Postsecondary Education, and Tower Street Center, Inc. for leased space located at 83 Tower Street, Westerly, Rhode Island; now therefore be it

RESOLVED, That this General Assembly of the State of Rhode Island hereby approves the lease agreement for an initial term not to exceed ten (10) years, with three (3) optional extensions of ten (10) years each, and authorizes the lease agreement to include an option to expand the leased premises into a subsequent phase of the project at no additional base rent during the initial term or any exercised extension term, as applicable, if the Landlord develops subsequent phases of the project, provided that aggregate base rent during the initial term shall not exceed $2,000,000; provided, however, that General Assembly approval granted hereby is subject to and conditioned upon approval by the Rhode Island Council on Postsecondary Education and the State Properties Committee; and it be further

RESOLVED, That this Joint Resolution shall take effect upon passage by the General Assembly; and it be further

RESOLVED, That the Secretary of State is hereby authorized and directed to transmit duly certified copies of this resolution to the Governor, the Rhode Island Commissioner of Postsecondary Education, the Director of Administration, the State Budget Officer, and the Chair of the State Properties Committee.

SECTION 7. This article shall take effect upon passage.

ARTICLE 10 AS AMENDED

RELATING TO HEALTH AND HUMAN SERVICES

SECTION 1. Section 23-13-22 of the General Laws in Chapter 23-13 entitled "Maternal and Child Health Services for Children with Special Health Care Needs" is hereby amended to read as follows:

23-13-22. Early intervention program for developmentally disabled infants.

(a) The ~~director~~ secretary of the ~~department of human services~~ executive office of health and human services (EOHHS) shall ensure that all developmentally disabled infants from birth to three (3) years of age shall be enrolled in the early intervention program. Beginning July 1, 2026, EOHHS and the department of elementary and secondary education shall create a plan to allow children to remain in early intervention until September 1 after their third birthday, as allowed by federal law 20 U.S.C. § 1435(c). Further, such plan shall include, but not be limited to, seeking any federal approvals necessary or desirable to implement the aforesaid policy. By January 1, 2028, EOHHS shall allow children who turn three (3) years old between May 1 and August 31 to remain in early intervention until September 1 after the child’s third birthday. Regulations governing the delivery of services under this program, including eligibility criteria, shall be promulgated by the ~~department of human services~~ EOHHS, with the advice of the interagency coordinating council; provided, however, that all regulations promulgated by the department of health shall remain in full force and effect until the time they are replaced by regulations promulgated by the ~~department of human services~~ EOHHS. The regulations shall stipulate, at a minimum, the following provisions that are consistent with the intent of this chapter:

(1) The ~~director~~ secretary shall develop and maintain a procedure for the earliest possible identification and efficient referral of all developmentally disabled infants;

(2) The ~~director~~ secretary shall ensure that every infant identified and referred to this program is enrolled as soon as possible after birth; and further, that for infants placed on a waiting list for facility based group programming, an early intervention program shall be made available within a thirty (30) day period from the time a need is identified in the individual program plan;

(3) Unless parents refuse the service, the home visiting component of the program shall commence as soon as the infant has been identified as having a possible developmental disability;

(4) Any parent(s) who is/are dissatisfied with decisions or termination of service or with

practices and procedures of a particular agency or the ~~department of human services~~ EOHHS shall notify the ~~director~~ secretary of the ~~department of human services~~ EOHHS in writing within thirty (30) calendar days and the complaint shall be reviewed in accordance with ~~department of health~~ EOHHS policy and procedures, as amended, and the Administrative Procedures Act, chapter 35 of title 42.

(5) An early intervention program for purposes of this section shall mean a comprehensive array of educational, developmental, health, and social services provided on a calendar year basis to eligible infants, children, and their families as specified in program regulations.

(b) Within ninety (90) days after October 1, 2004, an evaluation plan describing outcome measures that document the program's successes and shortcomings from the previous fiscal year shall be submitted to the speaker of the house of representatives, the president of the senate and the house oversight committee and the governor and the interagency coordinating council. Development of the plan shall be made in consultation with the entities with expertise in this area and the interagency coordinating council. The plan shall include a memorandum of understanding between the department of health, department of human services and the department of elementary and secondary education that demonstrates coordination and continuity of early intervention services among these departments.

(c) Within six (6) months after January 1, 2005 where prescribed outcomes documented in the evaluation plan have not been accomplished the responsible agencies shall submit written explanations for the shortfalls, together with their proposed remedies. The report shall also include evaluation of the progress of the coordination efforts between the department of health and the department of human services and the department of elementary and secondary education and the interagency coordinating council and shall include any recommendations regarding modifications of the reimbursement mechanisms of this chapter.

(d) Within twelve (12) months after August 1, 2005 a final report shall include the progress of the coordination efforts between the department of health and the department of human services and department of elementary and secondary education, interagency coordinating council and shall include any recommendations regarding modifications to the comprehensive array of educational, developmental, health and social services provided on a calendar year basis to eligible infants, children and their families as specified in an early intervention system.

(e) All reports or documents required to be produced pursuant to 20 U.S.C. § 1471 et seq., shall be submitted to the speaker of the house, president of the senate and the chairpersons of the appropriate house of representatives and senate oversight committees and the governor and the interagency coordinating council. Adherence to such plans and reporting requirements, and budgets and the timely achievement of goals contained therein shall be considered by the oversight committees of the house of representatives and senate, among other relevant factors, in determining appropriations or other systemic changes.

(f) In developing and implementing the plan to extend early intervention services beyond age three (3) as provided in subsection (a) of this section, the secretary shall:

(1) Appoint and convene an implementation advisory committee to advise on the implementation of the plan. The committee shall include:

(i) The individual designated by the state to serve as the coordinator for Part C in EOHHS;

(ii) The individual designated by the state to serve as the coordinator for Section 619 of the Individuals with Disabilities Education Act (IDEA) in the department of elementary and secondary education;

(iii) Not fewer than three (3) representatives of early intervention provider agencies;

(iv) Not fewer than two (2) representatives of local education agencies ("LEA");

(v) Not fewer than two (2) advocates or experts with demonstrated expertise in early intervention or early childhood special education; and

(vi) Not fewer than two (2) parents of children who have received early intervention services and have transitioned to early childhood special education within the preceding three (3) years.

(2) The implementation advisory committee shall:

(i) Meet for a period of at least one year following the official effective date of the extension policy;

(ii) Identify strategies to reduce administrative burdens on families, early intervention providers, LEA, and the state including, but not limited to, the use of federal funds earmarked for early intervention extension to the extent allowable;

(iii) Earmark appropriate federal early intervention funding and develop shared resources to support training and development for early intervention providers and LEA regarding the extension option; and

(iv) Develop strategies to maximize providers' ability to support the new over-three (3) population during spring and summer months, including through the appropriate use of group-based therapies while maintaining services necessary to meet individualized developmental needs.

(3) All meetings of the implementation advisory committee shall be open to the public and conducted in accordance with chapter 46 of title 42.

(4) Not later than September 30, 2031, the secretary shall prepare and submit to the speaker of the house of representatives and the president of the senate a report evaluating the

implementation of the extension plan provided for in subsection (a) of this section. The report shall include, but not be limited to: data regarding the number of families who elected to extend early intervention services and the number of families who declined to extend early intervention services; and an assessment of the impact of the extension provided for in subsection (a) of this section on children, families, early intervention providers, LEA, and the state.

SECTION 2. Section 27-18-64 of the General Laws in Chapter 27-18 entitled "Accident and Sickness Insurance Policies" is hereby amended to read as follows:

27-18-64. Coverage for early intervention services.

(a) Every individual or group hospital or medical expense insurance policy or contract providing coverage for dependent children, delivered or renewed in this state on or after July 1, 2004, shall include coverage of early intervention services which coverage shall take effect no later than January 1, 2005. Such coverage shall not be subject to deductibles and coinsurance factors. Any amount paid by an insurer under this section for a dependent child shall not be applied to any annual or lifetime maximum benefit contained in the policy or contract. For the purpose of this section, “early intervention services” means, but is not limited to, speech and language therapy, occupational therapy, physical therapy, evaluation, case management, nutrition, service plan development and review, nursing services, and assistive technology services and devices for:

(1) ~~dependents~~ Dependents from birth to age three (3) who are certified by the executive office of health and human services ("EOHHS") as eligible for services under ~~part~~ Part C of the Individuals with Disabilities Education Act (20 U.S.C. § 1471 et seq.); or

(2) Dependents who are older than age three (3) and are eligible for services pursuant to § 23-13-22 and are certified by the EOHHS as eligible for services under Part C of the Individuals with Disabilities Education Act (20 U.S.C. § 1431 et seq.).

(b) Insurers shall reimburse certified, early intervention providers, who are designated as such by the ~~executive office of health and human services~~ (EOHHS), for early intervention services as defined in this section at rates of reimbursement equal to, or greater than, the prevailing integrated state Medicaid rate for early intervention services as established by the ~~executive office of health and human services~~ (EOHHS).

(c) This section shall not apply to insurance coverage providing benefits for: (1) Hospital confinement indemnity; (2) Disability income; (3) Accident only; (4) Long-term care; (5) Medicare supplement; (6) Limited benefit health; (7) Specified disease indemnity; (8) Sickness or bodily injury or death by accident or both; and (9) Other limited benefit policies.

SECTION 3. Section 27-19-55 of the General Laws in Chapter 27-19 entitled "Nonprofit Hospital Service Corporations" is hereby amended to read as follows:

27-19-55. Coverage for early intervention services.

(a) Every individual or group hospital or medical expense insurance policy or contract providing coverage for dependent children, delivered or renewed in this state on or after July 1, 2004, shall include coverage of early intervention services which coverage shall take effect no later than January 1, 2005. The coverage shall be limited to a benefit of five thousand dollars ($5,000) per dependent child per policy or calendar year and shall not be subject to deductibles and coinsurance factors. Any amount paid by an insurer under this section for a dependent child shall not be applied to any annual or lifetime maximum benefit contained in the policy or contract. For the purpose of this section, “early intervention services” means, but is not limited to: speech and language therapy, occupational therapy, physical therapy, evaluation, case management, nutrition, service plan development and review, nursing services, and assistive technology services and devices for:

(1) ~~dependents~~ Dependents from birth to age three (3) who are certified by the ~~department of~~ executive office of health and human services (“EOHHS”) as eligible for services under ~~part~~ Part C of the Individuals with Disabilities Education Act (20 U.S.C. § 1431 et seq.); or

(2) Dependents who are older than age three (3) and are eligible for services pursuant to § 23-13-22 and are certified by the EOHHS as eligible for services under Part C of the Individuals with Disabilities Education Act (20 U.S.C. § 1431 et seq.).

(b) Subject to the annual limits provided in this section, insurers shall reimburse certified early intervention providers, who are designated as such by the ~~department of human services~~ EOHHS, for early intervention services as defined in this section at rates of reimbursement equal to or greater than the prevailing integrated state/Medicaid rate for early intervention services as established by the ~~department of human services~~ EOHHS.

(c) This section shall not apply to insurance coverage providing benefits for: (1) Hospital confinement indemnity; (2) Disability income; (3) Accident only; (4) Long-term care; (5) Medicare supplement; (6) Limited benefit health; (7) Specified disease indemnity; (8) Sickness or bodily injury or death by accident, or both; and (9) Other limited benefit policies.

SECTION 4. Section 27-20-50 of the General Laws in Chapter 27-20 entitled "Nonprofit Medical Service Corporations" is hereby amended to read as follows:

27-20-50. Coverage for early intervention services.

(a) Every individual or group hospital or medical expense insurance policy or contract providing coverage for dependent children, delivered or renewed in this state on or after July 1, 2004, shall include coverage of early intervention services which coverage shall take effect no later than January 1, 2005. The coverage shall be limited to a benefit of five thousand dollars ($5,000) per dependent child per policy or calendar year and shall not be subject to deductibles and coinsurance factors. Any amount paid by an insurer under this section for a dependent child shall not be applied to any annual or lifetime maximum benefit contained in the policy or contract. For the purpose of this section, “early intervention services” means, but is not limited to: speech and language therapy; occupational therapy; physical therapy; evaluation; case management; nutrition; service plan development and review; nursing services; and assistive technology services and devices for:

(1) ~~dependents~~ Dependents from birth to age three (3) who are certified by the ~~department of~~ executive office of health and human services (“EOHHS”) as eligible for services under ~~part~~ Part C of the Individuals with Disabilities Education Act (20 U.S.C. § 1431 et seq.); or

(2) Dependents who are older than age three (3) and are eligible for services pursuant to § 23-13-22 and are certified by the EOHHS as eligible for services under Part C of the Individuals with Disabilities Education Act (20 U.S.C. § 1431 et seq.).

(b) Subject to the annual limits provided in this section, insurers shall reimburse certified early intervention providers, who are designated as such by the ~~department of human services~~ EOHHS, for early intervention services as defined in this section at rates of reimbursement equal to or greater than the prevailing integrated state/Medicaid rate for early intervention services as established by the ~~department of human services~~ EOHHS.

(c) This section shall not apply to insurance coverage providing benefits for: (1) Hospital confinement indemnity; (2) Disability income; (3) Accident only; (4) Long-term care; (5) Medicare supplement; (6) Limited benefit health; (7) Specified disease indemnity; (8) Sickness or bodily injury or death by accident or both; and (9) Other limited benefit policies.

SECTION 5. Section 27-41-68 of the General Laws in Chapter 27-41 entitled "Health Maintenance Organizations" is hereby amended to read as follows:

27-41-68. Coverage for early intervention services.

(a) Every individual or group hospital or medical expense insurance policy or contract providing coverage for dependent children, delivered or renewed in this state on or after July 1, 2004, shall include coverage of early intervention services which coverage shall take effect no later than January 1, 2005. The coverage shall be limited to a benefit of five thousand dollars ($5,000) per dependent child per policy or calendar year and shall not be subject to deductibles and coinsurance factors. Any amount paid by an insurer under this section for a dependent child shall not be applied to any annual or lifetime maximum benefit contained in the policy or contract. For the purpose of this section, “early intervention services” means, but is not limited to: speech and language therapy, occupational therapy, physical therapy, evaluation, case management, nutrition, service plan development and review, nursing services, and assistive technology services and devices for:

(1) ~~dependents~~ Dependents from birth to age three (3) who are certified by the ~~department of~~ executive office of health and human services ("EOHHS") as eligible for services under ~~part~~ Part C of the Individuals with Disabilities Education Act (20 U.S.C. § 1431 et seq.); or

(2) Dependents who are older than age three (3) and are eligible for services pursuant to § 23-13-22 and are certified by the EOHHS as eligible for services under Part C of the Individuals with Disabilities Education Act (20 U.S.C. § 1431 et seq.).

(b) Subject to the annual limits provided in this section, insurers shall reimburse certified early intervention providers, who are designated as such by the ~~department of human services~~ EOHHS, for early intervention services as defined in this section at rates of reimbursement equal to or greater than the prevailing integrated state/Medicaid rate for early intervention services as established by the ~~department of human services~~ EOHHS.

(c) This section shall not apply to insurance coverage providing benefits for: (1) Hospital confinement indemnity; (2) Disability income; (3) Accident only; (4) Long-term care; (5) Medicare supplement; (6) Limited benefit health; (7) Specified disease indemnity; (8) Sickness or bodily injury or death by accident or both; and (9) Other limited benefit policies.

SECTION 6. Sections 40-5.2-10, 40-5.2-20 and 40-5.2-35 of the General Laws in Chapter 40-5.2 entitled "The Rhode Island Works Program" are hereby amended to read as follows:

40-5.2-10. Necessary requirements and conditions.

The following requirements and conditions shall be necessary to establish eligibility for the program.

(a) **Citizenship, alienage, and residency requirements.**

(1) A person shall be a resident of the state of Rhode Island.

(2) Effective October 1, 2008, a person shall be a United States citizen, or shall meet the alienage requirements established in § 402(b) of the Personal Responsibility and Work Opportunity Reconciliation Act of 1996, PRWORA, Pub. L. No. 104-193 and as that section may hereafter be amended [8 U.S.C. § 1612]; a person who is not a United States citizen and does not meet the alienage requirements established in PRWORA, as amended, is not eligible for cash assistance in accordance with this chapter.

(b) The family/assistance unit must meet any other requirements established by the department of human services by rules and regulations adopted pursuant to the Administrative Procedures Act, as necessary to promote the purpose and goals of this chapter.

(c) Receipt of cash assistance is conditional upon compliance with all program requirements.

(d) All individuals domiciled in this state shall be exempt from the application of subdivision 115(d)(1)(A) of Pub. L. No. 104-193, the Personal Responsibility and Work Opportunity Reconciliation Act of 1996, PRWORA [21 U.S.C. § 862a], which makes any individual ineligible for certain state and federal assistance if that individual has been convicted under federal or state law of any offense that is classified as a felony by the law of the jurisdiction and that has as an element the possession, use, or distribution of a controlled substance as defined in § 102(6) of the Controlled Substances Act (21 U.S.C. § 802(6)).

(e) **Individual employment plan as a condition of eligibility.**

(1) Following receipt of an application, the department of human services shall assess the financial conditions of the family, including the non-parent caretaker relative who is applying for cash assistance for themself as well as for the minor child(ren), in the context of an eligibility determination. If a parent or non-parent caretaker relative is unemployed or under-employed, the department shall conduct an initial assessment, taking into account:

(A) The physical capacity, skills, education, work experience, health, safety, family responsibilities, and place of residence of the individual; and

(B) The child care and supportive services required by the applicant to avail themself of employment opportunities and/or work readiness programs.

(2) On the basis of this assessment, the department of human services and the department of labor and training, as appropriate, in consultation with the applicant, shall develop an individual employment plan for the family that requires the individual to participate in the intensive employment services. Intensive employment services shall be defined as the work requirement activities in § 40-5.2-12(g) and (i).

(3) The director, or the director's designee, may assign a case manager to an applicant/participant, as appropriate.

(4) The department of labor and training and the department of human services in conjunction with the participant shall develop a revised individual employment plan that shall identify employment objectives, taking into consideration factors above, and shall include a strategy for immediate employment and for preparing for, finding, and retaining employment consistent, to the extent practicable, with the individual's career objectives.

(5) The individual employment plan must include the provision for the participant to engage in work requirements as outlined in § 40-5.2-12.

(6)(i) The participant shall attend and participate immediately in intensive assessment and employment services as the first step in the individual employment plan, unless temporarily exempt from this requirement in accordance with this chapter. Intensive assessment and employment services shall be defined as the work requirement activities in § 40-5.2-12(g) and (i).

(ii) Parents under age twenty (20) without a high school diploma or general equivalency diploma (GED) shall be referred to special teen-parent programs that will provide intensive services designed to assist teen parents to complete high school education or GED, and to continue approved work plan activities in accord with Rhode Island works program requirements.

(7) The applicant shall become a participant in accordance with this chapter at the time the individual employment plan is signed and entered into.

(8) Applicants and participants of the Rhode Island works program shall agree to comply with the terms of the individual employment plan, and shall cooperate fully with the steps established in the individual employment plan, including the work requirements.

(9) The department of human services has the authority under the chapter to require attendance by the applicant/participant, either at the department of human services or at the department of labor and training, at appointments deemed necessary for the purpose of having the applicant enter into and become eligible for assistance through the Rhode Island works program. The appointments include, but are not limited to: the initial interview, orientation and assessment; job readiness; and job search. Attendance is required as a condition of eligibility for cash assistance in accordance with rules and regulations established by the department.

(10) As a condition of eligibility for assistance pursuant to this chapter, the applicant/participant shall be obligated to keep appointments; attend orientation meetings at the department of human services and/or the Rhode Island department of labor and training; participate in any initial assessments or appraisals; and comply with all the terms of the individual employment plan in accordance with department of human services rules and regulations.

(11) A participant, including a parent or non-parent caretaker relative included in the cash assistance payment, shall not voluntarily quit a job or refuse a job unless there is good cause as defined in this chapter or the department's rules and regulations.

(12) A participant who voluntarily quits or refuses a job without good cause, as defined in § 40-5.2-12(*l*), while receiving cash assistance in accordance with this chapter, shall be sanctioned in accordance with rules and regulations promulgated by the department.

(f) **Resources.**

(1) The family or assistance unit's countable resources shall be less than the allowable resource limit established by the department in accordance with this chapter.

(2) No family or assistance unit shall be eligible for assistance payments if the combined value of its available resources (reduced by any obligations or debts with respect to such resources)

exceeds five thousand dollars ($5,000).

(3) For purposes of this subsection, the following shall not be counted as resources of the family/assistance unit in the determination of eligibility for the works program:

(i) The home owned and occupied by a child, parent, relative, or other individual;

(ii) Real property owned by a husband and wife as tenants by the entirety, if the property is not the home of the family and if the spouse of the applicant refuses to sell his or her interest in the property;

(iii) Real property that the family is making a good faith effort to dispose of, however, any cash assistance payable to the family for any such period shall be conditioned upon such disposal of the real property within six (6) months of the date of application and any payments of assistance for that period shall (at the time of disposal) be considered overpayments to the extent that they would not have occurred at the beginning of the period for which the payments were made. All overpayments are debts subject to recovery in accordance with the provisions of the chapter;

(iv) Income-producing property other than real estate including, but not limited to, equipment such as farm tools, carpenter's tools, and vehicles used in the production of goods or services that the department determines are necessary for the family to earn a living;

(v) One vehicle for each adult household member, but not to exceed two (2) vehicles per household, and in addition, a vehicle used primarily for income-producing purposes such as, but not limited to, a taxi, truck, or fishing boat; a vehicle used as a family's home; a vehicle that annually produces income consistent with its fair market value, even if only used on a seasonal basis; a vehicle necessary to transport a family member with a disability where the vehicle is specially equipped to meet the specific needs of the person with a disability or if the vehicle is a special type of vehicle that makes it possible to transport the person with a disability;

(vi) Household furnishings and appliances, clothing, personal effects, and keepsakes of limited value;

(vii) Burial plots (one for each child, relative, and other individual in the assistance unit) and funeral arrangements;

(viii) For the month of receipt and the following month, any refund of federal income taxes made to the family by reason of § 32 of the Internal Revenue Code of 1986, 26 U.S.C. § 32 (relating to earned income tax credit), and any payment made to the family by an employer under § 3507 of the Internal Revenue Code of 1986, 26 U.S.C. § 3507 [repealed] (relating to advance payment of such earned income credit);

(ix) The resources of any family member receiving supplementary security income assistance under the Social Security Act, 42 U.S.C. § 301 et seq.;

(x) Any veteran's disability pension benefits received as a result of any disability sustained by the veteran while in the military service.

(g) **Income.**

(1) Except as otherwise provided for herein, in determining eligibility for and the amount of cash assistance to which a family is entitled under this chapter, the income of a family includes all of the money, goods, and services received or actually available to any member of the family.

(2) In determining the eligibility for and the amount of cash assistance to which a family/assistance unit is entitled under this chapter, income in any month shall not include the first five hundred and twenty-five dollars ($525) of gross earnings plus fifty percent (50%) of the gross earnings of the family in excess of five hundred and twenty-five dollars ($525) earned during the month.

(3) The income of a family shall not include:

(i) The first ~~fifty dollars ($50.00)~~ one hundred dollars ($100) in child support received for one child, or two hundred dollars ($200) for households with two (2) or more children, in any month from each noncustodial parent of a child plus any arrearages in child support (to the extent of the ~~first fifty dollars ($50.00)~~ child support pass-through dollars per month multiplied by the number of months in which the support has been in arrears) that are paid in any month by a noncustodial parent of a child;

(ii) Earned income of any child;

(iii) Income received by a family member who is receiving Supplemental Security Income (SSI) assistance under Title XVI of the Social Security Act, 42 U.S.C. § 1381 et seq.;

(iv) The value of assistance provided by state or federal government or private agencies to meet nutritional needs, including: value of USDA-donated foods; value of supplemental food assistance received under the Child Nutrition Act of 1966, as amended, and the special food service program for children under Title VII, nutrition program for the elderly, of the Older Americans Act of 1965 as amended, and the value of food stamps;

(v) Value of certain assistance provided to undergraduate students, including any grant or loan for an undergraduate student for educational purposes made or insured under any loan program administered by the United States Commissioner of Education (or the Rhode Island council on postsecondary education or the Rhode Island division of higher education assistance);

(vi) Foster care payments;

(vii) Home energy assistance funded by state or federal government or by a nonprofit organization;

(viii) Payments for supportive services or reimbursement of out-of-pocket expenses made to foster grandparents, senior health aides, or senior companions and to persons serving in SCORE and ACE and any other program under Title II and Title III of the Domestic Volunteer Service Act of 1973, 42 U.S.C. § 5000 et seq.;

(ix) Payments to volunteers under AmeriCorps VISTA as defined in the department's rules and regulations;

(x) Certain payments to native Americans; payments distributed per capita to, or held in trust for, members of any Indian Tribe under P.L. 92-254, 25 U.S.C. § 1261 et seq., P.L. 93-134, 25 U.S.C. § 1401 et seq., or P.L. 94-540; receipts distributed to members of certain Indian tribes which are referred to in § 5 of P.L. 94-114, 25 U.S.C. § 459d, that became effective October 17, 1975;

(xi) Refund from the federal and state earned income tax credit and any federal or state child tax credits or rebates;

(xii) The value of any state, local, or federal government rent or housing subsidy, provided that this exclusion shall not limit the reduction in benefits provided for in the payment standard section of this chapter;

(xiii) The earned income of any adult family member who gains employment while an active RI Works household member. This income is excluded for the first six (6) months of employment in which the income is earned, or until the household's total gross income exceeds one hundred eighty-five percent (185%) of the federal poverty level, unless the household reaches its sixty-month (60) time limit first;

(xiv) Any veteran's disability pension benefits received as a result of any disability sustained by the veteran while in the military service.

(4) The receipt of a lump sum of income shall affect participants for cash assistance in accordance with rules and regulations promulgated by the department.

(h) **Time limit on the receipt of cash assistance.**

(1) On or after January 1, 2020, no cash assistance shall be provided, pursuant to this chapter, to a family or assistance unit that includes an adult member who has received cash assistance for a total of sixty (60) months (whether or not consecutive), to include any time receiving any type of cash assistance in any other state or territory of the United States of America as defined herein. Provided further, in no circumstances other than provided for in subsection (h)(3) with respect to certain minor children, shall cash assistance be provided pursuant to this chapter to a family or assistance unit that includes an adult member who has received cash assistance for a total of a lifetime limit of sixty (60) months.

(2) Cash benefits received by a minor dependent child shall not be counted toward their

lifetime time limit for receiving benefits under this chapter should that minor child apply for cash benefits as an adult.

(3) Certain minor children not subject to time limit. This section regarding the lifetime time limit for the receipt of cash assistance, shall not apply only in the instances of a minor child(ren) living with a parent who receives SSI benefits and a minor child(ren) living with a responsible adult non-parent caretaker relative who is not in the cash assistance payment.

(4) Receipt of family cash assistance in any other state or territory of the United States of America shall be determined by the department of human services and shall include family cash assistance funded in whole or in part by Temporary Assistance for Needy Families (TANF) funds [Title IV-A of the federal Social Security Act, 42 U.S.C. § 601 et seq.] and/or family cash assistance provided under a program similar to the Rhode Island families work and opportunity program or the federal TANF program.

(5)(i) The department of human services shall mail a notice to each assistance unit when the assistance unit has six (6) months of cash assistance remaining and each month thereafter until the time limit has expired. The notice must be developed by the department of human services and must contain information about the lifetime time limit, the number of months the participant has remaining, the hardship extension policy, the availability of a post-employment-and-closure bonus; and any other information pertinent to a family or an assistance unit nearing the sixty-month (60) lifetime time limit.

(ii) For applicants who have less than six (6) months remaining in the sixty-month (60) lifetime time limit because the family or assistance unit previously received cash assistance in Rhode Island or in another state, the department shall notify the applicant of the number of months remaining when the application is approved and begin the process required in subsection (h)(5)(i).

(6) If a cash assistance recipient family was closed pursuant to Rhode Island's Temporary Assistance for Needy Families Program (federal TANF described in Title IV-A of the Federal Social Security Act, 42 U.S.C. § 601 et seq.), formerly entitled the Rhode Island family independence program, more specifically under § 40-5.1-9(2)(c) [repealed], due to sanction because of failure to comply with the cash assistance program requirements; and that recipient family received sixty (60) months of cash benefits in accordance with the family independence program, then that recipient family is not able to receive further cash assistance for his/her family, under this chapter, except under hardship exceptions.

(7) The months of state or federally funded cash assistance received by a recipient family since May 1, 1997, under Rhode Island's Temporary Assistance for Needy Families Program (federal TANF described in Title IV-A of the Federal Social Security Act, 42 U.S.C. § 601 et seq.),

formerly entitled the Rhode Island family independence program, shall be countable toward the time-limited cash assistance described in this chapter.

(i) **Time limit on the receipt of cash assistance.**

(1) No cash assistance shall be provided, pursuant to this chapter, to a family assistance unit in which an adult member has received cash assistance for a total of sixty (60) months (whether or not consecutive) to include any time receiving any type of cash assistance in any other state or territory of the United States as defined herein effective August 1, 2008. Provided further, that no cash assistance shall be provided to a family in which an adult member has received assistance for twenty-four (24) consecutive months unless the adult member has a rehabilitation employment plan as provided in § 40-5.2-12(g)(5).

(2) Effective August 1, 2008, no cash assistance shall be provided pursuant to this chapter to a family in which a child has received cash assistance for a total of sixty (60) months (whether or not consecutive) if the parent is ineligible for assistance under this chapter pursuant to subsection (a)(2) to include any time they received any type of cash assistance in any other state or territory of the United States as defined herein.

(j) **Hardship exceptions.**

(1) The department may extend an assistance unit's or family's cash assistance beyond the time limit, by reason of hardship; provided, however, that the number of families to be exempted by the department with respect to their time limit under this subsection shall not exceed twenty percent (20%) of the average monthly number of families to which assistance is provided for under this chapter in a fiscal year; provided, however, that to the extent now or hereafter permitted by federal law, any waiver granted under § 40-5.2-34, for domestic violence, shall not be counted in determining the twenty percent (20%) maximum under this section.

(2) Parents who receive extensions to the time limit due to hardship must have and comply with employment plans designed to remove or ameliorate the conditions that warranted the extension.

(k) **Parents under eighteen (18) years of age.**

(1) A family consisting of a parent who is under the age of eighteen (18), and who has never been married, and who has a child; or a family consisting of a person under the age of eighteen (18) from onset of pregnancy shall be eligible for cash assistance only if the family resides in the home of an adult parent, legal guardian, or other adult relative. The assistance shall be provided to the adult parent, legal guardian, or other adult relative on behalf of the individual and child unless otherwise authorized by the department.

(2) This subsection shall not apply if the minor parent or pregnant minor has no parent,

legal guardian, or other adult relative who is living and/or whose whereabouts are unknown; or the department determines that the physical or emotional health or safety of the minor parent, or his or her child, or the pregnant minor, would be jeopardized if he or she was required to live in the same residence as his or her parent, legal guardian, or other adult relative (refusal of a parent, legal guardian, or other adult relative to allow the minor parent or his or her child, or a pregnant minor, to live in his or her home shall constitute a presumption that the health or safety would be so jeopardized); or the minor parent or pregnant minor has lived apart from his or her own parent or legal guardian for a period of at least one year before either the birth of any child to a minor parent or the onset of the pregnant minor's pregnancy; or there is good cause, under departmental regulations, for waiving the subsection; and the individual resides in a supervised supportive-living arrangement to the extent available.

(3) For purposes of this section, "supervised supportive-living arrangement" means an arrangement that requires minor parents to enroll and make satisfactory progress in a program leading to a high school diploma or a general education development certificate, and requires minor parents to participate in the adolescent parenting program designated by the department, to the extent the program is available; and provides rules and regulations that ensure regular adult supervision.

(*l*) **Assignment and cooperation.** As a condition of eligibility for cash and medical assistance under this chapter, each adult member, parent, or caretaker relative of the family/assistance unit must:

(1) Assign to the state any rights to support for children within the family from any person that the family member has at the time the assignment is executed or may have while receiving assistance under this chapter;

(2) Consent to and cooperate with the state in establishing the paternity and in establishing and/or enforcing child support and medical support orders for all children in the family or assistance unit in accordance with title 15 of the general laws, as amended, unless the parent or caretaker relative is found to have good cause for refusing to comply with the requirements of this subsection.

(3) Absent good cause, as defined by the department of human services through the rulemaking process, for refusing to comply with the requirements of subsections (*l*)(1) and (*l*)(2), cash assistance to the family shall be reduced by twenty-five percent (25%) until the adult member of the family who has refused to comply with the requirements of this subsection consents to and cooperates with the state in accordance with the requirements of this subsection.

(4) As a condition of eligibility for cash and medical assistance under this chapter, each adult member, parent, or caretaker relative of the family/assistance unit must consent to and

cooperate with the state in identifying and providing information to assist the state in pursuing any third party who may be liable to pay for care and services under Title XIX of the Social Security Act, 42 U.S.C. § 1396 et seq.

40-5.2-20. Childcare assistance — Families or assistance units eligible.

(a) The department shall provide appropriate child care to every participant who is eligible for cash assistance and who requires child care in order to meet the work requirements in accordance with this chapter.

(b) **Low-income child care.** The department shall provide child care to all other working families with incomes at or below ~~two hundred sixty-one percent (261%)~~ two hundred eighty-five percent (285%) of the federal poverty level if, and to the extent, these other families require child care in order to work at paid employment as defined in the department's rules and regulations. The department shall also provide child care to families with incomes below ~~two hundred sixty-one percent (261%)~~ two hundred eighty-five percent (285%) of the federal poverty level if, and to the extent, these families require child care to participate on a short-term basis, as defined in the department's rules and regulations, in training, apprenticeship, internship, on-the-job training, work experience, work immersion, or other job-readiness/job-attachment program sponsored or funded by the human resource investment council (governor's workforce board) or state agencies that are part of the coordinated program system pursuant to § 42-102-11. Effective from January 1, 2021, through June 30, 2022, the department shall also provide childcare assistance to families with incomes below one hundred eighty percent (180%) of the federal poverty level when such assistance is necessary for a member of these families to enroll or maintain enrollment in a Rhode Island public institution of higher education provided that eligibility to receive funding is capped when expenditures reach $200,000 for this provision. Effective July 1, 2022 through December 31, 2024, the department shall also provide childcare assistance to families with incomes below two hundred percent (200%) of the federal poverty level when such assistance is necessary for a member of these families to enroll or maintain enrollment in a Rhode Island public institution of higher education. Effective from January 1, 2025 through December 31, 2026, the department shall also provide childcare assistance to families with incomes below two hundred sixty-one percent (261%) of the federal poverty level when such assistance is necessary for a member of these families to enroll or maintain enrollment in a Rhode Island public institution of higher education. Effective on January 1, 2027, the department shall also provide childcare assistance to families with incomes below two hundred eighty-five percent (285%) of the federal poverty level when such assistance is necessary for a member of these families to enroll or maintain enrollment in a Rhode Island public institution of higher education.

(c) The department shall also provide childcare assistance to families who meet the requirements of the protective services group. For the purposes of this section, "protective services group" means foster or kinship children served through the department of children, youth and families as well as the children of childcare educators as defined in subsection (*l*) of this section.

~~(c)~~(d) No family/assistance unit shall be eligible for childcare assistance under this chapter if the combined value of its liquid resources exceeds one million dollars ($1,000,000), which corresponds to the amount permitted by the federal government under the state plan and set forth in the administrative rulemaking process by the department. Liquid resources are defined as any interest(s) in property in the form of cash or other financial instruments or accounts that are readily convertible to cash or cash equivalents. These include, but are not limited to: cash, bank, credit union, or other financial institution savings, checking, and money market accounts; certificates of deposit or other time deposits; stocks; bonds; mutual funds; and other similar financial instruments or accounts. These do not include educational savings accounts, plans, or programs; retirement accounts, plans, or programs; or accounts held jointly with another adult, not including a spouse. The department is authorized to promulgate rules and regulations to determine the ownership and source of the funds in the joint account.

~~(d)~~(e) As a condition of eligibility for childcare assistance under this chapter, the parent or caretaker relative of the family must consent to, and must cooperate with, the department in establishing paternity, and in establishing and/or enforcing child support and medical support orders for any children in the family receiving appropriate child care under this section in accordance with the applicable sections of title 15, as amended, unless the parent or caretaker relative is found to have good cause for refusing to comply with the requirements of this subsection.

~~(e)~~(f) For purposes of this section, “appropriate child care” means child care, including infant, toddler, preschool, nursery school, and school-age, that is provided by a person or organization qualified, approved, and authorized to provide the care by the state agency or agencies designated to make the determinations in accordance with the provisions set forth herein.

~~(f)~~(g)(1) Families with incomes below one hundred percent (100%) of the applicable federal poverty level guidelines shall be provided with free child care. Families with incomes greater than one hundred percent (100%) and less than two hundred percent (200%) of the applicable federal poverty guideline shall be required to pay for some portion of the child care they receive, according to a sliding-fee scale adopted by the department in the department’s rules, not to exceed seven percent (7%) of income as defined in subsection (h) of this section.

(2) Families who are receiving childcare assistance and who become ineligible for childcare assistance as a result of their incomes exceeding ~~two hundred sixty-one percent (261%)~~

two hundred eighty-five percent (285%) of the applicable federal poverty guidelines shall continue to be eligible for childcare assistance until their incomes exceed ~~three hundred percent (300%)~~ three hundred twenty-five percent (325%) of the applicable federal poverty guidelines. To be eligible, the families must continue to pay for some portion of the child care they receive, as indicated in a sliding-fee scale adopted in the department's rules, not to exceed seven percent (7%) of income as defined in subsection (h) of this section, and in accordance with all other eligibility standards.

~~(g)~~(h) In determining the type of child care to be provided to a family, the department shall take into account the cost of available childcare options; the suitability of the type of care available for the child; and the parent's preference as to the type of child care.

~~(h)~~(i) For purposes of this section, "income" for families receiving cash assistance under § 40-5.2-11 means gross, earned income and unearned income, subject to the income exclusions in §§ 40-5.2-10(g)(2) and 40-5.2-10(g)(3), and income for other families shall mean gross, earned and unearned income as determined by departmental regulations.

~~(i)~~(j) The caseload estimating conference established by chapter 17 of title 35 shall forecast the expenditures for child care in accordance with the provisions of § 35-17-1.

~~(j)~~(k) In determining eligibility for childcare assistance for children of members of reserve components called to active duty during a time of conflict, the department shall freeze the family composition and the family income of the reserve component member as it was in the month prior to the month of leaving for active duty. This shall continue until the individual is officially discharged from active duty.

~~(k)~~(*l*) Effective from August 1, 2023, through July 31, ~~2028~~2030, the department shall provide funding for child care for eligible childcare educators, and childcare staff, who work at least twenty (20) hours a week in licensed childcare centers and licensed family childcare homes as defined in the department's rules and regulations. Eligibility is limited to qualifying childcare educators and childcare staff with family incomes up to three hundred percent (300%) of the applicable federal poverty guidelines and will have no copayments. This protective service group shall continue to be eligible for childcare assistance until their incomes exceed three hundred twenty-five percent (325%) of the applicable federal poverty guidelines. Qualifying participants may select the childcare center or family childcare home for their children. The department shall promulgate regulations necessary to implement this section, and will collect applicant and participant data to report estimated demand for state-funded child care for eligible childcare educators and childcare staff. The report shall be due annually to the governor and the general assembly by November 1.

40-5.2-35. Child support pass-through.

For any month in which a noncustodial parent makes a child support payment in the month when due and the support is collected by the department of human services, for a child or children receiving cash assistance pursuant to this chapter, in a household of one child the first ~~fifty dollars ($50.00)~~ one hundred dollars ($100) of the child support payment, or the actual amount of the child support payment if the payment is less than ~~fifty dollars ($50.00)~~ one hundred dollars ($100), shall be paid to the family in which the child resides; in a household of two (2) or more children the first two hundred dollars ($200) of the child support payment, or the actual amount of the child support payment if the payment is less than two hundred dollars ($200), shall be paid to the family in which the child resides. If more than one noncustodial parent makes a child support payment to children living in the same family, there shall only be one payment of ~~fifty ($50.00)~~ one hundred dollars ($100) for a household of one child, or two hundred dollars ($200) for a household with two (2) or more children paid to the family from the child support collected. This payment is known as the "pass through" payment and shall be sent to the family within two (2) business days of the determination that the amount is due and owing and no later than within two (2) business days of the end of the month in which the support was collected.

SECTION 7. Section 40-6.2-1.1 of the General Laws in Chapter 40-6.2 entitled "Child Care — State Subsidies" is hereby amended to read as follows:

40-6.2-1.1. Rates established.

(a) Through June 30, 2015, subject to the payment limitations in subsection (c), the maximum reimbursement rates to be paid by the departments of human services and children, youth and families for licensed childcare centers and licensed family childcare providers shall be based on the following schedule of the 75th percentile of the 2002 weekly market rates adjusted for the average of the 75th percentile of the 2002 and the 2004 weekly market rates:

Licensed Childcare Centers	75th Percentile of Weekly Market Rate
Infant	$182.00
Preschool	$150.00
School-Age	$135.00

Licensed Family Childcare Providers	75th Percentile of Weekly Market Rate
Infant	$150.00
Preschool	$150.00
School-Age	$135.00

Effective July 1, 2015, subject to the payment limitations in subsection (c), the maximum reimbursement rates to be paid by the departments of human services and children, youth and families for licensed childcare centers and licensed family childcare providers shall be based on the above schedule of the 75th percentile of the 2002 weekly market rates adjusted for the average of the 75th percentile of the 2002 and the 2004 weekly market rates. These rates shall be increased by ten dollars ($10.00) per week for infant/toddler care provided by licensed family childcare providers and license-exempt providers and then the rates for all providers for all age groups shall be increased by three percent (3%). For the fiscal year ending June 30, 2018, licensed childcare centers shall be reimbursed a maximum weekly rate of one hundred ninety-three dollars and sixty-four cents ($193.64) for infant/toddler care and one hundred sixty-one dollars and seventy-one cents ($161.71) for preschool-age children.

(b) Effective July l, 2018, subject to the payment limitations in subsection (c), the maximum infant/toddler and preschool-age reimbursement rates to be paid by the departments of human services and children, youth and families for licensed childcare centers shall be implemented in a tiered manner, reflective of the quality rating the provider has achieved within the state's quality rating system outlined in § 42-12-23.1.

(1) For infant/toddler child care, tier one shall be reimbursed two and one-half percent (2.5%) above the FY 2018 weekly amount, tier two shall be reimbursed five percent (5%) above the FY 2018 weekly amount, tier three shall be reimbursed thirteen percent (13%) above the FY 2018 weekly amount, tier four shall be reimbursed twenty percent (20%) above the FY 2018 weekly amount, and tier five shall be reimbursed thirty-three percent (33%) above the FY 2018 weekly amount.

(2) For preschool reimbursement rates, tier one shall be reimbursed two and one-half percent (2.5%) above the FY 2018 weekly amount, tier two shall be reimbursed five percent (5%) above the FY 2018 weekly amount, tier three shall be reimbursed ten percent (10%) above the FY 2018 weekly amount, tier four shall be reimbursed thirteen percent (13%) above the FY 2018 weekly amount, and tier five shall be reimbursed twenty-one percent (21%) above the FY 2018 weekly amount.

(c) [Deleted by P.L. 2019, ch. 88, art. 13, § 4.]

(d) By June 30, 2004, and biennially through June 30, 2014, the department of labor and training shall conduct an independent survey or certify an independent survey of the then-current weekly market rates for child care in Rhode Island and shall forward the weekly market rate survey to the department of human services. The next survey shall be conducted by June 30, 2016, and triennially thereafter. The departments of human services and labor and training will jointly determine the survey criteria including, but not limited to, rate categories and sub-categories.

(e) In order to expand the accessibility and availability of quality child care, the department of human services is authorized to establish, by regulation, alternative or incentive rates of reimbursement for quality enhancements, innovative or specialized child care, and alternative methodologies of childcare delivery, including nontraditional delivery systems and collaborations.

(f) Effective January 1, 2007, all childcare providers have the option to be paid every two (2) weeks and have the option of automatic direct deposit and/or electronic funds transfer of reimbursement payments.

(g) Effective July 1, 2019, the maximum infant/toddler reimbursement rates to be paid by the departments of human services and children, youth and families for licensed family childcare providers shall be implemented in a tiered manner, reflective of the quality rating the provider has achieved within the state's quality rating system outlined in § 42-12-23.1. Tier one shall be reimbursed two percent (2%) above the prevailing base rate for step 1 and step 2 providers, three percent (3%) above prevailing base rate for step 3 providers, and four percent (4%) above the prevailing base rate for step 4 providers; tier two shall be reimbursed five percent (5%) above the prevailing base rate; tier three shall be reimbursed eleven percent (11%) above the prevailing base rate; tier four shall be reimbursed fourteen percent (14%) above the prevailing base rate; and tier five shall be reimbursed twenty-three percent (23%) above the prevailing base rate.

(h) Through December 31, 2021, the maximum reimbursement rates paid by the departments of human services, and children, youth and families to licensed childcare centers shall be consistent with the enhanced emergency rates provided as of June 1, 2021, as follows:

	Tier 1	Tier 2	Tier 3	Tier 4	Tier 5
Infant/Toddler	$257.54	$257.54	$257.54	$257.54	$273.00
Preschool Age	$195.67	$195.67	$195.67	$195.67	$260.00
School Age	$200.00	$200.00	$200.00	$200.00	$245.00

The maximum reimbursement rates paid by the departments of human services, and children, youth and families to licensed family childcare providers shall be consistent with the enhanced emergency rates provided as of June 1, 2021, as follows:

	Tier 1	Tier 2	Tier 3	Tier 4	Tier 5
Infant/Toddler	$224.43	$224.43	$224.43	$224.43	$224.43
Preschool Age	$171.45	$171.45	$171.45	$171.45	$171.45
School Age	$162.30	$162.30	$162.30	$162.30	$162.30

(i) Effective January 1, 2022, the maximum reimbursement rates to be paid by the departments of human services and children, youth and families for licensed childcare centers shall be implemented in a tiered manner, reflective of the quality rating the provider has achieved within the state's quality rating system outlined in § 42-12-23.1. Maximum weekly rates shall be reimbursed as follows:

Licensed Childcare Centers

	Tier One	Tier Two	Tier Three	Tier Four	Tier Five
Infant/Toddler	$236.36	$244.88	$257.15	$268.74	$284.39
Preschool	$207.51	$212.27	$218.45	$223.50	$231.39
School-Age	$180.38	$182.77	$185.17	$187.57	$189.97

The maximum reimbursement rates for licensed family childcare providers paid by the departments of human services, and children, youth and families is determined through collective bargaining. The maximum reimbursement rates for infant/toddler and preschool age children paid to licensed family childcare providers by both departments is implemented in a tiered manner that reflects the quality rating the provider has achieved in accordance with § 42-12-23.1.

(j) Effective July 1, 2022, the maximum reimbursement rates to be paid by the departments of human services and children, youth and families for licensed childcare centers shall be implemented in a tiered manner, reflective of the quality rating the provider has achieved within the state's quality rating system outlined in § 42-12-23.1. Maximum weekly rates shall be reimbursed as follows:

Licensed Childcare Centers

	Tier One	Tier Two	Tier Three	Tier Four	Tier Five
Infant/Toddler	$265	$270	$282	$289	$300
Preschool	$225	$235	$243	$250	$260
School-Age	$200	$205	$220	$238	$250

(k) Effective July 1, 2024, the maximum reimbursement rates to be paid by the departments of human services and children, youth and families for licensed childcare centers shall be implemented in a tiered manner, reflective of the quality rating the provider has achieved within the state's quality rating system outlined in § 42-12-23.1. Maximum weekly rates shall be reimbursed as follows:

Licensed Childcare Centers

	Tier One	Tier Two	Tier Three	Tier Four	Tier Five
Infant/Toddler	$278	$284	$296	$303	$315
Preschool	$236	$247	$255	$263	$273
School-Age	$210	$215	$231	$250	$263

(*l*) Effective July 1, 2025, the maximum reimbursement rates to be paid by the departments of human services and children, youth and families for licensed childcare centers shall be implemented in a tiered manner, reflective of the quality rating the provider has achieved within the state's quality rating system outlined in § 42-12-23.1. Maximum weekly rates shall be reimbursed as follows:

	Tier 1	Tier 2	Tier 3	Tier 4	Tier 5
Infant	$334	$341	$355	$364	$378
Toddlers	$278	$284	$296	$303	$315
Preschoolers	$236	$247	$255	$263	$273
School Age	$210	$215	$231	$250	$263

(m) Effective July 1, 2026, the maximum reimbursement rates to be paid by the departments of human services and children, youth and families for licensed childcare centers shall be implemented in a tiered manner, reflective of the quality rating the provider has achieved within the state's quality rating system outlined in § 42-12-23.1. Maximum weekly rates shall be reimbursed as follows:

	Tier 1	Tier 2	Tier 3	Tier 4	Tier 5
Infant	$351	$358	$373	$382	$397
Toddlers	$278	$284	$296	$303	$315
Preschoolers	$236	$247	$255	$263	$273
School Age	$210	$215	$231	$250	$263

SECTION 8. Section 40.1-1-13 of the General Laws in Chapter 40.1-1 entitled "Department of Behavioral Healthcare, Developmental Disabilities and Hospitals" is hereby amended to read as follows:

40.1-1-13. Powers and duties of the office.

Notwithstanding any provision of the Rhode Island general laws to the contrary, the department of behavioral healthcare, developmental disabilities and hospitals shall have the following powers and duties:

(1) To establish and promulgate the overall plans, policies, objectives, and priorities for state substance abuse education, prevention, and treatment; provided, however, that the director shall obtain and consider input from all interested state departments and agencies prior to the promulgation of any such plans or policies;

(2) Evaluate and monitor all state grants and contracts to local substance abuse service providers;

(3) Develop, provide for, and coordinate the implementation of a comprehensive state plan for substance abuse education, prevention, and treatment;

(4) Ensure the collection, analysis, and dissemination of information for planning and evaluation of substance abuse services;

(5) Provide support, guidance, and technical assistance to individuals, local governments,

community service providers, public and private organizations in their substance abuse education, prevention, and treatment activities;

(6) Confer with all interested department directors to coordinate the administration of state programs and policies that directly affect substance abuse treatment and prevention;

(7) Seek and receive funds from the federal government and private sources in order to further the purposes of this chapter;

(8) To act in conjunction with the executive office of health and human services as the state's co-designated agency (42 U.S.C. § 300x-30(a)) for administering federal aid and for the purposes of the calculation of the expenditures relative to the substance abuse block grant and federal funding maintenance of effort. The department of behavioral healthcare, developmental disabilities and hospitals, as the state's substance abuse authority, will have the sole responsibility for the planning, policy and implementation efforts as it relates to the requirements set forth in pertinent substance abuse laws and regulations including 42 U.S.C. § 300x-21 et seq.;

(9) Propose, review, and/or approve, as appropriate, proposals, policies, or plans involving insurance and managed care systems for substance abuse services in Rhode Island;

(10) To enter into, in compliance with the provisions of chapter 2 of title 37, contractual relationships and memoranda of agreement as necessary for the purposes of this chapter;

(11) To license facilities and programs for the care and treatment of substance abusers and for the prevention of substance abuse, and provide the list of licensed chemical dependency professionals (LCDP) and licensed chemical dependency clinical supervisors (LCDCS) (licensed by the department of health pursuant to chapter 69 of title 5) for use by state agencies including, but not limited to, the adjudication office of the department of transportation, the district court and superior court and the division of probation and parole for referral of individuals requiring substance use disorder treatment;

(12) To promulgate rules and regulations necessary to carry out the requirements of this chapter;

(13) Perform other acts and exercise any other powers necessary or convenient to carry out the intent and purposes of this chapter;

(14) To exercise the authority and responsibilities relating to education, prevention, and treatment of substance abuse, as contained in, but not limited to, the following chapters: chapters 1.10, 10.1, and 28.2 of title 23; chapters 21.2 and 21.3 of title 16; chapter 50.1 of title 42 [repealed]; chapter 109 of title 42; chapter 69 of title 5; and § 35-4-18;

(15) To establish a Medicare Part D restricted-receipt account in the hospitals and community rehabilitation services program and the Rhode Island state psychiatric hospital program

to receive and expend Medicare Part D reimbursements from pharmacy benefit providers consistent with the purposes of this chapter;

(16) To establish a RICLAS group home operations restricted-receipt account in the services for the developmentally disabled program to receive and expend rental income from RICLAS group clients for group home-related expenditures, including food, utilities, community activities, and the maintenance of group homes;

(17) To establish a non-Medicaid, third-party payor restricted-receipt account in the hospitals and community rehabilitation services program to receive and expend reimbursement from non-Medicaid, third-party payors to fund hospital patient services that are not Medicaid eligible; and

(18) To certify any and all recovery housing facilities directly, or through a contracted entity, as defined by department guidelines, which includes adherence to using National Alliance for Recovery Residences (NARR) standards. In accordance with a schedule to be determined by the department, all referrals from state agencies or state-funded facilities shall be to certified houses, and only certified recovery housing facilities shall be eligible to receive state funding to deliver recovery housing services. As of January 1, 2027, all recovery housing facilities shall be registered with the department and shall adhere to the NARR certification process.

(19) To establish, operate, and/or designate a RI 9-8-8 Suicide & Crisis Lifeline center or centers to provide telephone, text and chat crisis intervention services and crisis care coordination to individuals accessing the RI 9-8-8 Suicide & Crisis Lifeline.

SECTION 9. Title 40.1 of the General Laws entitled "Behavioral Healthcare, Development Disabilities and Hospitals" is hereby amended by adding thereto the following chapter:

CHAPTER 8.6

RHODE ISLAND 9-8-8 SUICIDE & CRISIS LIFELINE

40.1-8.6-1. Definitions.

As used in this chapter:

(1) "9-8-8 Suicide & Crisis Lifeline" or "lifeline" means the national network system operated by the National Suicide Prevention Lifeline ("NSPL") or its successor entity, within which the department-approved or department-operated RI 9-8-8 Suicide & Crisis Lifeline Center participates.

(2) "Department" means the department of behavioral healthcare, developmental disabilities and hospitals.

(3) "Director" means the director of the department of behavioral healthcare, developmental disabilities and hospitals.

(4) "National Suicide Prevention Lifeline" ("NSPL") means the national network of local crisis centers providing free and confidential emotional support to people in suicidal crisis or emotional distress twenty-four (24) hours a day, seven (7) days a week. Membership as an NSPL center requires nationally recognized certification which includes evidence-based training for all staff and volunteers in the management of NSPL calls.

(5) "Rhode Island (RI) 9-8-8 state administrator" means the administrator designated by the director of the department to manage the locally operated and funded center within the national network of the 9-8-8 Suicide & Crisis Lifeline within Rhode Island.

(6) "Rhode Island (RI) 9-8-8 Suicide & Crisis Lifeline Center" or "lifeline center" means a department-approved or department-operated center that participates in the National Suicide Prevention Lifeline Network and responds to statewide or regional 9-8-8 contacts that is operated by or under contract with the department.

40.1-8.6-2. 9-8-8 Suicide and Crisis Lifeline.

(a) The director is hereby authorized to establish, operate, promulgate regulations with regard to, and/or designate a RI 9-8-8 Suicide & Crisis Lifeline center or centers to provide telephone, text and chat crisis intervention services and crisis care coordination to individuals accessing the RI 9-8-8 Suicide & Crisis Lifeline twenty-four (24) hours a day, seven (7) days a week.

(b) The director shall have the authority to provide general oversight of the RI 9-8-8 Suicide & Crisis Lifeline Center(s) established by this chapter.

(c) The RI 9-8-8 Suicide & Crisis Lifeline center(s) shall have an active agreement with the administrator of the National Suicide Prevention Lifeline ("NSPL") maintained by SAMHSA, or any successor entity, for participation within the network.

(d) The designated RI 9-8-8 Suicide & Crisis Lifeline center(s) shall meet SAMHSA and NSPL or any successor entity’s requirements and best practices guidelines for operational and clinical standards for adults and children.

(e) The designated RI 9-8-8 Suicide & Crisis Lifeline center(s) shall provide and report data and participate in evaluations and related quality improvement activities as required by the 9-8-8 state administrator. The department shall provide the department of children, youth, and families with data regarding utilization of RI 9-8-8 services by children, youth and their families, consistent with NSPL requirements and state and federal confidentiality and privacy laws and regulations.

(f) The designated RI 9-8-8 Suicide & Crisis Lifeline center(s) shall make referrals, consistent with guidance and policies established by the NSPL or any successor entity, to follow-up services for individuals who access the RI 9-8-8 Suicide & Crisis Lifeline.

(g) The director shall consult with the director of the department of children, youth, and families prior to promulgating rules and regulations specific to RI 9-8-8 services for children, youth, and their families and may require appropriate training regarding children services into a contract with the 9-8-8 service center provider.

(h) Nothing in §§ 40.1-8.6-2, 40.1-8.6-3, or 40.1-8.6-4 shall be construed to restrict the authority of the department of children, youth and family (DCYF) pursuant to chapters 72 and 72.1 of title 42.

40.1-8.6-3. Funding of the 988 Suicide & Crisis Lifeline.

(a) The director shall have the authority to expend any and all funds allocated to support the operations of the RI 9-8-8 Suicide & Crisis Lifeline.

40.1-8.6-4. Implementation.

(a) The director shall designate the RI 9-8-8 state administrator. The RI 9-8-8 state administrator shall be an employee of the department and shall serve at the pleasure of the director, or shall be a contractor who has a contract with the department and shall serve for the period designated in the contract and in accordance with the terms of such contract.

(b) All state agencies and/or departments shall provide to the department any and all data and other information necessary for the department to comply with federal and/or state reporting requirements with respect to the establishment and/or operation of the RI 9-8-8 Suicide & Crisis Lifeline.

SECTION 10. Chapter 42-72 of the General Laws entitled "Department of Children, Youth and Families" is hereby amended by adding thereto the following section:

42-72-37. Application for social security benefits, supplemental security income, and veterans benefits.

(a) Definitions. For the purposes of this section:

(1) "Benefits" means social security benefits, supplemental security income, veterans benefits, and railroad retirement benefits; and

(2) "Youth's attorney" and "guardian ad litem" means the person appointed as the youth's attorney or guardian ad litem in the proceeding in which the department is appointed as the youth's guardian or custodian.

(b) Application for benefits.

(1) Upon receiving temporary custody or guardianship of a youth in care, the department shall assess the youth to determine whether the youth may be eligible for benefits. If, after the assessment, the department determines that the youth may be eligible for benefits, the department

shall ensure that an application is filed on behalf of the youth. The department shall conserve the youth's benefits, including SSDI, inheritance, pensions, life insurance, or other benefits. If the department determines the youth is eligible for an ABLE account as authorized by Section 529A of the Internal Revenue Code of 1986, it shall conserve the benefits in that account in a manner that appropriately avoids any federal asset or resource limits, absent a compelling reason to conserve benefits in another manner. The department shall prescribe by rules and regulations how it will review cases of youth in care at regular intervals to determine whether the youth may have become eligible for benefits after the initial assessment. The department shall make reasonable efforts to encourage youth in care over the age of eighteen (18) who are likely eligible for benefits to cooperate with the application process and to assist youth with the application process.

(2) When applying for benefits under this section for a youth in care the department shall identify a representative payee in accordance with the requirements of 20 CFR 404.2021 and 416.621. If the department is seeking to be appointed as the youth's representative payee, the department shall consider input, if provided, from the youth's attorney and guardian ad litem regarding whether another representative payee, consistent with the requirements of 20 CFR 404.2021 and 416.621, is available. If the department serves as the representative payee for a youth over the age of eighteen (18), the department shall request a court order.

(c) Notifications. The department shall immediately notify a youth over the age of sixteen (16), the youth's attorney and guardian ad litem, and the youth's parent or legal guardian or another responsible adult of:

(1) Any application for or any application to become representative payee for benefits on behalf of a youth in care;

(2) Any communications from the Social Security Administration, the U.S. Department of Veterans Affairs, or the Railroad Retirement Board pertaining to the acceptance or denial of benefits or the selection of a representative payee; and

(3) Any appeal or other action requested by the department regarding an application for benefits.

(d) Use of benefits. Consistent with federal law, when the department serves as the representative payee for a youth receiving benefits and receives benefits on the youth's behalf, the department shall:

(1) Beginning January 1, 2027, except as provided in a request for the disbursement of funds, ensure that youth of any age in the care and custody of the department and until the department no longer serves as the representative payee, the entirety of the youth's benefits are conserved.

(2) Exercise discretion and seek advisement from the Office of the General Treasurer in accordance with federal law and in the best interests of the youth when making decisions to use or conserve the youth's benefits that are less than or not subject to asset or resource limits under federal law, including using the benefits to address the youth's special needs and conserving the benefits for the youth's reasonably foreseeable future needs.

(3) Appropriately monitor any federal asset or resource limits for the benefits and ensure that the youth's best interest is served by using or conserving the benefits, including SSDI, inheritance, pensions, life insurance, or other benefits in a way that avoids violating any federal asset or resource limits that would affect the youth's eligibility to receive the benefits.

(e)(1) Annual accounting. The department shall provide an annual accounting to the youth's attorney and guardian ad litem of how the youth's benefits have been used and conserved. In addition, within ten (10) business days of a request from a youth or the youth's attorney and guardian ad litem, the department shall provide an accounting to the youth of how the youth's benefits have been used and conserved.

(2) Final accounting. When the department's guardianship of the youth is being terminated, the department shall provide:

(i) A final accounting to the Social Security Administration, to the youth's attorney and guardian ad litem, and to either the person or persons who will assume guardianship of the youth or who is in the process of adopting the youth, if the youth is under eighteen (18), or to the youth, if the youth is over eighteen (18); and

(ii) Information to the parent, guardian, or youth regarding how to apply to become the representative payee. The department shall adopt rules and regulations to ensure that the representative payee transitions occur in a timely and appropriate manner.

(f) Financial literacy. The department shall provide the youth with financial literacy training and support, including specific information regarding the existence, availability, and use of funds conserved for the youth in accordance with this subsection, beginning by age fourteen (14). The literacy program and support services shall be developed in consultation with input from the department's statewide speak advisory board and the office of the general treasurer.

(g) Adoption of rules and regulations. The department shall adopt rules and regulations to implement the provisions of this section by October 1, 2026.

(h) Reporting. No later than January 1, 2029, the department shall file a report with the general assembly providing the following information for state fiscal years 2027 and 2028 and annually beginning January 1, 2030, for the preceding fiscal year:

(1) The number of youth entering care.

(2) The number of youth entering care receiving each of the following types of benefits: social security benefits, supplemental security income, veterans benefits, and/or railroad retirement benefits.

(3) The number of youth entering care for whom the department filed an application for each of the following types of benefits: social security benefits, supplemental security income, veterans benefits, and/or railroad retirement benefits.

(4) The number of youth entering care who were awarded each of the following types of benefits based on an application filed by the department: social security benefits, supplemental security income, veterans benefits, and/or railroad retirement benefits.

(i) Annually beginning January 1, 2029, the department shall file a report with the general assembly with the following information regarding the preceding fiscal year:

(1) The number of conserved accounts established and maintained for youth in care;

(2) The average amount conserved by age group; and

(3) The total amount conserved by age group.

SECTION 11. Sections 42-160-3 and 42-160-5 of the General Laws in Chapter 42-160 entitled "Rhode Island Pay for Success Act" are hereby amended to read as follows:

42-160-3. Annual reporting.

The executive office, in collaboration with the Rhode Island Coalition to End Homelessness or other qualified organization as determined by the executive office, shall provide yearly progress reports to the general assembly beginning no later than January 30, 2022, and annually thereafter until January 30, ~~2027~~ 2028. These reports will include recommendations on a proposed structure for entering into pay for success contracts, for administering the program, and for any and all matters related thereto that the executive office deems necessary to administer future pay for success projects at the conclusion of the pilot program in ~~2026~~ 2027. As a condition of this project, HUD requires that a third party conduct a transparent and rigorous evaluation of the intervention to determine whether the outcomes have indeed achieved success. The evaluation results will be reported yearly to the governor and general assembly.

42-160-5. Pilot program established.

There is established a ~~five-year (5)~~ six-year (6) pay-for-success pilot program to be administered by the Rhode Island executive office of health and human services. The pilot will follow the proposal outlined in the 2016 pay-for-success grant proposal to HUD and 2017 feasibility study. The pay-for-success project will provide a person-centered housing and supportive services intervention (PSH) for one hundred twenty-five (125) persons in Rhode Island experiencing homelessness who are high utilizers of the healthcare and justice systems. The pilot program will leverage eight hundred seventy-five thousand dollars ($875,000) of HUD/DOJ grant funds. Contract agreements with the executive office of health and human services pursuant to this chapter shall not exceed one million five hundred thousand dollars ($1,500,000) per fiscal year or six million dollars ($6,000,000) in the aggregate over the ~~five (5)~~ six (6) years of the pilot program, as determined by the department; provided, no agreements shall be entered by the department after July 1, ~~2026~~ 2027, without further authorization by the general assembly.

SECTION 12. Section 6 of this article shall take effect January 1, 2027, except for the provisions of § 42-5.2-20(c) which shall take effect July 1, 2026. The remainder of this article shall take effect July 1, 2026.

ARTICLE 11 AS AMENDED

RELATING TO ENERGY

SECTION 1. Sections 37-24-3 and 37-24-5 of the General Laws in Chapter 37-24 entitled "The Green Buildings Act" are hereby amended to read as follows:

37-24-3. Definitions.

For purposes of this chapter, the following definitions shall apply:

(1) "Construction" means the process of building, altering, repairing, improving, or demolishing forty percent (40%) or more of any public structures, public buildings, public real property or other public improvements of any kind to any public structures, public buildings or public real property.

(2) "Department" means the ~~department of administration~~ the office of the state building code commissioner.

(3) "Equivalent standard" means a high-performance green building standard, other than LEED, LEED for Neighborhood Development, and SITES, that provides an independent, third-party verification and certification of a rating system or measurement tool, that, when used, leads to outcomes equivalent to, LEED, LEED for Neighborhood Development, and SITES outcomes, in terms of green building, green infrastructure, and green site performance; current accepted equivalent standards include green globes, Northeast collaborative high-performance schools protocol; or other equivalent high-performance green building, green infrastructure, and green site standards accepted by the department.

(4) "LEED" also, "LEED for Neighborhood Development, and SITES certified standard" means the current version of the U.S. Green Building Council Leadership in Energy and Environmental Design (LEED) green building rating standard referred to as LEED, LEED for Neighborhood Development, and SITES certified. SITES means the U.S. Green Building Council's SITES — The Sustainable SITES Initiative.

(5) "Public agency" means every state or municipal office, board, commission, committee, bureau, department, or public institution of education, or any political subdivision thereof.

(6) "Public facility" means any public institution, public facility, public equipment, or any physical asset owned, including its public real-property site, leased or controlled in whole or in part by this state, a public agency, a municipality or a political subdivision, that is for public or

government use.

(7) “Public major facility project” means:

(i) A public facility building construction project larger than ten thousand (10,000) gross square feet of occupied or conditioned space, and its public real-property site; or

(ii) A public facility building renovation project larger than ten thousand (10,000) gross square feet of occupied or conditioned space, and its public real-property site.

37-24-5. Administration and reports — Green buildings advisory committee.

(a) The department shall promulgate such regulations as are necessary to enforce this section ~~by January 1, 2023~~. Effective July 1, 2026, the office of the state building code commissioner will assume responsibility for promulgating the rules and regulations regarding the green buildings advisory committee. The rules and regulations promulgated under title 220, chapter 70, subchapter 00, part 1 of the Rhode Island code of regulations will remain in full force and effect and shall be enforced by the department of administration until such a time as the rules and regulations are properly transferred to and promulgated by the office of the state building code commissioner title within the Rhode Island code of regulations.

Those regulations shall include how the department will determine whether a project qualifies for an exception from the LEED, LEED for Neighborhood Development, and SITES certified or equivalent high-performance green building standard, and the green building standards that may be imposed on projects that are granted exceptions.

(b) The department shall monitor and document ongoing operating savings that result from major facility projects designed, constructed, and certified as meeting the LEED, LEED for Neighborhood Development, and SITES certified standard annually publish a public report of findings and recommended changes in policy. The report shall also include a description of projects that were granted exceptions from the LEED, LEED for Neighborhood Development, and SITES certified standard, the reasons for exception, and the lesser green building standards imposed.

(c) — (f) [Deleted by P.L. 2022, ch. 204, § 1 and P.L. 2022, ch. 205, § 1.]

(g) A green buildings advisory committee shall be created composed of nineteen (19) members. The advisory committee shall have eleven (11) public members and eight (8) public agency members. Five (5) of the public members shall be appointed by the governor; three (3) of the public members shall be appointed by the president of the senate; and, three (3) of the public members shall be appointed by the speaker of the house of representatives.

(1) The eleven (11) public members of the advisory committee shall be composed of nine (9) representatives one from each of the following fields: architecture, engineering, landscape architecture, energy, labor through the Rhode Island AFL-CIO, general construction contracting,

building product and building materials industries who are involved in, and have recognized knowledge and accomplishment in their respective professions, of high-performance green building standards, relating to the standards set forth in § 37-24-4; in addition to two (2) public members, one representing an urban municipality from Providence, Cranston, Warwick, Pawtucket, Woonsocket, or Newport, and one public member representing the other thirty-two (32) municipalities in the state in order to ensure geographic diversity.

(2) The advisory committee shall have eight (8) public agency members representing personnel from affected public agencies, and cities and towns, that oversee public works projects and workforce development, who shall be appointed by the directors or chief executive officers of the respective public agencies which shall include the department of administration; the department of environmental management; the department of education; the department of transportation; the department of labor and training; the office of the state building code commissioner; the Rhode Island infrastructure bank, and the Rhode Island League of Cities and Towns.

(3) The chairperson of the green buildings advisory committee shall be a public member chosen by the green buildings advisory committee.

(4) Of the initial eleven (11) public members, six (6) shall serve three-year (3) terms and five (5) shall have two-year (2) terms. Each appointing authority shall appoint two (2) public members to three-year (3) terms with the remainder of the public member appointments serving two-year terms. Thereafter, all public members shall be appointed to three-year (3) terms.

(h) The green buildings advisory committee shall:

(1) Make recommendations regarding an ongoing evaluation process of the green buildings act to help the department and the executive climate change coordinating council implement this chapter;

(2) Identify the needs, actions, and funding required to implement the requirements set forth in this chapter, in achieving high-performance green building projects for our public buildings, public structures, and our public real properties;

(3) Establish clear, measurable targets for implementing the standards, defined in this chapter, for all public major facility projects including timeline, workforce needs, anticipated costs and other measures identified by the green buildings advisory committee and required by chapter 6.2 of title 42 (“2021 act on climate”); and

(4) Identify ways to monitor and document ongoing operating savings and greenhouse gas emission reductions that result from public major facility projects designed, constructed and certified as meeting the LEED, LEED for Neighborhood Development, SITES certified standard, Green Globes, Northeast Collaborative for High-Performance Schools Protocol, Version 1.1 or

above and annually publish a report to the general assembly and the executive climate change coordinating council of findings and recommended changes in policy.

(i) All requests for proposals, requests for information, requests for bids, requests for design/build, requests for construction managers, and any requests relating to obtaining the professional services, pricing, and construction for major facility projects by a public agency for a public facility, shall include the notice of the statutory requirements of this chapter (“the green buildings act”).

(j) The green buildings advisory committee shall have no responsibility for, and shall not develop requests for proposals, requests for information, requests for bids, requests for design/build, requests for construction managers, and any requests relating to obtaining the professional services, pricing, and construction for major facility projects by a public agency for a public facility; and the green buildings advisory committee shall have no responsibility for, and shall not select any vendors for any requests for proposals, requests for information, requests for bids, requests for design/build, requests for construction managers, and any requests relating to obtaining the professional services, pricing, and construction for major facility projects by a public agency for a public facility. Nothing shall prohibit public members of the green buildings advisory committee from responding to, and being involved with, any submittals of requests for proposals, requests for information, requests for bids, requests for design/build, requests for construction managers, and any requests relating to obtaining the professional services, pricing, and construction for major facility projects by a public agency for a public facility.

(k) The department of administration shall commission a report to analyze the costs and/or benefits of LEED certification compared to equivalent standards. This includes, but is not limited to, the impact of obtaining formal LEED certification on project budget and timeline.

SECTION 2. Section 39-2.2-2 of the General Laws in Chapter 39-2.2 entitled "Rhode Island Utility Fair Share Roadway Repair Act" is hereby amended to read as follows:

39-2.2-2. Road repair by public utility or utility facility.

(a) Any public utility as defined by § 39-1-2 or any utility facility as defined by chapter 8.1 of title 24 that shall alter, excavate, disrupt, or disturb a roadway shall be responsible for ~~complete repaving and repair of the roadway from curbline to curbline~~ complete repaving and repair or restoration of the full width of the affected travel lane for the entire length of the excavation or as required in accordance with the state or municipal utility permit requirements.

(b) Any public utility as defined by § 39-1-2 or any utility facility as defined by chapter 8.1 of title 24 shall recover all costs required of this chapter in accordance with generally accepted accounting principles.

SECTION 3. Chapter 39-2 of the General Laws entitled "Duties of Utilities and Carriers" is hereby amended by adding thereto the following section:

39-2-29. In-state transmission owner required to participate in the regional independent system operator.

On and after the effective date of this section, no electric distribution company, as defined in § 39-1-2, shall own, operate, or control a transmission facility, as defined in § 39-1-2, located in the state unless such company joins or is a member of ISO New England, Inc. or its successor organization as approved by the federal energy regulatory commission.

SECTION 4. Section 39-26.1-4 of the General Laws in Chapter 39-26.1 entitled "Long-Term Contracting Standard for Renewable Energy" is hereby repealed.

~~**39-26.1-4. Financial remuneration and incentives.**~~

~~In order to achieve the purposes of this chapter, electric distribution companies shall be entitled to financial remuneration and incentives for long-term contracts for newly developed renewable energy resources, which are over and above the base rate revenue requirement established in its cost of service for distribution ratemaking. Such remuneration and incentives shall compensate the electric distribution company for accepting the financial obligation of the long-term contracts. The financial remuneration and incentives described in this section shall apply only to long-term contracts for newly developed renewable energy resources. For long-term contracts approved pursuant to this chapter before January 1, 2022, the financial remuneration and incentives shall be in the form of annual compensation, equal to two and three quarters percent (2.75%) of the actual annual payments made under the contracts for those projects that are commercially operating, unless determined otherwise by the commission at the time of approval. For long-term contracts approved pursuant to this chapter on or after January 1, 2022, including contracts above the minimum long-term contract capacity, the financial remuneration and incentives shall be in the form of annual compensation up to one percent (1.0%) of the actual annual payments made under the contracts through December 31, 2026, for those projects that are commercially operating. For all long-term contracts approved pursuant to this chapter on or after January 1, 2027, financial remuneration and incentives shall not be applied, unless otherwise granted by the commission. For any calendar year in which the electric distribution company's actual return on equity exceeds the return on equity allowed by the commission in the electric distribution company's last general rate case, the commission shall have the authority to adjust any or all remuneration paid to the electric distribution company pursuant to this section in order to assure that such remuneration does not result in or contribute toward the electric distribution company earning above its allowed return for such calendar year.~~

SECTION 5. Sections 39-26.4-2 and 39-26.4-3 of the General Laws in Chapter 39-26.4 entitled "Net Metering" are hereby amended to read as follows:

39-26.4-2. Definitions.

Terms not defined in this section herein shall have the same meaning as contained in chapter 26 of this title. When used in this chapter:

(1) “Community remote net-metering system” means a facility generating electricity using an eligible net-metering resource that allocates net-metering credits to a minimum of one account for a system associated with low- or moderate-income housing eligible credit recipients, or three (3) eligible credit-recipient customer accounts, provided that no more than fifty percent (50%) of the credits produced by the system are allocated to one eligible credit recipient, and provided further at least fifty percent (50%) of the credits produced by the system are allocated to the remaining eligible credit recipients in an amount not to exceed that which is produced annually by twenty-five kilowatt (25 KW) AC capacity. The community remote net-metering system may transfer credits to eligible credit recipients in an amount that is equal to or less than the sum of the usage of the eligible credit recipient accounts measured by the three-year (3) average annual consumption of energy over the previous three (3) years. A projected annual consumption of energy may be used until the actual three-year (3) average annual consumption of energy over the previous three (3) years at the eligible credit recipient accounts becomes available for use in determining eligibility of the generating system. The community remote net-metering system may be owned by the same entity that is the customer of record on the net-metered account or may be owned by a third party.

(2) “Core forest” refers to unfragmented forest blocks of single or multiple parcels totaling two hundred fifty (250) acres or greater unbroken by development and at least twenty-five (25) yards from mapped roads, with eligibility questions to be resolved by the director of the department of environmental management. Such determination shall constitute a contested case as defined in § 42-35-1.

(3) “Electric distribution company” shall have the same meaning as § 39-1-2, but shall not include Block Island Power Company or Pascoag Utility District, each of whom shall be required to offer net metering to customers through a tariff approved by the public utilities commission after a public hearing. Any tariff or policy on file with the public utilities commission on the date of passage of this chapter shall remain in effect until the commission approves a new tariff.

(4) “Eligible credit recipient” means one of the following eligible recipients in the electric distribution company’s service territory whose electric service account or accounts may receive net-metering credits from a community remote net-metering system. Eligible credit recipients include the following definitions:

(i) Residential accounts in good standing.

(ii) "Low- or moderate-income housing eligible credit recipient" means an electric service account or accounts in good standing associated with any housing development or developments owned or operated by a public agency, nonprofit organization, limited-equity housing cooperative, or private developer that receives assistance under any federal, state, or municipal government program to assist the construction or rehabilitation of housing affordable to low- or moderate-income households, as defined in the applicable federal or state statute, or local ordinance, encumbered by a deed restriction or other covenant recorded in the land records of the municipality in which the housing is located, that:

(A) Restricts occupancy of no less than fifty percent (50%) of the housing to households with a gross, annual income that does not exceed eighty percent (80%) of the area median income as defined annually by the United States Department of Housing and Urban Development (HUD);

(B) Restricts the monthly rent, including a utility allowance, that may be charged to residents, to an amount that does not exceed thirty percent (30%) of the gross, monthly income of a household earning eighty percent (80%) of the area median income as defined annually by HUD;

(C) Has an original term of not less than thirty (30) years from initial occupancy.

Electric service account or accounts in good standing associated with housing developments that are under common ownership or control may be considered a single low- or moderate-income housing eligible credit recipient for purposes of this section. The value of the credits shall be used to provide benefits to tenants.

(iii) "Educational institutions" means public and private schools at the primary, secondary, and postsecondary levels.

(iv) "Commercial or industrial customers" means any nonresidential customer of the electric distribution company.

(5) "Eligible net-metering resource" means eligible renewable energy resource, as defined in § 39-26-5 including biogas created as a result of anaerobic digestion, but, specifically excluding all other listed eligible biomass fuels.

(6) "Eligible net-metering system" means a facility generating electricity using an eligible net-metering resource that, for any system with a nameplate capacity in excess of twenty-five kilowatts (25 KW), is reasonably designed and sized to annually produce electricity in an amount that is equal to, or less than, the renewable self-generator's usage at the eligible net-metering system site measured by the three-year (3) average annual consumption of energy over the previous three (3) years at the electric distribution account(s) located at the eligible net-metering system site. A projected annual consumption of energy may be used until the actual three-year (3) average annual

consumption of energy over the previous three (3) years at the electric distribution account(s) located at the eligible net-metering system site becomes available for use in determining eligibility of the generating system. For any system with a nameplate capacity equal to or less than twenty-five kilowatts (25 KW), eligibility shall not be restricted based on prior consumption. The eligible net-metering system may be owned by the same entity that is the customer of record on the net-metered accounts or may be owned by a third party that is not the customer of record at the eligible net-metering system site and which may offer a third-party, net-metering financing arrangement or net-metering financing arrangement, as applicable. Notwithstanding any other provisions of this chapter, any eligible net-metering resource: (i) Owned by a public entity, educational institution, hospital, nonprofit, or multi-municipal collaborative; or (ii) Owned and operated by a renewable-generation developer on behalf of a public entity, educational institution, hospital, nonprofit, or multi-municipal collaborative through a net-metering financing arrangement shall be treated as an eligible net-metering system and all accounts designated by the public entity, educational institution, hospital, nonprofit, or multi-municipal collaborative for net metering shall be treated as accounts eligible for net metering within an eligible net-metering system site; or (iii) Owned and operated by a renewable-generation developer on behalf of one or more commercial or industrial customer(s) through net-metering financing arrangement(s) shall be treated as an eligible net-metering system within an eligible net-metering system site. Notwithstanding any other provision to the contrary, effective July 1, 2060, an eligible net-metering system means a facility generating electricity using an eligible net-metering resource that is interconnected behind the same meter as the net-metering customer's load.

(7) "Eligible net-metering system site" means the site where the eligible net-metering system or community remote net-metering system is located or is part of the same campus or complex of sites contiguous to one another and the site where the eligible net-metering system or community remote net-metering system is located or a farm on which the eligible net-metering system or community remote net-metering system is located. Except for an eligible net-metering system owned by or operated on behalf of a public entity, educational institution, hospital, nonprofit, or multi-municipal collaborative or for a commercial or industrial customer through a net-metering financing arrangement, the purpose of this definition is to reasonably assure that energy generated by the eligible net-metering system is consumed by net-metered electric service account(s) that are actually located in the same geographical location as the eligible net-metering system. All energy generated from any eligible net-metering system is, and will be considered, consumed at the meter where the renewable energy resource is interconnected for valuation purposes. Except for an eligible net-metering system owned by, or operated on behalf of, a public

entity, educational institution, hospital, nonprofit, or multi-municipal collaborative, or for a commercial or industrial customer through a net-metering financing arrangement, or except for a community remote net-metering system, all of the net-metered accounts at the eligible net-metering system site must be the accounts of the same customer of record and customers are not permitted to enter into agreements or arrangements to change the name on accounts for the purpose of artificially expanding the eligible net-metering system site to contiguous sites in an attempt to avoid this restriction. However, a property owner may change the nature of the metered service at the accounts at the site to be master metered in the owner's name, or become the customer of record for each of the accounts, provided that the owner becoming the customer of record actually owns the property at which the account is located. As long as the net-metered accounts meet the requirements set forth in this definition, there is no limit on the number of accounts that may be net metered within the eligible net-metering system site.

(8) "Excess renewable net-metering credit" means a credit that applies to an eligible net-metering system or community remote net-metering system for that portion of the production of electrical energy beyond one hundred percent (100%) and no greater than one hundred twenty-five percent (125%), except for any system with a nameplate capacity equal to or less than twenty-five kilowatts (25 KW) for which excess renewable net-metering credit applies to all production of electrical energy beyond one hundred percent (100%) of the renewable self-generator's own consumption at the eligible net-metering system site or the sum of the usage of the eligible credit recipient accounts associated with the community remote net-metering system during the applicable billing period.

For electrical energy produced greater than one hundred percent (100%) of the renewable self-generator's own electricity consumption at the eligible net-metering system site or the sum of the usage of the eligible credit recipient accounts associated with the community remote net-metering system during the applicable billing period, excess renewable net-metering credits shall be equal to the wholesale electricity rate, which is hereby declared to be the ISO-New England energy clearing price. When applying the ISO-New England energy clearing price to calculate the value of excess renewable net-metering credits, the electric distribution company, subject to commission approval and subject to amendment from time to time, may use an annual average, monthly average, or other time increment and may use Rhode Island zone pricing or other applicable locational pricing. The commission shall have the authority to make determinations as to the applicability of this credit to specific generation facilities to the extent there is any uncertainty or disagreement.

(9) "Farm" shall be defined in accordance with § 44-27-2, except that all buildings

associated with the farm shall be eligible for net-metering credits as long as: (i) The buildings are owned by the same entity operating the farm or persons associated with operating the farm; and (ii) The buildings are on the same farmland as the project on either a tract of land contiguous with, or reasonably proximate to, such farmland or across a public way from such farmland.

(10) “Hospital” means and shall be defined and established as set forth in chapter 17 of title 23.

(11) “Multi-municipal collaborative” means a group of towns and/or cities that enter into an agreement for the purpose of co-owning a renewable-generation facility or entering into a financing arrangement pursuant to subsection (15).

(12) “Municipality” means any Rhode Island town or city, including any agency or instrumentality thereof, with the powers set forth in title 45.

(13) “Net metering” means using electrical energy generated by an eligible net-metering system for the purpose of self-supplying electrical energy and power at the eligible net-metering system site, or with respect to a community remote net-metering system, for the purpose of generating net-metering credits to be applied to the electric bills of the eligible credit recipients associated with the community net-metering system. The amount so generated will thereby offset consumption at the eligible net-metering system site through the netting process established in this chapter, or with respect to a community remote net-metering system, the amounts generated in excess of that amount will result in credits being applied to the eligible credit-recipient accounts associated with the community remote net-metering system.

(14) “Net-metering customer” means a customer of the electric distribution company receiving and being billed for distribution service whose distribution account(s) are being net metered.

(15) “Net-metering financing arrangement” means arrangements entered into by a public entity, educational institution, hospital, nonprofit, multi-municipal collaborative, or a commercial or industrial customer with a private entity to facilitate the financing and operation of a net-metering resource, in which the private entity owns and operates an eligible net-metering resource on behalf of a public entity, educational institution, hospital, nonprofit, multi-municipal collaborative, or commercial or industrial customer, where: (i) The eligible net-metering resource is located on property owned or controlled by the public entity, educational institution, hospital, municipality, multi-municipal collaborative, or commercial or industrial customer as applicable; and (ii) The production from the eligible net-metering resource and primary compensation paid by the public entity, educational institution, hospital, nonprofit, multi-municipal collaborative, or commercial or industrial customer to the private entity for such production is directly tied to the consumption of

electricity occurring at the designated net-metered accounts.

(16) “Nonprofit” means a nonprofit corporation as defined and established through chapter 6 of title 7, and shall include religious organizations that are tax exempt pursuant to 26 U.S.C. § 501(d).

(17) “Person” means an individual, firm, corporation, association, partnership, farm, town or city of the state of Rhode Island, multi-municipal collaborative, or the state of Rhode Island or any department of the state government, governmental agency, or public instrumentality of the state.

(18)“Preferred site” means a location for a renewable energy system that has had prior development, including, but not limited to: landfills, gravel pits and quarries, highway and major road median strips, brownfields, superfund sites, parking lots or sites that are designated appropriate for carports, and all rooftops including, but not limited to, residential, commercial, industrial, and municipal buildings.

(19) “Project” means a distinct installation of an eligible net-metering system or a community remote net-metering system. An installation will be considered distinct if it is installed in a different location, or at a different time, or involves a different type of renewable energy. Subject to the safe-harbor provisions in § 39-26.4-3(a)(1), new and distinct projects cannot be located on adjoining parcels of land within core forests, except for preferred sites.

(20) “Public entity” means the federal government, the state of Rhode Island, municipalities, wastewater treatment facilities, public transit agencies, or any water distributing plant or system employed for the distribution of water to the consuming public within this state including the water supply board of the city of Providence.

(21) “Public entity net-metering system” means a system generating renewable energy at a property owned or controlled by the public entity that is participating in a net-metering financing arrangement where the public entity has designated accounts in its name to receive net-metering credits.

(22) “Renewable net-metering credit” means a credit that applies to an eligible net-metering system or a community remote net-metering system up to one hundred percent (100%) of either the renewable self-generator’s usage at the eligible net-metering system site or the sum of the usage of the eligible credit-recipient accounts associated with the community remote net-metering system over the applicable billing period. This credit shall be equal to the total kilowatt hours of electrical energy generated up to the amount consumed on-site, and/or generated up to the sum of the eligible credit-recipient account usage during the billing period multiplied by the sum of the distribution company’s:

(i) Last resort service kilowatt-hour charge for the rate class applicable to the net-metering customer, except that for remote public entity and multi-municipality collaborative net-metering systems that submit an application for an interconnection study on or after July 1, 2017, and community remote net-metering systems, the last resort service kilowatt-hour charge shall be net of the renewable energy standard charge or credit;

(ii) Distribution kilowatt-hour charge;

(iii) Transmission kilowatt-hour charge; and

(iv) Transition kilowatt-hour charge.

For projects after April 15, 2023 that have not elected to receive the fixed renewable net-metering credit pursuant to § 39-26.4-3(f), subject to the allowable be ~~two hundred seventy-five~~ one hundred seventy-five megawatts, alternating current (~~275~~ 175 MWac), under § 39-26.4-3(a)(1)(vi), the credit shall be reduced by twenty percent (20%).

Notwithstanding the foregoing, except for systems that have requested an interconnection study for which payment has been received by the distribution company, or if an interconnection study is not required, a completed and paid interconnection application, by December 31, 2018, the renewable net-metering credit for all remote public entity and multi-municipal collaborative net-metering systems shall not include the distribution kilowatt-hour charge commencing on January 1, 2060.

(23) "Renewable self-generator" means an electric distribution service customer of record for the eligible net-metering system or community remote net-metering system at the eligible net-metering system site which system is primarily designed to produce electrical energy for consumption by that same customer at its distribution service account(s), and/or, with respect to community remote net-metering systems, electrical energy which generates net-metering credits to be applied to offset the eligible credit-recipient account usage.

(24) "Third party" means and includes any person or entity, other than the renewable self-generator, who or that owns or operates the eligible net-metering system or community remote net-metering system on the eligible net-metering system site for the benefit of the renewable self-generator.

(25) "Third-party, net-metering financing arrangement" means the financing of eligible net-metering systems or community remote net-metering systems through lease arrangements or power/credit purchase agreements between a third party and renewable self-generator, except for those entities under a public entity net-metering financing arrangement. A third party engaged in providing financing arrangements related to such net-metering systems with a public or private entity is not a public utility as defined in § 39-1-2.

<u>39-26.4-3. Net metering.</u>

(a) The following policies regarding net metering of electricity from eligible net-metering systems and community remote net-metering systems and regarding any person that is a renewable self-generator shall apply:

(1)(i) The maximum allowable capacity for eligible net-metering systems, based on nameplate capacity, shall be ten megawatts (10 MW).

(ii) Eligible net-metering systems shall be sited outside of core forests with the exception of development on preferred sites in the core forest and the exception of systems that, as of April 15, 2023, (A) Have submitted a complete application to the appropriate municipality for any required permits and/or zoning changes, or (B) Have requested an interconnection study for which payment has been received by the distribution company, or (C) If an interconnection study is not required, systems that have a completed and paid interconnection application.

(iii) For systems developed in core forests on preferred sites, no more than one hundred thousand square feet (100,000 sq. ft) of core forest shall be removed, except for work required for utility interconnection or development of a brownfield, in which case no more core forest than necessary for interconnection or brownfield development shall be removed.

(iv) The aggregate amount of net metering in the Block Island Utility District doing business as Block Island Power Company and the Pascoag Utility District shall not exceed a maximum percentage of peak load for each utility district as set by the utility district based on its operational characteristics, subject to commission approval.

(v) Through December 31, 2018, the maximum aggregate amount of community remote net-metering systems built shall be thirty megawatts (30 MW). Any of the unused MW amount after December 31, 2018, shall remain available to community remote net-metering systems until the MW aggregate amount is interconnected.

(vi) The maximum aggregate capacity of remote net metering allowable for ground-mounted eligible net-metering systems, as defined by § 39-26.4-2(6), with the exception of systems <u>under § 39-26.4-3(e) and systems</u> that have, as of April 15, 2023, submitted a complete application to the appropriate municipality for any required permits and/or zoning changes or have requested an interconnection study for which payment has been received by the distribution company, or if an interconnection study is not required, a completed and paid interconnection application by the distribution company as of June 24, 2023, shall be ~~two hundred seventy-five~~ <u>one hundred seventy-five</u> megawatts, alternating current (~~275~~ <u>175</u> MWac), excluding off-shore wind. None of the systems to which this cap applies shall be in core forests unless on a preferred site located within the core forest. A project counts against this maximum if it is in operation or under construction by

~~July 1, 2030~~ December 31, 2032, as determined by the local distribution company. All eligible ground-mounted net-metering systems must be under construction or in operation by ~~July 1, 2030~~ December 31, 2032. This restriction shall not apply to the following: (A) The eligible net-metering system is interconnected behind the same meter as the net-metering customer's load; and/or (B) The energy generated by the eligible net-metering system is consumed by net-metered electric service account(s) of the same owner of record that are actually located on the same or contiguous parcels as the eligible net-metering system.

(2) For ease of administering net-metered accounts and stabilizing net-metered account bills, the electric distribution company may elect (but is not required) to estimate for any twelve-month (12) period:

(i) The production from the eligible net-metering system or community remote net-metering system; and

(ii) Aggregate consumption of the net-metered accounts at the eligible net-metering system site or the sum of the consumption of the eligible credit-recipient accounts associated with the community remote net-metering system, and establish a monthly billing plan that reflects the expected credits that would be applied to the net-metered accounts over twelve (12) months. The billing plan would be designed to even out monthly billings over twelve (12) months, regardless of actual production and usage. If such election is made by the electric distribution company, the electric distribution company would reconcile payments and credits under the billing plan to actual production and consumption at the end of the twelve-month (12) period and apply any credits or charges to the net-metered accounts for any positive or negative difference, as applicable. Should there be a material change in circumstances at the eligible net-metering system site or associated accounts during the twelve-month (12) period, the estimates and credits may be adjusted by the electric distribution company during the reconciliation period. The electric distribution company also may elect (but is not required) to issue checks to any net-metering customer in lieu of billing credits or carry-forward credits or charges to the next billing period. For residential-eligible net-metering systems and community remote net-metering systems twenty-five kilowatts (25 KW) or smaller, the electric distribution company, at its option, may administer renewable net-metering credits month to month allowing unused credits to carry forward into the following billing period.

(3) If the electricity generated by an eligible net-metering system or community remote net-metering system during a billing period is equal to, or less than, the net-metering customer's usage at the eligible net-metering system site or the sum of the usage of the eligible credit-recipient accounts associated with the community remote net-metering system during the billing period, the customer shall receive renewable net-metering credits, that shall be applied to offset the net-

metering customer’s usage on accounts at the eligible net-metering system site, or shall be used to credit the eligible credit-recipient’s electric account.

(4) If the electricity generated by an eligible net-metering system or community remote net-metering system during a billing period is greater than the net-metering customer’s usage on accounts at the eligible net-metering system site or the sum of the usage of the eligible credit-recipient accounts associated with the community remote net-metering system during the billing period, the customer shall be paid by excess renewable net-metering credits for the excess electricity generated; provided that, for any excess electricity generated by a system with a nameplate capacity in excess of twenty-five kilowatts (25 KW), excess renewable net-metering credits shall be limited to excess up to an additional twenty-five percent (25%) beyond the net-metering customer’s usage at the eligible net-metering system site, or the sum of the usage of the eligible credit-recipient accounts associated with the community remote net-metering system during the billing period; unless the electric distribution company and net-metering customer have agreed to a billing plan pursuant to subsection (a)(2). Subject to the completion of any applicable annual reconciliation of renewable net-metering credits and excess renewable net metering credits, customers shall have the option to cash out any credit balance remaining provided that the amount of the cash out shall be the lower of:

(i) The credit balance shown from the annual reconciliation of the applicable account; or

(ii) The credit balance on the applicable account on the date the electric distribution company processes the cash out.

(5) The rates applicable to any net-metered account shall be the same as those that apply to the rate classification that would be applicable to such account in the absence of net metering, including customer and demand charges, and no other charges may be imposed to offset net-metering credits.

(b) The commission shall exempt electric distribution company customer accounts associated with an eligible net-metering system from back-up or standby rates commensurate with the size of the eligible net-metering system, provided that any revenue shortfall caused by any such exemption shall be fully recovered by the electric distribution company through rates.

(c) Any prudent and reasonable costs incurred by the electric distribution company pursuant to achieving compliance with subsection (a) and the annual amount of any renewable net-metering credits or excess renewable net-metering credits provided to accounts associated with eligible net-metering systems or community remote net-metering systems, shall be aggregated by the distribution company and billed to all distribution customers on an annual basis through a uniform, per-kilowatt-hour (KWh) surcharge embedded in the distribution component of the rates reflected on customer bills.

(d) The billing process set out in this section shall be applicable to electric distribution companies thirty (30) days after the enactment of this chapter.

(e) The Rhode Island office of energy resources shall redesign the community solar remote net metering program to reflect the provisions of this chapter and to include a commercial or industrial anchor tenant up to but not to exceed fifty percent (50%) of the project. The remaining fifty percent (50%) must be allocated or subscribed to low- and moderate-income (LMI) residents and/or those living in areas defined as disadvantaged and environmental justice communities. The Rhode Island office of energy resources shall design the net metering credit rate and factor in federal energy funding and tax credits to develop the most cost-effective rate for community solar projects. It is expected that these projects will be operational for a twenty-year (20) period. The Rhode Island office of energy resources shall file a benefit and cost analysis with any program proposal filed to the Rhode Island public utilities commission. Once the Rhode Island office of energy resources files a program proposal to the Rhode Island public utilities commission, a docket shall be established, and the Rhode Island public utilities commission shall issue a ruling on the program no later than one hundred and fifty (150) days. If a program is approved, it will be subject to no greater than twenty megawatts (20 MW) per year for two years until the forty megawatts (40 MW) cap is met. Eligible net-metering systems shall be sited outside of core forests with the exception of development on preferred sites in the core forest.

(f)(1) An eligible net-metering system owned by, or operated on behalf of, a public entity, educational institution, hospital, nonprofit, or multi-municipal collaborative, or for a commercial or industrial customer through a net-metering financing arrangement, or an eligible community remote net-metering system may make a one-time, irrevocable election by the later of: (i) the date that is ninety (90) days after the commission approves a tariff pursuant to § 39-26.4-3(f)(2); or (ii) the date that is sixty (60) days after execution of an interconnection agreement, to receive a fixed renewable net-metering credit rate of nineteen cents ($0.19) per kilowatt-hour. Such fixed credit rate shall be increased by 2.75% on a compound annual basis beginning January 1, 2028, and on January 1 of each year thereafter. The fixed credit rate elected pursuant to this subsection shall apply for a term of twenty-five (25) years from the date of such election and shall be governed by § 39-26.4-3(f)(4). Eligible net-metering systems making an election under this subsection shall remain subject to the requirements of § 39-26.4-3(a)(4).

(2) No later than August 15, 2026, the electric distribution company shall file a tariff with the commission to implement the fixed renewable net-metering credit for eligible net metering systems that elect such credit, under terms and conditions set forth in the tariff. The tariff shall set

forth, at a minimum, the rights and obligations of the eligible net-metering systems and the electric distribution company, including the conditions governing the calculation and payment of credits by the electric distribution company. The commission shall approve a tariff no later than December 1, 2026.

(3) The commission shall have the authority to determine the final terms and conditions in the tariff that is filed with the commission pursuant to this section. Once approved, the commission shall retain exclusive jurisdiction over all payments, terms, conditions, rights, enforcement, and implementation of the tariff, subject to appeals pursuant to chapter 5 of this title.

(4) It is the intention of the general assembly in enacting this provision that the developers, owners, investors, customers, and lenders of eligible net-metering systems receiving credits under the tariff be able to rely on the tariff for the entire term of the tariff for purposes of obtaining financing. Consistent with that intention and expectation, the terms under the tariff, once approved by the commission, shall not be altered in any way that would undermine such reliance on those tariffs during the applicable terms of the tariff; and in no circumstance will the credit rate paid to an eligible net-metering system be reduced during the term of the tariff once a project has elected to receive a tariff under the terms of this chapter.

SECTION 6. Chapter 39-26 of the General Laws entitled "Renewable Energy Standard" is hereby amended by adding thereto the following section:

39-26-5.1. Zero-emission resources.

(a) Zero-emission resources are:

(1) Nuclear energy resources, meaning electricity generated by a nuclear fission or nuclear fusion facility that is licensed by the United States Regulatory Commission or its successor, and that produces no direct emissions of greenhouse gases or criteria air pollutants at the point of generation.

(2) Large-scale hydroelectric facilities, meaning hydroelectric generation units that are not “small hydro facilities” as defined in § 39-26-2, that generate electricity through the conversion of the energy of flowing or falling water and that produce no direct emissions of greenhouse gases or criteria air pollutants at the point of generation.

(b) For the purposes of the regulations promulgated under this chapter, eligible zero-emission energy resources are generation units in the NEPOOL control area using zero-emission energy resources as defined in this section.

(c) A generation unit located in an adjacent control area outside of the NEPOOL may qualify as an eligible zero-emission energy resource, but the associated generation attributes shall be applied to any zero-emission standard established under this chapter only to the extent that the energy produced by the generation unit is actually delivered into NEPOOL for consumption by New England customers. The delivery of the energy from the generation unit into NEPOOL shall be demonstrated by:

(1) A unit-specific bilateral contract for the sale and delivery of such energy into NEPOOL;

(2) Confirmation from ISO-New England that the zero-emission energy was actually settled in the NEPOOL system; and

(3) Confirmation through the North American Electric Reliability Corporation tagging system, or its successor, that the import of the energy into NEPOOL actually occurred; or

(4) Any such other requirements as the commission deems appropriate.

(d) NE-GIS certificates associated with the energy production from off-grid generation and customer-sited generation facilities certified by the commission as eligible zero-emission energy resources may also be used to demonstrate compliance with any zero-emission standard.

SECTION 7. Sections 39-26-1, 39-26-2, 39-26-4 and 39-26-6 of the General Laws in Chapter 39-26 entitled "Renewable Energy Standard" are hereby amended to read as follows:

39-26-1. Legislative findings.

The General Assembly finds that:

(1) The people and energy users of Rhode Island have an interest in having electricity supplied in the state come from a diversity of energy sources including renewable and zero-emission resources;

(2) Increased use of renewable and zero-emission energy may have the potential to lower and stabilize future energy costs and protect ratepayers from the volatility of regional energy markets;

(3) Increased use of renewable and zero-emission energy can reduce air pollutants, including carbon dioxide emissions, that adversely affect public health and contribute to global warming;

(4) Massachusetts, Connecticut, and other states have established renewable and zero-emission energy standard programs to encourage the development of renewable energy sources;

(5) It is in the interest of the people, in order to protect public health and the environment and to promote the general welfare and to ensure affordability and reliability, to establish a renewable and zero-emission energy standard program to increase levels of electrical energy supplied in the state from renewable resources in a manner that prioritizes efficiency and cost-effectiveness.

39-26-2. Definitions.

When used in this chapter:

(1) “Alternative compliance payment” means a payment to the renewable energy development fund of fifty dollars ($50.00) per megawatt-hour of renewable energy obligation, in 2003 dollars, adjusted annually up or down by the consumer price index, which may be made in lieu of standard means of compliance with this statute.

(1) “Alternative compliance payment” starting with compliance year 2026 means a payment made in lieu of standard means of compliance with this statute, as follows:

(i) For new renewable energy and zero-emission resources, an alternative compliance payment of forty dollars ($40.00) per megawatt-hour of renewable energy obligation;

(ii) For existing renewable energy and zero-emission resources, an alternative compliance payment of eleven dollars ($11.00) per megawatt-hour of renewable energy obligation;

(iii) All such payments shall be deposited into the renewable energy development fund and distributed in accordance with § 39-26-7.

(2) “Commission” means the Rhode Island public utilities commission.

(3) “Compliance year” means a calendar year beginning January 1 and ending December 31, for which an obligated entity must demonstrate that it has met the requirements of this statute.

(4) “Customer-sited generation facility” means a generation unit that is interconnected on the end-use customer’s side of the retail electricity meter in such a manner that it displaces all or part of the metered consumption of the end-use customer.

(5) “Electrical energy product” means an electrical energy offering, including, but not limited to, last-resort and standard-offer service, that can be distinguished by its generation attributes or other characteristics, and that is offered for sale by an obligated entity to end-use customers.

(6) “Eligible biomass fuel” means fuel sources including brush, stumps, lumber ends and trimmings, wood pallets, bark, wood chips, shavings, slash, and other clean wood that is not mixed with other solid wastes; agricultural waste, food, and vegetative material; energy crops; landfill methane; biogas; or neat biodiesel and other neat liquid fuels that are derived from such fuel sources.

(7) “Eligible renewable energy resource” means resources as defined in § 39-26-5.

(8) “End-use customer” means a person or entity in Rhode Island that purchases electrical energy at retail from an obligated entity.

(9) “Existing renewable energy resources” means generation units using eligible renewable energy resources and first going into commercial operation before December 31, 1997.

(10) “Generation attributes” means the nonprice characteristics of the electrical energy output of a generation unit including, but not limited to, the unit’s fuel type, emissions, vintage,

and policy eligibility.

(11) “Generation unit” means a facility that converts a fuel or an energy resource into electrical energy.

(12) “High-heat medical waste processing facility” means a facility that:

(i) Generates electricity from the combustion, gasification, or pyrolysis of regulated medical waste;

(ii) Generates electricity from the combustion of fuel derived from the gasification or pyrolysis of regulated medical waste; or

(iii) Disposes of, processes, or treats regulated medical waste through combustion, gasification, pyrolysis, or any process that exposes waste to temperatures above four hundred degrees Fahrenheit (400ºF).

(13) “NE-GIS” means the generation information system operated by NEPOOL, its designee or successor entity, that includes a generation information database and certificate system, and that accounts for the generation attributes of electrical energy consumed within NEPOOL.

(14) “NE-GIS certificate” means an electronic record produced by the NE-GIS that identifies the relevant generation attributes of each megawatt-hour accounted for in the NE-GIS.

(15) “NEPOOL” means the New England Power Pool or its successor.

(16) “New renewable energy resources” means generation units using eligible renewable energy resources and first going into commercial operation after December 31, 1997; or the incremental output of generation units using eligible renewable energy resources that have demonstrably increased generation in excess of ten percent (10%) using eligible renewable energy resources through capital investments made after December 31, 1997; but in no case involve any new impoundment or diversion of water with an average salinity of twenty (20) parts per thousand or less.

(17) “Obligated entity” means a person or entity who or that sells electrical energy to end-use customers in Rhode Island, including, but not limited to: nonregulated power producers and electric utility distribution companies, as defined in § 39-1-2, supplying standard-offer service, last-resort service, or any successor service to end-use customers, including Narragansett Electric, but not to include Block Island Power Company as described in § 39-26-7 or Pascoag Utility District.

(18) “Off-grid generation facility” means a generation unit that is not connected to a utility transmission or distribution system.

(19) “Renewable energy resource” means any one or more of the renewable energy resources described in § 39-26-5(a).

(20) “Reserved certificate” means a NE-GIS certificate sold independent of a transaction

involving electrical energy, pursuant to Rule 3.4 or a successor rule of the operating rules of the NE-GIS.

(21) “Reserved certificate account” means a specially designated account established by an obligated entity, pursuant to Rule 3.4 or a successor rule of the operating rules of the NE-GIS, for transfer and retirement of reserved certificates from the NE-GIS.

(22) “Self-generator” means an end-use customer in Rhode Island that displaces all or part of its retail electricity consumption, as metered by the distribution utility to which it interconnects, through the use of a customer-sited generation facility, and the ownership of any such facility shall not be considered an obligated entity as a result of any such ownership arrangement.

(23) “Small hydro facility” means a facility employing one or more hydroelectric turbine generators and with an aggregate capacity not exceeding thirty megawatts (30 MW). For purposes of this definition, “facility” shall be defined in a manner consistent with Title 18 of the Code of Federal Regulations, section 292.204; provided, however, that the size of the facility is limited to thirty megawatts (30 MW), rather than eighty megawatts (80 MW).

39-26-4. Renewable energy standard.

(a) Starting in compliance year 2007, all obligated entities shall obtain at least three percent (3%) of the electricity they sell at retail to Rhode Island end-use customers, adjusted for electric line losses, from eligible renewable energy resources, escalating, according to the following schedule:

(1) At least three percent (3%) of retail electricity sales in compliance year 2007;

(2) An additional one-half of one percent (0.5%) of retail electricity sales in each of the following compliance years 2008, 2009, 2010;

(3) An additional one percent (1%) of retail electricity sales in each of the following compliance years 2011, 2012, 2013, 2014, provided that the commission has determined the adequacy, or potential adequacy, of renewable energy supplies to meet these percentage requirements;

(4) There shall be no increase to the renewable energy standard for compliance year 2015, and the incremental increases shall resume in the subsequent compliance years as provided in subsections (a)(5) through (a)(12) of this section;

~~(4)~~(5) An additional one and one-half percent (1.5%) of retail electricity sales in each of the following compliance years ~~2015,~~ 2016, 2017, 2018, 2019, 2020, 2021, and 2022;

~~(5)~~(6) [Deleted by P.L. 2016, ch. 144, § 1 and P.L. 2016, ch. 155, § 1.]

~~(6)~~(7) An additional four percent (4%) of retail electricity sales in 2023;

~~(7)~~(8) An additional five percent (5%) of retail electricity sales in 2024;

~~(8)~~(9) An additional six percent (6%) of retail electricity sales in 2025;

~~(9)~~(10) An additional seven percent (7%) of retail electricity sales in 2026 and 2027;

~~(10)~~(11) An additional seven and one-half percent (7.5%) of retail electricity sales in 2028;

~~(11)~~(12) An additional eight percent (8%) of retail electricity sales in 2029;

~~(12)~~(13) An additional eight and one-half percent (8.5%) of retail electricity sales in 2030;

~~(13)~~(14) An additional nine percent (9%) of retail electricity sales in 2031; and

~~(14)~~(15) An additional nine and one-half percent (9.5%) of retail electricity sales in 2032 and 2033 to achieve the goal that one hundred percent (100%) of Rhode Island's retail electricity ~~demand~~ sales is from renewable energy and zero-emission resources by 2033 and each year thereafter.

(b) For each obligated entity and in each compliance year, the amount of retail electricity sales used to meet obligations under this statute that are derived from existing renewable energy and zero-emission resources shall not exceed two percent (2%) of total retail electricity sales through compliance year 2026. For compliance year 2027, for each obligated entity the amount of retail electricity sales used to meet obligations under this statute that are derived from existing renewable energy resources and zero-emission resources shall not exceed fourteen percent (14%) of total retail sales and an additional one percent (1%) of total retail electricity sales for each of compliance years, 2028, 2029, 2030, 2031, 2032, and for compliance year 2033 and each compliance year thereafter, shall not exceed twenty percent (20%).

(c) The minimum renewable energy percentages set forth in subsection (a) shall be met for each electrical energy product offered to end-use customers, in a manner that ensures that the amount of renewable energy of end-use customers voluntarily purchasing renewable energy is not counted toward meeting such percentages. Notwithstanding the foregoing, municipalities engaged in aggregation pursuant to § 39-3-1.2 may include in their aggregation plan terms that would allow voluntary renewable energy products to be counted toward meeting such percentages. ~~In 2024, the commission, with input from the office of energy resources, division of public utilities and carriers, obligated entities, other market participants, and the public, shall assess the impact of allowing voluntary renewable energy purchases to be counted toward meeting the annual percentages. The commission shall submit a report of its findings and recommendations to the governor, speaker of the house, and senate president no later than September 1, 2024.~~

(d) To the extent consistent with the requirements of this chapter, compliance with the renewable energy standard may be demonstrated through procurement of NE-GIS certificates relating to generating units certified by the commission as using eligible renewable energy sources and zero-emission resources, as evidenced by reports issued by the NE-GIS administrator.

Procurement of NE-GIS certificates from off-grid and customer-sited generation facilities, verified by the commission as eligible renewable energy resources and zero-emission resources, may also be used to demonstrate compliance. With the exception of contracts for generation supply entered into prior to 2002, initial title to NE-GIS certificates from off-grid and customer-sited generation facilities and from all other eligible renewable energy and zero-emission resources, shall accrue to the owner of such a generation facility, unless such title has been explicitly deemed transferred pursuant to contract or regulatory order.

(e) In lieu of providing NE-GIS certificates pursuant to subsection (d) of this section, an obligated entity may also discharge all or any portion of its compliance obligations by making an alternative compliance payment to the renewable energy development fund established pursuant to § 39-26-7.

(f) Retail electricity sales pursuant to a nonregulated power producer's supply contract that was executed prior to July 1, 2022, shall be required to obtain an additional one and one-half percent (1.5%) of retail electricity sales each year and are exempted from the requirements of subsections (a)(6) through (a)(14) of this section until the end date of the term of the nonregulated power producer's supply contract.

39-26-6. Duties of the commission.

(a) The commission shall:

(1) Develop and adopt regulations on or before December 31, 2005, for implementing a renewable energy standard, which regulations shall include, but be limited to, provisions for:

(i) Verifying the eligibility of renewable energy and zero-emission generators and the production of energy from such generators, including requirements to notify the commission in the event of a change in a generator's eligibility status;

(ii) Standards for contracts and procurement plans for renewable energy and zero-emission resources to achieve the purposes of this chapter;

(iii) Flexibility mechanisms for the purposes of easing compliance burdens; facilitating bringing new renewable resources on-line; and avoiding and/or mitigating conflicts with state-level source disclosure requirements and green marketing claims throughout the region; which flexibility mechanisms shall allow obligated entities to: (A) Demonstrate compliance over a compliance year; and (B) Bank excess compliance for new and existing renewable and zero-emissions resources for ~~two (2) subsequent compliance years, capped at thirty percent (30%) of the current year's obligation~~ up to three (3) subsequent compliance years with no limitation on quantity; and

(iv) Annual compliance filings to be made by all obligated entities within one month after NE-GIS reports are available for the fourth (4th) quarter of each calendar year. All electric-utility-distribution companies shall cooperate with the commission in providing data necessary to assess the magnitude of obligation and verify the compliance of all obligated entities.

(2) Authorize rate recovery by electric-utility-distribution companies of all prudent incremental costs arising from the implementation of this chapter, including, without limitation: the purchase of NE-GIS certificates including certificates from zero-emission resources; the payment of alternative compliance payments; required payments to support the NE-GIS; assessments made pursuant to § 39-26-7(c); and the incremental costs of complying with energy source disclosure requirements.

(3) Certify eligible renewable energy and zero-emission resources by issuing statements of qualification within ninety (90) days of application. The commission shall provide prospective reviews for applicants seeking to determine whether a facility would be eligible.

(4) [Deleted by P.L. 2022, ch. 218, § 1 and P.L. 2022, ch. 226, § 1.]

(5) Establish sanctions for those obligated entities that, after investigation, have been found to fail to reasonably comply with the commission's regulations. No sanction or penalty shall relieve or diminish an obligated entity from liability for fulfilling any shortfall in its compliance obligation; provided, however, that no sanction shall be imposed if compliance is achieved through alternative compliance payments. The commission may suspend or revoke the certification of generation units, certified in accordance with subsection (a)(3) of this section, that are found to provide false information or that fail to notify the commission in the event of a change in eligibility status or otherwise comply with its rules. Financial penalties resulting from sanctions from obligated entities shall not be recoverable in rates.

(6) Report, by February 15, 2006, and by February 15 each year thereafter, to the governor, the speaker of the house, and the president of the senate on the status of the implementation of the renewable energy standards in Rhode Island and other states, and which report shall include in 2009, and each year thereafter, the level of use of renewable energy certificates by eligible renewable energy and zero-emission resources and the portion of renewable energy standards met through alternative compliance payments, and the amount of rate increases authorized pursuant to subsection (a)(2) of this section.

(b) Consistent with the public policy objective of developing renewable generation as an option in Rhode Island, and subject to the review and approval of the commission, the electric distribution company is authorized to propose and implement pilot programs to own and operate no more than fifteen megawatts (15 MW) of renewable-generation demonstration projects in Rhode Island and may include the costs and benefits in rates to distribution customers. At least two (2) demonstration projects shall include renewable generation installed at, or in the vicinity of nonprofit, affordable-housing projects where energy savings benefits are provided to reduce electric bills of the customers at the nonprofit, affordable-housing projects. Any renewable-generation proposals shall be subject to the review and approval of the commission. The commission shall annually make an adjustment to the minimum amounts required under the renewable energy standard under this chapter in an amount equal to the kilowatt hours generated by such units owned by the electric distribution company. The electric and gas distribution company shall also be authorized to propose and implement smart-metering and smart-grid demonstration projects in Rhode Island, subject to the review and approval of the commission, in order to determine the effectiveness of such new technologies for reducing and managing energy consumption, and may include the costs of such demonstration projects in distribution rates to electric customers to the extent the project pertains to electricity usage and in distribution rates to gas customers to the extent the project pertains to gas usage.

SECTION 8. Chapter 39-26 of the General Laws entitled "Renewable Energy Standard" is hereby amended by adding thereto the following section:

39-26-4.1. Legislative reporting.

(a) On or before January 1, 2027, the public utilities commission shall conduct a comprehensive review of:

(1) The status of the state’s progress toward meeting the renewable energy standard;

(2) The status of the state’s progress toward meeting the greenhouse gas emissions reduction requirements;

(3) The extent to which renewable energy procurement and development within the state is sufficient to ensure long-term compliance with such requirements;

(4) The impact on meeting mandated carbon reduction goals in § 42-6.2-9;

(5) Estimated cost of compliance of the renewable energy standard; and

(6) Recommendations for creation of an intervenor compensation program to provide compensation in the form of a grant for legal fees, expert witness fees and other reasonable costs to an intervenor in public utility commission proceedings.

(b) On or before December 31, 2027, public utilities commission shall submit a report of their findings, and recommendation of actions required pursuant to this section, to the governor, the speaker of the house, the president of the senate, and the chairs of the house committees on environment and natural resources, finance, and corporations and the senate committees on finance, environment and agriculture, and commerce. The report shall detail the following:

(1) Renewable and zero-emission resources used for compliance;

(2) Estimated cost of compliance of the renewable energy standard;

(3) Impact on meeting mandated carbon reduction goals in § 42-6.2-9; and

(4) Any statutory changes needed to reach the 2033 targets established pursuant to this chapter.

SECTION 9. Section 39-31-11 of the General Laws in Chapter 39-31 entitled "Affordable Clean Energy Security Act" is hereby repealed.

~~**39-31-11. Financial remuneration and incentives.**~~

~~In order to achieve the purposes of this chapter, electric distribution companies shall be entitled to financial remuneration and incentives for long-term contracts for newly developed renewable energy resources, which are over and above the base rate revenue requirement established in its cost of service for distribution ratemaking. Such remuneration and incentives shall compensate the electric distribution company for accepting the financial obligation of the long-term contracts. For long-term contracts approved pursuant to this chapter on or after January 1, 2022, the financial remuneration and incentives shall be in the form of annual compensation up to one percent (1.0%) of the actual annual payments made under the contracts through December 31, 2026, for those projects that are commercially operating. For long-term contracts approved pursuant to this chapter on or after January 1, 2027, financial remuneration and incentives shall not be applied, unless otherwise granted by the commission. For any calendar year in which the electric distribution company's actual return on equity exceeds the return on equity allowed by the commission in the electric distribution company's last general rate case, the commission shall have the authority to adjust any or all remuneration paid to the electric distribution company pursuant to this section in order to assure that such remuneration does not result in or contribute toward the electric distribution company earning above its allowed return for such calendar year.~~

SECTION 10. Chapter 42-12 of the General Laws entitled "Department of Human Services" is hereby amended by adding thereto the following section:

42-12-1.6. Transfer of functions to the office of energy resources.

(a) There is hereby transferred from the department of human services to the office of energy resources the administration, management, all functions and resources associated with:

(1) The weatherization assistance program which offers weatherization grants and heating system upgrades using funds from the federal department of energy and the federal low-income home energy assistance program, and any state funded or privately funded weatherization assistance program of a similar nature assigned to it;

(b) The department is authorized to offer advisory assistance to the office of energy resources in order to maintain continuity to eligible households.

SECTION 11. Section 42-12-1.5 of the General Laws in Chapter 42-12 entitled

"Department of Human Services" is hereby amended to read as follows:

42-12-1.5. Transfer of functions from the office of energy resources.

(a) There is hereby transferred from the office of energy resources to the department of human services the administration, management, all functions and resources associated with:

(1) The federal low-income home energy assistance program (LIHEAP), which provides heating assistance to eligible low-income persons and any state funded or privately funded heating assistance program of a similar nature assigned to it for administration;

~~(2) The weatherization assistance program, which offers home weatherization grants and heating system upgrades to LIHEAP eligible households;~~ and,

~~(3)~~(2) The emergency fuel program, which provides oil deliveries to families experiencing a heating emergency.

(b) The department is authorized to request advisory assistance from the office of energy resources in order to maintain continuity of assistance provided to LIHEAP eligible households pursuant to § 39-2-1(d).

SECTION 12. Section 42-140-3 of the General Laws in Chapter 42-140 entitled "Rhode Island Energy Resources Act" is hereby amended to read as follows:

42-140-3. Purposes.

The purposes of the office shall be to:

(1) Develop and put into effect plans and programs to promote, encourage, and assist the provision of energy resources for Rhode Island in a manner that enhances economic well-being, social equity, and environmental quality;

(2) Monitor, forecast, and report on energy use, energy prices, and energy demand and supply forecasts, and make findings and recommendations with regard to energy supply diversity, reliability, and procurement, including least-cost procurement;

(3) Develop and to put into effect plans and programs to promote, encourage, and assist the efficient and productive use of energy resources in Rhode Island, and to coordinate energy programs for natural gas, electricity, and heating oil to maximize the aggregate benefits of conservation and efficiency of investments;

(4) Monitor and report technological developments that may result in new and/or improved sources of energy supply, increased energy efficiency, and reduced environmental impacts from energy supply, transmission, and distribution;

(5) Administer the programs, duties, and responsibilities heretofore exercised by the state energy office, except as these may be assigned by executive order or the general laws to other departments and agencies of state government;

(6) Develop, recommend, and, as appropriate, implement integrated and/or comprehensive strategies, including at regional and federal levels, to secure Rhode Island's interest in energy resources, their supply and efficient use, and as necessary to interact with persons, private sector, nonprofit, regional, federal entities and departments and agencies of other states to effectuate this purpose;

(7) Cooperate with agencies, departments, corporations, and entities of the state and of political subdivisions of the state in achieving its purposes;

(8) Cooperate with and assist the state planning council and the division of state planning in developing, maintaining, and implementing state guide plan elements pertaining to energy and renewable energy;

(9) Coordinate the energy efficiency, least-cost procurement, and systems reliability plans and programs with the energy efficiency and resources management council;

(10) Participate in, monitor implementation of, and provide technical assistance for the low-income home energy assistance program enhancement plan established pursuant to § 39-1-27.12;

~~(11) Participate in and monitor the distributed generation standard contracts program pursuant to chapter 26.2 of title 39;~~

~~(12)~~(11) Coordinate opportunities with and enter into contracts and/or agreements with the commerce corporation associated with the energy efficiency, least-cost procurement, system reliability, and renewable energy fund programs;

~~(13)~~(12) Provide support and information to the division of planning and the state planning council in the development of a ten-year (10) Rhode Island Energy Guide Plan, which shall be reviewed and amended if necessary every five (5) years;

(13) Administer the federal Weatherization Assistance Program and any state or privately funded weatherization program;

(14) Advise and provide technical assistance to state and federally funded energy programs to support:

(i) The federal low-income home energy assistance program which provides heating assistance to eligible low-income persons and any state funded or privately funded heating assistance program of a similar nature assigned to it for administration;

(ii) The weatherization assistance program which offers home weatherization grants and heating system upgrades to eligible persons of low-income;

(iii) The emergency fuel program which provides oil deliveries to families experiencing a heating emergency;

(iv) The energy conservation program, which offers service and programs to all sectors;

(v) [Deleted by P.L. 2008, ch. 228, § 2, and P.L. 2008, ch. 422, § 2.]

(15) Advise the commerce corporation in the development of standards and rules for the solicitation and award of renewable energy program investment funds in accordance with § 42-64-13.2;

(16) Develop, recommend, and evaluate energy programs for state facilities and operations in order to achieve and demonstrate the benefits of energy-efficiency, diversification of energy supplies, energy conservation, and demand management; and

(17) Advise the governor and the general assembly with regard to energy resources and all matters relevant to achieving the purposes of the office.

SECTION 13. Chapter 42-140 of the General Laws entitled "Rhode Island Energy Resources Act" is hereby amended by adding thereto the following section:

42-140-13. Energy Benchmarking And Performance Standards Program.

(a) Definitions. For the purposes of this section:

(1) “Department” means all state departments whose directors are enumerated in § 42-6-3 and shall additionally include the executive office of health and human services, the executive office of commerce, and the executive office of housing.

(2) “Public buildings” for the purpose of this section means all municipal and school buildings owned by a municipality that are at least twenty-five thousand gross square feet (25,000 GSF).

(3) “State-owned, state-occupied facilities” means buildings owned by the state that primarily contain offices or other administrative work space for state employees and are at least twenty-five thousand gross square feet (25,000 GSF).

(b) State facilities energy usage reporting

(1) State departments, coordinated and supported by the office of energy resources, shall be required to measure and report monthly energy usage by energy source for their respective state-owned, state-occupied facilities, as well as the gross square footage for each building.

(2) Beginning March 31, 2029, and recurring annually thereafter, departments, coordinated and supported by the office of energy resources, shall report to the office energy use data by source for state-owned, state-occupied facilities for the preceding calendar year. No later than one hundred eighty (180) days from the March 31 reporting deadline each year, the office shall compile, publish and post on its website each facility’s energy use data by fuel and total emissions.

(c) State facilities benchmarking and performance standards program

(1) Utilizing the data due March 31, 2029, in subsection (b)(2), the office of energy

resources shall, with consultation from departments, develop and publish performance standards for state-owned, state-occupied facilities by March 31, 2030 and may update the performance standards and any revision to the standards thereafter. The performance standards published must include:

(i) An annualized emissions standard based on energy usage for each state-owned, state-occupied facility as necessary, to achieve by specified dates;

(ii) A schedule for compliance terminating in 2050; and

(iii) The cost-benefit analysis used to determine which state-owned, state-occupied facilities are assigned performance standards, as set forth in subsection (c)(2) below.

(2) The performance standards shall be determined by evaluating:

(i) The total amount of emissions reductions that could be achieved while maintaining state operations;

(ii) The relative contribution of the emissions reductions to decadal targets established by § 42-6.2-2 compared to other strategies, programs, and actions established by the executive climate change coordinating council in its plan due December 31, 2025, in accordance with § 42-6.2-2(2)(i); and

(iii) The fiscal impacts of achieving the performance standards.

(3) The departments shall meet the performance standards set in accordance with subsection (c)(2). No later than ninety (90) days after each specified compliance date established in accordance with subsection (c)(1), the office of energy resources shall publish a performance standards compliance report demonstrating the status of each state-owned, state-occupied facility subject to a performance standard and post on its website. In the event that a state-owned, state-occupied facility fails to meet a performance standard, the office of energy resources shall provide a corrective action plan with which the state-owned, state-occupied facility shall comply within ninety (90) days of the compliance deadline.

(4) Subsections (c)(1), (c)(2), and (c)(3) shall not apply to state-owned, state-occupied facilities which the office and department of administration determine are not suitable candidates for achieving greenhouse gas emission reductions due to economic infeasibility or unique operational or physical limitations. Any such determinations shall be published in addition to the standards required in subsection (c)(2) and posted on the office's website.

(d) Voluntary energy benchmarking program for public buildings

(i) The office of energy resources shall provide technical and financial assistance to municipalities for a voluntary public buildings energy benchmarking program of public buildings on municipal properties in which buildings are greater than twenty-five thousand square feet

(25,000 ft^2).

(ii) The office of energy resources shall maintain a website that tracks its implementation of the voluntary public buildings energy benchmarking program. The office shall submit to the governor and general assembly by May 1, 2028, and annually thereafter a progress report on the voluntary public buildings energy benchmarking program.

SECTION 14. This article shall take effect upon passage.

ARTICLE 12 AS AMENDED

RELATING TO HEALTH CARE

SECTION 1. Section 5-19.1-2 of the General Laws in Chapter 5-19.1 entitled "Pharmacies" is hereby amended to read as follows:

5-19.1-2. Definitions.

(a) “Biological product” means a “biological product” as defined in the “Public Health Service Act,” 42 U.S.C. § 262.

(b) “Board” means the Rhode Island board of pharmacy.

(c) “Change of ownership” means:

(1) In the case of a pharmacy, manufacturer, or wholesaler that is a partnership, any change that results in a new partner acquiring a controlling interest in the partnership;

(2) In the case of a pharmacy, manufacturer, or wholesaler that is a sole proprietorship, the transfer of the title and property to another person;

(3) In the case of a pharmacy, manufacturer, or wholesaler that is a corporation:

(i) A sale, lease exchange, or other disposition of all, or substantially all, of the property and assets of the corporation; or

(ii) A merger of the corporation into another corporation; or

(iii) The consolidation of two (2) or more corporations resulting in the creation of a new corporation; or

(iv) In the case of a pharmacy, manufacturer, or wholesaler that is a business corporation, any transfer of corporate stock that results in a new person acquiring a controlling interest in the corporation; or

(v) In the case of a pharmacy, manufacturer, or wholesaler that is a non-business corporation, any change in membership that results in a new person acquiring a controlling vote in the corporation.

(d) “Compounding” means the act of combining two (2) or more ingredients as a result of a practitioner’s prescription or medication order occurring in the course of professional practice based upon the individual needs of a patient and a relationship between the practitioner, patient, and pharmacist. Compounding does not mean the routine preparation, mixing, or assembling of drug products that are essentially copies of a commercially available product. Compounding shall only occur in the pharmacy where the drug or device is dispensed to the patient or caregiver and includes the preparation of drugs or devices in anticipation of prescription orders based upon routine, regularly observed prescribing patterns.

(e) “Controlled substance” means a drug or substance, or an immediate precursor of such drug or substance, so designated under, or pursuant to, the provisions of chapter 28 of title 21.

(f) “Deliver” or “delivery” means the actual, constructive, or attempted transfer from one person to another of a drug or device, whether or not there is an agency relationship.

(g) “Device” means instruments, apparatus, and contrivances, including their components, parts, and accessories, intended:

(1) For use in the diagnosis, cure, mitigation, treatment, or prevention of disease in humans or other animals; or

(2) To affect the structure or any function of the body of humans or other animals.

(h) “Director” means the director of the Rhode Island state department of health.

(i) “Dispense” means the interpretation of a prescription or order for a drug, biological product, or device and, pursuant to that prescription or order, the proper selection, measuring, compounding, labeling, or packaging necessary to prepare that prescription or order for delivery or administration.

(j) “Distribute” means the delivery of a drug or device other than by administering or dispensing.

(k) “Drug” means:

(1) Articles recognized in the official United States Pharmacopoeia or the Official Homeopathic Pharmacopoeia of the U.S.;

(2) Substances intended for use in the diagnosis, cure, mitigation, treatment, or prevention of disease in humans or other animals;

(3) Substances (other than food) intended to affect the structure, or any function, of the body of humans or other animals; or

(4) Substances intended for use as a component of any substances specified in subsection (k)(1), (k)(2), or (k)(3), but not including devices or their component parts or accessories.

(l) “Equivalent and interchangeable” means a drug, excluding a biological product, having the same generic name, dosage form, and labeled potency, meeting standards of the United States Pharmacopoeia or National Formulary, or their successors, if applicable, and not found in violation of the requirements of the United States Food and Drug Administration, or its successor agency, or the Rhode Island department of health.

(m) “Interchangeable biological product” means a biological product that the United States

Food and Drug Administration has:

(1) Licensed and determined meets the standards for interchangeability pursuant to 42 U.S.C. § 262(k)(4) or lists of licensed, biological products with reference product exclusivity and biosimilarity or interchangeability evaluations; or

(2) Determined is therapeutically equivalent as set forth in the latest edition of, or supplement to, the United States Food and Drug Administration's Approved Drug Products with Therapeutic Equivalence Evaluations.

(n) "Intern" means:

(1) A graduate of an American Council on Pharmaceutical Education (ACPE)-accredited program of pharmacy;

(2) A student who is enrolled in at least the first year of a professional ACPE-accredited program of pharmacy; or

(3) A graduate of a foreign college of pharmacy who has obtained full certification from the FPGEC (Foreign Pharmacy Graduate Equivalency Commission) administered by the National Association of Boards of Pharmacy.

(o) "Legend drugs" means any drugs that are required by any applicable federal or state law or regulation to be dispensed on prescription only or are restricted to use by practitioners only.

(p) "Limited-function test" means those tests listed in the federal register under the Clinical Laboratory Improvement Amendments of 1988 (CLIA) as waived tests. For the purposes of this chapter, limited-function test shall include only the following: blood glucose, hemoglobin A1c, cholesterol tests, and/or other tests that are classified as waived under CLIA and are approved by the United States Food and Drug Administration for sale to the public without a prescription in the form of an over-the-counter test kit.

(q) "Manufacture" means the production, preparation, propagation, compounding, or processing of a drug or other substance or device or the packaging or repackaging.

(r) "Non-legend" or "nonprescription drugs" means any drugs that may be lawfully sold without a prescription.

(s) "Person" means an individual, corporation, government, subdivision, or agency, business trust, estate, trust, partnership, or association, or any other legal entity.

(t) "Pharmaceutical care" is the provision of drugs and other pharmaceutical services intended to achieve outcomes related to cure or prevention of a disease, elimination or reduction of a patient's symptoms, or arresting or slowing of a disease process. "Pharmaceutical care" includes the judgment of a pharmacist in dispensing an equivalent and interchangeable drug or device in response to a prescription after appropriate communication with the prescriber and the patient.

(u) "Pharmacist in charge" means a pharmacist licensed in this state as designated by the owner as the person responsible for the operation of a pharmacy in conformance with all laws and regulations pertinent to the practice of pharmacy and who is personally in full and actual charge of such pharmacy and personnel.

(v) "Pharmacy" means that portion or part of a premise where prescriptions are compounded and dispensed, including that portion utilized for the storage of prescription or legend drugs.

(w) "Pharmacy technician" means an individual who meets minimum qualifications established by the board, that are less than those established by this chapter as necessary for licensing as a pharmacist, and who works under the direction and supervision of a licensed pharmacist.

(x) "Practice of pharmacy" means the interpretation, evaluation, and implementation of medical orders; the dispensing of prescription drug orders; participation in drug and device selection; the compounding of prescription drugs; drug regimen reviews and drug or drug-related research; the administration of adult immunizations and, medications approved by the department of health in consultation with the board of pharmacy for administration by a pharmacist except as provided by § 5-25-7, pursuant to a valid prescription or physician-approved protocol and in accordance with regulations, to include training requirements as promulgated by the department of health; the administration of all forms of influenza immunizations to individuals between the ages of nine (9) years and eighteen (18) years, inclusive, pursuant to a valid prescription or prescriber-approved protocol, in accordance with the provisions of § 5-19.1-31 and in accordance with regulations, to include necessary training requirements specific to the administration of influenza immunizations to individuals between the ages of nine (9) years and eighteen (18) years, inclusive, as promulgated by the department of health; provision of patient counseling and the provision of those acts or services necessary to provide pharmaceutical care; the responsibility for the supervision for compounding and labeling of drugs and devices (except labeling by a manufacturer, repackager, or distributor of nonprescription drugs and commercially packaged legend drugs and devices), proper and safe storage of drugs and devices, and maintenance of proper records for them; and the performance of clinical laboratory tests~~, provided such testing is limited to limited-function tests as defined herein~~; and engage in the independent prescribing of drugs, drug categories or devices in accordance with the provision of § 5-19.1-36.1. Nothing in this definition shall be construed to limit or otherwise affect the scope of practice of any other profession.

(y) "Practitioner" means a physician, dentist, veterinarian, nurse, or other person duly authorized by law in the state in which they practice to prescribe drugs.

(z) “Preceptor” means a pharmacist registered to engage in the practice of pharmacy in this state who has the responsibility for training interns.

(aa) “Prescription” means an order for drugs or devices issued by the practitioner duly authorized by law in the state in which he or she practices to prescribe drugs or devices in the course of his or her professional practice for a legitimate medical purpose.

(bb) “Wholesaler” means a person who buys drugs or devices for resale and distribution to corporations, individuals, or entities other than consumers.

SECTION 2. Chapter 5-19.1 of the General Laws entitled "Pharmacies" is hereby amended by adding thereto the following section:

5-19.1-36.1. Pharmacists -- Drug categories -- Prescribing.

(a) In accordance with this chapter and regulations adopted by the department of health, a pharmacist may engage in the independent prescribing of drugs, drug categories, or devices that are critical to the improvement of public health in accordance with such products' federal Food and Drug Administration-approved labeling:

(1) Drugs for medication assisted treatment (MAT) of opioid use disorder;

(2) Nicotine/tobacco cessation products;

(3) Hyperlipidemia medications;

(4) Inhalers for COPD or asthma;

(5) Insulin and diabetes medications;

(6) Drugs to treat hypertension;

(7) Treatment for positive infectious disease point-of-care testing for influenza, COVID-19, group A strep, and other infections approved by the director;

(8) Such other drugs, drug categories, or devices set forth in the regulations promulgated by the department of health in collaboration with the board of pharmacy. A prescribing pharmacist may order and review and clinical laboratory test necessary to appropriately prescribe and manage drugs and devices in accordance with this section.

(b) The department, in collaboration with the board of pharmacy, shall promulgate regulations, including educational requirements, authorizing a pharmacist to prescribe drugs, drug categories and devices in accordance with this section.

(c) A pharmacist shall be authorized to charge fees in line with other practitioners for services or submit said fees to insurance for reimbursement in accordance with all state and federal laws governing insurance coverage.

(d) The practice of independent prescribing by pharmacists is voluntary and shall not be mandated by employers or regulatory bodies within this state.

SECTION 3. Sections 5-31.1-1, 5-31.1-6.1 and 5-31.1-39 of the General Laws in Chapter 5-31.1 entitled "Dentists and Dental Hygienists" are hereby amended to read as follows:

<u>5-31.1-1. Definitions.</u>

As used in this chapter:

(1) “Board” means the Rhode Island board of examiners in dentistry or any committee or subcommittee of the board.

(2) “Chief of the division of oral health” means the chief of the division of oral health of the Rhode Island department of health who is a licensed dentist possessing a master’s degree in public health or a certificate in public health from an accredited program.

(3) “Dental administrator” means the administrator of the Rhode Island board of examiners in dentistry.

(4) “Dental hygienist” means a person with a license to practice dental hygiene in this state under the provisions of this chapter.

(5) “Dentist” means a person with a license to practice dentistry in this state under the provisions of this chapter.

(6) “Dentistry” is defined as the evaluation, diagnosis, prevention, and/or treatment (nonsurgical, surgical, or related procedures) of diseases, disorders, and/or conditions of the oral cavity, cranio-maxillofacial area, and/or the adjacent and associated structures and their impact on the human body, provided by a dentist, within the scope of his or her education, training, and experience, in accordance with the ethics of the profession and applicable law.

(7) “Department” means the Rhode Island department of health.

(8) “Direct visual supervision” means supervision by an oral and maxillofacial surgeon (with a permit to administer deep sedation and general anesthesia) by verbal command and under direct line of sight.

(9) “Director” means the director of the Rhode Island department of health.

(10) “Healthcare facility” means any institutional health service provider licensed pursuant to the provisions of chapter 17 of title 23.

(11) “Health-maintenance organization” means a public or private organization licensed pursuant to the provisions of chapter 17 of title 23 or chapter 41 of title 27.

(12) “Limited registrant” means a person holding a limited registration certificate pursuant to the provisions of this chapter.

(13) “Nonprofit medical services corporation” or “nonprofit hospital service corporation” or “nonprofit dental service corporation” means any corporation organized pursuant to chapter 19 or 20 of title 27 for the purpose of establishing, maintaining, and operating a nonprofit medical,

hospital, or dental service plan.

(14) “Peer-review board” means any committee of a state, local, dental or dental hygiene association or society, or a committee of any licensed healthcare facility, or the dental staff of the committee, or any committee of a dental care foundation or health-maintenance organization, or any staff committee or consultant of a hospital, medical, or dental service corporation, the function of which, or one of the functions of which, is to evaluate and improve the quality of dental care rendered by providers of dental care service or to determine that dental care services rendered were professionally indicated or were performed in compliance with the applicable standard of care or that the cost for dental care rendered was considered reasonable by the providers of professional dental care services in the area and includes a committee functioning as a utilization review committee under the provisions of Pub. L. No. 89-97, 42 U.S.C. § 1395 et seq. (Medicare law), or as a professional standards-review organization or statewide professional standards-review council under the provisions of Pub. L. No. 92-603, 42 U.S.C. § 1301 et seq. (professional standards-review organizations), or a similar committee or a committee of similar purpose, to evaluate or review the diagnosis or treatment of the performance or rendition of dental services performed under public dental programs of either state or federal design.

(15) “Person” means any individual, partnership, firm, corporation, association, trust or estate, state or political subdivision, or instrumentality of a state.

(16) “Practice of dental hygiene.” Any person is practicing dental hygiene within the meaning of this chapter who performs those services and procedures that a dental hygienist has been educated to perform and which services and procedures are, from time to time, specifically authorized by rules and regulations adopted by the board of examiners in dentistry. Dental hygienists may perform dental hygiene assessment, dental hygiene diagnosis, and dental hygiene treatment planning for dental hygiene services. Dental hygienists may prescribe, administer, and dispense fluoride supplements, topical anticaries treatments, topical antimicrobials including, but not limited to, chlorhexidine, and any other preventive dental supplements, treatments, and antimicrobials as determined by the board. Nothing in this section is construed to authorize a licensed dental hygienist to perform the following: ~~diagnosis and treatment planning,~~ surgical procedures on hard or soft tissue, prescribe medication except for the purpose of prevention of dental disease, or administer general anesthesia or injectables other than oral local anesthesia. A dental hygienist is only permitted to practice dental hygiene under the general supervision of a dentist licensed and registered in this state under the provisions of this chapter.

(i) Provided, that in order to administer local injectable anesthesia to dental patients, dental hygienists must be under the supervision of a dentist and meet the requirements established by regulation of the board of examiners in dentistry including payment of a permit fee.

(17)(i)(A) “Practice of dentistry.” Any person is practicing dentistry within the meaning of this chapter who:

(I) Uses or permits to be used, directly or indirectly, for profit or otherwise, for himself, herself, or for any other person, in connection with his or her name, the word “dentist” or “dental surgeon,” or the title “D.D.S.” or “D.M.D.,” or any other words, letters, titles, or descriptive matter, personal or not, that directly or indirectly implies the practice of dentistry;

(II) Owns, leases, maintains, operates a dental business in any office or other room or rooms where dental operations are performed, or directly or indirectly is manager, proprietor, or conductor of this business;

(III) Directly or indirectly informs the public in any language, orally, in writing, or in printing, or by drawings, demonstrations, specimens, signs, or pictures that he or she can perform or will attempt to perform, dental operations of any kind;

(IV) Undertakes, by any means or method, gratuitously, or for a salary, fee, money, or other reward paid or granted directly or indirectly to himself or herself, or to any other person, to diagnose or profess to diagnose, or to treat or profess to treat, or to prescribe for, or profess to prescribe for, any of the lesions, diseases, disorders, or deficiencies of the human oral cavity, teeth, gums, maxilla, or mandible, and/or adjacent associated structures;

(V) Extracts human teeth, corrects malpositions of the teeth or of the jaws;

(VI) Except on the written prescription of a licensed dentist and by the use of impressions or casts made by a licensed and practicing dentist, directly or indirectly by mail, carrier, personal agent, or by any other method, furnishes, supplies, constructs, reproduces, or repairs prosthetic dentures, bridges, appliances, or other structures to be used and worn as substitutes for natural teeth;

(VII) Places those substitutes in the mouth and/or adjusts them;

(VIII) Administers an anesthetic, either general or local, in the course of any of the previously stated dental procedures; or

(IX) Engages in any of the practices included in the curricula of recognized dental colleges;

(B) Provided, that in order to administer any form of anesthesia, other than local, dentists must meet the requirements established by regulation of the board of examiners in dentistry, including training in advanced cardiac life support and pediatric advanced life support, and payment of a permit fee.

(ii) The board shall promulgate regulations relating to anesthesia. Those regulations shall be consistent with the American Dental Association guidelines for the use of conscious sedation, deep sedation, and general anesthesia in dentistry. Neither the board, nor any regulation promulgated by the board, shall require additional licensing fees for the use of nitrous oxide by dentists. Prior to the adoption of those regulations, dentists shall be permitted to administer anesthesia without restriction. From the proceeds of any fees collected pursuant to the provisions of this chapter, there is created a restricted receipts account that is used solely to pay for the administrative expenses incurred for expenses of administrating this chapter.

(iii) No non-dentist who operates a dental facility in the form of a licensed outpatient healthcare center or management service organization may interfere with the professional judgment of a dentist in the practice.

(18) "Telemedicine" has the same meaning as provided in § 27-81-3.

5-31.1-6.1. Dental hygienists and dental assistants.

Dentists licensed pursuant to § 5-31.1-6 may supervise and delegate to any dental hygienist licensed pursuant to § 5-31.1-6, working under the dentist's general supervision and who is employed on a regular basis by such dentists, any procedures that he or she may deem advisable; including initial oral-health-screening assessments and other procedures specified under section 13 (or any comparable or successor section) of the rules and regulations pertaining to dentists and dental hygienists promulgated from time to time by the department of health~~, and any~~. Dental hygienists may prescribe, administer, and dispense fluoride supplements, topical anticaries treatments, and topical antimicrobials including, but not limited to, chlorhexidine, for preventive dental purposes as determined by the board. Any such dental hygienists may engage in the practice of dental hygiene under the responsibility of the supervising dentists outside of the dentists' office in order to render to residents of nursing facilities licensed pursuant to chapter 17 of title 23, whether or not such residents are patients of record of the supervising dentist, without the on-site direct supervision of a dentist licensed pursuant to § 5-31.1-6, those dental services, procedures, and duties that he or she has been educated to perform and that are authorized by the board of examiners in dentistry. Dental hygienists working under general supervision in nursing facilities shall provide documentation of initial oral health screening assessments to the supervising dentist and to the licensed nursing facility for appropriate follow-up assessment and treatment, as needed.

5-31.1-39. Public health hygienists.

(a) Any public health dental hygienist, which for purposes of this chapter means any practicing registered dental hygienist who may perform dental-hygiene procedures in a public-health setting subject to conditions adopted by the Rhode Island board of examiners in dentistry, may perform in a public-health setting, without the immediate or direct supervision or direction of a dentist, any procedure or provide any service that is within the dental-hygiene scope of practice that has been authorized and adopted by the Rhode Island board of examiners in dentistry as a delegable procedure for a dental hygienist under general supervision in a private practice setting.

(b) Public-health settings shall, for purposes of this section, include, but are not limited to, residences of the homebound, schools, nursing home and long-term-care facilities, clinics, hospitals, medical facilities, community health centers licensed or certified by the department of health, mobile and portable dental-health programs licensed or certified by the department of health and operated by a local or state agency, head-start programs, and any other facilities or programs deemed appropriate by the department of health.

(c) Any public-health hygienist shall enter into a written, collaborative agreement with a local or state government agency or institution or with a licensed dentist who states that he or she shall be able to provide the appropriate level of communication and consultation with the dental hygienist to ensure patient health and safety prior to performing any procedure or providing any service under this section. The written, collaborative agreement will follow the appropriate guidelines as determined and established by the Rhode Island board of examiners in dentistry.

(d) Any public-health dental hygienist shall provide to the patient, or to the patient's legal guardian, a consent form to be signed by the patient or legal guardian. The consent form shall be consistent with current department of health policies that describes services to be rendered and explains that services rendered are not a substitute for a dental examination by a dentist. The consent form shall also inform the patient or legal guardian that the patient should obtain a dental examination by a dentist within ninety (90) days after undergoing a procedure authorized pursuant to this section. The patient or legal guardian shall also obtain written referral to a dentist and an assessment of further dental needs.

(e) The public-health dental hygienist shall be directly reimbursed for services administered in a public-health setting by Medicaid or the state healthcare insurance program except as required by federal Medicaid law, ~~but shall not~~ and may seek reimbursement from any other insurance or third-party payor. A public-health dental hygienist shall not operate independently of a dentist, except for a dental hygienist working for a local or state government agency or institution or practicing in a mobile or portable prevention program licensed or certified by the department of health. In such cases, the local or state government agency or institution or mobile or portable prevention program licensed or certified by the department of health may seek reimbursement from any other third-party payor.

(f) A public health dental hygienist may supervise a dental assistant performing assisting duties to facilitate provision of services within the scope of a dental-hygiene practice in the public health setting.

SECTION 4. Chapter 5-34.3 of the General Laws entitled "Nurse Licensure Compact" is hereby amended by adding thereto the following section:

5-34.3-15. Sunset provision.

Chapter 34.3 of this title entitled “nurse licensure compact” shall sunset and expire on January 1, 2029.

SECTION 5. Section 5-37-2.1 of the General Laws in Chapter 5-37 entitled "Board of Medical Licensure and Discipline" is hereby amended to read as follows:

5-37-2.1. Recertification — Continuing medical education.

Effective beginning in calendar year 2004, every physician licensed to practice medicine within this state shall, in connection with biannual registration, on or before the first day of June in each even-numbered year, provide satisfactory evidence to the board of medical licensure and discipline that in the preceding two (2) years the practitioner has completed a prescribed course of continuing medical education established by the appropriate medical or osteopathic society and approved by rule or regulation of the director or by the board of medical licensure and discipline. At least one hour of the required continuing medical education credits every two (2) years must be related to the topic of nutrition. The board may extend for only one six-month (6) period these educational requirements if the board is satisfied that the applicant has suffered hardship that prevented meeting the educational requirement. No recertification to practice medicine in this state shall be refused, nor shall any certificate be suspended or revoked except: (1) As provided for in this chapter, and (2) For failure to provide satisfactory evidence of continuing medical education as provided for in this section.

SECTION 6. Title 5 of the General Laws entitled "BUSINESSES AND PROFESSIONS" is hereby amended by adding thereto the following chapter:

CHAPTER 54.1

PHYSICIAN ASSISTANT LICENSURE COMPACT

5-54.1-1. Short title.

The Physician Assistant Licensure Compact, hereinafter referred to as the “PA Licensure Compact,” is hereby enacted into law and entered into by the State of Rhode Island with any and all states legally joining therein in accordance with its terms.

5-54.1-2. Purpose.

In order to strengthen access to medical services, and in recognition of the advances in the delivery of medical services, the participating states of the PA licensure compact have allied in common purpose to develop a comprehensive process that complements the existing authority of state licensing boards to license and discipline PAs and seeks to enhance the portability of a license to practice as a PA while safeguarding the safety of patients. This compact allows medical services to be provided by PAs, via the mutual recognition of the licensee's qualifying license by other compact participating states. This compact also adopts the prevailing standard for PA licensure and affirms that the practice and delivery of medical services by the PA occurs where the patient is located at the time of the patient encounter, and therefore requires the PA to be under the jurisdiction of the state licensing board where the patient is located. State licensing boards that participate in this compact retain the jurisdiction to impose adverse action against a compact privilege in that state issued to a PA through the procedures of this compact. The PA licensure compact will alleviate burdens for military families by allowing active duty military personnel and their spouses to obtain a compact privilege based on having an unrestricted license in good standing from a participating state.

5-54.1-3. Definitions.

As used in this compact:

(1) "Adverse action" means any administrative, civil, equitable, or criminal action permitted by a state's laws which is imposed by a licensing board or other authority against a PA license or license application or compact privilege such as license denial, censure, revocation, suspension, probation, monitoring of the licensee, or restriction on the licensee's practice.

(2) "Compact privilege" means the authorization granted by a remote state to allow a licensee from another participating state to practice as a PA to provide medical services and other licensed activity to a patient located in the remote state under the remote state's laws and regulations.

(3) "Conviction" means a finding by a court that an individual is guilty of a felony or misdemeanor offense through adjudication or entry of a plea of guilt or no contest to the charge by the offender.

(4) "Criminal background check" means the submission of fingerprints or other biometric-based information for a license applicant for the purpose of obtaining that applicant's criminal history record information, as defined in 28 C.F.R. § 20.3(d), from the state's criminal history record repository as defined in 28 C.F.R. § 20.3(f).

(5) "Data system" means the repository of information about licensees, including but not limited to license status and adverse actions, which is created and administered under the terms of this compact.

(6) "Executive committee" means a group of directors and ex-officio individuals elected or appointed pursuant to § 5-54.1-7(f)(2).

(7) "Impaired practitioner" means a PA whose practice is adversely affected by health-related condition(s) that impact their ability to practice.

(8) “Investigative information” means information, records, or documents received or generated by a licensing board pursuant to an investigation.

(9) “Jurisprudence requirement” means the assessment of an individual’s knowledge of the laws and rules governing the practice of a PA in a state.

(10) “License” means current authorization by a state, other than authorization pursuant to a compact privilege, for a PA to provide medical services, which would be unlawful without current authorization.

(11) “Licensee” means an individual who holds a license from a state to provide medical services as a PA.

(12) “Licensing board” means any state entity authorized to license and otherwise regulate PAs.

(13) “Medical services” means health care services provided for the diagnosis, prevention, treatment, cure or relief of a health condition, injury, or disease, as defined by a state’s laws and regulations.

(14) “Model compact” means the model for the PA licensure compact on file with the council of state governments or other entity as designated by the commission.

(15) “Participating state” means a state that has enacted this compact.

(16) “PA” means an individual who is licensed as a physician assistant in a state. For purposes of this compact, any other title or status adopted by a state to replace the term “physician assistant” shall be deemed synonymous with “physician assistant” and shall confer the same rights and responsibilities to the licensee under the provisions of this compact at the time of its enactment.

(17) “PA licensure compact commission,” “compact commission,” or “commission” means the national administrative body created pursuant to § 5-54.1-7(a) of this compact.

(18) “Qualifying license” means an unrestricted license issued by a participating state to provide medical services as a PA.

(19) “Remote state” means a participating state where a licensee who is not licensed as a PA is exercising or seeking to exercise the compact privilege.

(20) “Rule” means a regulation promulgated by an entity that has the force and effect of law.

(21) “Significant investigative information” means investigative information that a licensing board, after an inquiry or investigation that includes notification and an opportunity for the PA to respond if required by state law, has reason to believe is not groundless and, if proven true, would indicate more than a minor infraction.

(22) “State” means any formally recognized state, commonwealth, district, or territory of

the United States.

5-54.1-4. State participation in this compact.

(a) To participate in this compact, a participating state shall:

(1) License PAs.

(2) Participate in the compact commission's data system.

(3) Have a mechanism in place for receiving and investigating complaints against licensees and license applicants.

(4) Notify the commission, in compliance with the terms of this compact and commission rules, of any adverse action against a licensee or license applicant and the existence of significant investigative information regarding a licensee or license applicant.

(5) Fully implement a criminal background check requirement, within a time frame established by commission rule, by its licensing board receiving the results of a criminal background check and reporting to the commission whether the license applicant has been granted a license.

(6) Comply with the rules of the compact commission.

(7) Utilize passage of a recognized national exam such as the National Commission on Certification of Physician Assistants (NCCPA) Physician Assistant National Certifying Examination (PANCE) as a requirement for PA licensure.

(8) Grant the compact privilege to a holder of a qualifying license in a participating state.

(b) Nothing in this compact prohibits a participating state from charging a fee for granting the compact privilege.

5-54.1-5. Compact privilege.

(a) To exercise the compact privilege, a licensee must:

(1) Have graduated from a PA program accredited by the Accreditation Review Commission on Education for the Physician Assistant, Inc. or other programs authorized by commission rule.

(2) Hold current NCCPA certification.

(3) Have no felony or misdemeanor conviction.

(4) Have never had a controlled substance license, permit, or registration suspended or revoked by a state or by the United States Drug Enforcement Administration.

(5) Have a unique identifier as determined by commission rule.

(6) Hold a qualifying license.

(7) Have had no revocation of a license or limitation or restriction on any license currently held due to an adverse action.

(8) If a licensee has had a limitation or restriction on a license or compact privilege due to an adverse action, two (2) years must have elapsed from the date on which the license or compact privilege is no longer limited or restricted due to the adverse action.

(9) If a compact privilege has been revoked or is limited or restricted in a participating state for conduct that would not be a basis for disciplinary action in a participating state in which the licensee is practicing or applying to practice under a compact privilege, that participating state shall have the discretion not to consider such action as an adverse action requiring the denial or removal of a compact privilege in that state.

(10) Notify the compact commission that the licensee is seeking the compact privilege in a remote state.

(11) Meet any jurisprudence requirement of a remote state in which the licensee is seeking to practice under the compact privilege and pay any fees applicable to satisfying the jurisprudence requirement.

(12) Report to the commission any adverse action taken by a non-participating state within thirty (30) days after the action is taken.

(b) The compact privilege is valid until the expiration or revocation of the qualifying license unless terminated pursuant to an adverse action. The licensee must also comply with all of the requirements of subsection (a) of this section to maintain the compact privilege in a remote state. If the participating state takes adverse action against a qualifying license, the licensee shall lose the compact privilege in any remote state in which the licensee has a compact privilege until all of the following occur:

(1) The license is no longer limited or restricted; and

(2) Two (2) years have elapsed from the date on which the license is no longer limited or restricted due to the adverse action.

(c) Once a restricted or limited license satisfies the requirements of subsection (b)(1) and (b)(2) of this section, the licensee must meet the requirements of subsection (a) of this section to obtain a compact privilege in any remote state.

(d) For each remote state in which a PA seeks authority to prescribe controlled substances, the PA shall satisfy all requirements imposed by such state in granting or renewing such authority.

5-54.1-6. Designation of the state from which licensee is applying for a compact privilege.

(a) Upon a licensee's application for a compact privilege, the licensee shall identify to the commission the participating state from which the licensee is applying, in accordance with applicable rules adopted by the commission, and subject to the following requirements:

(1) When applying for a compact privilege, the licensee shall provide the commission with the address of the licensee's primary residence and thereafter shall immediately report to the commission any change in the address of the licensee's primary residence.

(2) When applying for a compact privilege, the licensee is required to consent to accept service of process by mail at the licensee's primary residence on file with the commission with respect to any action brought against the licensee by the commission or a participating state, including a subpoena, with respect to any action brought or investigation conducted by the commission or a participating state.

5-54.1-7. Adverse actions.

(a) A participating state in which a licensee is licensed shall have exclusive power to impose adverse action against the qualifying license issued by that participating state.

(b) In addition to the other powers conferred by state law, a remote state shall have the authority, in accordance with existing state due process law, to do all of the following:

(1) Take adverse action against a PA's compact privilege within that state to remove a licensee's compact privilege or take other action necessary under applicable law to protect the health and safety of its citizens.

(2) Issue subpoenas for both hearings and investigations that require the attendance and testimony of witnesses as well as the production of evidence. Subpoenas issued by a licensing board in a participating state for the attendance and testimony of witnesses or the production of evidence from another participating state shall be enforced in the latter state by any court of competent jurisdiction, according to the practice and procedure of that court applicable to subpoenas issued in proceedings pending before it. The issuing authority shall pay any witness fees, travel expenses, mileage and other fees required by the service statutes of the state in which the witnesses or evidence are located.

(3) Notwithstanding subsection (b)(2) of this section, subpoenas may not be issued by a participating state to gather evidence of conduct in another state that is lawful in that other state for the purpose of taking adverse action against a licensee's compact privilege or application for a compact privilege in that participating state.

(4) Nothing in this compact authorizes a participating state to impose discipline against a PA's compact privilege or to deny an application for a compact privilege in that participating state for the individual's otherwise lawful practice in another state.

(c) For purposes of taking adverse action, the participating state which issued the qualifying license shall give the same priority and effect to reported conduct received from any other participating state as it would if the conduct had occurred within the participating state which issued the qualifying license. In so doing, that participating state shall apply its own state laws to determine appropriate action.

(d) A participating state, if otherwise permitted by state law, may recover from the affected PA the costs of investigations and disposition of cases resulting from any adverse action taken against that PA.

(e) A participating state may take adverse action based on the factual findings of a remote state, provided that the participating state follows its own procedures for taking the adverse action.

(f) Joint investigations.

(1) In addition to the authority granted to a participating state by its respective state PA laws and regulations or other applicable state law, any participating state may participate with other participating states in joint investigations of licensees.

(2) Participating states shall share any investigative, litigation, or compliance materials in furtherance of any joint or individual investigation initiated under this compact.

(g) If an adverse action is taken against a PA's qualifying license, the PA's compact privilege in all remote states shall be deactivated until two (2) years have elapsed after all restrictions have been removed from the state license. All disciplinary orders by the participating state which issued the qualifying license that impose adverse action against a PA's license shall include a statement that the PA's compact privilege is deactivated in all participating states during the pendency of the order.

(h) If any participating state takes adverse action, it promptly shall notify the administrator of the data system.

5-54.1-8. Establishment of the PA licensure compact commission.

(a) The participating states hereby create and establish a joint government agency and national administrative body known as the PA licensure compact commission. The commission is an instrumentality of the compact states acting jointly and not an instrumentality of any one state. The commission shall come into existence on or after the effective date of the compact as set forth in § 5-54.1-11(a).

(b) Membership, voting, and meetings.

(1) Each participating state shall have and be limited to one delegate selected by that participating state's licensing board or, if the state has more than one licensing board, selected collectively by the participating state's licensing boards.

(2) The delegate shall be either:

(i) A current PA, physician or public member of a licensing board or PA council/committee; or

(ii) An administrator of a licensing board.

(3) Any delegate may be removed or suspended from office as provided by the laws of the state from which the delegate is appointed.

(4) The participating state licensing board shall fill any vacancy occurring in the commission within sixty (60) days.

(5) Each delegate shall be entitled to one vote on all matters voted on by the commission and shall otherwise have an opportunity to participate in the business and affairs of the commission. A delegate shall vote in person or by such other means as provided in the bylaws. The bylaws may provide for delegates' participation in meetings by telecommunications, video conference, or other means of communication.

(6) The commission shall meet at least once during each calendar year. Additional meetings shall be held as set forth in this compact and the bylaws.

(7) The commission shall establish by rule a term of office for delegates.

(c) The commission shall have the following powers and duties:

(1) Establish a code of ethics for the commission;

(2) Establish the fiscal year of the commission;

(3) Establish fees;

(4) Establish bylaws;

(5) Maintain its financial records in accordance with the bylaws;

(6) Meet and take such actions as are consistent with the provisions of this compact and the bylaws;

(7) Promulgate rules to facilitate and coordinate implementation and administration of this compact. The rules shall have the force and effect of law and shall be binding in all participating states;

(8) Bring and prosecute legal proceedings or actions in the name of the commission, provided that the standing of any state licensing board to sue or be sued under applicable law shall not be affected;

(9) Purchase and maintain insurance and bonds;

(10) Borrow, accept, or contract for services of personnel including, but not limited to, employees of a participating state;

(11) Hire employees and engage contractors, elect or appoint officers, fix compensation, define duties, grant such individuals appropriate authority to carry out the purposes of this compact, and establish the commission's personnel policies and programs relating to conflicts of interest, qualifications of personnel, and other related personnel matters;

(12) Accept any and all appropriate donations and grants of money, equipment, supplies, materials and services, and receive, utilize and dispose of the same; provided that at all times the commission shall avoid any appearance of impropriety or conflict of interest;

(13) Lease, purchase, accept appropriate gifts or donations of, or otherwise own, hold, improve or use, any property, real, personal or mixed; provided that at all times the commission shall avoid any appearance of impropriety;

(14) Sell, convey, mortgage, pledge, lease, exchange, abandon, or otherwise dispose of any property real, personal, or mixed;

(15) Establish a budget and make expenditures;

(16) Borrow money;

(17) Appoint committees, including standing committees composed of members, state regulators, state legislators or their representatives, and consumer representatives, and such other interested persons as may be designated in this compact and the bylaws;

(18) Provide and receive information from, and cooperate with, law enforcement agencies;

(19) Elect a chair, vice chair, secretary and treasurer and such other officers of the commission as provided in the commission's bylaws;

(20) Reserve for itself, in addition to those reserved exclusively to the commission under the compact, powers that the executive committee may not exercise;

(21) Approve or disapprove a state's participation in the compact based upon its determination as to whether the state's compact legislation departs in a material manner from the model compact language;

(22) Prepare and provide to the participating states an annual report; and

(23) Perform such other functions as may be necessary or appropriate to achieve the purposes of this compact consistent with the state regulation of PA licensure and practice.

(d) Meetings of the commission.

(1) All meetings of the commission that are not closed pursuant to this subsection shall be open to the public. Notice of public meetings shall be posted on the commission's website at least thirty (30) days prior to the public meeting.

(2) Notwithstanding subsection (d)(1) of this section, the commission may convene a public meeting by providing at least twenty-four (24) hours prior notice on the commission's website, and any other means as provided in the commission's rules, for any of the reasons it may dispense with notice of proposed rulemaking under § 5-54.1-9(l).

(3) The commission may convene in a closed, non-public meeting or non-public part of a public meeting to receive legal advice or to discuss:

(i) Non-compliance of a participating state with its obligations under this compact;

(ii) The employment, compensation, discipline or other matters, practices or procedures related to specific employees or other matters related to the commission's internal personnel practices and procedures;

(iii) Current, threatened, or reasonably anticipated litigation;

(iv) Negotiation of contracts for the purchase, lease, or sale of goods, services, or real estate;

(v) Accusing any person of a crime or formally censuring any person;

(vi) Disclosure of trade secrets or commercial or financial information that is privileged or confidential;

(vii) Disclosure of information of a personal nature where disclosure would constitute a clearly unwarranted invasion of personal privacy;

(viii) Disclosure of investigative records compiled for law enforcement purposes;

(ix) Disclosure of information related to any investigative reports prepared by or on behalf of or for use of the commission or other committee charged with responsibility of investigation or determination of compliance issues pursuant to this compact;

(x) Legal advice; or

(xi) Matters specifically exempted from disclosure by federal or participating states' statutes.

(4) If a meeting, or portion of a meeting, is closed pursuant to this provision, the chair of the meeting or the chair's designee shall certify that the meeting or portion of the meeting may be closed and shall reference each relevant exempting provision.

(5) The commission shall keep minutes that fully and clearly describe all matters discussed in a meeting and shall provide a full and accurate summary of actions taken, including a description of the views expressed. All documents considered in connection with an action shall be identified in such minutes. All minutes and documents of a closed meeting shall remain under seal, subject to release by a majority vote of the commission or order of a court of competent jurisdiction.

(e) Financing of the commission.

(1) The commission shall pay, or provide for the payment of, the reasonable expenses of its establishment, organization, and ongoing activities.

(2) The commission may accept any and all appropriate revenue sources, donations, and grants of money, equipment, supplies, materials, and services.

(3) The commission may levy on and collect an annual assessment from each participating state and may impose compact privilege fees on licensees of participating states to whom a compact

privilege is granted to cover the cost of the operations and activities of the commission and its staff, which must be in a total amount sufficient to cover its annual budget as approved by the commission each year for which revenue is not provided by other sources. The aggregate annual assessment amount levied on participating states shall be allocated based upon a formula to be determined by commission rule.

(i) A compact privilege expires when the licensee's qualifying license in the participating state from which the licensee applied for the compact privilege expires.

(ii) If the licensee terminates the qualifying license through which the licensee applied for the compact privilege before its scheduled expiration, and the licensee has a qualifying license in another participating state, the licensee shall inform the commission that it is changing to that participating state the participating state through which it applies for a compact privilege and pay to the commission any compact privilege fee required by commission rule.

(4) The commission shall not incur obligations of any kind prior to securing the funds adequate to meet the same; nor shall the commission pledge the credit of any of the participating states, except by and with the authority of the participating state.

(5) The commission shall keep accurate accounts of all receipts and disbursements. The receipts and disbursements of the commission shall be subject to the financial review and accounting procedures established under its bylaws. All receipts and disbursements of funds handled by the commission shall be subject to an annual financial review by a certified or licensed public accountant, and the report of the financial review shall be included in and become part of the annual report of the commission.

(f) The executive committee.

(1) The executive committee shall have the power to act on behalf of the commission according to the terms of this compact and commission rules.

(2) The executive committee shall be composed of nine (9) members:

(i) Seven (7) voting members who are elected by the commission from the current membership of the commission;

(ii) One ex-officio, nonvoting member from a recognized national PA professional association; and

(iii) One ex-officio, nonvoting member from a recognized national PA certification organization.

(3) The ex-officio members will be selected by their respective organizations.

(4) The commission may remove any member of the executive committee as provided in its bylaws.

(5) The executive committee shall meet at least annually.

(6) The executive committee shall have the following duties and responsibilities:

(i) Recommend to the commission changes to the commission's rules or bylaws, changes to this compact legislation, fees to be paid by compact participating states such as annual dues, and any commission compact fee charged to licensees for the compact privilege;

(ii) Ensure compact administration services are appropriately provided, contractual or otherwise;

(iii) Prepare and recommend the budget;

(iv) Maintain financial records on behalf of the commission;

(v) Monitor compact compliance of participating states and provide compliance reports to the commission.

(vi) Establish additional committees as necessary;

(vii) Exercise the powers and duties of the commission during the interim between commission meetings, except for issuing proposed rulemaking or adopting commission rules or bylaws, or exercising any other powers and duties exclusively reserved to the commission by the commission's rules; and

(viii) Perform other duties as provided in the commission's rules or bylaws.

(7) All meetings of the executive committee at which it votes or plans to vote on matters in exercising the powers and duties of the commission shall be open to the public and public notice of such meetings shall be given as public meetings of the commission are given.

(8) The executive committee may convene in a closed, non-public meeting for the same reasons that the commission may convene in a non-public meeting as set forth in subsection (d)(3) of this section and shall announce the closed meeting as the commission is required to under subsection (d)(4) of this section and keep minutes of the closed meeting as the commission is required to under section subsection (d)(5) of this section.

(g) Qualified immunity, defense, and indemnification.

(1) The members, officers, executive director, employees and representatives of the commission shall be immune from suit and liability, both personally and in their official capacity, for any claim for damage to or loss of property or personal injury or other civil liability caused by or arising out of any actual or alleged act, error, or omission that occurred, or that the person against whom the claim is made had a reasonable basis for believing occurred within the scope of commission employment, duties or responsibilities; provided that nothing in this paragraph shall be construed to protect any such person from suit or liability for any damage, loss, injury, or liability caused by the intentional or willful or wanton misconduct of that person. The procurement of

insurance of any type by the commission shall not in any way compromise or limit the immunity granted hereunder.

(2) The commission shall defend any member, officer, executive director, employee, and representative of the commission in any civil action seeking to impose liability arising out of any actual or alleged act, error, or omission that occurred within the scope of commission employment, duties, or responsibilities, or as determined by the commission that the person against whom the claim is made had a reasonable basis for believing occurred within the scope of commission employment, duties, or responsibilities; provided that nothing herein shall be construed to prohibit that person from retaining their own counsel at their own expense; and provided further, that the actual or alleged act, error, or omission did not result from that person’s intentional or willful or wanton misconduct.

(3) The commission shall indemnify and hold harmless any member, officer, executive director, employee, and representative of the commission for the amount of any settlement or judgment obtained against that person arising out of any actual or alleged act, error, or omission that occurred within the scope of commission employment, duties, or responsibilities, or that such person had a reasonable basis for believing occurred within the scope of commission employment, duties, or responsibilities, provided that the actual or alleged act, error, or omission did not result from the intentional or willful or wanton misconduct of that person.

(4) Venue is proper and judicial proceedings by or against the commission shall be brought solely and exclusively in a court of competent jurisdiction where the principal office of the commission is located. The commission may waive venue and jurisdictional defenses in any proceedings as authorized by commission rules.

(5) Nothing herein shall be construed as a limitation on the liability of any licensee for professional malpractice or misconduct, which shall be governed solely by any other applicable state laws.

(6) Nothing herein shall be construed to designate the venue or jurisdiction to bring actions for alleged acts of malpractice, professional misconduct, negligence, or other such civil action pertaining to the practice of a PA. All such matters shall be determined exclusively by state law other than this compact.

(7) Nothing in this compact shall be interpreted to waive or otherwise abrogate a participating state’s state action immunity or state action affirmative defense with respect to antitrust claims under 15 USC 1 et seq. (Sherman Act), as amended from time to time, 15 USC 12-27 (Clayton Act), as amended from time to time, or any other state or federal antitrust or anticompetitive law or regulation.

(8) Nothing in this compact shall be construed to be a waiver of sovereign immunity by the participating states or by the commission.

5-54.1-9. Data system.

(a) The commission shall provide for the development, maintenance, operation, and utilization of a coordinated data and reporting system containing licensure, adverse action, and the reporting of the existence of significant investigative information on all licensed PAs and applicants denied a license in participating states.

(b) Notwithstanding any other state law to the contrary, a participating state shall submit a uniform data set to the data system on all PAs to whom this compact is applicable (utilizing a unique identifier) as required by the rules of the commission, including:

(1) Identifying information;

(2) Licensure data;

(3) Adverse actions against a license or compact privilege;

(4) Any denial of application for licensure, and the reason(s) for such denial, excluding the reporting of any criminal history record information prohibited by section 5-54.1-13.1 of this chapter or other state or federal law;

(5) The existence of significant investigative information; and

(6) Other information that may facilitate the administration of this compact, as determined by the rules of the commission.

(c) Significant investigative information pertaining to a licensee in any participating state shall only be available to other participating states.

(d) The commission shall promptly notify all participating states of any adverse action taken against a licensee or an individual applying for a license that has been reported to it. This adverse action information shall be available to any other participating state.

(e) Participating states contributing information to the data system may, in accordance with state or federal law, designate information that may not be shared with the public without the express permission of the contributing state. Notwithstanding any such designation, such information shall be reported to the commission through the data system.

(f) Any information submitted to the data system that is subsequently expunged pursuant to federal law or the laws of the participating state contributing the information shall be removed from the data system upon reporting of such by the participating state to the commission.

(g) The records and information provided to a participating state pursuant to this compact or through the data system, when certified by the commission or an agent thereof, shall constitute the authenticated business records of the commission, and shall be entitled to any associated hearsay exception in any relevant judicial, quasi-judicial or administrative proceedings in a participating state.

5-54.1-10. Rulemaking.

(a) The commission shall exercise its rulemaking powers pursuant to the criteria set forth in this section and the rules adopted thereunder. Commission rules shall become binding as of the date specified by the commission for each rule.

(b) The commission shall promulgate reasonable rules in order to effectively and efficiently implement and administer this compact and achieve its purposes. A commission rule shall be invalid and have not force or effect only if a court of competent jurisdiction holds that the rule is invalid because the commission exercised its rulemaking authority in a manner that is beyond the scope of the purposes of this compact, or the powers granted hereunder, or based upon another applicable standard of review.

(c) The rules of the commission shall have the force of law in each participating state, provided however that where the rules of the commission conflict with the laws of the participating state that establish the medical services a PA may perform in the participating state, as held by a court of competent jurisdiction, the rules of the commission shall be ineffective in that state to the extent of the conflict.

(d) If a majority of the legislatures of the participating states rejects a commission rule, by enactment of a statute or resolution in the same manner used to adopt this compact within four (4) years of the date of adoption of the rule, then such rule shall have no further force and effect in any participating state or to any state applying to participate in the compact.

(e) Commission rules shall be adopted at a regular or special meeting of the commission.

(f) Prior to promulgation and adoption of a final rule or rules by the commission, and at least thirty (30) days in advance of the meeting at which the rule will be considered and voted upon, the commission shall file a notice of proposed rulemaking:

(1) On the website of the commission or other publicly accessible platform; and

(2) To persons who have requested notice of the commission's notices of proposed rulemaking, and

(3) In such other way(s) as the commission may by rule specify.

(g) The notice of proposed rulemaking shall include:

(1) The time, date, and location of the public hearing on the proposed rule and the proposed time, date and location of the meeting in which the proposed rule will be considered and voted upon;

(2) The text of the proposed rule and the reason for the proposed rule;

(3) A request for comments on the proposed rule from any interested person and the date by which written comments must be received; and

(4) The manner in which interested persons may submit notice to the commission of their intention to attend the public hearing or provide any written comments.

(h) Prior to adoption of a proposed rule, the commission shall allow persons to submit written data, facts, opinions, and arguments, which shall be made available to the public.

(i) If the hearing is to be held via electronic means, the commission shall publish the mechanism for access to the electronic hearing.

(1) All persons wishing to be heard at the hearing shall as directed in the notice of proposed rulemaking, not less than five (5) business days before the scheduled date of the hearing, notify the commission of their desire to appear and testify at the hearing.

(2) Hearings shall be conducted in a manner providing each person who wishes to comment a fair and reasonable opportunity to comment orally or in writing.

(3) All hearings shall be recorded. A copy of the recording and the written comments, data, facts, opinions, and arguments received in response to the proposed rulemaking shall be made available to a person upon request.

(4) Nothing in this section shall be construed as requiring a separate hearing on each proposed rule. Proposed rules may be grouped for the convenience of the commission at hearings required by this section.

(j) Following the public hearing the commission shall consider all written and oral comments timely received.

(k) The commission shall, by majority vote of all delegates, take final action on the proposed rule and shall determine the effective date of the rule, if adopted, based on the rulemaking record and the full text of the rule.

(1) If adopted, the rule shall be posted on the commission's website.

(2) The commission may adopt changes to the proposed rule provided the changes do not enlarge the original purpose of the proposed rule.

(3) The commission shall provide on its website an explanation of the reasons for substantive changes made to the proposed rule as well as reasons for substantive changes not made that were recommended by commenters.

(4) The commission shall determine a reasonable effective date for the rule. Except for an emergency as provided in subsection (l) of this section, the effective date of the rule shall be no sooner than thirty (30) days after the commission issued the notice that it adopted the rule.

(l) Upon determination that an emergency exists, the commission may consider and adopt an emergency rule with twenty-four (24) hours prior notice, without the opportunity for comment, or hearing, provided that the usual rulemaking procedures provided in this compact and in this section hall be retroactively applied to the rule as soon as reasonably possible, in no event later than ninety (90) days after the effective date of the rule. For the purposes of this provision, an emergency rule is one that must be adopted immediately by the commission in order to:

(1) Meet an imminent threat to public health, safety, or welfare;

(2) Prevent a loss of commission or participating state funds;

(3) Meet a deadline for the promulgation of a commission rule that is established by federal law or rule; or

(4) Protect public health and safety.

(m) The commission or an authorized committee of the commission may direct revisions to a previously adopted commission rule for purposes of correcting typographical errors, errors in format, errors in consistency, or grammatical errors. Public notice of any revisions shall be posted on the website of the commission. The revision shall be subject to challenge by any person for a period of thirty (30) days after posting. The revision may be challenged only on grounds that the revision results in a material change to a rule. A challenge shall be made as set forth in the notice of revisions and delivered to the commission prior to the end of the notice period. If no challenge is made, the revision will take effect without further action. If the revision is challenged, the revision may not take effect without the approval of the commission.

(n) No participating state's rulemaking requirements shall apply under this compact.

5-54.1-11. Oversight, dispute resolution, and enforcement.

(a) Oversight

(1) The executive and judicial branches of state government in each participating state shall enforce this compact and take all actions necessary and appropriate to implement the compact.

(2) Venue is proper and judicial proceedings by or against the commission shall be brought solely and exclusively in a court of competent jurisdiction where the principal office of the commission is located. The commission may waive venue and jurisdictional defenses to the extent it adopts or consents to participate in alternative dispute resolution proceedings. Nothing herein shall affect or limit the selection or propriety of venue in any action against a licensee for professional malpractice, misconduct or any such similar matter.

(3) The commission shall be entitled to receive service of process in any proceeding regarding the enforcement or interpretation of the compact or the commission's rules and shall have standing to intervene in such a proceeding for all purposes. Failure to provide the commission with service of process shall render a judgment or order in such proceeding void as to the commission,

this compact, or commission rules.

(b) Default, technical assistance, and termination.

(1) If the commission determines that a participating state has defaulted in the performance of its obligations or responsibilities under this compact or the commission rules, the commission shall provide written notice to the defaulting state and other participating states. The notice shall describe the default, the proposed means of curing the default and any other action that the commission may take and shall offer remedial training and specific technical assistance regarding the default.

(2) If a state in default fails to cure the default, the defaulting state may be terminated from this compact upon an affirmative vote of a majority of the delegates of the participating states, and all rights, privileges and benefits conferred by this compact upon such state may be terminated on the effective date of termination. A cure of the default does not relieve the offending state of obligations or liabilities incurred during the period of default.

(3) Termination of participation in this compact shall be imposed only after all other means of securing compliance have been exhausted. Notice of intent to suspend or terminate shall be given by the commission to the governor, the majority and minority leaders of the defaulting state's legislature, and to the licensing board(s) of each of the participating states.

(4) A state that has been terminated is responsible for all assessments, obligations, and liabilities incurred through the effective date of termination, including obligations that extend beyond the effective date of termination.

(5) The commission shall not bear any costs related to a state that is found to be in default or that has been terminated from this compact, unless agreed upon in writing between the commission and the defaulting state.

(6) The defaulting state may appeal its termination from the compact by the commission by petitioning the United States District Court for the District of Columbia or the federal district where the commission has its principal offices. The prevailing member shall be awarded all costs of such litigation, including reasonable attorney's fees.

(7) Upon the termination of a state's participation in the compact, the state shall immediately provide notice to all licensees within that state of such termination:

(i) Licensees who have been granted a compact privilege in that state shall retain the compact privilege for one hundred eighty (180) days following the effective date of such termination.

(ii) Licensees who are licensed in that state who have been granted a compact privilege in a participating state shall retain the compact privilege for one hundred eighty (180) days unless the licensee also has a qualifying license in a participating state or obtains a qualifying license in a participating state before the one hundred eighty (180) day-period ends, in which case the compact privilege shall continue.

(c) Dispute resolution.

(1) Upon request by a participating state, the commission shall attempt to resolve disputes related to this compact that arise among participating states and between participating and non participating states.

(2) The commission shall promulgate a rule providing for both mediation and binding dispute resolution for disputes as appropriate.

(d) Enforcement.

(1) The commission, in the reasonable exercise of its discretion, shall enforce the provisions of this compact and rules of the commission.

(2) If compliance is not secured after all means to secure compliance have been exhausted, by majority vote, the commission may initiate legal action in the United States District Court for the District of Columbia or the federal district where the commission has its principal offices, against a participating state in default to enforce compliance with the provisions of this compact and the commission's promulgated rules and bylaws. The relief sought may include both injunctive relief and damages. In the event judicial enforcement is necessary, the prevailing party shall be awarded all costs of such litigation, including reasonable attorney's fees.

(3) The remedies herein shall not be the exclusive remedies of the commission. The commission may pursue any other remedies available under federal or state law.

(e) Legal action against the commission.

(1) A participating state may initiate legal action against the commission in the United States District Court for the District of Columbia or the federal district where the commission has its principal offices to enforce compliance with the provisions of the compact and its rules. The relief sought may include both injunctive relief and damages. In the event judicial enforcement is necessary, the prevailing party shall be awarded all costs of such litigation, including reasonable attorney's fees.

(2) No person other than a participating state shall enforce this compact against the commission.

5-54.1-12. Date of implementation of the PA licensure compact commission.

(a) This compact shall come into effect on the date on which this compact statute is enacted into law in the seventh participating state.

(1) On or after the effective date of the compact, the commission shall convene and review

the enactment of each of the states that enacted the compact prior to the commission convening ("charter participating states") to determine if the statute enacted by each such charter participating state is materially different than the model compact.

(i) A charter participating state whose enactment is found to be materially different from the model compact shall be entitled to the default process set forth in § 5-54.1-10(b).

(ii) If any participating state later withdraws from the compact or its participation is terminated, the commission shall remain in existence and the compact shall remain in effect even if the number of participating states should be less than seven (7). Participating states enacting the compact subsequent to the commission convening shall be subject to the process set forth in § 5-54.1-7(c)(21) to determine if their enactments are materially different from the model compact and whether they qualify for participation in the compact.

(2) Participating states enacting the compact subsequent to the seven (7) initial charter participating states shall be subject to the process set forth in section § 5-54.1-7(c)(21) to determine if their enactments are materially different from the model compact and whether they qualify for participation in the compact.

3) All actions taken for the benefit of the commission or in furtherance of the purposes of the administration of the compact prior to the effective date of the compact or the commission coming into existence shall be considered to be actions of the commission unless specifically repudiated by the commission.

(b) Any state that joins this compact shall be subject to the commission's rules and bylaws as they exist on the date on which this compact becomes law in that state. Any rule that has been previously adopted by the commission shall have the full force and effect of law on the day this compact becomes law in that state.

(c) Any participating state may withdraw from this compact by enacting a statute repealing the same.

(1) A participating state's withdrawal shall not take effect until one hundred eighty (180) days after enactment of the repealing statute. During this one hundred eighty (180) day-period, all compact privileges that were in effect in the withdrawing state and were granted to licensees licensed in the withdrawing state shall remain in effect. If any licensee licensed in the withdrawing state is also licensed in another participating state or obtains a license in another participating state within the one hundred eighty (180) days, the licensee's compact privileges in other participating states shall not be affected by the passage of the one hundred eighty (180) days.

(2) Withdrawal shall not affect the continuing requirement of the state licensing board(s) of the withdrawing state to comply with the investigative, and adverse action reporting

requirements of this compact prior to the effective date of withdrawal.

(3) Upon the enactment of a statute withdrawing a state from this compact, the state shall immediately provide notice of such withdrawal to all Licensees within that State. Such withdrawing State shall continue to recognize all licenses granted pursuant to this compact for a minimum of one hundred eighty (180) days after the date of such notice of withdrawal.

(d) Nothing contained in this compact shall be construed to invalidate or prevent any PA licensure agreement or other cooperative arrangement between participating states and between a participating state and non-participating state that does not conflict with the provisions of this compact.

(e) This compact may be amended by the participating states. No amendment to this compact shall become effective and binding upon any participating state until it is enacted materially in the same manner into the laws of all participating states as determined by the commission.

5-54.1-13. Construction and severability.

(a) This compact and the commission's rulemaking authority shall be liberally construed so as to effectuate the purposes, and the implementation and administration of the compact. Provisions of the compact expressly authorizing or requiring the promulgation of rules shall not be construed to limit the commission's rulemaking authority solely for those purposes.

(b) The provisions of this compact shall be severable and if any phrase, clause, sentence or provision of this compact is held by a court of competent jurisdiction to be contrary to the constitution of any participating state, a state seeking participation in the compact, or of the United States, or the applicability thereof to any government, agency, person or circumstance is held to be unconstitutional by a court of competent jurisdiction, the validity of the remainder of this compact and the applicability thereof to any other government, agency, person or circumstance shall not be affected thereby.

(c) Notwithstanding subsection (b) of this section, the commission may deny a state's participation in the compact or, in accordance with the requirements of § 5-54.1-10(b), terminate a participating state's participation in the compact, if it determines that a constitutional requirement of a participating state is, or would be with respect to a state seeking to participate in the compact, a material departure from the compact. Otherwise, if this compact shall be held to be contrary to the constitution of any participating state, the compact shall remain in full force and effect as to the remaining participating states and in full force and effect as to the participating state affected as to all severable matters.

5-54.1-14. Binding effect of compact.

(a) Nothing herein prevents the enforcement of any other law of a participating state that is not inconsistent with this compact.

(b) Any laws in a participating state in conflict with this compact are superseded to the extent of the conflict.

(c) All agreements between the commission and the participating states are binding in accordance with their terms.

5-54.1-14.1. Confidentiality of National Criminal Records Checks.

(a) State and federal criminal history record information of an applicant for a PA license may be used by the department of health or the board of licensure of physician assistants for the purpose of screening the applicant.

b) State and federal criminal history record information of a licensed PA seeking an initial compact privilege may be used by the department of health or the board of licensure of physician assistants for the purpose of taking disciplinary action against the licensee.

(c) State and federal criminal history records information received by the Rhode Island department of health or the board of licensure of physician assistants shall not be disseminated to the Physician Assistant Licensure Compact Commission established under section 5-54.1-7 of this chapter.

SECTION 7. Chapter 5-91 of the General Laws entitled "Interstate Medical Licensure Compact" is hereby amended by adding thereto the following section:

5-91-26. Confidentiality of criminal history records information.

(a) State and federal criminal history records information received by the Rhode Island department of health or the board of licensure of medical licensure and discipline shall not be disseminated to the Interstate Medical Licensure Compact established under § 5-91-11 of this chapter.

SECTION 8. Section 23-1-46.1 of the General Laws in Chapter 23-1 entitled "Department of Health" is hereby repealed.

~~**23-1-46.1. Psychiatry resource network account. [See Compiler's Note.]**~~

~~(a) There is created within the general fund a restricted receipt account to be known as the "PRN account." All money in the account shall be utilized by the department of health to effectuate coverage for the following services: Existing Rhode Island lines including the PediPRN and MomsPRN information lines together with any additional information line, referral service, or hotline which is available to providers or residents in the state, and which is funded pursuant to regulation adopted by the director of the department of health. Amounts collected pursuant to § 42-7.4-3(a)(1)(iv) shall be deposited in the "PRN account." The funds shall be used solely for the~~

~~purposes of the "PRN account," and no other.~~

~~(b) Each year's psychiatry resource network funding requirement in § 42-7.4-3(a)(1)(iv) shall be the amount:~~

~~(1) Projected by the department of health for the services in subsection (a) of this section; plus~~

~~(2) A ten percent (10%) contingency for unexpected expenses; and after~~

~~(3) Deduction for any projected carryover of excess funds from prior assessments.~~

~~(c) The department of health shall submit to the general assembly an annual report on the program and costs related to the program, on or before February 1 of each year. The department shall make available to each insurer required to make a contribution pursuant to § 42-7.4-3, upon its request, detailed information regarding the programs described in subsection (a) of this section and the costs related to those programs.~~

~~(d) The "PRN account" shall be exempt from the indirect costs recovery provisions of § 35-4-27.~~

SECTION 9. Chapter 23-1 of the General Laws entitled "Department of Health" is hereby amended by adding thereto the following section:

23-1-46.2. Psychiatry resource network programs.

(a) The department of health shall manage any and all funds available to effectuate coverage for the following services: Existing Rhode Island PediPRN and MomsPRN teleconsultation information lines which are available to support pediatric, primary care, perinatal, and other service providers in the state in providing appropriate and timely mental health care and referrals to children perinatal patients, and mothers with mental health concerns.

SECTION 10. Sections 23-15-2, 23-15-4, 23-15-4.1, 23-15-4.2, 23-15-4.4, 23-15-5, 23-15-6, 23-15-6.1, 23-15-10 and 23-15-11 of the General Laws in Chapter 23-15 entitled "Determination of Need for New Healthcare Equipment and New Institutional Health Services" are hereby amended to read as follows:

23-15-2. Definitions.

As used in this chapter:

(1) "Accessible or accessibility" means the ability of underserved populations to access healthcare and as may be further defined in rules and regulations promulgated by the Rhode Island state department of health

~~(1)~~(2) "Affected person" means and includes the ~~person whose proposal is being reviewed, or the~~ applicant, ~~healthcare facilities located within the state that provide institutional health services,~~ the state medical society, the state osteopathic society, those voluntary nonprofit area-wide planning agencies that may be established in the state, ~~the state budget office, the office of health insurance commissioner,~~ any hospital or medical service corporation organized under the laws of the state, ~~the statewide health coordinating council, contiguous health-systems agencies,~~ and those members of the public who are to be served by the proposed, new institutional health services or new healthcare equipment.

(3) "Affordable" means the relative ability of the people of the state to pay for, or incur, the cost, resulting from the proposed determination of need and as may be further defined in rules and regulations promulgated by the Rhode Island state department of health.

(4) "Applicant" means the person who has submitted a request for a certificate of need review and approval in accordance with this chapter.

(5) "Capital expenditure" means the total non-recurring expenditures for physical improvements and the acquisition of existing buildings, land, and/or interests in land, including costs associated therewith in excess of fifty million dollars ($50,000,000) and as may be further defined in rules and regulations promulgated by the department. Further, beginning on July 1, 2026, and each July 1 thereafter, the amount of the threshold shall be adjusted by the percentage increase in the consumer price index for all urban consumers (CPI-U) as published by the United States Department of Labor Statistics as of September 30 of the prior calendar year. Expenditures related to electronic health and management information systems shall not be considered capital expenditures for the purposes of this chapter.

~~(2) "Cost-impact analysis" means a written analysis of the effect that a proposal to offer or develop new institutional health services or new healthcare equipment, if approved, will have on healthcare costs and shall include any detail that may be prescribed by the state agency in rules and regulations.~~

(6) "Department" means the Rhode Island department of health.

~~(3)~~(7) "Director" means the director of the Rhode Island state department of health.

~~(4)~~(8)(i) "Healthcare facility" means ~~any institutional health-service provider, facility or institution, place, building, agency, or portion of them, whether a partnership or corporation, whether public or private, whether organized for profit or not, used, operated, or engaged in providing healthcare services that are limited to~~ hospitals (except with respect to hospitals whose services are limited exclusively to behavioral health), nursing facilities, ~~home nursing-care provider, home-care provider,~~ hospice provider, inpatient rehabilitation hospital centers ~~(including drug and/or alcohol abuse treatment centers)~~, freestanding emergency-care facilities as defined in § 23-17-2~~, certain facilities providing surgical treatment to patients not requiring hospitalization (surgi-centers, multi-practice, physician ambulatory-surgery centers and multi-practice, podiatry~~

~~ambulatory surgery centers), and facilities providing inpatient hospice care. Single-practice physician or podiatry ambulatory surgery centers (as defined in § 23-17-2(17), (18), respectively) are exempt from the requirements of chapter 15 of this title; provided, however, that such exemption shall not apply if a single-practice physician or podiatry ambulatory surgery center is established by a medical practice group (as defined in § 5-37-1) within two (2) years following the formation of such medical practice group, when such medical practice group is formed by the merger or consolidation of two (2) or more medical practice groups or the acquisition of one medical practice group by another medical practice group.~~ Medical spas as defined in chapter 105 of this title are exempt from the requirements of this chapter. The term "healthcare facility" does not include Christian Science institutions (also known as Christian Science nursing facilities) listed and certified by the Commission for Accreditation of Christian Science Nursing Organizations/Facilities, Inc.

(ii) Any provider of hospice care who provides hospice care without charge shall be exempt from the provisions of this chapter.

~~(5)~~(9) "Healthcare provider" means a person who is a direct provider of healthcare services (including but not limited to licensed physicians, dentists, nurses, podiatrists, physician assistants, or nurse practitioners) ~~in that~~ where the person's ~~primary~~ current activity is the provision of healthcare services for persons.

~~(6)~~(10) "Health services" means organized program components for preventive, assessment, maintenance, diagnostic, treatment, and rehabilitative services provided in a healthcare facility.

~~(7)~~(11) "Health services council" means the advisory body to the Rhode Island state department of health established in accordance with chapter ~~17 of this title~~ 13.1 of title 17, appointed and empowered as provided to serve as the advisory body to the ~~state agency~~ department in its review functions under this chapter.

(12) "Innovation" means the potential of the proposal to demonstrate or provide one or more innovative approaches of methods for attaining a more cost effective and/or efficient healthcare system as may be further defined in rules and regulations promulgated by the department.

~~(8)~~(13) "Institutional health services" means health services provided in or through healthcare facilities and includes the entities in or through ~~that the~~ which such services are provided.

~~(9) "New healthcare equipment" means any single piece of medical equipment (and any components that constitute operational components of the piece of medical equipment) proposed to be utilized in conjunction with the provision of services to patients or the public, the capital costs~~

~~of which would exceed two million two hundred fifty thousand dollars ($2,250,000); provided, however, that the state agency shall exempt from review any application that proposes one-for-one equipment replacement as defined in regulation. Further, beginning July 1, 2012, and each July thereafter, the amount shall be adjusted by the percentage of increase in the consumer price index for all urban consumers (CPI-U) as published by the United States Department of Labor Statistics as of September 30 of the prior calendar year.~~

~~(10)~~(14) "New institutional health services" means and includes:

(i) Construction, development, or other establishment of a new healthcare facility.

(ii) Any capital expenditure as defined herein~~, except acquisitions of an existing healthcare facility, that will not result in a change in the services or bed capacity of the healthcare facility by, or on behalf of, an existing healthcare facility in excess of five million two hundred fifty thousand dollars ($5,250,000) which is a capital expenditure including expenditures for predevelopment activities; provided further, beginning July 1, 2012, and each July thereafter, the amount shall be adjusted by the percentage of increase in the consumer price index for all urban consumers (CPI-U) as published by the United States Department of Labor Statistics as of September 30 of the prior calendar year~~.

(iii) Where a person makes an acquisition by, or on behalf of, a healthcare facility ~~or health maintenance organization~~ under lease or comparable arrangement or through donation, which would have required review if the acquisition had been by purchase, the acquisition shall be deemed a capital expenditure subject to review.

~~(iv) Any capital expenditure that results in the addition of a health service or that changes the bed capacity of a healthcare facility with respect to which the expenditure is made, except that the state agency may exempt from review, by rules and regulations promulgated for this chapter, any bed reclassifications made to licensed nursing facilities and annual increases in licensed bed capacities of nursing facilities that do not exceed the greater of ten (10) beds or ten percent (10%) of facility licensed bed capacity and for which the related capital expenditure does not exceed two million dollars ($2,000,000).~~

~~(v) Any health service proposed to be offered to patients or the public by a healthcare facility that was not offered on a regular basis in or through the facility within the twelve-month (12) period prior to the time the service would be offered, and that increases operating expenses by more than one million five hundred thousand dollars ($1,500,000), except that the state agency may exempt from review, by rules and regulations promulgated for this chapter, any health service involving reclassification of bed capacity made to licensed nursing facilities. Further, beginning July 1, 2012, and each July thereafter, the amount shall be adjusted by the percentage of increase~~

~~in the consumer price index for all urban consumers (CPI-U) as published by the United States Department of Labor Statistics as of September 30 of the prior calendar year.~~

~~(vi)~~(iv) Any new or expanded ~~tertiary or specialty care~~ service in the following areas: cardiac catheterization, open heart surgery, organ transplantation, particle accelerator-based radiation therapy, and neonatal intensive care services.~~, regardless of capital expense or operating expense, as defined by and listed in regulation, the list not to exceed a total of twelve (12) categories of services at any one time and shall include full body magnetic resonance imaging and computerized axial tomography; provided, however, that the state agency shall exempt from review any application that proposes one-for-one equipment replacement as defined by and listed in regulation. Acquisition of full body magnetic resonance imaging and computerized axial tomography shall not require a certificate-of-need review and approval by the state agency if satisfactory evidence is provided to the state agency that it was acquired for under one million dollars ($1,000,000) on or before January 1, 2010, and was in operation on or before July 1, 2010.~~

~~(11)~~(15) "Person" means any individual, trust or estate, partnership, corporation (including associations, joint stock companies, limited liability corporations, and insurance companies), state or political subdivision, or instrumentality of a state.

~~(12) "Predevelopment activities" means expenditures for architectural designs, plans, working drawings, and specifications, site acquisition, professional consultations, preliminary plans, studies, and surveys made in preparation for the offering of a new, institutional health service.~~

~~(13) "State agency" means the Rhode Island state department of health.~~

~~(14)~~(16) "To develop" means to undertake those activities that, on their completion, will result in the offering of a new, institutional health service or new healthcare equipment or the incurring of a financial obligation, in relation to the offering of that service.

~~(15)~~(17) "To offer" means to hold oneself out as capable of providing, or as having the means for the provision of, specified health services or healthcare equipment.

23-15-4. Review and approval of new health care equipment and new institutional health services.

(a) No ~~health care provider or health care facility~~ person shall develop or offer new health care equipment or new institutional health services in Rhode Island, the magnitude of which exceeds the limits defined by this chapter, without prior review by the health services council and approval by the ~~state agency~~ department; except that review by the health services council may be waived in the case of expeditious reviews conducted in accordance with § 23-15-5~~, and except that health maintenance organizations which fulfill criteria to be established in rules and regulations~~

~~promulgated by the state agency with the advice of the health services council shall be exempted from the review and approval requirement established in this section upon approval by the state agency of an application for exemption from the review and approval requirement established in this section which contain any information that the state agency may require to determine if the health maintenance organization meets the criteria~~.

(b) No approval shall be made without an adequate demonstration of need by the applicant ~~at the time and place and under the circumstances proposed~~, nor shall the approval be made without a determination that a proposal for which need has been demonstrated is also affordable by the people of the state.

~~(c) No approval of new institutional health services for the provision of health services to inpatients shall be granted unless the written findings required in accordance with § 23-15-6(b)(6) are made.~~

~~(d)~~(c) Applications for determination of need shall be filed with the ~~state agency on a date fixed by the state agency~~ department together with plans and specifications and any other appropriate data and information that the ~~state agency~~ department shall require by regulation~~, and shall be considered in relation to each other no less than once a year~~. A duplicate copy of each application together with all supporting documentation shall be kept on file by the ~~state agency~~ department as a public record.

~~(e)~~(d) ~~The health services council shall consider, but shall not be limited to, the following in conducting reviews and determining need:~~ In its recommendations to the department, the health services council may assess criteria including, but not limited to, affordability, accessibility, innovation and quality standards, as further defined in regulations adopted by the department.

~~(1) The relationship of the proposal to state health plans that may be formulated by the state agency;~~

~~(2) The impact of approval or denial of the proposal on the future viability of the applicant and of the providers of health services to a significant proportion of the population served or proposed to be served by the applicant;~~

~~(3) The need that the population to be served by the proposed equipment or services has for the equipment or services;~~

~~(4) The availability of alternative, less costly, or more effective methods of providing services or equipment, including economies or improvements in service that could be derived from feasible cooperative or shared services;~~

~~(5) The immediate and long term financial feasibility of the proposal, as well as the probable impact of the proposal on the cost of, and charges for, health services of the applicant;~~

~~(6) The relationship of the services proposed to be provided to the existing health care system of the state;~~

~~(7) The impact of the proposal on the quality of health care in the state and in the population area to be served by the applicant;~~

~~(8) The availability of funds for capital and operating needs for the provision of the services or equipment proposed to be offered;~~

~~(9) The cost of financing the proposal including the reasonableness of the interest rate, the period of borrowing, and the equity of the applicant in the proposed new institutional health service or new equipment;~~

~~(10) The relationship, including the organizational relationship of the services or equipment proposed, to ancillary or support services;~~

~~(11) Special needs and circumstances of those entities which provide a substantial portion of their services or resources, or both, to individuals not residing within the state;~~

~~(12) Special needs of entities such as medical and other health professional schools, multidisciplinary clinics, and specialty centers; also, the special needs for and availability of osteopathic facilities and services within the state;~~

~~(13) In the case of a construction project:~~

~~(i) The costs and methods of the proposed construction,~~

~~(ii) The probable impact of the construction project reviewed on the costs of providing health services by the person proposing the construction project; and~~

~~(iii) The proposed availability and use of safe patient handling equipment in the new or renovated space to be constructed.~~

~~(14) Those appropriate considerations that may be established in rules and regulations promulgated by the state agency with the advice of the health services council;~~

~~(15) The potential of the proposal to demonstrate or provide one or more innovative approaches or methods for attaining a more cost effective and/or efficient health care system;~~

~~(16) The relationship of the proposal to the need indicated in any requests for proposals issued by the state agency;~~

~~(17) The input of the community to be served by the proposed equipment and services and the people of the neighborhoods close to the health care facility who are impacted by the proposal;~~

~~(18) The relationship of the proposal to any long-range capital improvement plan of the health care facility applicant.~~

~~(19) Cost impact statements forwarded pursuant to subsection 23-15-6(e).~~

~~(f)~~(e) In conducting its review, the health services council shall perform the following:

(1) Within one hundred and fifteen (115) days after initiating its review, which must be commenced no later than thirty-one (31) days after the filing of an application, the health services council shall ~~determine as to each proposal whether the applicant has demonstrated need at the time and place and under the circumstances proposed, and in doing so may apply the criteria and standards set forth in subsection (e) of this section; provided however, that a determination of need shall not alone be sufficient to warrant a recommendation to the state agency that a proposal should be approved.~~ Make recommendations to the department relative to approval or denial of the new institutional health services or new healthcare equipment proposed. The director shall render, in writing, his or her decision within ~~five (5)~~ ten (10) days of the determination of the health services council.

~~(2) Prior to the conclusion of its review in accordance with § 23-15-6(e), the health services council shall evaluate each proposal for which a determination of need has been established in relation to other proposals, comparing proposals with each other, whether similar or not, establishing priorities among the proposals for which need has been determined, and taking into consideration the criteria and standards relating to relative need and affordability as set forth in subsection (e) of this section and § 23-15-6(f).~~

~~(3) At the conclusion of its review, the health services council shall make recommendations to the state agency relative to approval or denial of the new institutional health services or new health care equipment proposed; provided that:~~

~~(i) The health services council shall recommend approval of only those proposals found to be affordable in accordance with the provisions of § 23-15-6(f); and~~

~~(ii) If the state agency proposes to render a decision that is contrary to the recommendation of the health services council, the state agency must render its reasons for doing so in writing.~~

~~(g)~~(f) Approval of new institutional health services or new health care equipment by the ~~state agency~~ department ~~shall be subject to conditions that may be prescribed by rules and regulations developed by the state agency with the advice of the health services council, but those conditions must relate to the considerations enumerated in subsection (e) and to considerations that may be established in regulations in accordance with subsection (e)(14).~~ may be subject to conditions as necessary to promote affordability, accessibility, innovation, and quality standards.

~~(h)~~(g) The offering or developing of new institutional health services or health care equipment by a health care facility without prior review by the health services council and approval by the ~~state agency~~ department shall be grounds for the imposition of licensure sanctions on the facility, including denial, suspension, revocation, or curtailment or for imposition of any monetary fines that may be statutorily permitted by virtue of individual health care facility licensing statutes.

~~(i)~~(h) No government agency ~~and no hospital or medical service corporation organized under the laws of the state~~ shall reimburse any ~~health care facility or health care provider~~ person for the costs associated with offering or developing new institutional health services or new health care equipment unless ~~the health care facility or health care provider~~ person has received the approval of the ~~state agency~~ department in accordance with this chapter. ~~Government agencies and hospital and medical service corporations organized under the laws of the state shall, during budget negotiations, hold health care facilities and health care providers accountable to operating efficiencies claimed or projected in proposals which receive the approval of the state agency in accordance with this chapter.~~

~~(j)~~(i) In addition, the ~~state agency~~ department shall not make grants to, enter into contracts with, or recommend approval of the use of federal or state funds by any ~~health care facility or health care provider~~ person which proceeds with the offering or developing of new institutional health services or new health care equipment after disapproval by the ~~state agency~~ department.

23-15-4.1. Exemption for nonclinical capital expenditures.

Notwithstanding the requirements of any other provisions of any general or public laws, capital expenditures by a health care facility that are not directly related to the provision of health services as defined in this chapter~~, including, but not limited to, capital expenditures for parking lots, billing computer systems, and telephone systems,~~ shall not require a certificate of need review and approval by the state agency.

23-15-4.2. Exemption for research.

Notwithstanding the requirements of any other provisions of any general or public laws, capital expenditures by a health care facility related to research in basic biomedical or medical research areas that are not directly related to the provision of clinical or patient care services shall not require a certificate of need review and approval by the ~~state agency~~ department.

23-15-4.4. ~~Exemption for voter approved capital bond issues for health care facilities~~ Exemption for voter approved capital bond issues and state capital plan projects for health care facilities.

Notwithstanding the requirements of any other provisions of any general law or public laws, voter approved state bond issues authorizing capital expenditures for state health care facilities and all Rhode Island capital plan fund projects approved by the general assembly shall not require a certificate of need review and approval by the ~~state agency~~ department.

23-15-5. Expeditious review.

(a) Any person who proposes to offer or develop new institutional health services or new healthcare equipment for documented emergency needs; or for the purpose of eliminating or preventing documented fire or safety hazards affecting the lives and health of patients or staff; or for compliance with accreditation standards required for receipt of federal or state reimbursement; or for any other purpose ~~that the state agency may specify~~ <u>as may be further defined</u> in rules and regulations <u>promulgated by the department</u>, may apply for an expeditious review. The ~~state agency~~ <u>department</u> may exercise its discretion in recommending approvals through an expeditious review~~, except that no new institutional health service or new healthcare equipment may be approved through the expeditious review if provision of the new institutional health service or new healthcare equipment is contra-indicated by the state health plan as may be formulated by the state agency~~. Specific procedures for the conduct of expeditious reviews shall be promulgated in rules and regulations adopted by the ~~state agency~~ <u>department</u> with the advice of the health services council.

~~(b) The decision of the state agency not to conduct an expeditious review shall be reconsidered upon a written petition to the state agency, and the state agency shall be required to respond to the written petition within ten (10) days stating whether expeditious review is granted. If the request for reconsideration is denied, the state agency shall state the reasons in writing why the expeditious request had been denied.~~

~~(c) The decision of the state agency in connection with an expeditious review shall be rendered within thirty (30) days after the commencement of said review.~~

~~(d) Any healthcare facility that provides a service performed in another state and that is not performed in the state of Rhode Island, or such service is performed in the state on a very limited basis, shall be granted expeditious review upon request under this section, provided that such service, among other things, has a clear effect on the timeliness, access, or quality of care and is able to meet licensing standards.~~

<u>23-15-6. Procedures for review.</u>

(a) The ~~state agency~~ <u>department</u>, with the advice of the health services council, and in accordance with the Administrative Procedures Act, chapter 35 of title 42, after public hearing pursuant to reasonable notice, which notice shall include affected persons <u>and healthcare facilities located within the state that provide institutional health services</u>, shall promulgate appropriate rules and regulations that may be designated to further the accomplishment of the purposes of this chapter including the formulation of procedures that may be particularly necessary for the conduct ~~on~~ <u>of</u> reviews of particular types of new institutional health services or new health care equipment.

(b) Review procedures promulgated in accordance with subsection (a) shall include at least the following, except that substitute procedures for the conduct of expeditious ~~and accelerated~~ reviews may be promulgated by the ~~state agency~~ <u>department</u> in accordance with § 23-15-5:

(1) Provision that the ~~state agency~~ <u>department</u> established a process requiring potential

applicants to file a detailed letter of intent to submit an application at least forty-five (45) days prior to the submission of an application and that the state agency shall undertake reviews in a timely fashion ~~no less often than twice a year~~ and give written notification to affected persons of the beginning of the review including the proposed schedule for the review~~, the period within which a public meeting may be held, and the manner by which notification will be provided of the time and place of any public meeting so held~~.

~~(2) Provision that no more than one hundred and twenty (120) days shall elapse between initial notification of affected persons and the final decision of the state agency.~~

~~(3)~~(2) Provision that, if the ~~state agency~~ department fails to act upon an application within the applicable period established in ~~subsection (b)(2)~~ § 23-15-4(e)(1), the applicant may apply to the superior court of Providence County to require the ~~state agency~~ department to act upon the application.

~~(4)~~(3) Provision for review ~~and comment~~ by the health services council and comment by any affected person~~, including but not limited to those parties defined in § 23-15-2(1) and the department of business regulation, the department of behavioral healthcare, developmental disabilities and hospitals, the department of human services, health maintenance organizations,~~ and the state professional standards review organization, on every application for the determination of need.

~~(5) Provision that a public meeting may be held during the course of the state agency review at which any person may have the opportunity to present testimony. Procedures for the conduct of the public meeting shall be established in rules and regulations promulgated by the state agency with the advice of the health services council.~~

~~(6)~~(4)(i) Provision for issuance of a written decision by the ~~state agency~~ department which shall ~~be based upon~~ address and consider the findings and recommendations of the health services council ~~unless the state agency shall afford written justification for variance from that decision~~.

(ii) In the case of any proposed new institutional health service for the provision of health services to inpatients, a state agency shall not make a finding that the proposed new institutional health service is needed, unless it makes written ~~findings~~ recommendations as to:

(A) The efficiency and appropriateness of the use of existing inpatient facilities providing inpatient services similar to those proposed;

(B) The capital and operating costs (and their potential impact on patient charges), efficiency, and appropriateness of the proposed new institutional health services; and

~~(C) Makes each of the following findings in writing:~~

~~(I) That superior alternatives to inpatient services in terms of cost, efficiency, and~~

~~appropriateness do not exist and that the development of alternatives is not practicable;~~

~~(II) That, in the case of new construction, alternatives to new construction (e.g., modernization or sharing arrangements) have been considered and implemented to the maximum extent practicable;~~

~~(III) That patients will experience serious problems in terms of costs, availability, or accessibility, or any other problems that may be identified by the state agency, in obtaining inpatient care of the type proposed in the absence of the proposed new service; and~~

~~(IV) That, in the case of a proposal for the addition of beds for the provision of skilled nursing or intermediate care, the relationship of the addition to the plans of other agencies of the state responsible for providing and financing long-term care (including home health services) has been considered.~~

~~(7)~~(5) Provision for the distribution of the decision of the ~~state agency~~ department, including its findings and recommendations, to the applicant and to affected persons.

~~(8)~~(6) Provision that the ~~state agency~~ department may approve or disapprove in whole or in part any application as submitted, but that the parties may mutually agree to a modification of any element of an application as submitted, without requiring resubmission of the application.

~~(9)~~(7)(i) ~~Provision that any person affected may request in writing reconsideration of a state agency decision if the person:~~

~~(A) Presents significant relevant information not previously considered by the state agency;~~

~~(B) Demonstrates that there have been significant changes in factors or circumstances relied upon by the state agency in reaching its decision;~~

~~(C) Demonstrates that the state agency has materially failed to follow its adopted procedures in reaching its decision; or~~

~~(D) Provides any other basis for reconsideration that the state agency may have determined by regulation to constitute good cause.~~

~~(ii)~~ Procedures for reconsideration shall be established in regulations promulgated by the ~~state agency~~ department with the advice of the health services council.

~~(10)~~(8) ~~Provision that upon the request of any affected person, the decision of the state agency to issue, deny, or withdraw a certificate of need or to grant or deny an exemption shall be administratively reviewed under an appeals mechanism provided for in the rules and regulations of the state agency, with the review to be conducted by a hearing officer appointed by the director of health. The procedures for judicial review shall be in accordance with the provisions of § 42-35-15.~~ Provision for appeal by the applicant of the department's decision in accordance with § 42-35-15.1(a).

(c) The ~~state agency~~ department shall publish at least annually a report of reviews of new institutional health services and new health care equipment conducted, together with the findings and decisions rendered in the course of the reviews. ~~The reports shall be published on or about February 1 of each year and shall contain evaluations of the prior year's statutory changes where feasible.~~

(d) All applications reviewed by the ~~state agency~~ department and all written materials pertinent to ~~state agency~~ the department's review, including minutes of all health services council meetings, shall be accessible to the public upon request.

~~(e) In the case or review of proposals by health care facilities who by contractual agreement, chapter 19 of title 27, or other statute are required to adhere to an annual schedule of budget or reimbursement determination to which the state is a party, the state budget office, the office of the health insurance commissioner, and hospital service corporations organized under chapter 19 of title 27 shall forward to the health services council within forty-five (45) days of the initiation of the review of the proposals by the health services council under § 23-15-4(f)(1):~~

~~(1) A cost impact analysis of each proposal which analysis shall include, but not be limited to, consideration of increases in operating expenses, per diem rates, health care insurance premiums, and public expenditures; and~~

~~(2) Comments on acceptable interest rates and minimum equity contributions and/or maximum debt to be incurred in financing needed proposals.~~

~~(f) The health services council shall not make a recommendation to the state agency that a proposal be approved unless it is found that the proposal is affordable to the people of the state. In determining whether or not a proposal is affordable, the health service council shall consider the condition of the state's economy, the statements of authorities and/or parties affected by the proposals, and any other factors that it may deem appropriate.~~

23-15-6.1. Action subsequent to review.

Development of any new institutional health services or new health care equipment approved by the ~~state agency~~ department must be initiated within ~~one year~~ two (2) years of the date of the approval ~~and may not exceed the maximum amount of capital expenditures specified in the decision of the state agency without prior authorization of the state agency~~. The ~~state agency~~ department, with the advice of the health services council, shall ~~adopt procedures~~ promulgate rules and regulations for the review of the applicant's failure to develop new institutional health services or new health care equipment within the timeframe ~~and capital limitation~~ stipulated in this section, and for the withdrawal of approval in the absence of a good faith effort to meet the stipulated timeframe.

23-15-10. Application fees.

The ~~state agency~~ department shall require that any applicant for certificate of need submit an application fee prior to requesting any review of matters pursuant to the requirements of this chapter; except that health care facilities and equipment owned and operated by the state of Rhode Island shall be exempt from this application fee requirement. The application fee shall be paid by check made payable to the general treasurer. Except for applications that propose new or expanded ~~tertiary or specialty care~~ services as defined in ~~subdivision 23-15-2(10)(vi)~~ § 23-15-2(14)(iv), submission of any application filed in accordance with § 23-15-4(d) shall include an application fee of five hundred dollars ($500) per application plus an amount equal to one quarter of one percent (0.25%) of the total capital expenditure costs associated with the application. ~~For an application filed in accordance with the requirements of § 23-15-5 (Expeditious review), the application shall include an application processing fee of seven hundred and fifty dollars ($750) per application plus an amount equal to one quarter of one percent (0.25%) of the total capital expenditure costs associated with the application.~~ Applications that propose new or expanded tertiary or specialty care services as defined in ~~subdivision 23-15-2(10)(vi)~~ § 23-15-2(14)(iv), shall include an application fee of ten thousand dollars ($10,000) plus an amount equal to one quarter of one percent (0.25%) of the total capital expenditure costs associated with the application. Application fees shall be non-refundable once the formal review of the application has commenced. All fees received pursuant to this chapter shall be deposited in the general fund.

23-15-11. Reports, use of experts, all costs and expenses.

The ~~state agency~~ department may in effectuating the purposes of this chapter engage experts or consultants including, but not limited to, actuaries, investment bankers, accountants, attorneys, or industry analysts. Except for privileged or confidential communications between the ~~state agency~~ department and engaged attorneys, all copies of final reports prepared by experts and consultants, and all costs and expenses associated with the reports, shall be public. All costs and expenses incurred under this provision shall be the responsibility of the applicant in an amount to be determined by the director as he or she shall deem appropriate. No application made pursuant to the requirements of this chapter shall be considered complete unless an agreement has been executed with the director for the payment of all costs and expenses in accordance with this section. The maximum cost and expense to an applicant for experts and/or consultants that may be required by the ~~state agency~~ department shall be ~~twenty thousand dollars ($20,000)~~ fifty thousand dollars ($50,000); provided however, that the maximum amount shall be increased ~~by regulations promulgated by the state agency on or after January 1, 2008~~ annually by the most recently available annual increase in the federal consumer price index as determined by the ~~state agency~~ department.

SECTION 11. Legislative findings. The general assembly finds and declares that:

(1) Birthing centers, including freestanding centers and hospital-operated birthing units, play a critical role in ensuring safe, timely, and equitable access to maternal, perinatal, and newborn care across Rhode Island.

(2) The closure or reduction of birthing centers has significant consequences for maternal morbidity and mortality, newborn outcomes, emergency transport times, and regional healthcare capacity.

(3) Rhode Island law does not require sufficient advance notice, public transparency, or rigorous financial review before a birthing center is closed or its operations are significantly reduced.

(4) Given ongoing consolidation within regional healthcare systems, it is essential that the state receive complete and accurate financial information, including system-level data, to determine whether a birthing center's closure is truly unavoidable.

(5) It is in the public interest to establish a strong review process requiring advance notice, robust financial disclosure, community engagement, and independent analysis to protect Rhode Island families, particularly in underserved and high-risk communities.

SECTION 12. Chapter 23-17.14 of the General Laws entitled "The Hospital Conversions Act" is hereby amended by adding thereto the following section:

23-17.14-18.1. The Rhode Island birthing center access, transparency, and financial accountability act of 2026.

(a) For purposes of this section:

(1) "Applicant" means the birthing center submitting an application pursuant to subsection (d) of this section.

(2) "Birthing center" means any freestanding birthing center licensed under chapter 17 of title 23, and any birthing unit, maternity unit, perinatal unit, or labor-and-delivery service operated by a hospital or healthcare facility.

(3) "Closure" means the permanent cessation of all birthing services at a birthing center.

(4) "Closure application" means the application required by subsection (d) of this section.

(5) "Discontinuation of services" means the cessation of any prenatal, perinatal, postpartum, or birthing-related service or program offered by a birthing center without complete closure of the facility.

(6) "Significant reduction" or "significantly reduced" means:

(i) A reduction of twenty-five percent (25%) or more in capacity or annual volume;

(ii) A reduction in operating hours by twenty-five percent (25%) or more;

(iii) Elimination of labor, delivery, or postpartum services; or

(iv) Any relocation of birthing-related services outside the municipality in which the service is currently located.

(b) No birthing center shall be closed, terminated, relocated, or significantly reduced without the prior written approval of the director of the department of health.

(c) A facility proposing closure or significant reduction of a birthing center shall file a closure application with the director of the department of health no fewer than one hundred eighty (180) days prior to the proposed effective closure date. Notice shall also be provided to:

(1) The city or town council within the municipality in which the birthing center is located;

(2) The birthing center's patients and personnel;

(3) The patient advocacy groups within the state that support maternal and child health;

(4) All local EMS agencies;

(5) Local and state media outlets by written publication; and

(6) The speaker of the house and the president of the senate.

(d) Prior to the discontinuation or significant reduction of services at a birthing center, its controlling officers shall provide a closure application to the director of the department of health, the contents of which shall be a considered public record and posted on the department of health's website. The closure application shall include:

(1) An access impact assessment that details:

(i) The number of beds within the impacted birthing unit;

(ii) The number of existing patients within the impacted birthing unit;

(iii) The number of employees and staff within the impacted birthing unit;

(iv) Affected healthcare services for traditionally underserved populations;

(v) Affected healthcare services for the affected community; and

(vi) Other licensed birthing centers in the affected community and the distance of those facilities to the applicant's birthing center.

(2) A detailed evaluation of:

(i) Annual deliveries, prenatal visits, postpartum care, and newborn services;

(ii) Impact on high-risk pregnancies, low-income families, and Medicaid members;

(iii) EMS transport impacts; and

(iv) Projected changes in maternal morbidity and newborn outcomes.

(3) A patient transition plan, including:

(i) Protocols for laboring patient transfers;

(ii) EMS and hospital coordination;

(iii) Continuity plans for prenatal patients beyond twenty (20) weeks gestation;

(iv) Transfer agreements with receiving hospitals or birthing centers; and

(v) Protocols for the storage of and access to medical records.

(4) Workforce plan, including detailed descriptions of:

(i) Staffing levels;

(ii) Proposed layoff or reassignment plans; and

(iii) Transition plans for licensed midwives, doulas, nurses, and obstetric clinicians.

(5) Financial justification, certified by a certified public accountant, including:

(i) Five (5) years of audited financial statements for the birthing center and operating hospital, if applicable, parent health system, and all controlled affiliates, subsidiaries, and management entities;

(ii) Detailed service-level financials, including, revenues, expenses, and margins, volume trends, overhead allocation methodology, and documentation of any staffing cuts, resource reductions, or underinvestment contributing to financial decline;

(iii) Five (5) year forward projection, including, break-even analyses, capital investment needs, labor costs, and sensitivity analyses for multiple scenarios; and

(iv) Parent system financial capacity review, including, reserves and unrestricted funds, cash on hand, investments and endowment holdings, executive compensation, and intercompany transfers or management fees.

(6) Comparative analysis of at least three (3) alternatives to closure including, but not limited to, shared staffing models, partnerships with community providers or regional systems, cross-subsidization by the parent system, and/or redesign or modernization; and

(7) The applicant's controlling officers shall certify that neither the birthing center nor parent system engaged in actions that materially contributed to financial instability including, but not limited to, understaffing, reduction of capital investment, curtailment of marketing or referral pathways, diversion of patients, and/or failure to pursue available external funding.

(e) The director of the department of health shall deny a closure application that fails to satisfy the requirements of this section.

(f) An independent expert, selected by the department of health and paid for by the applicant, shall evaluate sustainability, feasible restructuring alternatives, and pathways to avoid closure or significant reduction of services.

(g)(1) Within sixty (60) days of receiving the notice required by subsection (c) of this section, the director of the department of health shall hold a public hearing. The applicant's controlling officers shall attend the public hearing and members of the public shall be permitted to participate and offer testimony; the director of the department of health shall provide twenty-one (21) days written notice on the department of health's website of the date, time, and location of the public hearing.

(2) Within thirty (30) days of receiving a closure application that satisfies the requirements of subsection (d) of this section, the director of the department of health shall hold a public hearing. The applicant's controlling officers shall attend the public hearing and members of the public shall be permitted to participate and offer testimony; the director of the department of health shall provide twenty-one (21) days written notice on the department of health's website of the date, time, and location of the public hearing.

(h) The director of the department of health shall not approve an application submitted pursuant to subsection (d) of this section unless the applicant demonstrates, by clear and convincing evidence, that:

(1) The birthing center cannot reasonably be sustained through restructuring, alternative staffing models, or system-level financial support;

(2) No feasible alternatives exist that would maintain safe and accessible birthing services;

(3) Closure shall not exacerbate maternal, newborn, racial, economic, or geographic disparities; and

(4) Adequate, timely, and safe birthing access shall remain for the affected population.

(i) Notwithstanding any other provision in the general laws, the director of the department of health shall have the sole authority to review all applications submitted under this section and shall issue a written decision within ninety (90) days of the public hearing that follows the applicant's submission of the completed closure application. The decision of the director of the department of health shall approve, deny, or approve with conditions, the closure application.

(j) The department of health shall not amend a facility license issued pursuant to chapter 17 of title 23 to remove a birthing center unless the requirements of this section have been fulfilled.

(k) Failure to comply with the requirements of this section shall subject the entity required to comply with the provisions of this section to civil penalties not to exceed twenty-five thousand dollars ($25,000) per violation. Each day of noncompliance shall constitute a separate violation.

(l) The department of health shall adopt rules and regulations to implement and enforce the provisions of this section.

SECTION 13. Title 27 of the General Laws entitled "INSURANCE" is hereby amended by adding thereto the following chapter:

CHAPTER 84

PHARMACY BENEFIT MANAGER TRANSPARENCY REPORTING AND STUDY ACT

27-84-1. Short title.

This chapter shall be known and may be cited as the "Pharmacy Benefit Manager Transparency Reporting and Study Act."

27-84-2. Definitions.

As used in this chapter:

(1) "Aggregate retained rebate percentage" means the percentage of all rebates received from a manufacturer or other entity to a pharmacy benefit manager for prescription drug utilization which is not passed on to the pharmacy benefit manager's health carrier clients. The percentage shall be calculated for each health carrier for rebates in the prior calendar years as follows:

(i) The sum total dollar amount of rebates received from all pharmaceutical manufacturers for all utilization of covered persons of a health carrier that was not passed through to the health carrier;

(ii) Divided by the sum total dollar amount of all rebates received from all pharmaceutical manufacturers for covered persons of a health carrier.

(2) "Health benefit plan" means a policy, contract, certificate or agreement offered or issued by a health carrier to provide, deliver, arrange for, pay for or reimburse any of the costs of healthcare services.

(3) "Health carrier" means an entity subject to the insurance laws and regulations of this state, or subject to the jurisdiction of the health insurance commissioner, that contracts or offers to contract, or enters into an agreement to provide, deliver, arrange for, pay for, or reimburse any of the cost of healthcare services, including a health insurance company, a health maintenance organization, a hospital and health services corporation, or any other entity providing a plan of health insurance, health benefits or healthcare services.

(4) "Pharmacy benefit manager" means a person, business, or other entity that, pursuant to a contract or under an employment relationship with a health carrier, a self-insurance plan, or other third-party payer, either directly or through an intermediary, manages the prescription drug coverage provided by the health carrier, self-insurance plan, or other third-party payer including, but not limited to, the processing and payment of claims for prescription drugs, the performance of drug utilization review, the processing of drug prior authorization requests, the adjudication of appeals or grievances related to prescription drug coverage contracting with network pharmacies, and controlling the cost of covered prescription drugs.

(5) "Rebates" means all price concessions paid by a manufacturer to a pharmacy benefit manager or health carrier, including rebates, discounts, and other price concessions that are based on actual or estimated utilization of a prescription drug. Rebates also include price concessions

based on the effectiveness of a drug as in a value-based or performance-based contract.

(6) "Spread pricing" means any amount charged or claimed by a pharmacy benefit manager to a health carrier that is in excess of the amount the pharmacy benefit manager paid to the pharmacy that filled the prescription.

(7) "Trade secrets" has the meaning found in § 6-41-1.

27-84-3. Pharmacy benefit manager transparency.

(a) Beginning March 1, 2027, and annually thereafter, each pharmacy benefit manager shall submit a transparency report containing data from the prior calendar year to the health insurance commissioner. The transparency report shall contain the following information:

(1) The aggregate amount of all rebates that the pharmacy benefit manager received from all pharmaceutical manufacturers for all health carrier clients and for each health carrier client;

(2) The aggregate administrative fees that the pharmacy benefit manager received from all manufacturers for all health carrier clients and for each health carrier client;

(3) The aggregate retained rebates that the pharmacy benefit manager received from all pharmaceutical manufacturers and did not pass through to health carriers;

(4) The aggregate retained rebate percentage as defined in § 27-84-2;

(5) The highest, lowest, and mean aggregate retained rebate percentage for all health carrier clients and for each health carrier client; and

(6) A response to a set of standard questions developed by the health insurance commissioner regarding business practices including, but not limited to, rebate pass through practices, spread pricing, pharmacy network development, and utilization management.

(b) A pharmacy benefit manager providing information under this section shall provide complete information to the health insurance commissioner but may request that the health insurance commissioner designate certain material as a trade secret with a factual and legal analysis supporting such request. Disclosure, however, may be ordered by a court of this state for good cause shown or made in a court filing.

(c) Within sixty (60) days of receipt of complete reports, the health insurance commissioner shall publish the transparency report of each pharmacy benefit manager on the agency’s website in a form and manner that does not violate state trade secrets law.

(d) The health insurance commissioner may impose administrative penalties in accordance with § 42-14-16 for violations of this section.

27-84-4. Pharmacy benefit manager study.

(a) On or before October 1, 2027, the health insurance commissioner shall provide the governor and the general assembly with an analysis of the reporting information furnished pursuant to § 27-84-3. The report shall also include a review of the role of pharmacy benefit managers in the structure and cost of health insurance, a review of approaches to pharmacy benefit manager regulation in other states, and any recommended actions to improve the oversight of pharmacy benefit managers doing business in Rhode Island.

(b) The health insurance commissioner may contract with actuaries and other subject matter experts to assist the commissioner in conducting the study required under this section. The actuaries and other experts shall serve under the direction of the health insurance commissioner. Health insurance companies doing business in this state including, but not limited to, nonprofit hospital service corporations and nonprofit medical service corporations established pursuant to chapters 19 and 20 of title 27, and health maintenance organizations established pursuant to chapter 41 of title 27, shall bear the cost of these actuaries and subject matter experts according to a schedule of their direct writing of health insurance in this state as determined by the health insurance commissioner. The amount to be invoiced to and paid by the above-described health insurance companies doing business in this state for the study conducted under this section shall not exceed a total of one hundred seventy-five thousand dollars ($175,000).

27-84-5. Regulations.

The health insurance commissioner may promulgate rules and regulations as are necessary to carry out and effectuate the provisions of this chapter.

Section 14. Chapter 42-7.2 of the General Laws entitled "Office of Health and Human Services", is hereby amended by adding thereto the following section:

"42-7.2-21 Pharmacy Scope of Practice Report.

(a) On or before January 1, 2027, the executive office shall submit a report regarding issues related to the expansion of pharmacists' scope of practice contained in the FY 2027 budget. The report shall be prepared in consultation with the department of health and the office of the health insurance commissioner and include analyses and recommendations relating to:

(1) Oversight;

(2) Payment parity;

(3) Network adequacy requirements;

(4) Necessary technology upgrades;

(5) Medicaid impacts including potential requirements such as State Plan Amendments and managed care organization contracts;

(6) Commercial insurance impacts; and

(7) Alignment between Medicaid, commercial insurance, and insurance on the health insurance marketplace.

(b) The report shall be submitted to the speaker of the house, president of the senate, chairs of the house and senate finance committees, chairs of the house and senate health and human services committees, and the governor.

SECTION 15. Section 42-7.4-3 of the General Laws in Chapter 42-7.4 entitled "The Healthcare Services Funding Plan Act" is hereby amended to read as follows:

42-7.4-3. Imposition of healthcare services funding contribution.

(a) Each insurer is required to pay the healthcare services funding contribution for each contribution enrollee of the insurer at the time the contribution is calculated and paid, at the rate set forth in this section.

(1) Beginning January 1, 2016, the secretary shall set the healthcare services funding contribution each fiscal year in an amount equal to: (i) The child immunization funding requirement described in § 23-1-46; plus (ii) The adult immunization funding requirement described in § 23-1-46; plus (iii) The children's health services funding requirement described in § 42-12-29; and all as divided by (iv) The number of contribution enrollees of all insurers.

(2) The contribution set forth herein shall be in addition to any other fees or assessments upon the insurer allowable by law.

(b) The contribution shall be paid by the insurer; provided, however, a person providing health benefits coverage on a self-insurance basis that uses the services of a third-party administrator shall not be required to make a contribution for a contribution enrollee where the contribution on that enrollee has been or will be made by the third-party administrator.

(c) Beginning calendar year 2026, and sunsetting effective October 1, 2026, in addition to the assessment collection pursuant to subsection (a), there shall be an additional amount assessed pursuant to (i) and (ii), to support primary care and other critical healthcare programs totaling thirty million dollars ($30,000,000) annualized, which shall be deposited as general revenues.

SECTION 16. Section 42-14.5-2.1 of the General Laws in Chapter 42-14.5 entitled "The Rhode Island Health Care Reform Act of 2004 — Health Insurance Oversight" is hereby amended to read as follows:

42-14.5-2.1. Definitions.

As used in this chapter:

(1) "Accountability standards" means measures including service processes, client and population outcomes, practice standard compliance, and fiscal integrity of social and human service providers on the individual contractual level and service type for all state contracts of the state or any subdivision or agency to include, but not limited to, the department of children, youth and families (DCYF), the department of behavioral healthcare, developmental disabilities and hospitals

(BHDDH), the department of human services (DHS), the department of health (DOH), and Medicaid. This may include mandatory reporting, consolidated, standardized reporting, audits regardless of organizational tax status, and accountability dashboards of aforementioned state departments or subdivisions that are regularly shared with the public.

(2) "Accountable care organization" means, for the purposes of § 42-14.5-3.2, a provider organization contracted with one or more payers and held accountable for the quality of health care, outcomes and total cost of care of an attributed commercial and/or Medicare population.

(3) "Accountable entity" means, for the purposes of § 42-14.5-3.2, a provider organization contracted with one or more Rhode Island Medicaid insurers and held accountable for the quality of health care, outcomes and total cost of care of an attributed Medicaid population.

~~(2)~~(4) “Executive Office of Health and Human Services (EOHHS)” means the department that serves as “principal agency of the executive branch of state government” (§ 42-7.2-2) responsible for managing the departments and offices of: health (RIDOH), human services (DHS), healthy aging (OHA), veterans services (VETS), children, youth and families (DCYF), and behavioral healthcare, developmental disabilities and hospitals (BHDDH). EOHHS is also designated as the single state agency with authority to administer the Medicaid program in Rhode Island.

(5) "Healthcare cost growth target" means the targeted annual per capita growth rate for Rhode Island’s total healthcare spending, expressed as the percentage growth from the prior year’s per capita spending.

(6) "Large provider entity" means a provider organization contracted with one or more payers that, at a minimum, includes professional providers to whom patients can be attributed, and that collectively, during any given calendar year, has at least sixty thousand (60,000) attributed member months across payers in the commercial, Medicaid or Medicare market, enabling the organization to participate in total cost of care contracts, even if it is not engaged in a total cost of care contract as an Accountable Care Organization or a Medicaid Accountable Entity.

(7) "Market" means the highest level of categorization of the health insurance market and shall include Medicare Fee-For-Service and Medicare Managed Care, collectively referred to as the "Medicare market;" Medicaid Fee-for-Service and Medicaid Managed Care, collectively referred to as the "Medicaid market;" and individual, self-insured, small and large group markets and student health insurance, collectively referred to as the "commercial market."

(8) "Net cost of private health insurance" means the costs to Rhode Island residents associated with the administration of private health insurance, including Medicare Managed Care and Medicaid Managed Care. It is defined as the difference between health premiums earned and

benefits incurred, and consists of insurers' costs of paying bills, advertising, sales commission and other administrative costs, premium taxes, and profits (or contributions to reserves) or losses.

(9) "Payer" means any public payer, including Medicaid and Medicare; any health insurer offering Medicaid Managed Care or Medicare Managed Care plans in Rhode Island; any commercial health insurer, defined as an entity subject to the insurance laws and regulations of Rhode Island, or subject to the jurisdiction of the health insurance commissioner, that contracts or offers to contract to provide, deliver, arrange for, pay for, or reimburse any of the costs of healthcare services including, without limitation, an insurance company offering accident and sickness insurance, a health maintenance organization, a nonprofit hospital service corporation, a nonprofit medical service corporation, and a nonprofit hospital and medical service corporation; and any commercial health insurer that provides benefit administration for self-insured employers or labor trusts, or both.

(10) "Pharmaceutical manufacturer" means any entity holding legal title to or possession of a national drug code number issued by the federal Food and Drug Administration.

(11) "Pharmacy benefit manager" has the same meaning as defined in § 27-19-26.2.

(12) "Primary care expenditures" means all claims-based and non-claims-based payments by commercial health insurers, Medicaid, and Medicare directly to a primary care practice or accountable care organization for primary care services delivered to Rhode Island residents at a primary care site of care, which shall include a primary care outpatient setting, federally qualified health center, school-based health center, or via telehealth, but shall not include a third-party telehealth vendor that does not contract with such sites of care to deliver services. A primary care site of care also does not include urgent care centers or retail pharmacy clinics.

~~(3)~~(13) "Primary care services" means, for the purposes of reporting required under § 42-14.5-3(t), professional services rendered by primary care providers at a primary care site of care, including care management services performed in the context of team-based primary care.

(14) "Provider" has the same meaning as defined in §§ 27-18-1.1, 27-19-1, and 27-20-1.

~~(4)~~(15) "Rate review" means the process of reviewing and reporting of specific trending factors that influence the cost of service that informs rate setting.

~~(5)~~(16) "Rate setting" means the process of establishing rates for social and human service programs that are based on a thorough rate review process.

~~(6)~~(17) "Social and human service program" means a social, mental health, developmental disability, child welfare, juvenile justice, prevention services, habilitative, rehabilitative, substance use disorder treatment, residential care, adult or adolescent day services, vocational, employment and training, or aging service program or accommodations purchased by the state.

~~(7)~~(18) “Social and human service provider” means a provider of social and human service programs pursuant to a contract with the state or any subdivision or agency to include, but not be limited to, the department of children, youth and families (DCYF), the department of behavioral healthcare, developmental disabilities and hospitals (BHDDH), the department of human services (DHS), the department of health (DOH), and Medicaid.

~~(8)~~(19) “State government and the provider network” refers to the contractual relationship between a state agency or subdivision of a state agency and private companies the state contracts with to provide the network of mandated and discretionary social and human services.

(20) "Total healthcare expenditures" means the total medical expense incurred by Rhode Island residents for all healthcare services for all payers reporting to the office of the health insurance commissioner, inclusive of prescription drugs, plus their net cost of private health insurance.

(21) "Total medical expense" means the sum of the allowed amount of total claims and total non-claims spending paid to providers, inclusive of prescription drugs, incurred by Rhode Island residents for all healthcare services.

SECTION 17. Chapter 42-14.5 of the General Laws entitled "The Rhode Island Health Care Reform Act of 2004 — Health Insurance Oversight" is hereby amended by adding thereto the following section:

42-14.5-3.2. Health spending accountability and transparency program.

(a) The health insurance commissioner shall establish a health spending accountability and transparency program with the following goals that are designed to promote affordability and curb healthcare spending growth in Rhode Island:

(1) Understand and create transparency around healthcare costs and the drivers of cost growth;

(2) Create shared accountability for healthcare costs and cost growth among insurers, providers, and government by measuring performance against a cost growth target tied to one or more economic indicators; and

(3) Lessen the negative impact of rising healthcare costs on Rhode Island residents, businesses, and government.

(b) The health insurance commissioner shall administer the health spending accountability and transparency program and shall convene and chair the following advisory bodies to provide input into the implementation of the program:

(1) An affordability advisory committee comprised of individuals without direct financial interests in the healthcare system including, but not limited to, independent health policy experts,

consumers or consumer representatives, employers or employer representatives, and representatives of organized labor. The affordability advisory committee shall consist of eight (8) members, as follows:

(i) Two (2) independent health policy expert members shall be appointed by the governor;

(ii) One consumer representative and one employer or organized labor representative shall be appointed by the president of the senate;

(iii) One consumer representative and one employer or organized labor representative shall be appointed by the speaker of the house;

(iv) The secretary of health and human services or their designee; and

(v) The health insurance commissioner or their designee;

(2) A stakeholder advisory council that includes, but shall not be limited to, representatives of hospitals, health insurers, providers, and pharmaceutical manufacturers, in addition to independent health policy experts, consumers or consumer representatives, employers or employer representatives, and representatives of organized labor, all of whom shall be appointed by the health insurance commissioner.

(c) For calendar years 2026 and 2027, the health insurance commissioner shall establish the annual healthcare cost growth targets pursuant to the 2023 Compact to Reduce the Growth in Healthcare Costs while Improving Healthcare Access, Equity, Patient Experience, and Quality in Rhode Island.

(d) Not later than July 1, 2027, and every three (3) years thereafter, the health insurance commissioner shall establish annual healthcare cost growth targets for the succeeding three (3) calendar years for payers and large provider entities. In developing the healthcare cost growth targets, the commissioner shall minimally consider:

(1) Historical and forecasted changes in median household income in the state;

(2) The growth rate of potential gross state product;

(3) The most recent annual report prepared by the health insurance commissioner, pursuant to subsection (g) of this section;

(4) Recommendations from the affordability advisory committee and stakeholder advisory council established pursuant to subsections (b)(1) and (b)(2) of this section, including any information and analyses used to inform such recommendations.

(e) Not later than July 1, 2027, and every five (5) years thereafter, the health insurance commissioner, in collaboration with the executive office of health and human services, shall establish annual all-payer primary care investment targets for the succeeding five (5) calendar years. In developing the all-payer primary care investment targets, the commissioner shall consider recommendations from the affordability advisory committee and stakeholder advisory council pursuant to subsections (b)(1) and (b)(2) of this section.

(f) The health insurance commissioner shall establish requirements for payers to report data and other information necessary to calculate and monitor healthcare cost growth; evaluate performance against the healthcare cost growth target established under subsections (c) and (d) of this section; evaluate performance against the all-payer primary care investment target established under subsection (e) of this section; and measure quality, public health, and health equity performance, as defined by the health insurance commissioner. Such data shall include but not be limited to:

(1) Total and per capita healthcare expenditures;

(2) Total and per capita medical expenses;

(3) Net cost of private health insurance;

(4) Primary care expenditures;

(5) Quality performance data from the office of the health insurance commissioner's aligned measure set, as designated by the health insurance commissioner, with input from a workgroup with expertise in quality measure alignment convened by the health insurance commissioner; and

(6) Performance on a set of public health and accountability measures, as designated by the health insurance commissioner, with input from the executive office of health and human services, the department of health, and a workgroup with expertise in public health convened by the health insurance commissioner.

(g) The health insurance commissioner shall publish an annual report on healthcare spending and quality in Rhode Island which includes, but is not limited to, the following:

(1) Total and per capita healthcare spending trends at the statewide, insurance market, individual payer, and large provider entity levels, including performance against the cost growth target at each of these levels;

(2) Net cost of private health insurance by insurance market and payer;

(3) Primary care spending as a percentage of total medical expenses and annual primary care spending growth, including progress toward meeting the all-payer primary care investment target established in subsection (e) of this section;

(4) An analysis of the drivers of healthcare spending growth by service category, as well as the relative contribution of utilization and price on the rate of growth, using data from the All-Payer Claims Database;

(5) Performance on select quality measures from the health insurance commissioner

commissioner's aligned measure set, pursuant to subsection (f)(5) of this section;

(6) Performance on a set of public health and accountability measures pursuant to subsection (f)(6) of this section;

(7) Status of ongoing performance improvement plans, results of performance improvement plans completed during the prior performance year, and any penalties imposed due to non-compliance with developing or implementing a performance improvement plan pursuant to subsection (i) of this section; and

(8) Recommendations for policy changes that may include, but not be limited to, strategies to improve affordability for Rhode Island residents, control healthcare spending growth while maintaining high standards for quality health care, and improve the oversight, performance and efficiency of Rhode Island's healthcare system.

(h)(1) The health insurance commissioner shall convene an annual public hearing following the release of the annual report required pursuant to subsection (g) of this section. Such public hearing shall involve an examination of:

(i) The report most recently prepared by the health insurance commissioner pursuant to subsection (g) of this section;

(ii) The expenditures of provider entities and payers including, but not limited to, healthcare cost trends, primary care spending as a percentage of total medical expenses, and the factors contributing to such costs and expenditures; and

(iii) Any other matters that the health insurance commissioner deems relevant for the purposes of this section.

(2) The health insurance commissioner may require any payer or provider entity that, for the performance year, is found to have exceeded the healthcare cost growth target or has failed to meet the all-payer primary care investment target, to participate in such hearing. The health insurance commissioner may further require any payer, provider entity, or other entity including, but not limited to, a pharmaceutical manufacturer or pharmacy benefit manager, that is found to have significantly contributed to healthcare spending growth in the state, as determined by the commissioner, to participate in such hearing. Each payer, provider entity, or other entity that is required to participate in such hearing shall provide testimony on issues identified by the health insurance commissioner and provide additional information on actions taken to reduce such payer's or entity's contribution to future statewide healthcare spending or to increase such payer's or provider entity's primary care spending as a percentage of total medical expenses.

(3) The health insurance commissioner shall allow representatives from consumer groups, employers, organized labor, community organizations, members of the public, and other interested

parties to provide testimony as part of the annual public hearing.

(i)(1) The health insurance commissioner may require any commercial health insurer or large provider entity that has commercial market spending growth that exceeds the healthcare cost growth target in any two (2) out of three (3) performance years to develop and implement a performance improvement plan. For the purposes of requiring a performance improvement plan, a large provider entity must have at least one hundred twenty thousand (120,000) attributed member months across commercial health insurers.

(2) A performance improvement plan must:

(i) Identify key spending drivers and include concrete strategies and steps a large provider entity or commercial health insurer will take to address such spending drivers;

(ii) Identify an appropriate timeline for implementation, including a timeframe by which the large provider entity or commercial health insurer will be subject to an evaluation by the health insurance commissioner; and

(iii) Have clear measurements of success. The commissioner may provide guidance, feedback, and additional recommendations to a commercial health insurer or large provider entity in developing a performance improvement plan.

(3) The health insurance commissioner shall review and approve, modify, or reject all performance improvement plans.

(4) The health insurance commissioner shall monitor implementation throughout the duration of the performance improvement plan to assess compliance with the performance improvement plan's terms and shall determine at the conclusion of the performance improvement plan whether the entity has adequately addressed the targeted spending drivers.

(5) Prior to requiring a commercial health insurer or large provider entity to develop or implement a performance improvement plan pursuant to this subsection, the health insurance commissioner shall provide the affected entity with:

(i) Written notice of the determination that the entity is subject to a performance improvement plan requirement;

(ii) The data, methodology, calculations, and performance measures relied upon by the commissioner in making such determination; and

(iii) A reasonable opportunity to submit written comments, supporting documentation, and any other information relevant to the determination for consideration by the commissioner.

(6) The commissioner shall review and consider any information submitted pursuant to subsection (5)(iii) of this section prior to issuing a final determination requiring a performance improvement plan.

(7) If the health insurance commissioner determines that the performance improvement plan does not adequately meet the requirements in subsection (i)(2) of this section, or that an entity has failed to comply with the terms of the performance improvement plan pursuant to subsection (i)(4), the commissioner may impose a financial penalty on the commercial health insurer or large provider entity. The health insurance commissioner shall develop criteria for imposing the financial penalty based on factors that include, but are not limited to:

(i) The degree to which the large provider entity or commercial health insurer exceeded the target;

(ii) The size of the large provider entity or commercial health insurer entity;

(iii) The good faith efforts of the large provider entity or commercial health insurer to address healthcare spending growth; and

(iv) The financial condition of the large provider entity or commercial health insurer, according to criteria adopted by the health insurance commissioner.

(8) Prior to the imposition of any financial penalty pursuant to subsection (i)(7) of this section, the affected commercial health insurer or large provider entity shall be afforded an administrative hearing conducted pursuant to chapter 35 of title 42. Following such hearing, the commissioner shall issue a written final decision setting forth findings of fact and conclusions of law. Any final decision imposing a financial penalty shall be subject to judicial review pursuant to § 42-35-15.

(9) The total cost of the health insurance commissioner's review of a performance improvement plan pursuant to subsection (i)(3) of this section, monitoring implementation of a performance improvement plan pursuant to subsection (i)(4) of this section, and determination of compliance with a performance improvement plan pursuant to subsection (i)(4) of this section shall be borne by the commercial health insurer or large provider entity subject to the performance improvement plan, according to parameters defined by the health insurance commissioner.

(j) The health insurance commissioner may establish data sharing agreements with the executive office of health and human services, department of health, and any other identified state agency to meet the requirements of this section and ensure a comprehensive view of healthcare spending trends.

(k) The health insurance commissioner shall adopt a schedule of civil penalties determined by the severity of the violation for:

(1) Any payer that fails to submit required data, submits incomplete data, or otherwise obstructs data reporting pursuant to subsection (f) of this section; and

(2) Any payer, provider, or other entity that fails to comply with the health insurance

commissioner’s request to provide testimony during the annual public hearing pursuant to subsection (h) of this section.

SECTION 18. Title 42 of the General Laws entitled "STATE AFFAIRS AND GOVERNMENT" is hereby amended by adding thereto the following chapter:

CHAPTER 157.2

RHODE ISLAND MARKETPLACE AFFORDABILITY PROGRAM ACT OF 2026

42-157.2-1. Short title and purpose.

(a) This chapter shall be known and may be cited as the "Rhode Island Marketplace Affordability Program Act of 2026."

(b) The purpose of this chapter is to create a state affordability program to reduce health insurance premiums for low- and moderate-income consumers enrolled in health insurance coverage through the Rhode Island health benefit exchange.

42-157.2-2. Definitions.

As used in this chapter:

(1) "Exchange" means the Rhode Island health benefit exchange established within the department of administration by § 42-157-1.

(2) "Health insurance coverage" has the same meaning as set forth in § 27-18.5-2.

(3) "Individual market" has the same meaning as set forth in § 27-18.5-2.

(4) “Insurer” has the same meaning as set forth in § 42-157-2.

(5) "Program" means the Rhode Island individual market affordability program established by § 42-157.2-3.

(6) "State" means the State of Rhode Island.

42-157.2-3. Establishment of the Rhode Island individual market affordability program.

(a) The exchange is authorized to establish and administer a state-based affordability program, to be known as the Rhode Island individual market affordability program.

(b) The program is intended to mitigate the impact of high and rising healthcare costs for low- and middle-income Rhode Islanders who purchase health insurance coverage through the exchange.

(c) The program may provide state-based subsidies to individuals enrolled in health insurance coverage through the exchange to make health insurance coverage more accessible and affordable for individuals and households.

42-157.2-4. General program parameters.

(a) State-based subsidy amounts shall be based on annual affordability percentages, following the methodology established by the exchange under § 42-157.2-5.

(b) Any state-based subsidy provided by the program will be remitted by the exchange to the insurer selected by the eligible enrollee.

(c) A state-based subsidy provided by the program shall be provided only to a Rhode Island resident who is determined eligible by the exchange for the federal premium tax credit authorized under § 36B of the Internal Revenue Code and enrolled in health insurance coverage through the exchange.

(1) A state-based subsidy may also be provided by the program to a Rhode Island resident whose household income exceeds the limit set forth under § 36B of the Internal Revenue Code but meets all other eligibility criteria for the federal premium tax credit authorized under § 36B of the Internal Revenue Code, and is enrolled in health insurance coverage through the exchange.

42-157.2-5. Adoption of methodology and annual affordability percentages.

(a) Subject to appropriation, the exchange shall adopt by September 30, and may amend, annual affordability percentages for each upcoming coverage year to implement this chapter.

(b) Methodology for determining annual affordability percentages shall be set forth in regulations promulgated by the exchange, consistent with the purposes of this chapter. The exchange shall utilize this methodology to develop the annual affordability percentages.

(c) Annual affordability percentages, and any amendments thereto, shall be adopted by the exchange after a duly noticed public meeting with advice from the exchange advisory board established under § 42-157-7.

(1) The affordability percentages adopted for a coverage year shall be based on funds appropriated for the fiscal year that includes the first six (6) months of that coverage year to the program for that coverage year and consistent with the parameters specified in § 42-157.2-4.

(i) All unexpended or unencumbered balances of appropriations at the end of any fiscal year shall be reappropriated to the following fiscal year and made immediately available for same purposes as the former appropriations.

(2) The exchange shall provide appropriate opportunities for stakeholders and the public to consult in the adoption of the affordability percentages.

(3) The affordability percentages shall be tailored to maximize impact, targeting premium assistance to enrollees based on their income and premium burden after accounting for other federal and state assistance.

(i) For the year beginning January 1, 2027, the affordability percentages shall prioritize households with incomes below two hundred percent (200%) of the federal poverty level.

42-157.2-6. Rules and regulations.

(a) The exchange may promulgate regulations as necessary to carry out the purposes of this chapter.

(b) The requirements of chapter 35 of title 42 (the "administrative procedures act") shall apply for any rules or regulations established or issued by the exchange pursuant to this chapter, except for the first implementation year of the program established under this chapter.

(1) For the first implementation year, the exchange shall provide opportunities for stakeholders and the public to provide input. This shall include, but is not limited to:

(i) A duly noticed public meeting with advice from the exchange advisory board established under § 42-157-7;

(ii) A thirty (30) day public comment period; and

(iii) Presentation by the exchange to the public of accompanying explanatory documentation outlining any proposed regulatory adoption, any significant changes thereto, and the rationale for those decisions.

42-157.2-7. Construction.

(a) This chapter shall not be construed to create an entitlement, medical assistance, or public assistance program of any kind, to appropriate any funds, to require the general assembly to appropriate any funds, or to increase or decrease taxes owed by a taxpayer.

(b) In construing this chapter, the regulations promulgated by the exchange pursuant to § 42-157-14 shall apply to the extent those regulations do not conflict with this chapter or regulations promulgated by the exchange pursuant to § 42-157.2-6(a).

42-157.2-8. Severability.

The provisions of this chapter are severable, and if any provision hereof shall be held invalid in any circumstances, any invalidity shall not affect any other provisions or circumstances.

SECTION 19. Section 42-166-2 of the General Laws in Chapter 42-166 entitled "The Ladders to Licensure Program" is hereby amended to read as follows:

42-166-2. Use of appropriated funds.

Any appropriated funds shall be used to provide grants to ~~three (3) or four (4)~~ at least two (2) grantee partnerships, consisting of multiple private sector health and human services employer organizations and education grantee partnerships (with at least one focused on behavioral health and one focused on nursing). Employers will be required to contribute a twenty-five percent (25%) in-kind match and a ten percent (10%) cash match.

SECTION 20. This article shall take effect upon passage.

ARTICLE 13 AS AMENDED

RELATING TO MAKING REVISED APPROPRIATIONS IN SUPPORT OF FY 2026

SECTION 1. Subject to the conditions, limitations and restrictions hereinafter contained in this act, the following general revenue amounts are hereby appropriated out of any money in the treasury not otherwise appropriated to be expended during the fiscal year ending June 30, 2026. The amounts identified for federal funds and restricted receipts shall be made available pursuant to § 35-4-22 and chapter 41 of title 42. For the purposes and functions hereinafter mentioned, the state controller is hereby authorized and directed to draw the state controller's orders upon the general treasurer for the payment of such sums or such portions thereof as may be required from time to time upon receipt by the state controller of properly authenticated vouchers.

	FY 2026 Enacted	**FY 2026 Change**	**FY 2026 FINAL**
Administration			
Central Management			
General Revenues	4,359,358	(364,055)	3,995,303
Federal Funds			
Federal Funds	33,000,000	(26,168,445)	6,831,555
Federal Funds – State Fiscal Recovery Fund			
Community Learning Center Programming Support Grant	0	2,000,000	2,000,000
Municipal Public Safety Infrastructure	0	4,400,236	4,400,236
Public Health Response Warehouse Support	0	1,000,562	1,000,562
Restricted Receipts	193,701	0	193,701
Total - Central Management	37,553,059	(19,131,702)	18,421,357
Legal Services			
General Revenues	2,872,990	(92,294)	2,780,696
Accounts and Control			
General Revenues	5,804,845	214,013	6,018,858
Restricted Receipts - OPEB Board Administration	150,959	23,575	174,534
Restricted Receipts - Grants Management			

Administration	2,540,109	(1,385,873)	1,154,236
Total - Accounts and Control	8,495,913	(1,148,285)	7,347,628
Office of Management and Budget			
General Revenues	11,000,012	(726,931)	10,273,081
Federal Funds			
Federal Funds	151,689	(1,097)	150,592
Federal Funds – Capital Projects Fund			
CPF Administration	530,582	922,803	1,453,385
Federal Funds – State Fiscal Recovery Fund			
Pandemic Recovery Office	1,436,547	(211,894)	1,224,653
Restricted Receipts	300,000	0	300,000
Other Funds	1,242,011	(71,378)	1,170,633
Total - Office of Management and Budget	14,660,841	(88,497)	14,572,344
Purchasing			
General Revenues	4,008,986	(170,228)	3,838,758
Restricted Receipts	1,262,987	511,718	1,774,705
Other Funds	636,500	10,265	646,765
Total - Purchasing	5,908,473	351,755	6,260,228
Human Resources			
General Revenues	889,580	86,675	976,255
Personnel Appeal Board			
General Revenues	160,838	(9,891)	150,947
Information Technology			
General Revenues	1,838,147	222,030	2,060,177

Of this amount, $1,360,177 is provided for the state match for the State and Local Cybersecurity Grant Program. Provided further that any unexpended or unencumbered balances as of June 30, 2026 are hereby reappropriated to the following fiscal year.

Federal Funds – State Fiscal Recovery Fund			
ERP Implementation Support	0	563,506	563,506
Restricted Receipts	1,162,424	34,969,669	36,132,093
Total - Information Technology	3,000,571	35,755,205	38,755,776
Library and Information Services			
General Revenues	2,143,053	18,188	2,161,241
Federal Funds	1,617,500	(5,765)	1,611,735

Restricted Receipts	6,990	0	6,990
Total - Library and Information Services	3,767,543	12,423	3,779,966
Planning			
General Revenues	1,222,229	(68,716)	1,153,513
Federal Funds	3,050	(3,050)	0
Restricted Receipts	50,000	0	50,000
Other Funds			
Air Quality Modeling	24,000	0	24,000
Federal Highway - PL Systems Planning	3,821,438	(34,123)	3,787,315
State Transportation Planning Match	504,926	150,794	655,720
FTA - Metro Planning Grant	1,525,830	22,142	1,547,972
Total - Planning	7,151,473	67,047	7,218,520
General			
General Revenues			
Miscellaneous Grants/Payments	811,678	0	811,678
Torts Court Awards	1,750,000	(250,000)	1,500,000
Wrongful Conviction Awards	1,000,000	(1,000,000)	0
Resource Sharing and State Library Aid	12,095,022	0	12,095,022
Library Construction Aid	2,115,628	0	2,115,628
Hospital Financing Support Debt Service Reserve			
Fund (Pursuant to P.L. 2026, Ch. 1)	0	18,000,000	18,000,000
Federal Funds- Capital Projects Fund			
Community Learning Center Municipal			
Grant Program	0	70,765,063	70,765,063
Restricted Receipts	1,113,557	482,443	1,596,000
Other Funds			
Rhode Island Capital Plan Funds			
Security Measures State Buildings	700,000	48,142	748,142
Cranston Street Armory	600,000	(500,000)	100,000
State House Renovations	1,759,000	4,058,137	5,817,137
Zambarano Buildings and Campus	4,500,000	18,775,952	23,275,952
Replacement of Fueling Tanks	430,000	1,061,480	1,491,480
Environmental Compliance	225,000	475,605	700,605
Big River Management Area	797,000	649,895	1,446,895

Shepard Building Upgrades	2,805,000	1,663,020	4,468,020
RI Convention Center Authority	2,800,000	0	2,800,000
Pastore Center Power Plant	2,000,000	552,612	2,552,612
DoIT Enterprise Operations Center	5,550,000	(1,382,995)	4,167,005
Cannon Building	150,000	47,658	197,658
Old State House	600,000	1,179,347	1,779,347
State Office Building	500,000	600,111	1,100,111
State Office Reorganization & Relocation	750,000	1,012,964	1,762,964
William Powers Building	2,500,000	2,300,453	4,800,453
Pastore Center Non-Hospital Buildings Asset Protection	7,750,000	11,069,333	18,819,333
Washington County Government Center	100,000	27,311	127,311
Chapin Health Laboratory	100,000	100,655	200,655
560 Jefferson Blvd Asset Protection	2,050,000	(203,580)	1,846,420
Arrigan Center	200,000	94,888	294,888
Civic Center	3,800,000	0	3,800,000
Veterans Auditorium	380,000	0	380,000
Pastore Center Hospital Buildings Asset Protection	1,000,000	988,418	1,988,418
Pastore Campus Infrastructure	15,000,000	19,227,222	34,227,222
Community Facilities Asset Protection	225,000	490,380	715,380
Medical Examiners - New Facility	50,000	1,742,038	1,792,038
Group Home Replacement & Rehabilitation	5,000,000	1,984,225	6,984,225
Expo Center	500,000	922,590	1,422,590
Group Homes Consolidation	5,350,000	1,780,051	7,130,051
Accessibility - Facility Renovations	0	420,686	420,686
BHDDH Group Homes	0	139,769	139,769
Hospital Reorganization	0	12,175,644	12,175,644
Pastore Center Buildings Demolition	0	5,545,540	5,545,540
Statewide Facility Master Plan	0	545,258	545,258
State Land Use Planning Study	0	250,000	250,000
Zambarano LTAC Hospital	0	6,439,929	6,439,929
Total - General	87,056,885	182,280,244	269,337,129

Debt Service Payments

General Revenues	178,801,286	(13,260,160)	165,541,126
Other Funds			
Transportation Debt Service	32,982,697	(330,710)	32,651,987
Investment Receipts - Bond Funds	100,000	0	100,000
Total - Debt Service Payments	211,883,983	(13,590,870)	198,293,113
Rhode Island Health Benefits Exchange			
General Revenues	1,889,227	(776,000)	1,113,227
Federal Funds	10,758,473	(1,203,479)	9,554,994
Restricted Receipts	17,298,973	4,055,119	21,354,092
Total - Rhode Island Health Benefits Exchange	29,946,673	2,075,640	32,022,313
Division of Equity, Diversity & Inclusion			
General Revenues	2,308,469	(492,065)	1,816,404
Other Funds	108,978	174	109,152
Total - Division of Equity, Diversity & Inclusion	2,417,447	(491,891)	1,925,556
Capital Asset Management and Maintenance			
General Revenues	10,990,302	98,234	11,088,536
Federal Funds	0	750,000	750,000
Total - Capital Asset Management and Maintenance	10,990,302	848,234	11,838,536
Statewide Personnel and Operations			
FEMA Contingency Reserve			
General Revenues	2,500,000	(559,909)	1,940,091
Primary Care Health Assessment State Cost			
General Revenues	750,000	(750,000)	0
Federal Funds	100,500	(100,500)	0
Restricted Receipts	44,575	(44,575)	0
Other Funds	477,295	(477,295)	0
Total - Statewide Personnel and Operations	3,872,370	(1,932,279)	1,940,091
Grand Total - Administration	430,628,941	184,991,514	615,620,455
Office of Energy Resources			
General Revenues	0	275,313	275,313

Provided that $56,111 is allocated to support the electric bicycle rebate program and $219,202 is for the electric leaf blower rebate program. Provided further that unexpended or unencumbered balances as of June 30, 2026 are hereby reappropriated to the following fiscal year.

Federal Funds			
Federal Funds	31,554,214	(15,716,395)	15,837,819
Federal Funds – State Fiscal Recovery Fund			
Electric Heat Pump Grant Program	0	697,440	697,440
Restricted Receipts	39,089,028	(1,384,204)	37,704,824
Other Funds			
National Electric Vehicle Infrastructure Formula Program	4,668,785	2,401,355	7,070,140
Rhode Island Capital Plan Funds			
Energy Efficiency Improvements	1,000,000	0	1,000,000
Grand Total – Office of Energy Resources	76,312,027	(13,726,491)	62,585,536
Business Regulation			
Central Management			
General Revenues	4,360,810	(417,655)	3,943,155
Restricted Receipts	39,014	0	39,014
Total - Central Management	4,399,824	(417,655)	3,982,169
Banking Regulation			
General Revenues	2,107,972	(68,694)	2,039,278
Restricted Receipts	50,000	50,000	100,000
Total - Banking Regulation	2,157,972	(18,694)	2,139,278
Securities Regulation			
General Revenues	1,000,863	(5,105)	995,758
Insurance Regulation			
General Revenues	5,125,539	5,773	5,131,312
Restricted Receipts	1,617,538	800,000	2,417,538
Total - Insurance Regulation	6,743,077	805,773	7,548,850
Office of the Health Insurance Commissioner			
General Revenues	3,107,152	(75,848)	3,031,304
Federal Funds			
Federal Funds	439,300	90,000	529,300
Rural Health Transformation Program	0	414,675	414,675
Restricted Receipts	603,592	(7,267)	596,325
Total - Office of the Health Insurance			

Commissioner	4,150,044	421,560	4,571,604
Board of Accountancy			
General Revenues	5,490	0	5,490
Commercial Licensing and Gaming and Athletics Licensing			
General Revenues	1,268,739	95,957	1,364,696
Restricted Receipts	1,045,581	201,906	1,247,487
Total - Commercial Licensing and Gaming and Athletics Licensing	2,314,320	297,863	2,612,183
Building, Design and Fire Professionals			
General Revenues	8,793,216	242,341	9,035,557
Federal Funds	346,788	(2,500)	344,288
Restricted Receipts	2,130,377	310,041	2,440,418
Other Funds			
Quonset Development Corporation	52,983	14,323	67,306
Rhode Island Capital Plan Funds			
Fire Academy Expansion	7,000,000	839,925	7,839,925
Total - Building, Design and Fire Professionals	18,323,364	1,404,130	19,727,494
Grand Total - Business Regulation	39,094,954	2,487,872	41,582,826
RI Cannabis Control Commission			
Restricted Receipts	7,303,563	(17,033)	7,286,530
Executive Office of Commerce			
Central Management			
General Revenues	2,369,982	16,871	2,386,853
Quasi-Public Appropriations			
General Revenues			
Rhode Island Commerce Corporation	8,506,041	0	8,506,041
Airport Impact Aid	1,010,036	0	1,010,036

Sixty percent (60%) of the first $1,000,000 appropriated for airport impact aid shall be distributed to each airport serving more than 1,000,000 passengers based upon its percentage of the total passengers served by all airports serving more than 1,000,000 passengers. Forty percent (40%) of the first $1,000,000 shall be distributed based on the share of landings during calendar year 2025 at North Central Airport, Newport-Middletown Airport, Block Island Airport, Quonset Airport, T.F. Green International Airport and Westerly Airport, respectively. The Rhode Island commerce corporation shall make an impact payment to the towns or cities in which the airport is located based on this calculation. Each community upon which any part of the above airports is located shall receive at least $25,000.

STAC Research Alliance	900,000	0	900,000
Innovative Matching Grants/Internships	1,000,000	0	1,000,000
I-195 Redevelopment District Commission	1,245,050	0	1,245,050
Polaris Manufacturing Grant	500,000	0	500,000
East Providence Waterfront Commission	50,000	0	50,000
Urban Ventures	140,000	0	140,000
Chafee Center at Bryant	476,200	0	476,200
Blackstone Valley Visitor Center	75,000	0	75,000
Industrial Recreational Building Authority Obligations	105,094	0	105,094
Federal Funds – State Fiscal Recovery Fund			
Port of Davisville	0	279	279
Other Funds			
Rhode Island Capital Plan Funds			
I-195 Redevelopment District Commission	700,000	34,602	734,602
I-195 Park Improvements	1,100,000	1,374,643	2,474,643
Quonset Infrastructure	2,500,000	0	2,500,000
PFAS Mitigation at Quonset Business Park	1,000,000	0	1,000,000
Total - Quasi-Public Appropriations	19,307,421	1,409,524	20,716,945
Economic Development Initiatives Fund			
General Revenues			
Rebuild RI Tax Credit Fund	10,085,000	0	10,085,000
Destination Marketing	1,400,000	0	1,400,000
RI Innovation Ecosystem	250,000	0	250,000
Federal Funds			
Federal Funds	20,000,000	(19,305,563)	694,437
Federal Funds – State Fiscal Recovery Fund			
Assistance to Impacted Industries	0	1,341,963	1,341,963
Total - Economic Development Initiatives Fund	31,735,000	(17,963,600)	13,771,400
Commerce Programs			

General Revenues			
Wavemaker Fellowship	2,566,621	0	2,566,621
Air Service Development Fund	2,728,800	0	2,728,800
Main Street RI Streetscape Improvement Fund	125,000	0	125,000
Federal Funds			
Federal Funds – Capital Projects Fund			
Broadband	0	24,644,868	24,644,868
Federal Funds – State Fiscal Recovery Fund			
Bioscience Investments	0	24,189,278	24,189,278
Total - Commerce Programs	5,420,421	48,834,146	54,254,567
Grand Total - Executive Office of Commerce	58,832,824	32,296,941	91,129,765
Housing			
General Revenues	6,464,465	502,660	6,967,125

Provided that $100,000 shall support Sojourner House's supportive housing and rapid rehousing activities.

Federal Funds			
Federal Funds	15,596,037	6,060,779	21,656,816
Federal Funds – State Fiscal Recovery Fund			
Homelessness Assistance Program	0	9,010,861	9,010,861
Development of Affordable Housing	0	40,002,001	40,002,001
Home Repair and Community Revitalization	0	9,738,194	9,738,194
Homelessness Infrastructure	0	4,185,576	4,185,576
Housing Related Infrastructure	0	1,927,964	1,927,964
Municipal Homelessness Support Initiative	0	719,104	719,104
Municipal Planning	0	1,658,224	1,658,224
Predevelopment and Capacity Building	0	41,192	41,192
Site Acquisition	0	900	900
Proactive Housing Development	0	700,000	700,000
Statewide Housing Plan	0	1,017,513	1,017,513
Targeted Housing Development	0	18,001,903	18,001,903
Workforce Housing	0	8,325,097	8,325,097
Restricted Receipts	23,018,954	16,789,136	39,808,090
Grand Total - Housing	45,079,456	118,681,104	163,760,560

Labor and Training			
Central Management			
General Revenues	1,661,890	(209,450)	1,452,440
Restricted Receipts	488,494	(71,995)	416,499
Total - Central Management	2,150,384	(281,445)	1,868,939
Workforce Development Services			
General Revenues	878,758	1,105	879,863
Federal Funds	19,112,629	1,528,002	20,640,631
Other Funds	0	41,336	41,336
Total - Workforce Development Services	19,991,387	1,570,443	21,561,830
Workforce Regulation and Safety			
General Revenues	5,347,291	65,466	5,412,757
Income Support			
General Revenues	3,684,566	199,291	3,883,857
Federal Funds			
Federal Funds	22,883,898	534,009	23,417,907
Federal Funds – State Fiscal Recovery Fund			
Unemployment Insurance Trust Fund Contribution	0	1,196	1,196
Restricted Receipts	4,635,586	549,819	5,185,405
Other Funds			
Temporary Disability Insurance Fund	287,480,146	966,971	288,447,117
Employment Security Fund	249,200,000	19,200,000	268,400,000
Total - Income Support	567,884,196	21,451,286	589,335,482
Injured Workers Services			
Restricted Receipts	11,233,092	1,189,330	12,422,422
Labor Relations Board			
General Revenues	556,737	75,807	632,544
Governor's Workforce Board			
General Revenues	6,050,000	565,780	6,615,780

Provided that $600,000 of these funds shall be used for enhanced training for direct care and support services staff to improve resident quality of care and address the changing health care needs of nursing facility residents due to higher acuity and increased cognitive impairments pursuant to § 23-17.5-36.

Federal Funds

Rural Health Transformation Program	0	361,584	361,584
Federal Funds – State Fiscal Recovery Fund			
Enhanced Real Jobs	0	65,508	65,508
Restricted Receipts	19,054,596	1,610,479	20,665,075

Provided that at least $150,000 of these funds shall be used to provide hospitality industry workforce training grants including, but not limited to, certified food and alcohol safety training programs offered in multiple languages.

Total - Governor's Workforce Board	25,104,596	2,603,351	27,707,947
Grand Total - Labor and Training	632,267,683	26,674,238	658,941,921
Department of Revenue			
Director of Revenue			
General Revenues	3,168,518	(239,886)	2,928,632
Office of Revenue Analysis			
General Revenues	1,173,041	30,757	1,203,798
Lottery Division			
Other Funds			
Other Funds	448,042,227	(14,705,340)	433,336,887
Rhode Island Capital Plan Funds			
Lottery Building Enhancements	0	756,319	756,319
Total - Lottery Division	448,042,227	(13,949,021)	434,093,206
Municipal Finance			
General Revenues	2,045,839	(41,494)	2,004,345
Taxation			
General Revenues	38,331,490	(242,921)	38,088,569
Restricted Receipts	4,660,479	(2,899,352)	1,761,127
Other Funds			
Motor Fuel Tax Evasion	175,000	0	175,000
Total - Taxation	43,166,969	(3,142,273)	40,024,696
Registry of Motor Vehicles			
General Revenues	35,374,576	1,419,872	36,794,448
Federal Funds	493,061	(93,061)	400,000
Restricted Receipts	5,429,330	200,000	5,629,330
Total - Registry of Motor Vehicles	41,296,967	1,526,811	42,823,778
State Aid			

General Revenues			
Distressed Communities Relief Fund	14,884,458	0	14,884,458
Payment in Lieu of Tax Exempt Properties	51,317,647	0	51,317,647
Motor Vehicle Excise Tax Payments	239,547,419	2,817	239,550,236
Property Revaluation Program	712,390	0	712,390
Tangible Tax Exemption Program	25,903,228	5,241	25,908,469
Restricted Receipts	995,120	129,880	1,125,000
Total - State Aid	333,360,262	137,938	333,498,200
Collections			
General Revenues	994,263	81,979	1,076,242
Grand Total - Revenue	873,248,086	(15,595,189)	857,652,897
Legislature			
General Revenues	58,734,623	8,425,979	67,160,602
Restricted Receipts	2,690,297	48,607	2,738,904
Grand Total - Legislature	61,424,920	8,474,586	69,899,506
Lieutenant Governor			
General Revenues	1,519,219	13,043	1,532,262
Secretary of State			
Administration			
General Revenues	5,975,167	190,914	6,166,081

Provided that $100,000 be allocated to support the Rhode Island Council for the Humanities for grant making to civic and cultural organizations, and $50,000 to support Rhode Island's participation in the We the People Civics Challenge.

Corporations			
General Revenues	2,913,879	(234,144)	2,679,735
State Archives			
General Revenues	356,659	97,534	454,193
Restricted Receipts	404,790	(18,631)	386,159
Other Funds			
Rhode Island Capital Plan Funds			
Rhode Island Archives and History Center	0	60,000	60,000
Total - State Archives	761,449	138,903	900,352
Elections and Civics			
General Revenues	2,107,040	(350,018)	1,757,022

Federal Funds	2,000,000	0	2,000,000
Total - Elections and Civics	4,107,040	(350,018)	3,757,022

State Library

General Revenues	668,263	(5,695)	662,568

Provided that $125,000 be allocated to support the Rhode Island Historical Society and $18,000 be allocated to support the Newport Historical Society, pursuant to §§ 29-2-1 and 29-2-2, and $25,000 be allocated to support the Rhode Island Black Heritage Society.

Office of Public Information

General Revenues	840,724	(11,441)	829,283
Receipted Receipts	25,000	0	25,000
Total - Office of Public Information	865,724	(11,441)	854,283
Grand Total - Secretary of State	15,291,522	(271,481)	15,020,041

General Treasurer

Treasury

General Revenues	3,665,773	786,537	4,452,310

Provided that unexpended or unencumbered balances for the Medical Debt Relief program as of June 30, 2026 are hereby reappropriated to the following fiscal year.

Federal Funds	365,134	(3,358)	361,776
Other Funds			
Temporary Disability Insurance Fund	246,415	(526)	245,889
Tuition Savings Program - Administration	388,916	(16,292)	372,624
Total - Treasury	4,666,238	766,361	5,432,599

State Retirement System

Restricted Receipts			
Admin Expenses - State Retirement System	13,193,967	(23,242)	13,170,725
Retirement - Treasury Investment Operations	2,846,571	191,370	3,037,941
Defined Contribution - Administration	277,654	(19,151)	258,503
Total - State Retirement System	16,318,192	148,977	16,467,169

Unclaimed Property

Restricted Receipts	3,338,043	32,855	3,370,898

Crime Victim Compensation

General Revenues	934,450	504	934,954
Federal Funds	467,993	0	467,993
Restricted Receipts	250,000	(29,751)	220,249

Total - Crime Victim Compensation	1,652,443	(29,247)	1,623,196
Grand Total - General Treasurer	25,974,916	918,946	26,893,862
Board of Elections			
General Revenues	4,474,931	506,347	4,981,278
Rhode Island Ethics Commission			
General Revenues	2,419,632	40,783	2,460,415
Office of Governor			
General Revenues			
General Revenues	9,184,918	34,593	9,219,511
Contingency Fund	150,000	0	150,000
Grand Total - Office of Governor	9,334,918	34,593	9,369,511
Commission for Human Rights			
General Revenues	2,249,158	36,699	2,285,857
Federal Funds	523,529	(25,306)	498,223
Grand Total - Commission for Human Rights	2,772,687	11,393	2,784,080
Public Utilities Commission			
Federal Funds	753,555	17,552	771,107
Restricted Receipts	14,754,719	142,294	14,897,013
Grand Total - Public Utilities Commission	15,508,274	159,846	15,668,120
Executive Office of Health and Human Services			
Central Management			
General Revenues			
General Revenues	32,413,726	496,315	32,910,041

Provided that of this amount, $900,000 will be for Mobile Response and Stabilization Services for uninsured and underinsured child and youth and cover services and costs not otherwise reimbursed. Also ~~$500,000 is for Thundermist's Family Residency Program contingent upon receiving federal funds and~~ $150,000 will be for an Olmstead Plan Coordinator.

H.R. 1 Preventive Health Care Provider Access Fund	0	1,000,000	1,000,000

Provided that funding is to be made available to health care providers ineligible for federal Medicaid reimbursement pursuant to Section 71113 of P.L. 119-21. Any unspent funds are automatically reappropriated to fiscal year 2027.

All-Payer Claims Database	509,950	31,160	541,110
Health System Planning and Oversight	777,260	(82,610)	694,650
Medicaid Enterprise System	1,873,838	(1,134,991)	738,847

Medicaid Management Information System	6,064,700	1,462,975	7,527,675
Unified Health Infrastructure Project	22,368,654	(7,286,326)	15,082,328
Federal Funds			
Federal Funds	70,793,907	5,655,677	76,449,584
All-Payer Claims Database	10,212,239	(2,718,244)	7,493,995
Health System Planning and Oversight	153,750	1,583,250	1,737,000
Medicaid Enterprise System	12,364,541	(5,714,922)	6,649,619
Medicaid Management Information System	19,566,585	7,657,041	27,223,626
Rural Health Transformation Program	0	5,649,573	5,649,573
Unified Health Infrastructure Project	56,336,615	(853,219)	55,483,396

Provided that of this amount, $960,784 shall be for statewide interagency initiatives to implement and support the community engagement requirements of the federal reconciliation bill known as H.R. 1, to be developed and administered in coordination with the Department of Human Services and the Department of Labor and Training, to the extent compliance with guidance from Centers for Medicare & Medicaid Services.

Federal Funds - State Fiscal Recovery Fund			
Certified Community Behavioral Health Clinics	205,295	1,703,127	1,908,422
Restricted Receipts			
Restricted Receipts	15,463,598	16,310,181	31,773,779
Unified Health Infrastructure Project	0	7,587,139	7,587,139
Total - Central Management	249,104,658	31,346,126	280,450,784
Medical Assistance			
General Revenues			
Managed Care	464,278,305	(12,453,741)	451,824,564
Hospitals	136,238,010	428,323	136,666,333
Nursing Facilities	204,266,507	(10,382,507)	193,884,000
Home and Community Based Services	125,703,952	984,048	126,688,000
Other Services	160,879,834	(27,090,071)	133,789,763
Pharmacy	100,069,654	(5,298,975)	94,770,679
Rhody Health	234,976,854	33,466,840	268,443,694
Federal Funds			
Managed Care	653,184,013	(15,008,577)	638,175,436
Hospitals	285,888,183	(6,154,515)	279,733,668
Nursing Facilities	273,055,474	(13,939,474)	259,116,000

Home and Community Based Services	168,075,434	1,236,566	169,312,000
Other Services	796,373,214	(50,318,972)	746,054,242
Pharmacy	4,130,346	(3,701,025)	429,321
Rhody Health	326,578,917	45,060,790	371,639,707
Other Programs	32,611,481	12,788,519	45,400,000
Restricted Receipts	11,021,948	(3,649,355)	7,372,593
Total - Medical Assistance	3,977,332,126	(54,032,126)	3,923,300,000
Grand Total – Executive Office of Health and Human Services	4,226,436,784	(22,686,000)	4,203,750,784

Children, Youth and Families

Central Management

General Revenues	17,937,159	2,411,228	20,348,387

The director of the department of children, youth and families shall provide to the speaker of the house and president of the senate at least every ninety (90) days beginning September 30, 2025, a report on the process to maintain accreditation in accordance with § 42-72-5.3. The report shall, at minimum, provide data regarding recruitment and retention efforts, including maintaining a diverse workforce, documentation of newly filled and vacated positions, and progress in reducing worker caseloads.

It shall also contain the number of filled full-time equivalent positions compared to the department's authorization and disaggregated by job classification, and as compared to the staffing recommended in the October 1, 2020 accreditation plan that was funded beginning in the fiscal year 2022 budget. The report shall also include information on turnover assumptions, expressed as funded positions compared to filled and authorized.

Federal Funds			
Federal Funds	15,237,654	6,321,923	21,559,577
Federal Funds – State Fiscal Recovery Fund			
Provider Workforce Stabilization	0	257,093	257,093
Total - Central Management	33,174,813	8,990,244	42,165,057

Children's Behavioral Health Services

General Revenues	7,109,636	1,963,945	9,073,581
Federal Funds			
Federal Funds	8,824,070	(440,778)	8,383,292
Federal Funds – State Fiscal Recovery Fund			
Psychiatric Residential Treatment Facility	0	225,495	225,495

Residential Treatment Facility	0	6,335,635	6,335,635
Total - Children's Behavioral Health Services	15,933,706	8,084,297	24,018,003
Youth Development Services			
General Revenues	25,678,366	1,811,657	27,490,023
Federal Funds	647,931	9,493	657,424
Restricted Receipts	1,500	(1,500)	0
Other Funds			
Rhode Island Capital Plan Funds			
Training School Asset Protection	250,000	323,459	573,459
Residential Treatment Facilities	11,000,000	9,168,000	20,168,000
Psychiatric Residential Treatment Facility Modifications	0	6,335,635	6,335,635
Total - Youth Development Services	37,577,797	17,646,744	55,224,541
Child Welfare			
General Revenues	211,849,897	(3,194,805)	208,655,092
Federal Funds	93,910,710	(3,525,445)	90,385,265
Restricted Receipts	1,743,471	127,133	1,870,604
Total - Child Welfare	307,504,078	(6,593,117)	300,910,961
Higher Education Incentive Grants			
General Revenues	200,000	0	200,000

Provided that these funds and any unexpended or unencumbered previous years' funding are to be used exclusively to fund awards to eligible youth.

Grand Total - Children, Youth and Families	394,390,394	28,128,168	422,518,562
Health			
Central Management			
General Revenues			
General Revenues	2,588,732	(588,634)	2,000,098

Of this amount, $50,000 is to support the Gloria Gemma Breast Cancer Resource Foundation and the organization's new survivorship and well-being center in Lincoln, RI.

Psychiatry Resource Network	750,000	123	750,123
Primary Care Training Sites Program	2,000,000	502,422	2,502,422

Provided that unexpended or unencumbered balances as of June 30, 2026 are hereby reappropriated to the following fiscal year.

Federal Funds	4,884,431	853,865	5,738,296
Restricted Receipts	22,233,391	5,787,392	28,020,783

Provided that the disbursement of any indirect cost recoveries on federal grants budgeted in this line item that are derived from grants authorized under The Coronavirus Preparedness and Response Supplemental Appropriations Act (P.L. 116-123); The Families First Coronavirus Response Act (P.L. 116-127); The Coronavirus Aid, Relief, and Economic Security Act (P.L. 116-136); The Paycheck Protection Program and Health Care Enhancement Act (P.L. 116-139); the Consolidated Appropriations Act, 2021 (P.L. 116-260); and the American Rescue Plan Act of 2021 (P.L. 117-2), are hereby subject to the review and prior approval of the director of management and budget. No obligation or expenditure of these funds shall take place without such approval.

Total - Central Management	32,456,554	6,555,168	39,011,722
Community Health and Equity			
General Revenues	2,051,358	718	2,052,076
Federal Funds	88,096,432	1,442,680	89,539,112
Restricted Receipts	67,695,968	(14,858,963)	52,837,005
Total - Community Health and Equity	157,843,758	(13,415,565)	144,428,193
Environmental Health			
General Revenues	6,836,896	403,097	7,239,993
Federal Funds	14,433,189	(843,484)	13,589,705
Restricted Receipts	1,104,785	53,291	1,158,076
Total - Environmental Health	22,374,870	(387,096)	21,987,774
Health Laboratories			
General Revenues	9,514,520	1,265,129	10,779,649
Federal Funds	2,666,663	225,700	2,892,363
Other Funds			
Rhode Island Capital Plan Funds			
Health Laboratories & Medical Examiner Equipment	400,000	550,736	950,736
New Health Laboratory Building	8,363,883	6,742,388	15,106,271
Total - Health Laboratories	20,945,066	8,783,953	29,729,019
State Medical Examiners			
General Revenues	4,521,784	(322,864)	4,198,920
Federal Funds	67,325	0	67,325
Total – State Medical Examiners	4,589,109	(322,864)	4,266,245

Healthcare Quality and Safety			
General Revenues	7,868,321	183,160	8,051,481
Federal Funds	6,746,561	788,639	7,535,200
Restricted Receipts	1,199,564	(152,271)	1,047,293
Total – Healthcare Quality and Safety	15,814,446	819,528	16,633,974
Policy, Information and Communications			
General Revenues	2,785,613	(139,025)	2,646,588

~~Provided that $200,000 of this amount and its corresponding federal match is used for loan repayment assistance specifically for primary care physicians and pediatricians through the Health Professional Loan Repayment Program authorized by § 23-14.1.~~

Federal Funds			
Federal Funds	5,593,898	145,097	5,738,995
Rural Health Transformation Program	0	2,345,713	2,345,713
Restricted Receipts	842,433	(42,630)	799,803
Total - Policy, Information and Communications	9,221,944	2,309,155	11,531,099
Emergency Preparedness and Infectious Disease			
General Revenues	1,907,851	(164,678)	1,743,173
Federal Funds	15,196,529	1,691,217	16,887,746
Total – Emergency Preparedness and Infectious Disease	17,104,380	1,526,539	18,630,919
COVID-19			
Federal Funds			
Federal Funds	15,176,647	2,384,012	17,560,659
Federal Funds – State Fiscal Recovery Fund			
COVID-19 Operational Support	0	229,342	229,342
Total – COVID-19	15,176,647	2,613,354	17,790,001
Grand Total - Health	295,526,774	8,482,172	304,008,946
Human Services			
Central Management			
General Revenues	8,050,831	(1,391,873)	6,658,958

Of this amount, $400,000 is to support the domestic violence prevention fund to provide direct services through the Coalition Against Domestic Violence, $25,000 for the Center for Southeast Asians, $450,000 to support Project Reach activities provided by the RI Alliance of Boys and Girls Clubs, $300,000 is for outreach and supportive services through Day One, $950,000 is for food collection and distribution through the Rhode Island Community Food Bank, $500,000 for services provided to the homeless at Crossroads Rhode Island, $600,000 for the Community Action Fund, $250,000 is for the Institute for the Study and Practice of Nonviolence's Reduction Strategy, $200,000 to provide operational support to the United Way's 211 system, $125,000 is to support services provided to the immigrant and refugee population through Higher Ground International, $50,000 is for services provided to refugees through the Refugee Dream Center and $150,000 for the Substance Use and Mental Health Leadership Council of RI.

The director of the department of human services shall provide to the speaker of the house, president of the senate, and chairs of the house and senate finance committees at least every sixty (60) days beginning August 1, 2022, a report on its progress in recruiting and retaining customer serving staff. The report shall include: documentation of newly filled and vacated positions, including lateral transfers, position titles, civil service information, including numbers of eligible and available candidates, plans for future testing and numbers of eligible and available candidates resulting from such testing, impacts on caseload backlogs and call center wait times, as well as other pertinent information as determined by the director.

Federal Funds	8,064,314	452,931	8,517,245

Of this amount, $3.0 million is to sustain Early Head Start and Head Start programs.

Restricted Receipts	300,000	1,060,207	1,360,207
Total - Central Management	16,415,145	121,265	16,536,410
Child Support Enforcement			
General Revenues	4,390,046	110,877	4,500,923
Federal Funds	10,229,053	(1,475,268)	8,753,785
Restricted Receipts	3,816,099	391,310	4,207,409
Total - Child Support Enforcement	18,435,198	(973,081)	17,462,117
Individual and Family Support			
General Revenues	35,143,366	(581,136)	34,562,230
Federal Funds			
Federal Funds	128,579,088	10,789,211	139,368,299
Federal Funds – State Fiscal Recovery Fund			
Child Care Support	0	1,004,309	1,004,309
Restricted Receipts	115,000	0	115,000
Other Funds			
Rhode Island Capital Plan Funds			

Blind Vending Facilities	165,000	0	165,000
Total - Individual and Family Support	164,002,454	11,212,384	175,214,838
Office of Veterans Services			
General Revenues	33,499,864	(538,599)	32,961,265

Of this amount, $200,000 is to provide support services through veterans' organizations, $50,000 is to support Operation Stand Down, and $100,000 is to support the Veterans Services Officers (VSO) program through the Veterans of Foreign Wars.

Federal Funds	15,752,830	1,624,289	17,377,119
Restricted Receipts	1,725,342	(393,921)	1,331,421
Other Funds			
Rhode Island Capital Plan Funds			
Veterans Home Asset Protection	665,000	442,224	1,107,224
Veterans Memorial Cemetery Asset Protection	300,000	415,003	715,003
Total - Office of Veterans Services	51,943,036	1,548,996	53,492,032
Health Care Eligibility			
General Revenues	10,511,087	513,511	11,024,598
Federal Funds	16,662,419	309,990	16,972,409
Total - Health Care Eligibility	27,173,506	823,501	27,997,007
Supplemental Security Income Program			
General Revenues	16,680,780	30,300	16,711,080
Rhode Island Works			
General Revenues	9,891,538	(10,142)	9,881,396
Federal Funds	109,225,738	(19,764,474)	89,461,264
Total - Rhode Island Works	119,117,276	(19,774,616)	99,342,660
Other Programs			
General Revenues	2,231,840	3,748,198	5,980,038
Federal Funds			
Federal Funds	382,432,873	(36,822,408)	345,610,465
Federal Funds – State Fiscal Recovery Fund			
Retail SNAP Incentives Pilot Program	0	1,350	1,350
Restricted Receipts	8,000	350,000	358,000
Total - Other Programs	384,672,713	(32,722,860)	351,949,853
Office of Healthy Aging			
General Revenues	15,623,340	(734,103)	14,889,237

Of this amount, $325,000 is to provide elder services, including respite, through the Diocese of Providence; $40,000 is for ombudsman services provided by the Alliance for Long Term Care in accordance with chapter 66.7 of title 42; and $1,600,000 is for Senior Services Support and $730,000 is for elderly nutrition, of which $680,000 is for Meals on Wheels.

Federal Funds	19,011,572	(626,688)	18,384,884
Restricted Receipts	46,200	138,068	184,268
Other Funds			
Intermodal Surface Transportation Fund	4,267,406	19,460	4,286,866

The Office shall reimburse the Rhode Island public transit authority for the elderly/disabled transportation program expenses no later than fifteen (15) days of the authority's submission of a request for payment.

Total - Office of Healthy Aging	38,948,518	(1,203,263)	37,745,255
Grand Total - Human Services	837,388,626	(40,937,374)	796,451,252

Behavioral Healthcare, Developmental Disabilities and Hospitals

Central Management

General Revenues	8,058,892	2,105,705	10,164,597
Federal Funds	2,631,491	(829,069)	1,802,422
Restricted Receipts	559,071	1,186,952	1,746,023
Total - Central Management	11,249,454	2,463,588	13,713,042

Services for the Developmentally Disabled

General Revenues	218,735,702	5,318,262	224,053,964

Provided that of this general revenue funding, an amount certified by the department shall be expended on certain community-based department of behavioral healthcare, developmental disabilities and hospitals (BHDDH) developmental disability private provider and self-directed consumer direct care service worker raises and associated payroll costs as authorized by BHDDH and to finance the new services rates implemented by BHDDH pursuant to the Consent Decree Addendum. Any increase for direct support staff and residential or other community-based setting must first receive the approval of BHDDH.

Provided further that of this general revenue funding, $928,200 shall be expended on a Transformation Fund to be used for I/DD integrated day activities and supported employment services, or which a total of $650,000 shall be expended specifically on those who self-direct for creation of regional service advisement models and pool of substitute staff. All unexpended or unencumbered balances of this designation at the end of the fiscal year shall be reappropriated to the ensuing fiscal year and made immediately available for the same purpose.

Federal Funds	286,950,145	2,998,425	289,948,570

Provided that of this federal funding, an amount certified by the department shall be expended on certain community-based department of behavioral healthcare, developmental disabilities and hospitals (BHDDH) developmental disability private provider and self-directed consumer direct care service worker raises and associated payroll costs as authorized by BHDDH and to finance the new services rates implemented by BHDDH pursuant to the Consent Decree Addendum. Any increase for direct support staff and residential or other community-based setting must first receive the approval of BHDDH.

Provided further that of this federal funding, $371,800 shall be expended on a Transformation Fund to be used for I/DD integrated day activities and supported employment services. All unexpended or unencumbered balances of this designation at the end of the fiscal year shall be reappropriated to the ensuing fiscal year and made immediately available for the same purpose.

Restricted Receipts	1,300,866	711,700	2,012,566
Other Funds			
Rhode Island Capital Plan Funds			
DD Residential Support	100,000	195,618	295,618
Total - Services for the Developmentally Disabled	507,086,713	9,224,005	516,310,718
Behavioral Healthcare Services			
General Revenues	4,817,486	397,689	5,215,175
Federal Funds			
Federal Funds	32,467,553	3,856,223	36,323,776

Provided that $250,000 from Social Services Block Grant funds is awarded to The Providence Center to coordinate with Oasis Wellness and Recovery Center for its support and services program offered to individuals with behavioral health issues.

Rural Health Transformation Program	0	452,647	452,647
Federal Funds – State Fiscal Recovery Fund			
9-8-8 Hotline	1,800,000	612,677	2,412,677
Crisis Intervention Trainings	0	1,217,506	1,217,506
Restricted Receipts	5,416,046	10,563,831	15,979,877

Provided that ~~$450,000~~ $486,850 from the opioid stewardship fund is distributed equally to the seven regional substance abuse prevention task forces to fund priorities determined by each Task Force.

Total - Behavioral Healthcare Services	44,501,085	17,100,573	61,601,658
Hospital and Community Rehabilitative Services			
General Revenues	53,723,206	10,266,909	63,990,115
Federal Funds	61,515,889	(11,466,581)	50,049,308
Restricted Receipts	4,634,700	889,515	5,524,215
Other Funds			
Rhode Island Capital Plan Funds			
Hospital Equipment	300,000	312,311	612,311
Total - Hospital and Community Rehabilitative Services	120,173,795	2,154	120,175,949
State of RI Psychiatric Hospital			
General Revenues	33,443,552	443,890	33,887,442
Restricted Receipts	144,000	0	144,000
Other Funds			
Rhode Island Capital Plan Funds			
RISPH Equipment	100,000	0	100,000
Total - State of RI Psychiatric Hospital	33,687,552	443,890	34,131,442
Grand Total - Behavioral Healthcare, Developmental Disabilities and Hospitals	716,698,599	29,234,210	745,932,809
Office of the Child Advocate			
General Revenues	2,264,613	(79,603)	2,185,010
Commission on the Deaf and Hard of Hearing			
General Revenues	786,233	(18,570)	767,663
Restricted Receipts	142,921	66,368	209,289
Grand Total - Comm. On Deaf and Hard-of-Hearing	929,154	47,798	976,952
Governor's Commission on Disabilities			
General Revenues			
General Revenues	870,754	24,087	894,841
Livable Home Modification Grant Program	515,278	585,533	1,100,811

Provided that this will be used for home modification and accessibility enhancements to construct, retrofit, and/or renovate residences to allow individuals to remain in community settings. This will be in consultation with the executive office of health and human services. All unexpended or unencumbered balances, at the end of the fiscal year, shall be reappropriated to the ensuing fiscal year, and made immediately available for the same purpose.

Federal Funds	340,067	25	340,092
Restricted Receipts	79,943	(12,753)	67,190
Grand Total - Governor's Commission on Disabilities	1,806,042	596,892	2,402,934

Office of the Mental Health Advocate

General Revenues	1,117,164	(184,723)	932,441

Elementary and Secondary Education

Administration of the Comprehensive Education Strategy

General Revenues	34,222,798	4,978,723	39,201,521

Provided that $90,000 be allocated to support the hospital school at Hasbro Children's Hospital pursuant to § 16-7-20; $395,000 be allocated to support child opportunity zones through agreements with the department of elementary and secondary education to strengthen education, health and social services for students and their families as a strategy to accelerate student achievement; $450,000 and 3.0 full-time equivalent positions be allocated to support a special education function to facilitate individualized education program (IEP) and 504 services; and further provided that $130,000 be allocated to City Year for the Whole School Whole Child Program, which provides individualized support to at-risk students; and further provided that all unexpended or unencumbered balances as of June 30, 2026, relating to the Learn365RI program are hereby reappropriated to the following fiscal year.

Provided further that of this amount, $1,860,000 is allocated toward a special education settlement to provide compensatory special education services, related administrative costs, and attorneys' fees pursuant to a legal settlement authorized by the Rhode Island board of education, of which all unexpended or unencumbered balances at the end of the fiscal year shall be reappropriated to the ensuing fiscal year and made immediately available for the same purpose until the requirements of the settlement agreement have been satisfied.

Federal Funds

Federal Funds	255,593,813	15,223,355	270,817,168

Provided that $684,000 from the department's administrative share of Individuals with Disabilities Education Act funds be allocated to the Paul V. Sherlock Center on Disabilities to support the Rhode Island Vision Education and Services Program.

Rural Health Transformation Program	0	1,051,421	1,051,421
Federal Funds – State Fiscal Recovery Fund			
Adult Education Providers	128,373	1,410,989	1,539,362

Out of School Time Education Providers	0	2,047,238	2,047,238
Restricted Receipts			
Restricted Receipts	1,724,551	410,348	2,134,899
HRIC Adult Education Grants	3,500,000	0	3,500,000
Total - Admin. of the Comprehensive Ed. Strategy	295,169,535	25,122,074	320,291,609
Davies Career and Technical School			
General Revenues	18,532,152	951,765	19,483,917
Federal Funds	924,285	312,154	1,236,439
Restricted Receipts	5,471,394	151,212	5,622,606
Other Funds			
Rhode Island Capital Plan Funds			
Davies School HVAC	50,000	151,286	201,286
Davies School Asset Protection	750,000	149,614	899,614
Davies School Healthcare Classroom Renovations	6,911,727	(6,911,727)	0
Davies School Wing Renovation	34,515,423	(25,892,838)	8,622,585
Total - Davies Career and Technical School	67,154,981	(31,088,534)	36,066,447
RI School for the Deaf			
General Revenues	8,809,938	19,673	8,829,611
Federal Funds	271,830	(46,465)	225,365
Restricted Receipts	1,097,000	505,000	1,602,000
Other Funds			
Rhode Island Capital Plan Funds			
School for the Deaf Asset Protection	100,000	311,780	411,780
Total - RI School for the Deaf	10,278,768	789,988	11,068,756
Metropolitan Career and Technical School			
General Revenues	12,966,926	0	12,966,926
Other Funds			
Rhode Island Capital Plan Funds			
MET School Asset Protection	250,000	1,971,348	2,221,348
Total - Metropolitan Career and Technical School	13,216,926	1,971,348	15,188,274
Education Aid			

General Revenues	1,272,230,353	42,542	1,272,272,895

Provided that the criteria for the allocation of early childhood funds shall prioritize pre-kindergarten seats and classrooms for four-year-olds whose family income is at or below one hundred eighty-five percent (185%) of federal poverty guidelines and who reside in communities with higher concentrations of low performing schools.

Restricted Receipts	38,952,936	9,630,716	48,583,652
Total - Education Aid	1,311,183,289	9,673,258	1,320,856,547
Central Falls School District			
General Revenues	54,567,882	0	54,567,882
School Construction Aid			
General Revenues			
School Housing Aid	119,887,755	(5,868,581)	114,019,174
Teachers' Retirement			
General Revenues	137,991,006	(4,390,928)	133,600,078
Grand Total - Elementary and Secondary Education	2,009,450,142	(3,791,375)	2,005,658,767
Public Higher Education			
Office of Postsecondary Commissioner			
General Revenues	33,322,291	(449,285)	32,873,006

Provided that $455,000 shall be allocated to Onward We Learn pursuant to § 16-70-5, $75,000 shall be allocated to Best Buddies Rhode Island to support its programs for children with developmental and intellectual disabilities. It is also provided that ~~$7,367,460~~ $7,536,773 shall be allocated to the Rhode Island promise scholarship program; $151,410 shall be used to support Rhode Island's membership in the New England Board of Higher Education; ~~$5,476,723~~ $4,971,825 shall be allocated to the Rhode Island hope scholarship program; and $100,000 shall be allocated to the Rhode Island School for Progressive Education to support access to higher education opportunities for teachers of color.

Federal Funds			
Federal Funds	5,582,208	(212,342)	5,369,866
Guaranty Agency Administration	60,000	0	60,000
Federal Funds - State Fiscal Recovery Fund			
Fresh Start Scholarship	0	1,199,287	1,199,287
RI Reconnect	0	4,600,385	4,600,385
RIC Cybersecurity Center	0	475,006	475,006

Restricted Receipts			
Restricted Receipts	8,383,189	(65,235)	8,317,954
Tuition Savings Program - Scholarships and Grants	3,400,000	0	3,400,000
Other Funds			
Nursing Education Center - Operating	3,295,810	69,836	3,365,646
Rhode Island Capital Plan Funds			
WEC Expansion - Annex Site	1,220,000	(820,000)	400,000
Total - Office of Postsecondary Commissioner	55,263,498	4,797,652	60,061,150

University of Rhode Island

General Revenues			
General Revenues	115,308,021	(68,907)	115,239,114

Provided that in order to leverage federal funding and support economic development, $700,000 shall be allocated to the small business development center, $125,000 shall be allocated to the Institute for Labor Studies & Research, $50,000 shall be allocated to Special Olympics Rhode Island to support its mission of providing athletic opportunities for individuals with intellectual and developmental disabilities, and $874,069 shall be used to support programming related to career readiness, career placement, internships, and work-based learning.

Debt Service	31,526,482	3,228,750	34,755,232
RI State Forensics Laboratory	1,803,420	0	1,803,420
Other Funds			
University and College Funds	847,374,010	(1,497,801)	845,876,209
Debt - Dining Services	781,957	4,070	786,027
Debt - Education and General	5,076,811	(700)	5,076,111
Debt - Health Services	16,032	(50)	15,982
Debt - Housing Loan Funds	13,863,455	24,359	13,887,814
Debt - Memorial Union	758,853	1,792	760,645
Debt - Ryan Center	2,888,322	(511,944)	2,376,378
Debt - Parking Authority	889,077	(79,798)	809,279
URI Restricted Debt Service - Energy Conservation	536,169	0	536,169
URI Debt Service - Energy Conservation	1,956,906	0	1,956,906
Rhode Island Capital Plan Funds			

Asset Protection	14,606,536	3,313,057	17,919,593
Mechanical, Electric, and Plumbing Improvements	7,293,838	(1,989,199)	5,304,639
Fire Protection Academic Buildings	1,641,903	1,789,836	3,431,739
Bay Campus	8,146,722	(43,200)	8,103,522
Athletics Complex	33,942,707	3,377,715	37,320,422

Provided that total Rhode Island capital plan funds provide no more than 80.0 percent of the total project.

Stormwater Management	4,252,678	(1,048,324)	3,204,354
PFAS Removal Water Treatment Plant	13,759,400	(13,509,400)	250,000
Campus Accessibility	2,300,000	0	2,300,000
Building Envelope Improvements	3,000,000	0	3,000,000
Total - University of Rhode Island	1,111,723,299	(7,009,744)	1,104,713,555

Notwithstanding the provisions of § 35-3-15, all unexpended or unencumbered balances as of June 30, 2026 relating to the university of Rhode Island are hereby reappropriated to fiscal year 2027.

Rhode Island College

General Revenues

General Revenues	70,714,722	(95,387)	70,619,335

Provided that $464,377 shall be used to support programming related to career readiness, career placement, internships, and work-based learning.

Debt Service	7,933,336	796,740	8,730,076
Rhode Island Vision Education and Services Program	1,800,000	0	1,800,000
Other Funds			
University and College Funds	120,309,539	5,949,928	126,259,467
Debt - Education and General	1,478,585	(762,376)	716,209
Debt - Student Union	212,200	0	212,200
Debt - G.O. Debt Service	1,585,353	0	1,585,353
Debt - Energy Conservation	762,375	0	762,375
Rhode Island Capital Plan Funds			
Asset Protection	5,950,000	5,136,325	11,086,325
Infrastructure Modernization	5,675,000	6,172,208	11,847,208
Phase IV: Whipple Hall	0	500,000	500,000

Total - Rhode Island College	216,421,110	17,697,438	234,118,548

Notwithstanding the provisions of § 35-3-15, all unexpended or unencumbered balances as of June 30, 2026, relating to Rhode Island college are hereby reappropriated to fiscal year 2027.

Community College of Rhode Island

General Revenues			
General Revenues	63,740,346	555,615	64,295,961

Provided that $391,175 shall be used to support programming related to career readiness, career placement, internships, and work-based learning.

Debt Service	1,097,898	(5,760)	1,092,138
Restricted Receipts	953,442	15,333	968,775
Other Funds			
University and College Funds	114,885,691	4,564,291	119,449,982
Rhode Island Capital Plan Funds			
Asset Protection	3,469,452	1,222,758	4,692,210
Data, Cabling, and Power Infrastructure	5,750,000	(5,000,000)	750,000
Flanagan Campus Renovations	3,200,000	(1,700,000)	1,500,000
CCRI Renovation and Modernization Phase I	15,000,000	(1,250,000)	13,750,000
CCRI Renovation and Modernization Phase II - IV	6,100,000	(5,600,000)	500,000
CCRI Accessibility Improvements	290,000	10,000	300,000
Total - Community College of RI	214,486,829	(7,187,763)	207,299,066

Notwithstanding the provisions of § 35-3-15, all unexpended or unencumbered balances as of June 30, 2026, relating to the community college of Rhode Island are hereby reappropriated to fiscal year 2027.

Grand Total - Public Higher Education	1,597,894,736	8,297,583	1,606,192,319

RI State Council on the Arts

General Revenues			
Operating Support	1,224,685	1,443	1,226,128
Grants	1,190,000	0	1,190,000

Provided that $400,000 be provided to support the operational costs of WaterFire Providence art installations.

Federal Funds	1,022,711	70,862	1,093,573
Restricted Receipts	115,058	(115,058)	0

Other Funds			
Art for Public Facilities	690,000	11,000	701,000
Grand Total - RI State Council on the Arts	4,242,454	(31,753)	4,210,701
RI Atomic Energy Commission			
General Revenues	1,278,282	3,909	1,282,191
Federal Funds	0	7,936	7,936
Restricted Receipts	25,036	10,000	35,036
Other Funds			
URI Sponsored Research	361,177	(33,093)	328,084
Rhode Island Capital Plan Funds			
Asset Protection	50,000	7,966	57,966
Grand Total - RI Atomic Energy Commission	1,714,495	(3,282)	1,711,213
RI Historical Preservation and Heritage Commission			
General Revenues	1,969,751	(152,718)	1,817,033

Provided that $30,000 support the operational costs of the Fort Adams Trust's restoration activities and that $25,000 shall be allocated to Rhode Island Slave History Medallions.

Federal Funds	822,451	(15,198)	807,253
Restricted Receipts	511,827	0	511,827
Other Funds			
RIDOT Project Review	144,602	(4,202)	140,400
Rhode Island Capital Plan Funds			
Archaeological Collection Facility	0	50,000	50,000
Grand Total - RI Historical Preservation and Heritage Comm.	3,448,631	(122,118)	3,326,513

Attorney General

Criminal			
General Revenues	23,147,524	643,171	23,790,695
Federal Funds	3,404,012	(215,563)	3,188,449
Restricted Receipts	2,096,085	(143,314)	1,952,771
Total - Criminal	28,647,621	284,294	28,931,915
Civil			
General Revenues	7,301,706	(856,568)	6,445,138
Federal Funds	100,000	25,553	125,553

Restricted Receipts	4,724,238	49,076	4,773,314
Total - Civil	12,125,944	(781,939)	11,344,005
Bureau of Criminal Identification			
General Revenues	2,440,742	26,983	2,467,725
Federal Funds	64,547	(30,000)	34,547
Restricted Receipts	1,329,498	607,284	1,936,782
Total - Bureau of Criminal Identification	3,834,787	604,267	4,439,054
General			
General Revenues	5,354,455	331,878	5,686,333
Other Funds			
Rhode Island Capital Plan Funds			
Building Renovations and Repairs	2,525,000	(2,525,000)	0
Total - General	7,879,455	(2,193,122)	5,686,333
Grand Total - Attorney General	52,487,807	(2,086,500)	50,401,307
Corrections			
Central Management			
General Revenues	24,875,748	765,443	25,641,191
Federal Funds	0	177,680	177,680
Total – Central Management	24,875,748	943,123	25,818,871
Parole Board			
General Revenues	1,673,257	(61,155)	1,612,102
Custody and Security			
General Revenues	182,260,831	1,315,196	183,576,027
Federal Funds	1,371,846	200,245	1,572,091
Other Funds			
Rhode Island Capital Plan Funds			
Intake Service Center HVAC	27,818,335	(19,277,223)	8,541,112
Total - Custody and Security	211,451,012	(17,761,782)	193,689,230
Institutional Support			
General Revenues	40,099,600	1,123,674	41,223,274
Other Funds			
Rhode Island Capital Plan Funds			
Asset Protection	8,277,650	2,100,000	10,377,650
Correctional Facilities – Renovations	3,179,677	(3,179,677)	0

Total - Institutional Support	51,556,927	43,997	51,600,924
Institutional Based Rehab/Population Management			
General Revenues	15,027,101	(468,665)	14,558,436

Provided that $1,050,000 be allocated to Crossroads Rhode Island for sex offender discharge planning.

The director of the department of corrections shall provide to the speaker of the house and president of the senate at least every ninety (90) days beginning September 1, 2022, a report on efforts to modernize the correctional industries program. The report shall, at minimum, provide data on the past ninety (90) days regarding program participation; changes made in programming to more closely align with industry needs; new or terminated partnerships with employers, nonprofits, and advocacy groups; current program expenses and revenues; and the employment status of all persons on the day of discharge from department care who participated in the correctional industries program.

Federal Funds	386,256	391,550	777,806
Restricted Receipts	1,300,000	193,379	1,493,379
Total - Institutional Based Rehab/Population Mgt.	16,713,357	116,264	16,829,621
Healthcare Services			
General Revenues	37,051,880	3,124,127	40,176,007
Community Corrections			
General Revenues	23,026,186	(316,473)	22,709,713
Federal Funds	0	47,814	47,814
Restricted Receipts	3,091	(604)	2,487
Total - Community Corrections	23,029,277	(269,263)	22,760,014
Grand Total - Corrections	366,351,458	(13,864,689)	352,486,769
Judiciary			
Supreme Court			
General Revenues			
General Revenues	36,665,481	1,811,372	38,476,853

Provided however, that no more than $1,430,073 in combined total shall be offset to the public defender’s office, the attorney general’s office, the department of corrections, the department of children, youth and families, and the department of public safety for square-footage occupancy costs in public courthouses and further provided that $500,000 be allocated to the Rhode Island Coalition Against Domestic Violence for the domestic abuse court advocacy project pursuant to §

12-29-7 and that $90,000 be allocated to Rhode Island Legal Services, Inc. to provide housing and eviction defense to indigent individuals.

Defense of Indigents	7,875,432	(20,000)	7,855,432
Federal Funds	205,395	(74,085)	131,310
Restricted Receipts	4,312,243	(59,477)	4,252,766
Other Funds			
Rhode Island Capital Plan Funds			
Judicial Complexes - HVAC	500,000	5,885	505,885
Judicial Complexes Asset Protection	1,500,000	22,618	1,522,618
Judicial Complexes Fan Coil Unit Replacements	500,000	3,082	503,082
Garrahy Courthouse Restoration	1,125,000	18,183	1,143,183
Total - Supreme Court	52,683,551	1,707,578	54,391,129
Judicial Tenure and Discipline			
General Revenues	188,686	89	188,775
Superior Court			
General Revenues	30,216,228	66,823	30,283,051
Restricted Receipts	325,000	0	325,000
Total - Superior Court	30,541,228	66,823	30,608,051
Family Court			
General Revenues	29,167,951	66,679	29,234,630
Federal Funds	5,392,549	(421,847)	4,970,702
Total - Family Court	34,560,500	(355,168)	34,205,332
District Court			
General Revenues	17,697,776	73,018	17,770,794
Federal Funds	696,951	(374,123)	322,828
Restricted Receipts	60,000	0	60,000
Total - District Court	18,454,727	(301,105)	18,153,622
Traffic Tribunal			
General Revenues	11,704,985	36,532	11,741,517
Workers' Compensation Court			
Restricted Receipts	11,090,756	(7,217)	11,083,539
Grand Total - Judiciary	159,224,433	1,147,532	160,371,965

Military Staff

General Revenues	3,424,058	84,034	3,508,092
Federal Funds	28,982,412	38,849,854	67,832,266
Restricted Receipts			
RI Military Family Relief Fund	55,000	0	55,000
RING Counterdrug Program	11,000	0	11,000
Other Funds			
Rhode Island Capital Plan Funds			
Aviation Readiness Center	4,538,673	(4,020,059)	518,614
Asset Protection	2,564,675	(192,808)	2,371,867
Quonset Airport Runway Reconstruction	446,663	380,922	827,585
Counter-Drug Training Facility	1,025,250	1,558,558	2,583,808
Squadron Ops Facility (Air Guard)	600,000	0	600,000
Quonset Air National Guard HQ Facility	0	1,893,948	1,893,948
Grand Total - Military Staff	41,647,731	38,554,449	80,202,180

Public Safety

Central Management

General Revenues	1,899,154	9,487,402	11,386,556

Provided that ~~$400,000~~ $558,089 shall be allocated to support the Family Service of Rhode Island's GO Team program of on-scene support to children who are victims of violence and other traumas. It is also provided that $9,047,396 shall be allocated as the state contribution for the statewide body-worn camera program, subject to all program and reporting rules, regulations, policies, and guidelines prescribed in the Rhode Island General Laws. Notwithstanding the provision of § 35-3-15 of the general laws, all unexpended or unencumbered balances as of June 30, 2026 from this appropriation are hereby reappropriated to fiscal year 2027.

Federal Funds			
Federal Funds	18,479,969	(4,076,435)	14,403,534
Federal Funds – State Fiscal Recovery Fund			
Support for Survivors of Domestic Violence	29,753	4,501,250	4,531,003
Restricted Receipts	738,584	220,244	958,828
Total - Central Management	21,147,460	10,132,461	31,279,921

E-911 Emergency Telephone System

Restricted Receipts	10,730,138	243,942	10,974,080

Security Services

General Revenues	33,685,555	(2,679,484)	31,006,071

Municipal Police Training Academy			
General Revenues	349,440	16,020	365,460
Federal Funds	417,455	71,773	489,228
Total - Municipal Police Training Academy	766,895	87,793	854,688
State Police			
General Revenues	96,907,970	1,632,633	98,540,603
Federal Funds	8,126,146	2,732,983	10,859,129
Restricted Receipts	2,845,158	0	2,845,158
Other Funds			
Airport Corporation Assistance	151,310	(540)	150,770
Road Construction Reimbursement	3,355,100	2,200,000	5,555,100
Weight and Measurement Reimbursement	402,401	226,281	628,682
Rhode Island Capital Plan Funds			
DPS Asset Protection	1,205,000	1,911,587	3,116,587
Southern Barracks	16,750,000	12,243,957	28,993,957
Training Academy Upgrades	1,550,000	325,148	1,875,148
Statewide Communications System Network	245,048	0	245,048
Total - State Police	131,538,133	21,272,049	152,810,182
Grand Total - Public Safety	197,868,181	29,056,761	226,924,942
Office of Public Defender			
General Revenues	18,178,679	11,095	18,189,774
Federal Funds	85,035	0	85,035
Grand Total - Office of Public Defender	18,263,714	11,095	18,274,809
Emergency Management Agency			
General Revenues	7,457,256	186,926	7,644,182

Provided that of this general revenue amount, $250,000 is to be used to cover security expenses incurred by state agencies associated with the FIFA 2026 World Cup that would not be reimbursed by other available funding sources. All unexpended or unencumbered balances of this designation, as of June 30, 2026, shall be reappropriated to the ensuing fiscal year and made immediately available for the same purpose.

Federal Funds	34,906,616	12,840,348	47,746,964
Restricted Receipts	428,308	213,109	641,417
Other Funds			
Rhode Island Capital Plan Funds			

RI Statewide Communications Infrastructure	315,404	85,162	400,566
RI Statewide Communications Network Tower	550,000	0	550,000
State Emergency Ops Center	0	64,000	64,000
Grand Total - Emergency Management Agency	43,657,584	13,389,545	57,047,129

Environmental Management

Office of the Director

General Revenues	9,446,875	(127,764)	9,319,111

Of this general revenue amount, $180,000 is appropriated to the conservation districts and $100,000 is appropriated to the Wildlife Rehabilitators Association of Rhode Island for a veterinarian at the Wildlife Clinic of Rhode Island.

Federal Funds	354,975	329,383	684,358
Restricted Receipts	5,930,220	1,150,812	7,081,032
Total - Office of the Director	15,732,070	1,352,431	17,084,501

Natural Resources

General Revenues	32,325,750	1,619,333	33,945,083

Provided that of this general revenue amount, $150,000 is to be used for marine mammal response activities in conjunction with matching federal funds.

Federal Funds	31,528,201	264,097	31,792,298
Restricted Receipts	6,185,022	721,371	6,906,393
Other Funds			
DOT Recreational Projects	762,000	26,547	788,547
Blackstone Bike Path Design	1,000,000	0	1,000,000
Rhode Island Capital Plan Funds			
Dam Repair	6,815,000	(6,422,589)	392,411
Fort Adams Rehabilitation	500,000	216,595	716,595
Port of Galilee	20,500,000	(5,779,101)	14,720,899
Newport Pier Upgrades	500,000	(385,000)	115,000
Recreation Facilities Asset Protection	750,000	0	750,000
Recreational Facilities Improvements	2,900,000	4,735,607	7,635,607
Natural Resources Office and Visitor's Center	1,836,709	(1,602,632)	234,077
Fish & Wildlife Maintenance Facilities	200,000	19,291	219,291
Marine Infrastructure/Pier Development	700,000	752,413	1,452,413
Total - Natural Resources	106,502,682	(5,834,068)	100,668,614

Environmental Protection			
General Revenues	16,607,743	219,983	16,827,726
Federal Funds	12,825,343	2,885,397	15,710,740
Restricted Receipts	12,660,382	62,782	12,723,164
Other Funds			
Transportation MOU	95,967	(35,866)	60,101
Total - Environmental Protection	42,189,435	3,132,296	45,321,731
Grand Total - Environmental Management	164,424,187	(1,349,341)	163,074,846
Coastal Resources Management Council			
General Revenues	3,904,812	269,201	4,174,013
Federal Funds	3,331,166	(222,509)	3,108,657
Restricted Receipts	624,768	(288,957)	335,811
Other Funds			
Rhode Island Capital Plan Funds			
South Coast Restoration Project	7,000,000	0	7,000,000
Pawcatuck Resiliency Elevation Study	0	50,000	50,000
Grand Total - Coastal Resources Mgmt.			
Council	14,860,746	(192,265)	14,668,481
Transportation			
Central Management			
Federal Funds	13,777,360	91,840	13,869,200
Other Funds			
Gasoline Tax	9,004,830	(1,279,968)	7,724,862
Total - Central Management	22,782,190	(1,188,128)	21,594,062
Management and Budget			
Other Funds			
Gasoline Tax	3,839,065	1,635,875	5,474,940
Infrastructure Engineering			
Federal Funds			
Federal Funds	460,804,783	107,101,455	567,906,238
Federal Funds – State Fiscal Recovery Fund			
Municipal Roads Grant Program	0	11,421,717	11,421,717
Washington Bridge Project	0	16,895,328	16,895,328
Restricted Receipts	6,066,037	(4,166,072)	1,899,965

Other Funds

Gasoline Tax	88,272,135	(7,045,921)	81,226,214

Provided that of this amount, $6,500,000 is appropriated to the Municipal Roads Grant Program known as RhodeRestore to provide funding to municipalities for the construction and maintenance of roads, sidewalks, and bridges. Provided that twenty-five percent (25%) of the funds shall be distributed equally to each city and town, and seventy-five percent (75%) shall be allocated proportionally based on each municipality's share of municipally maintained road miles, as determined by the most recent data available from the Rhode Island department of transportation. Provided further that each municipality is required to provide a sixty-seven percent (67%) match.

Provided that of this amount, sufficient funds from the Rhode Island public transit authority's share of gasoline tax proceeds shall be allocated to the state paratransit program, including the expansion pilot program known as ride anywhere to ensure statewide paratransit services are maintained.

Land Sale Revenue	6,239,422	(135,005)	6,104,417
Tolling Revenue	10,000,000	(10,000,000)	0
Rhode Island Capital Plan Funds			
Highway Improvement Program	115,617,814	(2,047,814)	113,570,000
Bike Path Asset Protection	400,000	0	400,000
RIPTA - Land and Buildings	6,905,927	(3,773,544)	3,132,383
RIPTA - Pawtucket/Central Falls Bus Hub			
Passenger Facility	1,500,000	690,534	2,190,534
RIPTA - Providence High-Capacity Transit			
Corridor Study	90,000	103,368	193,368
RIPTA - Kingston Station Mobility Hub	0	300,000	300,000
RIPTA - Pawtucket Bus Hub	0	126,000	126,000
Total - Infrastructure Engineering	695,896,118	109,470,046	805,366,164

Infrastructure Maintenance

Other Funds

Gasoline Tax	41,781,096	13,287,722	55,068,818

The department of transportation will establish a municipal roadway database, which will include information concerning the name, condition, length, roadway infrastructure, and pedestrian features of each municipal roadway, updated annually by municipalities. The database will serve as a comprehensive and transparent list of municipal roadway conditions.

Rhode Island Highway Maintenance

Account	114,037,366	190,370,938	304,408,304
Rhode Island Capital Plan Funds			
Maintenance Capital Equipment Replacement	1,800,000	1,858,569	3,658,569
Maintenance Facilities Improvements	859,756	362,407	1,222,163
Welcome Center	150,000	397,183	547,183
Salt Storage Facilities	1,150,000	(36,338)	1,113,662
Train Station Asset Protection	500,000	1,024,237	1,524,237
Total - Infrastructure Maintenance	160,278,218	207,264,718	367,542,936
Grand Total - Transportation	882,795,591	317,182,511	1,199,978,102
Statewide Totals			
General Revenues	5,809,363,121	28,143,725	5,837,506,846
Federal Funds	5,108,485,986	346,082,639	5,454,568,625
Restricted Receipts	458,544,467	91,837,535	550,382,002
Other Funds	2,959,985,019	268,416,806	3,228,401,825
Statewide Grand Total	14,336,378,593	734,480,705	15,070,859,298

SECTION 2. Each line appearing in section 1 of this article shall constitute an appropriation.

SECTION 3. The general assembly authorizes the state controller to establish the internal service accounts shown below, and no other, to finance and account for the operations of state agencies that provide services to other agencies, institutions and other governmental units on a cost reimbursed basis. The purpose of these accounts is to ensure that certain activities are managed in a businesslike manner; promote efficient use of services by making agencies pay the full costs associated with providing the services; and allocate the costs of central administrative services across all fund types, so that federal and other non-general fund programs share in the costs of general government support. The controller is authorized to reimburse these accounts for the cost of work or services performed for any other department or agency subject to the following expenditure limitations:

Account	Expenditure Limit		
	FY 2026	**FY 2026**	**FY 2026**
	Enacted	**Change**	**FINAL**
State Assessed Fringe Benefit Internal Service Fund	37,255,808	94,704	37,350,512
Administration Central Utilities Internal Service Fund	30,366,642	0	30,366,642

State Central Mail Internal Service Fund	9,020,425	(835)	9,019,590
State Telecommunications Internal Service Fund	3,426,061	3,173	3,429,234
State Automotive Fleet Internal Service Fund	21,610,397	14,815	21,625,212
Surplus Property Internal Service Fund	44,789	0	44,789
Health Insurance Internal Service Fund	272,933,573	69,971,421	342,904,994
Other Post-Employment Benefits Fund	63,854,008	(23,438,854)	40,415,154
Capitol Police Internal Service Fund	1,659,403	188,969	1,848,372
Corrections Central Distribution Center Internal Service Fund	8,679,440	79,813	8,759,253
Correctional Industries Internal Service Fund	8,477,292	52,361	8,529,653
Secretary of State Record Center Internal Service Fund	1,231,684	(76,237)	1,155,447
Human Resources Internal Service Fund	18,711,878	(233,544)	18,478,334
DCAMM Facilities Internal Service Fund	40,492,965	40,486	40,533,451
Information Technology Internal Service Fund	70,587,805	102,554	70,690,359

SECTION 4. Departments and agencies listed below may not exceed the number of full-time equivalent (FTE) positions shown below in any pay period. Full-time equivalent positions do not include limited period positions or, seasonal or intermittent positions whose scheduled period of employment does not exceed twenty-six consecutive weeks or whose scheduled hours do not exceed nine hundred and twenty-five (925) hours, excluding overtime, in a one-year period. Nor do they include individuals engaged in training, the completion of which is a prerequisite of employment. Provided, however, that the governor or designee, speaker of the house of representatives or designee, and the president of the senate or designee may authorize an adjustment to any limitation. Prior to the authorization, the state budget officer shall make a detailed written recommendation to the governor, the speaker of the house, and the president of the senate. A copy of the recommendation and authorization to adjust shall be transmitted to the chairman of the house finance committee, senate finance committee, the house fiscal advisor, and the senate fiscal advisor.

State employees whose funding is from non-state general revenue funds that are time limited shall receive limited term appointment with the term limited to the availability of non-state general revenue funding source.

FY 2026 FTE POSITION AUTHORIZATION

Departments and Agencies	**Full-Time Equivalent**

Administration	~~684.6~~ 683.6

Provided that no more than 434.1 of the total authorization would be limited to positions that support internal service fund programs.

Office of Energy Resources	17.0
Business Regulation	~~155.0~~ 157.0
Rhode Island Cannabis Control Commission	26.0
Executive Office of Commerce	5.0
Housing	38.0
Labor and Training	461.7
Revenue	605.5
Legislature	298.5
Office of the Lieutenant Governor	8.0
Office of the Secretary of State	62.0
Office of the General Treasurer	92.0
Board of Elections	13.0
Rhode Island Ethics Commission	12.0
Office of the Governor	45.0
Commission for Human Rights	15.0
Public Utilities Commission	57.0
Executive Office of Health and Human Services	~~243.0~~ 248.0
Children, Youth and Families	~~713.5~~ 719.5
Health	572.6
Human Services	~~779.0~~ 789.0
Office of Veterans Services	267.0
Office of Healthy Aging	33.0
Behavioral Healthcare, Developmental Disabilities and Hospitals	~~1,223.4~~ 1,225.4

Provided that 18.0 of the total authorization would be limited to independent facilitators positions to comply with the Consent Decree Addendum.

Office of the Child Advocate	13.0
Commission on the Deaf and Hard of Hearing	4.0
Governor's Commission on Disabilities	5.0
Office of the Mental Health Advocate	6.0
Elementary and Secondary Education	156.1

Provided that 3.0 of the total authorization would be available only for positions that are supported by the healthy environments advance learning grant at the school building authority.

School for the Deaf	61.0
Davies Career and Technical School	125.0
Office of Postsecondary Commissioner	48.0

Provided that 1.0 of the total authorization would be available only for positions that are supported by third-party funds, 12.0 would be available only for positions at the state's higher education centers located in Woonsocket and Westerly, 10.0 would be available only for positions at the nursing education center, and 9.0 would be available for the longitudinal data systems program.

University of Rhode Island	2,671.0

Provided that 378.8 of the total authorization would be available only for positions that are supported by third-party funds, and 424.5 would be available only for positions that support auxiliary operations.

Rhode Island College	949.2

Provided that 76.0 of the total authorization would be available only for positions that are supported by third-party funds.

Community College of Rhode Island	849.1

Provided that 89.0 of the total authorization would be available only for positions that are supported by third-party funds.

Rhode Island State Council on the Arts	10.0
RI Atomic Energy Commission	8.6
Historical Preservation and Heritage Commission	15.6
Office of the Attorney General	268.1
Corrections	1,461.0
Judicial	749.3
Military Staff	93.0
Emergency Management Agency	38.0
Public Safety	~~634.0~~ 635.0
Office of the Public Defender	104.0
Environmental Management	439.0
Coastal Resources Management Council	32.0
Transportation	755.0
Total	~~15,921.8~~ 15,946.8

No agency or department may employ contracted employee services where contract employees would work under state employee supervisors without determination of need by the director of administration acting upon positive recommendations by the budget officer and the personnel administrator and fifteen (15) days after a public hearing.

Nor may any agency or department contract for services replacing work done by state employees at that time without determination of need by the director of administration acting upon the positive recommendations of the state budget officer and the personnel administrator and thirty (30) days after a public hearing.

SECTION 5. The appropriations from federal funds contained in section 1 shall not be construed to mean any federal funds or assistance appropriated, authorized, allocated or apportioned to the State of Rhode Island from the state fiscal recovery fund and capital projects fund enacted pursuant to the American Rescue Plan Act of 2021, P.L. 117-2 for fiscal year 2026 except for those instances specifically designated.

The State fiscal recovery fund and capital projects fund appropriations herein shall be made in support of the following projects:

Federal Funds - State Fiscal Recovery Fund

Department of Administration (DOA)

DOA- Pandemic Recovery Office. These funds shall be allocated to finance the pandemic recovery office established within the department of administration.

DOA - Public Health Response Warehouse Support. These funds shall be allocated to the proper storage of PPE and other necessary COVID-19 response related supplies.

DOA - Community Learning Center Programming Support Grant. These funds shall be distributed to municipalities that have approved community learning center projects under the coronavirus capital projects fund community learning center municipal grant program. An equal amount of funding will be allocated to each approved community learning center project that reaches substantial completion as defined by the U.S. Department of Treasury by October 31, 2026. Municipalities with projects that do not reach substantial completion as defined by the U.S. Department of Treasury by October 31, 2026, shall return their funding no later than November 15, 2026, for redistribution among other qualified community learning centers. These funds must be used to support the establishment of U.S. Department of the Treasury compliant health monitoring, work, and or education programming that will take place in a community learning center.

DOA - Municipal Public Safety Infrastructure. These funds shall be used to provide matching support to cities and towns to make significant public safety facilities infrastructure improvements including new construction. Funding priority shall be based on project readiness and limited to those for which the total costs exceed $1.0 million. Matching funds to any municipality will be limited to $5.0 million for projects that serve a regional purpose and $1.0 million for others.

DOA - ERP Implementation Support. These funds shall be used to support the implementation of a new cloud-based enterprise resource platform for the State of Rhode Island to more efficiently and strategically administer human resources, payroll, and finance operations.

Office of Energy Resources (OER)

OER - Electric Heat Pump Grant Program. These funds shall support a grant program within the office of energy resources to assist homeowners and small-to-mid-size business owners with the purchase and installation of high-efficiency electric heat pumps, with an emphasis on families in environmental justice communities, minority-owned businesses, and community organizations who otherwise cannot afford this technology. The office of energy resources shall report to the speaker of the house and senate president no later than April 1 of each year the results of this program, including but not limited to, the number of grants issued; amount of each grant and the average grant amount; and the expected cumulative carbon emissions reductions associated with heat pumps that received a grant.

Department of Labor and Training (DLT)

DLT - Enhanced Real Jobs. These funds shall support the real jobs Rhode Island program in the development of job partnerships, connecting industry employers adversely impacted by the pandemic to individuals enrolled in workforce training programs.

DLT - Unemployment Insurance Trust Fund Contribution. The director of labor and training shall allocate these appropriations to the employment security fund prior to determining the experience rate for each eligible employer for calendar year 2023.

Executive Office of Commerce (EOC)

EOC - Bioscience Investments. These funds shall support a program to invest in the biosciences industry in Rhode Island in conjunction with the Rhode Island life science hub as established in chapter 99 of title 23. This program will include, but is not limited to, the development of one or more wet lab incubator spaces in collaboration with industry partners; the creation of a fund that will support wrap-around services to aid in the commercialization of technology and business development, growth of the biosciences talent pipeline, and support for staff to implement the bioscience investments initiative.

EOC - Assistance to Impacted Industries. These funds shall be allocated to provide assistance to the tourism, hospitality, and events industries for outdoor and public space capital improvements and event programming.

Executive Office of Housing

Housing - Development of Affordable Housing. These funds shall expand a program at the

Rhode Island housing and mortgage finance corporation to provide additional investments in (1) the development of affordable housing units in conjunction with general obligation bond funds and other sources of available financing according to guidelines approved by the coordinating committee of the housing resources commission or (2) site acquisition and predevelopment expenses for affordable housing. Of this amount, ten million dollars ($10,000,000) shall be available to Rhode Island housing and mortgage finance corporation to establish a pilot program that shall direct funds to support low income public housing through project-based rental assistance vouchers and financing for pre-development, improvement, and housing production costs. Within six (6) months, any money available for the pilot that is not yet allocated to viable projects, or which has been awarded to public housing authorities which are unable to demonstrate substantial completion of all work within eighteen (18) months of receipt of any such funds, shall be returned to this program and no longer be included in the pilot. Determination of viability and substantial completion under the pilot shall be at the sole discretion of the secretary of housing.

Housing - Targeted Housing Development. These funds shall create a program at the department of housing to develop housing in targeted areas and/or priority projects. Of this overall program, twenty-two million dollars ($22,000,000) shall be allocated into a priority project fund that advances the following categories: permanent supportive housing, housing dedicated to vulnerable populations, individuals transitioning out of state care, and extremely low-income Rhode Islanders. Of this overall program, four million dollars ($4,000,000) shall be allocated to support the development of transit-oriented housing as approved by the secretary of housing.

Housing - Site Acquisition. These funds shall be allocated to the Rhode Island housing and mortgage finance corporation toward the acquisition of properties for redevelopment as affordable and supportive housing to finance projects that include requirements for deed restrictions not less than thirty (30) years, and a non-recourse structure.

Housing - Workforce Housing. These funds shall be allocated to the Rhode Island housing and mortgage finance corporation to support a program to increase the housing supply for families earning up to 120 percent of area median income.

Housing - Home Repair and Community Revitalization. These funds shall expand the acquisition and revitalization program administered by the Rhode Island housing and mortgage finance corporation to finance the acquisition and redevelopment of blighted properties to increase the number of commercial and community spaces in disproportionately impacted communities and or to increase the development of affordable housing. Residential development will serve households earning no more than 80 percent of area median income. Commercial and community spaces must serve or meet the needs of residents of a census tract where at least 51 percent of the residents are low-and moderate-income persons. Of this amount, four million five hundred thousand dollars ($4,500,000) will support critical home repairs within the same communities.

Housing - Predevelopment and Capacity Building. These funds shall support a program to increase contract staffing capacity to administer proposed affordable housing projects. These funds will support research and data analysis, stakeholder engagement, and the expansion of services for people experiencing homelessness.

Housing - Municipal Planning. Of these funds, one million three hundred thousand dollars ($1,300,000) shall support a housing development-focused municipal fellows program within the department of housing and one million dollars ($1,000,000) shall support municipalities to study and implement zoning changes that up-zone or otherwise enable additional housing development in proximity to transit.

Housing - Homelessness Assistance Program. These funds shall support a program to expand housing navigation, behavioral health, and stabilization services to address pandemic-related homelessness. The program will support services for people transitioning from homelessness to housing, including individuals transitioning out of the adult correctional institutions.

Housing - Homelessness Infrastructure. These funds shall be used to support a program to respond to and prevent homelessness, including but not limited to, acquisition or construction of temporary or permanent shelter and other housing solutions and stabilization programs.

Housing - Municipal Homelessness Support Initiative. These funds shall be used to support a program to award grants to cities and towns for public safety expenses and other municipal services that support individuals and families experiencing homelessness.

Housing - Proactive Housing Development. These funds shall be used to support the creation, staffing, and initial activities of a proactive development subsidiary of the Rhode Island housing and mortgage finance corporation, established pursuant to § 42-55-5.1.

Housing - Housing Related Infrastructure. These funds shall be allocated to the Rhode Island infrastructure bank as established in chapter 12.2 of title 46 to support physical infrastructure that is necessary to produce additional housing. All expenditures made with these funds must be for the pre-development and development of site-related infrastructure for housing that meets affordable housing pricing and/or income criteria and other criteria established by the department of housing.

Housing - Statewide Housing Plan. These funds shall be allocated to the development of a statewide comprehensive housing plan to assess current and future housing needs, consider barriers to home ownership and affordability, and identify services needed for increased investments toward disproportionately impacted individuals and communities. These funds shall be used to support municipal planning efforts to identify and cultivate viable sites and housing projects.

Quonset Development Corporation (QDC)

QDC - Port of Davisville. These funds shall be allocated to expand a program developing port infrastructure and services at the Port of Davisville in Quonset in accordance with the corporation's master plan.

Executive Office of Health and Human Services (EOHHS)

EOHHS - Certified Community Behavioral Clinics. These funds shall be allocated to a program to support certified community behavioral health clinics to bolster behavioral health supports, medical screening and monitoring, and social services to particularly vulnerable populations in response to a rise in mental health needs during the public health emergency.

Department of Children, Youth and Families (DCYF)

DCYF - Provider Workforce Stabilization. These funds shall be allocated to support workforce stabilization supplemental wage payments and sign-on bonuses to eligible direct care and supporting care staff of contracted service providers.

DCYF - Psychiatric Treatment Facility. These funds shall be allocated to expand existing psychiatric residential treatment facility capacity to provide intensive residential treatment options for adolescent girls and young women who face severe and complex behavioral health challenges. Any funds that are unexpended shall be allocated to the construction of intensive residential treatment facilities that will provide female youth in Rhode Island more placement options to receive appropriate care for their individual levels of need.

Department of Health (DOH)

DOH - COVID-19 Operational Support. These funds shall be allocated to continue COVID-19 mitigation activities at the department of health and to address the public health impacts of the pandemic in Rhode Island.

Department of Human Services (DHS)

DHS - Child Care Support. To address the adverse impact the pandemic has had on the child care sector, the funds allocated to this program will provide retention bonuses for direct-care staff at child care centers and licensed family providers in response to pandemic-related staffing shortages and start up and technical assistance grants for family child care providers. Retention bonuses shall be paid monthly or as often as administratively feasible, but not less than quarterly. The director of the department of human services and the director of the department of children, youth and families may waive any fees otherwise assessed upon child care provider applicants who have been awarded the family child care provider incentive grant. The allocation to this program will also support quality improvements, the creation of a workforce registry, and additional funds for educational opportunities for direct care staff.

DHS - SNAP Retail Incentive Pilot. The funds allocated to the Supplemental Nutritional Assistance Program (SNAP) Retail Incentive Pilot shall be used to reimburse the expenditures made from general revenue prior to January 1, 2025, in support of the Rhode Island Eat Well, Be Well Rewards Program. The Rhode Island Eat Well, Be Well Rewards Program is the first and only statewide retail SNAP incentive program in the United States and provides SNAP recipients an additional fifty cents ($0.50) for every one dollar ($1.00) of SNAP benefits spent on eligible fresh fruit and vegetable purchases, up to twenty-five dollars ($25).

Department of Behavioral Healthcare, Developmental Disabilities and Hospitals (BHDDH)

BHDDH - Crisis Intervention Trainings. To respond to the increased volume of mental-health related calls reported by police departments, these funds shall be allocated to the crisis intervention training program to provide training every three years for law enforcement as well as continuing education opportunities.

BHDDH – 9-8-8 Hotline. These funds shall be allocated for the creation and operation of a 9-8-8 hotline to maintain compliance with the National Suicide Hotline Designation Act of 2020 and the Federal Communications Commission-adopted rules to assure that all citizens receive a consistent level of 9-8-8 and crisis behavioral health services.

Rhode Island Department of Elementary and Secondary Education (ELSEC)

RIDE - Adult Education Providers. These funds shall be directly distributed through the office of adult education to nonprofit adult education providers to expand access to educational programs and literary services.

RIDE - Out of School Time Education Providers. These funds shall be directly distributed through the office of student, community and academic supports to expand access to educational programs.

Office of Postsecondary Commissioner (OPC)

OPC - RI Reconnect. These funds shall support a program to improve postsecondary degree and credential attainment among working-age Rhode Islanders. The program will assist students in addressing barriers to education completion, particularly among communities of color and lower socio-economic strata. A portion of these funds will be used to address barriers to the attainment of teacher certification as a second language education teacher, grades PK-12, and as an all grades special education teacher.

OPC - RIC Cybersecurity Center. These funds shall support the establishment of the institute for cybersecurity and emerging technologies at Rhode Island College, which will provide certificate, baccalaureate, and master's level courses with focuses on research and developing highly skilled cybersecurity professionals. Funding shall be appropriated through the office of postsecondary commissioner.

OPC - Fresh Start Scholarship. These funds shall support a program to provide scholarships to adult students with some college credits, but no degree, with a focus on students who dropped-out of the community college of Rhode Island. This program will target students who are not meeting satisfactory academic progress requirements, which makes them ineligible for federal financial assistance.

Department of Public Safety (DPS)

DPS - Support for Survivors of Domestic Violence. These funds shall be allocated to invest in the nonprofit community to provide additional housing, clinical and mental health services to victims of domestic violence and sexual assault. This includes increased investments for therapy and counseling, housing assistance, job training, relocation aid and case management.

Department of Transportation (DOT)

DOT - Municipal Roads Grant Program. These funds shall support a program to distribute grants with a required local match for the replacement, rehabilitation, preservation, and maintenance of existing roads, sidewalks, and bridges. These funds shall be distributed equally to each city and town provided that each municipality is required to provide a sixty-seven percent (67%) match.

DOT - Washington Bridge Project. These funds shall support the non-federal share or matching requirement on federal funds for priority transportation projects, including but not limited to the Washington Bridge project.

Federal Funds - Capital Projects Fund

Department of Administration (DOA)

DOA - CPF Administration. These funds shall be allocated to the department of administration to oversee the implementation of the capital projects fund award from the American Rescue Plan Act.

DOA - Community Learning Center Municipal Grant Program. These funds shall be allocated to a program for cities and towns that renovate or build a community learning center that meets the work, education, and health monitoring requirements identified by the U.S. Department of the Treasury.

Executive Office of Commerce (EOC)

EOC - Broadband. These funds shall be allocated to the executive office of commerce to invest in broadband projects to provide high-speed, reliable internet to all Rhode Islanders. The secretary of commerce, in partnership with the director of business regulation, will run a series of requests for proposals for broadband infrastructure projects, providing funds to municipalities, public housing authorities, business cooperatives and local internet service providers for projects targeted at those underserved by the current infrastructure using the evidentiary bases authorized by the United States department of the treasury for the capital projects fund. These funds shall be used in accordance with the statewide broadband strategic plan and may not be obligated nor expended prior to its submission in accordance with the requirements of the Rhode Island broadband development program set forth in chapter 162 of title 42.

SECTION 6. Notwithstanding any general laws to the contrary, the department of revenue shall transfer to the state controller by June 30, 2026, the sum of five million dollars ($5,000,000) from the Marijuana Trust Fund restricted receipt account.

SECTION 7. Notwithstanding any general laws to the contrary, the state controller shall transfer the sum of twenty-four million dollars ($24,000,000) to the supplemental state budget reserve account by June 30, 2026.

SECTION 8. This article shall take effect upon passage.

ARTICLE 14

RELATING TO EFFECTIVE DATE

SECTION 1. This act shall take effect as of July 1, 2026, except as otherwise provided herein.

SECTION 2. The article shall take effect upon passage.